Astral Poly Technik Ltd. (ASTRAL)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

(no extractable text — likely a scanned image PDF)

Call: Nov 2022

(no extractable text — likely a scanned image PDF)

Call: Feb 2023

(no extractable text — likely a scanned image PDF)

Call: May 2023

Astral Analyst Meet,202 3
17th May, 202 3

Mr. Sandeep Engineer Speaks,
Thank you everyone. On this analyst meet it is my pleasure to welcome you all, and it is great to see that we are filling the hall every other meet more and more; so the family of analysts who are covering Astral is also growing. This is our 25th year. Astral, this October enters, finishes 25th year, 25 years. Since I started Astral in 1998 with a small factory with one extruder and with a history of six years of struggle to actuall y bring CPVC to this market. Today CPVC is one of the fastest growing polymer in India and with pride I should say that Astral put the roots of CPVC in this country and for five years people were not convinced to use this polymer and these five years of st ruggle were the hardest years of my life.
Now, when I remember and when I see today's Astral after 25 years, it is because of the help of multiple people who have taken Astral to this level. And you are also the part of this journey. And I am happy to say with pride that you have always stood by us in the thick and thin times and we have always come out victorious of whatever the situations we passed through.
Today, we have pipe business. In pipe business, we have multiple product lines.
We last year launch ed a new drainage product Drain Pro, innovative product for India and we are the only one making after Silencio and which has picked up very well in this market. It is accepted in the market. We are going ahead with expansion of the product line in capacit y.
We have ordered machines and we'll be almost doubling the capacity in the Drain Pro and the Silencio. Then we come to the fire sprinkler CPVC which has also started picking up in many markets and many markets have got the approvals of the fire sprinkler pipes. Day by day the business of Fire sprinkler which I've been talking for many years, has now reached a level where the acceptance is fast, approvals are fast and the usage is growing. The Valve project which we have been talking almost from two years, is almost complete.
I can say the Ball Valve range is complete not almost. We have launched the complete range of industrial Ball Valves in Indian market and there are export inquiries which will be attending and delivering in this year. So the valve proj ect which started of two years back was little slow because of the COVID as our valves, our moulds and our parts which are used in the walls come from Europe. So that investment and that part of business is now fully operational. We will be this year and i n coming two years we'll add multiple range of valves and we'll become one of the companies from Idian soil where we can give industrial valve to the level which is delivered by the world's best companies.
Then we go into the composite pipe. We had some i ssues with composite pipe, which was stopped. We had to stop the production because of the adhesive glue which was coming from Germany for the adhesion of aluminium and CPVC. The German company stopped the production because of the ban of usage of certain chemicals used in the product.
We have done our own research and we are back with the product, with the new glue and complete research and this research now we can say is completely owned by Astral, so Astral has done this research and brought the product again to the market. Coming to the expansions. The expansion work at Hyderabad has started and we'll be adding 70,000 tons capacity from that plant. Guwahati, we have just signed and taken over a whole premises, complete premises of shades on rent and w e will be starting a plant in next two to three months, pipe production from Guwahati.
Here the capex will be limited only to the Machinery, Plant building we have gone on a lease model; we have leased out the plant building. The other segments you will se e some product segments here, valves are also there. Other segments, especially in the infra busine

ss. Last six months, the infra
business has picked up very well and we are running at almost a full capacity or almost the optimal capacity. So we have order ed more machines in the infra business.
We have certain products which also play important role in the infra business, which we only make in India, is desalination product. Some of the product used in the bullet train projects and various such infra projec ts which are now being sold at the optimum or level beyond our capacity.
So we are adding capacity in that. Pipe business, various plants are also doing some balancing capacity work. South we last year said that we will be starting our fittings. Some fast moving fittings have started its production from south. The plant at the north, especially infra plant and the plant in Rajasthan is also running at a good capacity. So we'll be doing some balancing there and similarly various plants are adding capacities and doing some balancing expansions.
Coming to the Adhesive business. In Adasive business, we have started trial runs at our Dahej plant. Last year we talked that we are coming with a state of art facility in the Dahej for certain chemistries. The plant e xpansion is over. The plant is operational. Trial productions have started and in next two months, it will be fully operational with certain chemistries, which will be made at Dahej.
The plant in Ahmedabad is running with more chemistries, more innovation . The R &D is running at its

full pace.
Similarly, we have now a very full-fledged R&D setup in the pipe also. So there also we are doing a lot of R &D and innovation and new product development is going on. So, Adhesive, we have four segments. The maintenance, the industrial chemicals, industrial adhesives, the wood segment. And now we have the construction chemicals. And this whole year we have put individual heads on these four segments.
Now the four segments itself are started giving good results and in next two years each segment will be stronger than the other segment in its own way.
The two new products which everyone wants to know, how you are different and what will you do, is sanitary ware and faucets. Now if you see the sanitary ware and fa ucets was something which people thought that why and what?
But when you see Astral and when you see the way it's sold in projects through a consultant, used by a plumber and through the dealers and similar way. Faucets are used by the same people, applied by the same people and sold through the same channel. So getting into faucet and ceramic ware was something which we needed to extend for both reasons. One, is to make the brand more visible to the customer and second is that our channel also needs some m ore products and the channel has accepted and started selling it very well.
We have not come with any pressurized way of selling products, not building volumes, not numbers. We are going and laying brick by brick to develop this product segment. When we st arted, we had outsourced model which we are thinking, but after seeing the way it is manufactured, especially faucets with metallurgy coming in, then electroplating coming in and the inside parts, moving parts are there.
So we decided last year and we told last year that we have gone with our own facility in Jamnagar. The same facility has been expanded, it has been doubled. At present 40% to 50% of our faucets are in house.
In next few months we will have almost 100% faucet s made in house. So this product Astral will be making it, developing it, selling it, innovating it and all our designs made in faucets are completely made different than what are available in the market. We have not gone. go to the market in Jamnagar.
If you go for two days you can become a faucet manufacturer.
But we have never done any shortcuts in coming into this market and this segment by just lifting a ready product available off the shelf, branding it in our

name and putting it to the market. And qu ality,
we are very very conscious about this quality because here we talk to the consumer directly. The consumer sees us, the consumer sees the brand.
Pipe goes behind the wall, Adhesive you cannot see where it is applied, paint you don't know whose paint is used in this hall. That is what we are continuously working to see that this product line is always above the mark than anyone in the market and that will continue to starve to develop this product as a unique product line and be with the global standar ds.
Coming to paints, last year was just the acquisition was over. This year we have done lot of things which had to be done for a small company. We had to put the systems, we had to put the SAP, we have to put Manpower systems, we have to put HR systems, we had to do many corrections which were required backhand before going to the market to actually sell the product, and this year we will be rebranding it. We'll be having manpower on the place.
Senior manpower is already joining. So we'll have Senior Man power on the place and we'll be completely doing a relaunch model of paints in next few months and we will be surely communicating that model to all of you. And if need be, we'll come personally and also communicate the model and show you how we are going ahead in the market on this product line. Especially even industrial paints and the decorative paints.
So we have now the bandwidth. The bandwidth is very important with the growth. Me or Kairav or Saumya or Hiranand bhai and many such sitting here cannot do everything. So we have a full fledged huge office running in Mumbai with 150 people in marketing. The Ahmedabad office is growing with senior people. We have now a CTO, full fledged CTO hired from a very big multinational company who heads the systems and we are working, lot of things are happening around the IT systems.
And we are integrating the whole company to see that how the data is shared, how the data talks to each other, how the marketing guy, how he is visible, what is doing, what are the per formance analyses and various such things. What is sold at a counter, how much it is sold, why it is going down, why it is going up? So lot of these things are going on at one time and in next two years the company will itself become a company which will b e having manpower but the systems will be above manpower.
The HR is going to be a big thing for us with so many verticals, so many humans working and so many offices, plants getting operational. We have just, a very senior at CHRO who joined a few days bac k from another multinational. So today I just want to tell you in one nutshell that if I had to go three years back and ask these people to join me nobody would have, nobody was willing to come and see at Astral. Today the manpower which we need and the ma npower which is coming to us is coming from big multinationals and are coming and joining us with the future vision which we have and which

they look in us.
So we are getting very good manpower from last two to three years, which is I think the major conce rn with growth. which everyone concerns that with growth, with so many verticals how will you place people and how will you place the growth with the people?
So there are a lot of systems loyalty programs are there I think as we have question answers, I'l l answer if you have any questions. We are expanding our boards. We have new two independent directors who have joined in, are both chartered accountants.
And I also welcome Kairav and Hiranandbhai to the Board of Astral. So, Astral board is now expanding, and we will be putting more professionals to guide us through the journey of growth in our board. So, thank you everyone. It's a short speech because this time, Kairav will be also giving a presentation and Hiranandbhai. So my role is diminishing, and the new generation's role is getting more aligned. And in

few years, you will have more new directors joining us. And I'll be there always to answer whatever you want. Thank you very much, everyone. Thank you.

Mr. Kairav Engineer Speaks ,
So, good afternoon, everyone. Thank you for making it to the analyst meet.
This is my 12th analyst meet. I joined the company in 2011. So almost twelve years I've spent.
So every year I see the crowd increasing, which is a good sign. And I think next time we will even need to do it in a bigger hall. I'm going to run through this presentation really quickly because there's a lot of information on most of the slides.
But don't worry, the presentation will be uploaded shortly after this meeting is over. So, in case you miss anyth ing, don't be worried. It'll be on our site.
So, I think everyone knows about the history of the company right now, as of today, Astral has over 8200 employees. We have export presence in 25 nations now. We have manufacturing presence in three countries.
We have 22 manufacturing units, out of which nine units are for pipes, five are for adhesives and sealants. Five are for water tanks, and three are for paints. We have 4,27,000 metric ton of production capacity, out of which 2,90,000 ton is pipe, 1,00,000 t on is adhesive and 36,000 ton is paints.
We have 38 trading depots across India, out of which 17 are for pipes, 10 are for adhesives and sealants, and 11 are for paints. This metric does not include any of the newer announced plants which are under constru ction or not have commenced. I think this corporate structure everyone is well aware of.
But I would like to add that as of today, across all divisions and verticals, we have access to more than 2700 distributors in India, be it paint, be it adhesive, be i t pipe. And Astral products are sold at 1,93,000 retail outlets across India. So this includes all the product.
It includes paints, adhesives, construction chemicals, sealant, pipes, water tanks, everything. But as you see, our retail reach is expanding ev ery year, which is a very good sign and a very healthy sign for the brand. So, these are our 7 categories that we operate in. Pipes, tanks, ad hesives , sealants, infrastructure product, faucets and sanitary ware, paints and specialized valves. And I think o ne more category they have forgotten to put in this presentation is construction chemicals that I think they will cover under adhesives and sealants but it should be a different category.
So all of these categories put together, I think Hiranand bhai will explain further in his speech. All this category put together gives us an addressable market of 1,50,000 crore. Am I correct? Hiranandbhai? Even more than 1,50,000 crore addressable market.
So you can see we are in this seven or eight high growth categorie s where the market opportunity is very big. So the growth potential for the company in the coming years is always going to be very bright. And obviously we are working very hard to ensure that we grow as fast as possible and you know sort of expand organic ally and inorganically in all the categories that we operate in.
Some of the firsts that Astral has done obviously first to launch CPVC pipes in India. We have three adhesives manufacturing facility which is in the UK, US and India. And UK and US also help Astral technologically in the R&D process by giving newer technologies and helping them create better product. We have introduced countless innovations in the Piping category. Very hard to name all of them because every year we are coming out with multipl e innovations. We were the first in India to come up with lead free uPVC pipes for potable water. So right now people are talking about lead certification and green building and all these concepts.
But I think back in 2003 -2004 we were the first company to prioritize usage of tin based stabilizer in pipes instead of lead, which is harmful for human consumption. At that time everyone was la

ughing
why you are moving to tin based stabilizer. Lead is there cheaper, but at the end of the day, not everything that is cheaper is going to be good for you, human health and human consumption.
So we are very happy that most of the bigger pipe companies have followed our lead and now everyone has gone to the whole lead free concept in piping. We offer the widest range of products in the piping category. I think the range that we have across infrastructural, plumbing, drainage, agricultural, all these pipes put together is one of the largest ranges in country.
Now with the valves adding up, I think we will have the most number of SKUs, I can proudly say in this

piping category in India. So, as I said , we have a robust network of 1, 93,000 dealers. We have 8 pipe manufacturing facilities already covered.
We are also growing very fast in the double wall corrugated and the infra segment. We acquired Rex a few years back and after that last year has been very robust for us. After COVID, last year was really good for us in the infra segment and looking at the new government initiatives across India, I think this segment wi ll be a real growth driver for us in the coming years.
Now we have 5 tank manufacturing facilities across India. And we were the first in India to manufacture the antiviral tank. So we use a copper based compound in our raw material while we make the tank so that gives the antiviral properties to our tanks and we are the first and right now we are the only company to do it in India.
I think I will not go over much over the journey most of you are aware of the journey. But this year we have launched the val ves as already I said, and we have launched the rain drainage - The Rainway, it's a rain drainage system for the slanted roofs.
Especially in states which receive a large amount of rainfall. They need the rain gutter to take the rainwater from the roofs do wn and most of it is used for water recharge.
And we are now in Adhesives. We are working on the brand architecture for Bondtite. We have taken all adhesive products and combined them and coupled them into a singular brand called Bondtite and Bondtite is g oing to be our flagship brand in adhesives going ahead. So most of the adhesive SKUs will be covered under the Bondtite umbrella.
These are some of the awards and recognitions. We are one of the most trusted brands of India. Constantly rated one of the mos t trusted brands of India. We are also considered a super brand by Super Brands India every year.
We are also since past two years, considered to be a great place to work. And now we are also getting award. So the Ball Valve plant got certified as a green plant certification by the government and our Silencio product got certification of being lead platinum so that adds to the lead points whenever you are doing the green building. So this I think most of you know the history so I'll not go in detail over this.
And like my father already said, we are working on CPVC, aluminum CPVC, multilayer composite pipe. So that will be the biggest innovation when it happens, we will announce it to the market. That will be the biggest innovation in the piping category and if it happens, it will be a real game changer for Astral and for the Indian pipe market.

So these are some of our pipe and water tank manufacturing units. Santej is where we make pipes and water tanks. It is our mother plant. Dholka is where we make the pipes. Now Dholka is also the plant where we have added our valve manufacturing unit. Ghiloth plant in Rajasthan, close to Nimrana is where we make pipes and water tanks. Hosur in Tamil Nadu, close to Bangalore, we make pipes and water tanks. Sangli, we m ake the infra product. Sorry. Sangli we make the infra product. Aurangabad is where we make pipes and water tanks. Aurangabad plant was acquired when we acquired the Sarita brand. Sitarganj is one of the old Rex plants where we make the i

nfra pipe. Bhuvnes hwar is our new
facility where we make pipes and water tanks and Jamnagar is our Faucet facility. So Jamnagar we are increasing the number of SKUs produced in the plant. So most of the, 99% you can say the Faucets that we sell in the market today will be m anufactured in house so that will give us access to basically help us manage the quality of the product.
So the QC will be in house and it's a very sensitive product because with the moving part you have to ensure that the quality remains very good and tha t is a true test of a brand in the market because in Faucets; see sanitaryware you don't require that many moving parts. So sanitaryware it's easier to outsource. But Faucets, the more in house you make, the better it is for you.
So these are the Adhesives and Sealants manufacturing units, the Sealant facility in UK, the Sealant facility in the US, both Adhesive facilities and then in India we have Rania, Unnao and Santej and shortly we are also going to inaugurate Dahej plant. So these are the upcoming fac ilities - In Adhesives Dahej, In pipes : Hyderabad facility and also for the first time we are going into lease model in Guwahati. So we have leased the premises and then we are only going to put up the machinery there. So it'll be a very fast plant, it'll come up in a few months. So Guwahati is going to cater to the fast growing north east market. So these are just some of the slides with the Pan India presence. It's too much to convey.
So these are our product offerings right now in the piping segment. T hese are the plumbing, drainage and some are infra products. These are cable protection, wire protection, agri, infra, urban infra industrial products.
These are our ancillary products like solvent cement, specialized fittings, insulation material, bottle traps, air admitant valves, clamps, anchors etc. So we have put up some of the samples of our newly launched valves at the back. I think after the meeting it will be nice if everyone can just take a look at them.
They are really really up to the internati onal mark and they are much better than some of the valves that are currently being imported into India. So I think valves once we finish the entire range in a few months I think it will become a real game changer for the company, especially in the bottom line

segment, because valves are a high marginal product. And they are also very specialized sort of a molded product which not every manufacturer can make with that precision. So that is also going to be an added advantage for us when we try to sell our i ndustrial systems or when we try to sell to big scale projects. Valves play a very key role.

These are our water tank offerings. We make both blow molded and roto molded tanks.

These are some of our Adhesives sealants, silicon sealants, membranes, waterpr oofing tapes, construction chemicals offerings. These are the solvent cements that are being sold by the adhesives team and also some of the industrial products sold by the adhesives team.

These are some of the brand building initiatives that we have done. Branding is a very dear subject of ours and we try to do something out of the box every year and that is what has kept the brand alive in the heart and mind of the consumers. For the HSM market, Ranveer continues to remain our brand ambassador. For the so uth market we tied up with Allu Arjun last year and he represents Astral in the non Hindi speaking market so Andhra, Telangana, Tamil Nadu, Kerala and Karnataka. So we are right now the first pipe company to have dual brand ambassadors at the moment.

We la unched the ad campaign with Allu Arjun last year. It was very well received by the local markets in the south and has been performing really well for us. We also did one campaign talking about the importance of good quality pipes and how people are using h igh amounts of calcium carbonate or what we call as Chuna in pipe. So how to

differentiate and what makes Astral product much better

than what has been currently sold in the market mostly by unorganized players.

These are some of our cricket initiatives. We did a campaign with all the three teams that we sponsor, celebrating the 25 years of Astral. We also have an association with the Lucknow team for our Bondtite product and we did a small engagement with them as well.

So now instead of just doing ad film s for TV, we are doing small trade films. So we are making short films and then using the medium of WhatsApp, Facebook, Instagram to target our end consumers and to target our actual users and focusing on short bursts of campaigns, one week, two weeks, thr ee weeks and then focusing and targeting our key customers. And the ads are designed in such a way that they are very funny, they are very light and the message is very clear in them. So we do a lot of these small ads. So this is one of the campaign that w e did for Bondtite.

Now we have started the marketing and branding for our sanitary ware and faucet also. So in the coming six to twelve months you will see a lot of ads in magazines and at prominent places and you will see a lot of buzz around this our ne w sanitary ware and faucet product also.

So we acquired Gem last year. This year we are doing a major revamp on the paint side. I think we will reveal certain strategies once they are ready to be executed into the market. So in a few months we will talk ab out what we are going to do with the Gem brand and how we are going to integrate the Astral brand with Gem. So that is a story that will unfold in the next six to twelve months.

So I'll cover some of our CSR initiatives. CSR is also very important thing for Astral. As a company we are focusing on selected few areas and then we are concentrating all of our efforts to ensure that our CSR fund is well spent and there is an actual result happening. So we focus on women empowerment, we focus on infra developme nt, we focus on education, wildlife conservation, healthcare and supporting the disabled.

So, these are some of our initiatives for the CSR work that we have done.

So we put about 2.7 kilometer pipeline in Hivali. There is a small film that we have made on that, that's on our CSR social media page. We donated fire uniforms to the Ahmedabad Fire Department. We've renovated and constructed many anganwadis and we have p ut up clean water drinking facilities at many schools and anganwadis. For education, we have helped to develop a science museum at the riverfront in Ahmedabad.

We are contributing uniform, school bags etc for the government schools and schools in tribal an d rural areas. For wildlife conservation, we are doing a lot of solar work in different jungles to provide drinking water for animals. Plus we are giving vehicle support to the forest department. Plus stuff like uniforms, other gears like shoes, etc. And w e are also doing a lot of watershed mapping, lot of technical assistance to the departments to lay pipelines across the jungles. So that is some of the work that we are doing in the wildlife side.

In healthcare we are focusing on the juvenile diabetes. The whole camp that they give free insulin to kids coming from very poor families. So we are focusing on the Juvenile Diabetes Foundation. We have recently donated a lot of wheelchairs to the specially abled kids. And for women also, we are giving, I think on Women's Day we focus on women's hygiene and we focus on women healthcare a lot.

Our CSR films has also won several awards lately.

So these are just some of our sustainability initiatives in the company. Like I said, we are leads platinum certified for ou r Silencio product. We have increased our solar energy capacity. We are certified with Griha for our CPVC pipes for the Green certification. We have a 46% growth in our CSR spends. Our energy consumption through renewable sources was 18% in Santej and 20% in Dholka

.

Substantial increase in training hours from 12,000 hours to 17,500 hours. So a lot of work has been done on the sustainability side. Now I think I'll hand over the podium to Mr. Savlani and he'll take forward, on the way forward as well as the f inancials.

Mr. Hiranand Savlani Speaks ,

Good afternoon everyone. So this is what the vision of Sandeep Bhai , What he wants to see the company way forward. So basically we want to be a focus company into the building material space and we'll keep continuously focusing into this area so that our core area should not be disturbed. And even today also many people have a question mark that Astral is entering into multiple verticals. But you see, we have never ever compromised our core business i.e. the pipe business.

Pipe business still we are growing. I will show you the slides also where you will be having clear picture that we have not sacrificed, neither on the growth side, neither on the profitability side.

On the contrary, day by day we are improv ing that and we will continue, because we are seeing that in pipe category another ten years there is no Mandi (Recession). So we are very, very clear that we will not leave that core area and we will be continuously focusing on our CPVC, which is our brea d and butter for our organization. And parallaly with this, we will be continuously adding the new, you can say the polymer related pipe which Sandeep Bhai already explained many of them that Drain Pro, the Silencio, Bandable pipe, further we are innovatin g certain things into the pipe category and once we will be ready at the R&D stage we will do that announcement; so that work is old and shortly you will get that also.

So this is what I think we committed last time, that in FY 21 - 1st time we had given the guidance for the next five years that we will be growing at a 15% CAGR, we are going to doubling our company in five years and we spent 1000 crore rupees in last five years and through that we have added a few new verticals also like Faucet is there, P aint is there, Drainage pipes i.e. Silencio and Drain Pro is there, Water Tank is there, Valve is there. All this put together, we projected that we will be doing close to about 1500 crore revenue and I'm very happy to share with you that this year we have already crossed the 400 crore + mark. So we are on the track and what we have promised you for 1500 crore. We are confident that we will be able to deliver you 1500 crore mark in next five years. So this is the one year we have completed.

This is the indu stry outlook. We are foreseeing that this year should be a very good year for the industry in terms of Pipe. We are expecting minimum 9 to 10% kind of industry growth that is our internal estimate. I don't have an authenticated number from the industry wha t they are, but this is our internal estimate that minimum 10% kind of industry growth will be there and per se Astral we will be growing 15% to 20% in volume. Why We are claiming additional five to 10% kind of growth? That is mainly because we are launchi ng new products. We are entering into the new geography either by way of putting up a plant or by way of putting up the depot. So these all are going to help us to grow our market share.

I can give a few figures of East. East we have recently started and t oday my plant is running at a 750 to 800 metric ton run rate consistently since last 4 months. So you can understand that next year alone in East we are going to aid 15,000 metric ton sales.

So that is the speed at which that new segments are growing plus what Sandeep bhai said that Guwahati we are going to shortly start the plant because that is the rented premise. So in next 3 to 6 months' time that plant will be operational with the initial capacity of 12,000 to 15,000 metric ton. That will also start giv ing us the revenue immediately because all the seven sisters hub is Guwahati and from there only th

e distribution takes place. If you are the part of that area in the manufacturing side definitely you are going to get the market share. Brand Astral is very very strong in the country but the only thing is that particularly in polymer business logistics play a very important role. If you are near to the market then that is going to help you in a big way.

So that is why we are consistently telling that since l ast 5, 6 years we are putting money which is not required to put that much of capex but still we are continuously doing intentionally high capex because we want to be a Pan India player. And that's why though our capacity utilization is slow, still we are committing more capex. And that run rate now is going to be little slow but still we have identified a few pockets where we feel that still Astral is needed to be there and that is going to help to grow the market share. So that's why we are going to add o ne more plant after Guwahati that is in you can say Hyderabad.

Hyderabad we are going to put 70,000 metric ton plant, out of that 30,000 will come in the first phase that will be in FY 24 -25 second half and then rest of the 40,000 we are targeting to brin g in FY 26 second half. So that is what and there we are going to commit 100 cr rupees of capex.

We have already acquired the land over there. Construction is right now going on. In the first phase the PVC pipe will be there and the water tank will be ther e and in the second phase all the other products of CPVC, white PVC and all products will be there.

So this is the number you can see what we committed in this pipes. We committed in FY 21 that we are going to grow at a 15% CAGR. In last two years if you s ee our CAGR is close to 25% so we are much much ahead of what we have given the communication to you. So by nature we are a conservative company. We don't want to commit unnecessary high numbers to you and then don't deliver. It is our history that whateve r we communicate we are always trying to deliver. Even in the worst environment like COVID, our company has delivered the number what we have promised to all of you. So this is basically key things where we are claiming this thing that the biggest advanta ge which we are seeing the shift from unorganized to organized. What we are seeing lately in the markets in last couple of years, the volatility has increased too much, particularly from the raw material side. Because of high volatility there are plus side s also there are minus sides also. Let me talk the negative side first. Because of this high volatility, the profitability become up and down. That is what exactly you have seen in the current year. First nine months performance you see and the last three months performance You see. That is the result of the volatility. So, In a way it is not a good from the investors point of view because investors always want the consistency of number and Astral always believes in the philosophy of consistency. If you see in any of our concall, we start with the consistency. We believe in the growth, but we believe in consistency of the growth. Not only in the consistency of growth we believe in the profitable growth also. In this turmoil you can see all the Pipe companies ' numbers. You will find so much of up and down. Compared to that if you see the profitability of Astral, Astral is still maintaining much. I can say stronger than what the peers are doing so we always believe in... sometimes we have to sacrifice little gr owth also because of consistency but we are very clear that we will be maintaining the consistency. and whatever we are going to do that should be profitable otherwise we are not here to burn the cash. Not a single business we are mentally prepared to burn the cash and grow the business, that is not the mindset of the management.

So that shift is definitely from Unorganized to Organized is going to help us in the long run. The plus side of this is

that the smaller players, day by day, we are seeing that, b ecause of this high volatilities , are getting wiped out from the system. And we can see clearly not only smaller players, even the bigger players are getting lot of stress on their balance sheet and that is going to affect them sooner or later. So people w ho are doing only top line game, ultimately they are going to suffer like anything. Because now capex are not that easy to do. Because land cost are going up, construction cost is going up. Machine cost has gone up, everything is going up. So in that envir onment if you are not making money then it will be very very challenging to do the future capex. So only top line is not going to serve the purpose. So that's why we are seeing that this volatility is helping us not only immediate basis but definitely on a long term basis it is going to help the organization, because small players will be wiped out from the system and many, I can say bigger players also who are not focused on the profitability, they are also going to suffer in this kind of volatility and th is volatility will still be there for some more time. It is not that this is the end of the journey. It will keep continue for some more time maybe one quarter or two quarter. We are foreseeing that the Volatility will still be there.
Secondly, we are fore seeing the high growth from our recently launched product.
Whatever new products we have launched, Tank is the live example. In the very first two years, first year we did around 43. This year on a net bases, we did around 94 or 95 crores. On a gross terms , we did around 115 crores - 113 crores. So in a two year span, we have reached close to about 100 crores mark. Similarly is the situation of the other new products.
So new Product contribution will be very high in terms of percentage because the base is still very, very low. So that is going to help us to grow faster. That's why we are claiming a 15% plus kind of volume growth. Otherwise, industry 9 to 10%. We being one of the larger player in the industry, we should be at par with the industry growth. Bu t we are still of the view that we will be beating the industry growth what is going on in the market.
Secondly, decentralization of plan, which is continuously we are telling that we are continuously doing the decentralization and decentralization is definitely helping us which you can clearly see in the numbers also that because of decentralization our pr ofitability in last 4 -5 years has improved a lot. Because logistics play very, very important role in Pipe industry. Within Pipe also, if you see the PVC is the low value product, on that logistic cost in terms of percentage will be very high. So if you wa nt to do the PVC business, then you have to be decentralized. Otherwise it will be practically very difficult to do the business. CPVC, still it's a costly product, So from a distant location also you can serve the market by incurring 2 to 5% kind of freig ht because there still the margins are also high. While PVC everyone knows that the margins are very, very reasonable I can say, particularly for a company like us. Otherwise, for a mini company, it is a very thin margin business. In that thin margin busin ess, doing the business from the distant location is going to be a pain. So that's why we have accepted that theme of decentralization and continuously we are decentralizing ourselves. We started from West, then we entered into South, then we entered into North. This year we have entered into the East. So now all the four zones we have covered. Within four zones also we are seeing still some pockets are there where we can grow in future and we are going to aid the capacity and that is why two more locations we are aiding shortly.
Secondly because of the brand strength continuously companies are spending a lot of money into the brand building activity. Whether you can say our relationship with Salma

n Khan which has created the
Astral from one level to next le vel, then supported by IPL and then now recently been Ranvir Singh and lately Mr. Allu Arjun. So all these branding campaign has given clear visibility of the brand Astral across Pan India. So that is going to give us the pull effect.
So far we were in the push mode, so continuously we were pushing our product into the different different geography. But now this all event and continuous visibility, particularly in this time I am seeing, everyone is telling that we have seen Astral in IPL. Hardly anyone is t here who will say that I have not seen the Astral because this time the viewership of IPL is the highest in the history. So that has given a clear visibility of Astral brand across the country and that is giving us full effect not only into the pipe busine ss but our new businesses like our Adhesive and Sealant business, our Sanitary Ware, Faucets, still it is a baby I can say but there also at least visibility has started coming. Tank also. All these new products, is going to be immediate beneficiary out of that. Pipe and Adhesive is now at least at a certain size but new businesses are having low base. So if the low base products are getting the visibility of brand they will ramp up very quickly. So that's why we are expecting that the new businesses will c ontribute very fast in the coming time.
Adhesive also we are expecting that this year industry should grow somewhere around 8 to 10% and our company will be growing much faster.
We are expecting 20% +, 20% growth because UK may not be giving us the 20% gr owth but India business will definitely grow more than 20%. Last year also in spite of so much challenges, so much of volatility of chemicals and all, Resinova products were close to about 21% growth and a very very healthy margins also. So now, again in t hat business also, we are foreseeing that the margins will be above 15%. Last couple of year's margin was challenged because chemical price has gone up haywire. Some chemicals we have seen it has doubled the price also during this volatility and in that b usiness pass through takes place very very late. So because of that it was really challenging for us to maintain the margin. But now I think we have come back and now from this year onward we are foreseeing that the margin will be 15%, should be the minimu m margin this year. That is what we are expecting from this business also.
UK had a lot of challenges because of COVID and all this thing and you know, protocol in those countries are very different. So because of that we had challenges of growth so becau se of that UK operation were not able to grow last year. So they were flat at around 332 or something Crore for last two years but this year I think we are confident that UK will also give us minimum double digit growth. That is what we have got the budget also and we are seeing on ground also things are changing and margin expansion also has started in UK business also in last month of April I can say but it's too early. But we are of the view that both the businesses, India operation as well as UK, both a re seeing a margin improvement in the month of April but it is too early but on a full year basis at least whatever we have delivered last year, we should be much better than the last year in this current year.
So Resinova also continuously we are adding t he product basket also. The best part is that what Sandeep Bhai said, the management bandwidth, so there also in every vertical we have appointed a head and they have come from a reputed company and they have taken charge of that division and slowly and gr adually they have started working on that and they have started giving us the growth. And that is the reason last year in spite of so much of volatility we grown 20%. Still I can say our base is very very low in Adhesive, still we are a 850 crores company in India. So still we are a small com

pany
compared to the opportunity what is available of 15,000 to 20,000 crore kind of opportunity.
So still there is high probability that in next 4 to 5 years we can grow at a much higher pace than what the industry's g rowth is there. So we are still maintaining that in next four to five year we will be able to grow around 15% kind of our top line. So that is what we are expecting and that's why we have not revised our guidance. So we will be still maintaining that we wi ll be able to maintain 15% CAGR growth for next five years. Yes definitely challenges will come like what has happened in polymer this year. If the polymer suddenly come down like PVC has come down from 160 to, peak to today almost Rs. 75. If these kind o f volatility will keep coming then one year maybe miss that number but again on a five year basis we don't see any challenge will be there. So last year also you can see there was a drop in the polymer price substantially. Still we are able to grow not onl y in volume terms but in value terms also.
So we are working on internally how to cross utilize the data of every division. Like all divisions are interconnected, Pipe, maybe Adhesive, maybe Sanitary Ware, Faucet and all where we want to see that how this data can talk to each other.
Now, suppose my any sales guy visited any project and he got the pipe order. So he can immediately inform the other teams that I have got pipe order or there is high probability that other product can be sold. So he can immedia tely inform the Sanitary Ware and Faucet division also.
He can inform the Adhesive team also. So that team also will get the information that here Astral already has a connect and they are already using the Astral products. Pipe products. So there is high probability that we can convince for the other products also. So we are working on that and similarly the dealers also. Many dealers are common, they are selling our Adhesive also, some are selling Pipe also, some are selling Sanitary ware per say, so ther e also we can work out a strategy whereby the team can talk to each other through the software, whereby they can get the information and they can pass on to the other team and other team can connect them and they can bring the business from

there.
So ther e we are working very seriously and we have assigned the task to the team and team is working on that and software is under preparation and hopefully in next one or two years we will be able to work out on that parameter and that is going to help the organ ization in a big way.
So this is I will take last. So this is the performance of plumbing business. So plumbing include Pipe and Sanitary ware and Faucet. Faucet is hardly any number so mainly it is the pipe business. You can see the growth. This is the la st 4 year CAGR growth which is almost 24% and EBITDA growth is also 21% and PBD growth is 27%. Last quarter the value growth was not there because mainly polymer price has fallen down. But again on a full year bases we were still in a better position.
Sam e way, but here the top line growth was not there but because of fall in the price there was a sizable improvement into the EBITDA. That's why you can see in the last quarter EBITDA growth was 34%. Same thing PBT was 40%. So all these numbers are there. So I don't want to take much time into that side because all are in public domain already.
This is the capacity utilization. You can see consistently capacity utilization is improving and we have almost reached at the stage of 60% utilization. So still it i s low, because of decentralization work is going on. That's why utilization is slow but once this decentralization will be paused then the capacity utilization will shoot up very fast.
This is the working capital. Working capital, here you can see that th e debtors day and these inventories are very well in control. You can see what was there in FY 20 and what is now today. But this cred

itors days were reduced mainly because in the month of March we had a big advantage of currency and we were sitting on the cash. So what we did, we get the discount from our supplier and we paid them early and took the advantage of currency. So we have booked 6 crore rupees of foreign currency gain in our books of account in last quarter. So almost 2.3 - 2.5 or 3 crore we hav e booked in exceptional item because that was related to you can say creditor and other was related to the financing side. So because of that it is reflected into the other income. So because of, to take that advantage we paid up early to the creditors and that's why it is showing the overall working capital days. Some days have come down, otherwise working capital is very well under the control.
This is the Paint and Adhesive, there also the growths are more or less on a track going very well. So I don't w ant to discuss much into this number because it is already with you.
So this is the breakup of our Pipe business and the other business, Paint, Adhesive. Here also you can see still 73% of contribution is coming from Pipe. Though Pipe has a higher base, bu t still we have not sacrificed our core business and here we will continuously going to give focus and in the coming time we are confident that the pipe will still grow at a higher run rate than the industry and that is why this ratio will be more or less maintained or maybe little bit reduced in terms of percentage. But the absolute level Pipe will keep growing at a reasonably high pace.
This is the consolidated full year number. Last four year growth is around 26%, EBITDA growth is 22% and PBT growth is 2 6%. So more or less going in same line, this is you can say Q4 number, again this is the consolidated number of working capital what I explained you that to take the advantage we have taken heat on the creditor side, we have reduced the creditor days, othe rwise everything is within control and this is the net cash position of 410 crores.
This is what the market opportunity in which Astral is there, what Kairav was telling, that close to about 150,000 crore plus opportunity there. Pipe is close to about 37,0 00 crore market, we are just 8 - 9% of the market share. So still huge scope for the growth and gaining the market share. Adhesive, we are still 4 -5% of the market share so there is also huge potential to grow fast in that segment also. Adhesive UK we are ju st 2.5%
so there also there is enormous opportunity for the growth. Paint, is just beginning of the journey so there is no point to discuss about that. This is just 0.4%. Even if we get 1% market share over the next 10 to 15 years period our growth will be 20% CAGR. Even if we take 1% market share after ten years I'm telling you, if we get 1% market share of what is there, we can grow in 20 -25% CAGR. So huge opportunity into that business. Of course challenges are there. It is not an easy business. But at t he same time brand Astral is very very strong.
So we have a confidence that in that segment because right now, whatever growth at 10% you are seeing in the Paint business of the Gem paint, which is coming from only 3 states, so once it will become Pan Indi a, definitely the numbers will be much much better. And with the support of Astral dealer and distribution network and the brand, we will be growing much faster .
I think most of the points I have covered so I will not take much time into that. Thank you ev eryone. And if you have any question you can ask us. Once again I am requesting every, my investor look at this company from the 10 years point of view and these things I am not telling you today, from my first analyst meet till today. I think 2008 was our first analyst meet. 2007 post IPO, Arunb hai was there. Till today I am telling that one or two years ups and down will be there but if you pick up the little longer horizon of five years, ten years, we will not be going to dis

appoint you. You pick up the return
from any point of view. You pick up 1 year return, 2 year returns, 5 year returns, 10 year returns, 15 year returns, all categories Astral is beating the expectation of the market so please trust us but come

for the long term with us. Thank you very much.

Q&A Session

Attendee: Sandeep Bhai , thanks for a very detailed presentation.
Two questions. One, you've added a segment in the Adhesives business. If you could give us some sort of an opportunity that we have in this segment and what will be the major user case, use base of this segment?
Mr. Sandeep Engineer:
Hello. In Adhesives t here are four segments and the first segment which is called maintenance has certain chemistries. Segments are based on where the application is and with the chemistry. So epoxies, sinoacrylates and silicones and many such products fall under the category of maintenance, where maintenance is called a category used in construction. But it's joining the stone or many other such applications.
The wood is mainly for the wood joinings. The construction chemicals which is the fastest growing category of the Adhes ives has many applications. Cementation mixtures, then waterproofing, then a lot of things connected with fast setting of cements, fast setting where you can speed up the construction work. So today globally also construction chemicals is the fastest growi ng segment and India is much behind the globe because of, Here there are many reasons this segment got not covered and there were many reasons which you would not like to discuss here but today if you see with more companies, with branded companies coming into construction chemicals, also paint companies coming into construction chemicals, this segment is going to grow at a fast pace and will be mainly used for, many applications where the raw construction is done, waterproofing and cementing and mixtures. And industrial is the same Products when sold in bulk for industry is industrial segment. Products are same but if you sell 500 grams to 1 kg, 2 kg is normal retail. If you go to industry, you go to Agra and sell Epoxy for making bangles is an industrial s ense. So all these are different four segments in Adhesives, and each segment, as far as I am understanding from the market, has picked up a huge growth.
There are certain chemistries and certain products which have come in the international market, especi ally Europe and America and many other markets. We are still much behind in that and when these hybrids, these are called hybrids, Single component. Now there are a lot of two component products. India is on two component products. The world is moving to s ingle component product. And as it moves to single component product, the whole way of looking at Adhesives will change and we in our UK and US plant are moving to single component. We have water based products in UK and US, which we are launching in India for doing waterproofing. So these are also good, in way of not creating hazard environmentally and for the applicator. So a lot of things are changing.
The good part we have, we have a UK unit, we have a US unit where the R&D is strong, and the India unit where even the R&D is strong. So everyone talks to each other. A lot of development is done in between all these units and we have access to chemistries from global countries like UK and US. A lot of these things are helping us. There are certain things w e are working on very advanced chemistries. It's too early to communicate on that till we don't bring it to the market and try selling it. But we are already going to launch it at some point of time this year.

Attendee:
Hiranandbhai you've given us guidan ce on a five year basis for your core products. Pipes, Plumbing, Adhesives. If we look at the new products, I know the base is very small so any number that you give, may get knocked off in the very first

year itself. But if we look at a five year horizon and try and club
all these products into new and emerging products, some number you would like to give us of growth?

Mr. Hiranand Savlani :
I think 15% I have given that is a consolidated number I have given. Yes, definitely there are a lot of triggers a vailable into that because we are working on multiple products in our plants. Whether it is a Pipe category, whether it is a Adhesive category. Now even Paint also we are working something new. So these things, once it will unlock, then I will be in a posi tion to communicate to you. Today, if I will start talking the big number, and even if in one quarter I will not be able to achieve, everybody will start firing us that you said this, you are not delivering this. And the problem is that nobody has a patien ce for the long term. Everyone wants, every quarter you outperform which is very difficult for us to do. So that's the reason we have given the long guidance and that's why I say it clearly that come with Astral for next ten years point of view. Because it 's too early to say that what is going to happen

two year down the line or one year down the line. Because companies growing so fast and bringing so many new things that , any time plant people come,
Saumya all of a sudden comes, Hiranandji this produ ct is ready. Now sometimes even Hiranandji is not aware of how man y products are being developed so the pace of development is so fast at the plant level, Astral's R&D team has grown so big, I mean we have created a who le buliding in Adhesive for R&D. In the Adhesives, things are moving so fast. So it is too early to say which product will launch when, until and unless the product is launched, it is too early to say about the result of that product. Once th e product is launched, we can know market reaction. So there are a lot of things happening at Astral level. Many of them can be game changers but it is too early to say because right now, day by day our focus is increasing mainly on value added products. I t is okay if we are growing, but profitability should also maintain with the growth. We don't want to focus on the growth alone, we also want to focus on the profitability. So you can see in all my concalls, I say this thing in the very beginning - consist ency of the growth and profitability both. And my clear focus is on the allotment of the capital because it is very important. Because when you are multitasking everyone will come and ask for the capital, please give me 25 crs. Please give me 50 crs. For t his, 100 crs. For this and so on. So you have to prioritise products that can be launched faster. Otherwise sometimes it happens that you will invest money but the product will come after 3 years, in that case money will be blocked. So there are many oppor tunities available but until it is unlocked, I will be happy with this guidance. With the time if required, we will change our guidance also.)

Attendee :
Sir, last question Sandeep Bhai , you have been very passionate about the valves business. So you did talk about it in your opening remarks. So if I were to ask you on a scale of one to ten have you reached somewhere around seven eight of what you have set out to do in this business?

Mr. Sandeep Engineer:
Especially if you see why I was passionate is th at, we are a country where we are net importers of valves for industrial applications and with the vision which we have make in India, why can't we make if Europe or America can make. Today all the industrial valves if you see in all our industries used, i s coming from abroad. So that's why I'm passionate that this thing could still replace a big big market of India. The way the industry revolution is coming and the way it is used in especially water systems and products and all. And if you see our product especially made with the international standards we are even above seven for that. So

we took lot of time and we actually made a point to launch it when we
are perfect. We never wanted to launch it half heartedly. Now if you see our valves have gone as samples to developed countries and are getting acceptance.
Attendee:
Thanks. Thank you!
Attendee:
Hi sir.
Mr. Sandeep Engineer:
Hello
Attendee:
Can I ask a question please? This is Rahul Agrawal from InCred. Sir, three questions. Firstly, on the employee grooming side you mentioned you're adding people on Adhesives and Paints, I just wanted to know are these people from outside Astral group or the re is a lot more promotion which is happening in the company? That's the first question.
Mr. Sandeep Engineer:
You want one by one to be answered or all the three you ask?
Attendee:
Okay second question was on the constraint side. Essentially the presentation spoke about how we're growing, what kind of guidance we're giving for next five years. Just wanted to know the risk side of it also, what could be a hindrance to achieve this gro wth? Maybe right now if you're facing anything or maybe in the future if you could just highlight two, three major risk which you think can stop you achieve this target, you know it will help us to track it better. And lastly on Bathware we've seen some brands likes of Kajariya, Somani, Vermora growing from a very small base but after five to nine years into existence not really reaching even 500 crores of sales. You said Astral will do different in terms of product profiles. Could you elaborate more on thi s will be really helpful. Thank you.
Mr. Sandeep Engineer:
See the first thing is that, there is a mix of promotion and mix of people coming. When you are a small company as I told, there were people who were good and were performing great. So they have be en already promoted and taken to a level and they are also a part of ESOP programs and they are also a part of variable pays and a lot of these things of having those teams with us. For certain things where we need people who think out of the box and peopl e who have run such businesses and markets and where we need talent, we are trying to add talent. So it's a mix of talent, addition and promotions.

Now coming to your second point, the guidance, I think second was risk. Risk in any business, any business i f you take is always there. Now the risk which we have one is we are always dependent on polymers and we have seen ups and downs of polymers and polymer behaviour is no one can predict. So that's one of the things which always risks our business in plastic s. If you see the similar things in the category of Adhesives or Paints also we are connected with lot of chemicals, but this is the major thing that the raw material moment can be a risk. Second, covering the market is not a risk but how fast we move is a lso a challenge for us and that we are already addressing by reaching the nook and corner of India with the existing pipe business as well as the adhesive and now we have to do the same with Faucet, Ceramic and similarly in Paint. So lot of things, a lot o f challenges are on our way but now you will be surprised also that our bandwidth of manpower is very adequate, very good. And all of them know the vision, the goals, what they need to achieve and four of four divisions are working for promoters without an y stress. Because you are always concerned that chewing more than what we can, actually gulp is not the question which we have done very logically. We have chosen these four segments. And if we had not chosen, there would be a point where our network, deal er network and our cross utilization would not have happened and at some point the growth had come to a stagnation. Now, what is the other Brands done? We don't want to see pictures, we are a company with four divisions. Those companies which you pointed are only focused on these products. They are specifically only running on these products. We ar

e a four division company. We are a brand much
above than the brands which you talked as a Day one and known in the market. We are not telling you will be 400, 5 00, 700 crores but we will logically grow at a proper pace in our Faucets and Ceramic ware products, built brick by brick. We are not forcing the market. We want the market to come. If you had come to see me in 2007 in plastics, from 1998 to 2007 I just re ached 50 crores. In plastics, 50 and little above it. So that was journey where you could have forecasted Astral to be a 5000 crores when we first came in public? So certain products, let it launch. Let us speak after four years and let us have our convict ion that we are not looking at any competition.
We were asked about Adhesives when we acquired that. What are you looking at? We were compared to the giants and we said we'll grow, we'll put our footmark in the market, we'll grow our pace and we have done the same thing. We have not taken up head on with any companies. When you see Paints, we are all surprised because the giant is way above us, way above us but there is a market and we make our footprint slowly and steadily. What we will do is, topline wil l increase at a good pace and the bottom line will not be compromised. That is a real sense of growth we'll achieve and we are confident about all the product line to reach at some level but you have to give us some space of few years to see and prove ours elves which we have done with our products in the past. Today in Adhesive, let us be proud that we are at least the number two of the Adhesive in this market, where number two never existed. It was only one and ten then. So at least we have made a mark to reach at a level where we have a recognition in the Adhesive business and we are looked upon by the competition as a competitor. So that's the mark which we created in this seven years of journey in the Adhesives.
Attendee:
Thank you sir, for answering th e questions and congratulations to Hiranandbhai for the promotion on the board sir. Thanks.
Attendee:
Hello, sir. My question on the Paint business. So you've indicated that we'll be launching the product, business or product in six months. Six to twelve months. First, from a three to five year perspective, what kind of investment you'll be making in this business, Paint business ?
Mr. Hiranand Savlani :
So I think investment is not needed in that business because the company which we acquired, which has al ready capacity which can take care of close to about 800 crores to 900 crores business, so today we are hardly 200 crores, gross term we are 250 crores and net term we are close to about 215 -16 crores. I don't think any investment is needed. Little bit inv estment may be needed for some packaging side or some other side that we will do but that will be negligible. Hardly 10 -15 crore rupees or so. That's not a big number for us okay.
Now coming to the growth side of that business. For growth what you need? C apex is done, so you need the working capital. That company is generating so much of cash flow that whatever additional cash flow they needed for the working capital, they are generating more cash flow than what the working capital they needed for the grow th. So, on the contrary that business will generate a cash flow for us rather than we are going to deploy, the cash flow which we have right now deployed that is for the acquisition of that equity. Because we acquired 51% and that money is also lying in es crow. We have not parked that money to the promoter and another 29% is for our commitment, which will be happening in Q2.
Okay, so 300 crores total outflow will be there, but that will be completely for the acquisition. For the running of the business, we don't need any money.
Attendee:
Your comments are related to one year operation or you're talking about three to five year perspective?
Mr. Hiranand Savlani :

Another, at least two

to three years we don't need anything till we reach at a 600 - 700 crores mark,
even if needed, even if needed, we have enough space available in Dahej facility where also we can make the paint. So that is also not a problem. We have enough space over there that is in a chemical zone. So I don't think even afterward also we wan t to put any plant, the capex in paint industry is very, very negligible compared to the asset turn, if you see which is very very high in that industry. So capex will not be required much into that industry. Even if it will be required, that much cash flo w will be generated by that business itself because that business is working at 14 -15% EBITDA and still Astral's energy is not being added. Because of that, it is growing at a slow pace. 8 -10 % growth is there. Once Astral's energy will be there, the growt h rate will be much higher.
Attendee:
And this business will be purely decorative business?
Mr. Hiranand Savlani :
No. Today it is 50 -50%. 50% is industry, 50% is decorative.
Attendee:
And lastly in the Paint industry another new player will be coming into the space so the competitive intensity further increase in the sector and smaller players could not make the very large presence in last 10 to 15 years. Very, 2 -3 players having a disproportionate market share .

Mr. Hiranand Savlani :
That wil l be always there.
Attendee:
So my question is you are targeting the unorganized space of the industry, which you get more? How are you thinking of taking this decision?
Mr. Sandeep Engineer:
No, There is no unorganized. If you see the paint business, I k now smaller, every year as a smaller, it is all challenging for us. I don't deny about accepting it. Everything is challenging for us and every business has a challenge. Every business you step in is a challenge but if you see Adhesive, the retail base whi ch we have created, we have also 100 plus thousand counters which are active, everyone would not use but if 10% of those join, it makes a sense. We are never going to.. We are an organized company, we are a brand actually, we are seen every night in a TV. So we are a brand. We don't want to make our presence felt by only doing one... We will take on as a brand with everyone as equal parity. We'll create products which have equal parity. We'll have connections, but we will grow at our pace and we'll take tim e also. But we'll make our mark felt at some point of time it will take few years. I don't say we are magicians here, we are actually businessmen. When you see my hair and when I see Miten bhai's hair, in the first analyst meet it was all black and when I see my picture here, I feel little older here, Mitenbhai both of us. So before this comes completely white we'll give you result.
Attendee:
All the very best sir. Thank you.
Mr. Sandeep Engineer:
Just on the lighter part because everything was very serio us.
Attendee:
Hi sir, this is Dhananjay Bagrida from ASK. Your Op/ton for this quarter for your piping business was fantastically high. Is this something which you could see sustainable for the business going ahead? Or is it some segments which have done b etter?
Mr. Hiranand Savlani :
So see, if you see the history of Astral. The Q4 is always a peak quarter, where the economy of scale will be the highest during the fourth quarter. So that advantage will give you per kg higher realization of EBITDA . Secondly , the contribution from CPVC will be always highest in Q4 because that's the seasonal month for us. So in seasonal month it will be always high contribution from CPVC side that is our value added product.
So product mix completely change in Q4 and the marg in gap is wide between PVC and CPVC. So because of that also you are seeing that the sudden shoot up has taken place.
Third thing what we said that we have added lot of value added products. So value added product means they are contributing higher margin than o

ur normal margin. So that has also contributed
highest I can say in the last few quarters. So all put together has resulted, this per capita, per kg higher EBITDA . But that is not going to be sustainable because this is the peak quarter so in peak q uarter you will find this kind of number but once you will go to the Q1, Q1 PVC product will be highest. Because in Q1, highest Agri sale takes place, highest Drainage pipe sale take place, CPVC will be comparatively low because Q4 is high. Another thing i s that in Q4 always annual target will be there to every dealers and distributors.
So to reach that target they buy the maximum CPVC, to attain that ballpark number, to take the advantage of the annual scheme. So all this has contributed in Q4. But that do esn't mean that whatever was there earlier in two quarters we will be going back to that level. So that will be a decent

level. But again, I'm telling you, per kg will be very very difficult for us. If I will speak any number, next quarter you will be firi ng me because quarter on quarter will keep moving in a wide range. That's why I always tell investors that look at this number. If you want to see really number, then look at the full year number rather than looking at the one quarter number.
If you want t o invest the money, come for the ten year, not for the one year or two year because this volatility will be there. So it is very difficult to meet the expectation on a quarterly basis. That will be really challenging for us.
Attendee:
And sir this value added would be now for like the full year would be how much percentage of our revenue? And what do we see that let's say scaling up or is that something sensitive?
Mr. Hiranand Savlani :
Full year?
Attendee:
For your piping which you sa id value added, how much percent of the revenue would now be would be that?
Mr. Hiranand Savlani :
I think we will not be able to disclose that. Sorry for that.
Attendee:
Okay, sure Thanks.
Attendee:
Sir, Venkateshan from Access capital. Again, going back on the question which he was asking, I think this quarter the EBITDA per kg in the plumbing was almost between Rs. 47 & 48 per kg, which I understand, you know there are some things abnormal. Now, you also mentioned that you repaid your creditors a little fast so because of that you would have got some discounts. Also is there like a quantifiable number for the discounts?
Mr. Hiranand Savlani :
No, will not be much! Rather than discount, we get the highest benefit of foreign currency. So that was reflected in other income and there was a positive side on exceptional income. So there the total six crore rupees was there into this line level item, other income and the fluctuation side.
Attendee:
Now again 90, I think 21 & 22 I think you did something like Rs. 42 per kg for the full year. Is Rs. 42 - 43 a reasonable number or that is also slightly on the higher side?
Mr. Hiranand Savlani :
So again I am telling you per kg will be very difficult for us to tell you, but de finitely will be good number in the coming time because now the volatility has reduced substantially, late few quarters we passed through because whether this kind of volatility will be there, then there will be up and down. If the consistency will be ther e in the polymer, yes it will be a better number. How much I think we will be in a position to tell you maybe two, three quarter down the line what will be the consistency. But right now fluctuation is wide which you can see from Rs. 32 to 47 also.
So this kind of high fluctuation is happening. So keep patient for a couple of quarter. I think once the polymer will stable then we will be in a good position to tell you that per kg what will be there.
Attendee:
A couple of other data questions. Can you share G em Paints fourth quarter revenues and EBITDA and also Sanitary ware revenues losses you have already put in the press release, S

anitary ware and
Faucets do you have any revenues?
Mr. Hiranand Savlani :
So I think we already shared Rs. 22 crore gross sales there in the full year basis. So because Sanitary ware we started in the second half only.
Attendee:
Okay and Gem Paints?
Mr. Hiranand Savlani :
Gem Paints, I think full year number was 216 crores and last quarter it was around 58 or 59 crores.
Attendee:
This is on revenues revenue side?
Mr. Hiranand Savlani :
Revenue side and EBITDA was 14.5%.
Attendee:
Thank you very much.
Attendee:
Sir, if I may? Sir in your presentation you spoke about CPVC aluminium pipes, which is going to be one of the biggest innovation as per your commentary. Can you give us some idea about the product? What problem does it solve?
Mr. Sandeep Engineer:
The met al pipes when metal comes, the thermal expansion goes down. So the thermal expansion goes down the performance you get is of mix of metal and plastics. so if you see the globe is moving as a

composite pipe also equally fast, especially the Euro Pex, Alumin um Pex or PRT, PRT, Aluminum PERT. So there are a lot of benefits where you have a thermal expansion issues in certain regions and how this thermal expansion helps and all I think one to one you can ask me, I'll explain.

Attendee:

All right, thank you.

Attendee:

Hi, this is Deepak from SBI pension fund. Sir, it's my follow up question on the previous question. If you could share some more information on the innovation that the company is doing on Piping segment, in terms of how do you go about identifying gaps in your portfolio? How do you go about, how much time will it take to come to the market? What kind of market sizing are you looking at? And what does it really take to find these kind of innovations in the segment which has been in the country for de cades? Thank you!

Mr. Kairav Engineer:

So, innovations usually come through from the market need. So whenever there is a need for a certain product in the market and whenever there is a gap, if we don't have a local solution for that, we try to make one to tailor that need.

Now, for CPVC, Aluminum CPVC, the need came from the solar downtech lines in the city of Pune. There used to be a lot of thermal expansion and lot of sagging and because of this, the pipes started breaking at the fitting joint. So that is why, to provide the stability, we created this CPVC, aluminum CPVC product. Similarly, there are many other product in our pipeline that we are working on, be it Adhesives, be it Pipes, be it Sanitary ware - Faucets, where lot of R&D work happens day an d night. It usually takes anything from few weeks to a few years for a product to enter the market. Certain products have a lot of regulatory approvals that take a lot of time. For example, the Fire product has a lot of approvals. UL is there, BIS is ther e long tests are there, two years, three years. So such products take a long time to enter the market.

In Adhesives, there are a lot of products where chemist can work out a formula and there are no regulatory approvals. You just need to create the packag ing material and it can come into the market within few weeks. So the innovation pipeline in Astral is always full and always up and running and there's a lot of things that happen on a day to day basis. But because of the competitive intensity of the mark et we operate in, we only announce a product once it's made and once it's ready to enter the market. Because otherwise a lot of this R&D and innovation work is a proprietary to our company and we don't want whatever we are working on to be leaked in our co mpetitors, within the competitors or within the trade.

Attendee:

Sure, and given the fact that you've spoken about Aluminium CPVC, any sense on what could potentially be the market size five years, ten years down the line?

Mr. Kairav Engineer:

So this market is a very specific and a very niche market.

But again, this is, you can say, like a Bentley of plumbing. You can use this product in the interior, internal plumbing also, if you want to use, it's basically a composite pipe. So it doesn't mea n that you only need to use it in the solar downtake lines if you have the budget and if someone is willing to pay two, three times more than the regular plumbing products available in the market and wants to do the entire internal plumbing of their house with this product, It's possible. So it is a premium product and composite pipes are currently picking up in the Indian market.

Different types of composite pipes have started entering the market. So we want to create an innovation around this same but we want to try to do it with CPVC because that is a polymer we are most comfortable working with and even India is most comfortable working with.

Attendee:

Sure. Thank you.

Attendee:

Yes, this is Mitul Shah from Reliance securities. Sir I have two questions. First is in initial remarks Sandeepbhai talked about bullet trend potential. So what are the products can be used and what would be the application side and what is total potential over 10 years and what stage we are right now in terms of any trials or onl y primary discussion?

Mr. Kairav Engineer:

We are already supplying to the Bullet Train project. There are a lot of products in our wrecks that are going into this particular project. So right now, whatever work that is happening, it's all an elevated line. So they are using it for tensioning basically. And a lot of this Multirex product is also used for laying down of cables. So we are already supplying big time to the Bullet Train project and L&T is the company that we supply to.

Attendee :

In terms of an y revenue numbers or any?

Mr. Kairav Engineer:

That we don't share.

Attendee :

Second question sir, on Agri pipe side, when we talk to Rural or what feedback we are getting is that there is a strong demand or spurt in demand for Agri pipes in last one or two months and most of the companies seems to be stock out. So what is the indus try scenario here and how we are positioned in terms of inventory and supply?
Mr. Kairav Engineer:
We are also in the same boat. We also have a very strong demand for these particular products in the last couple of months and we are also running in the fa st moving category. We are also running hand to mouth, but we are able to supply almost - most of the orders that come to us with a few days of wait. So we have bought enough machines in the last couple of months to make sure that the capacities are in lin e with the demand.
Attendee:
Thanks and all the best sir.
Mr. Sandeep Engineer:
There is also some hiccups in the market due to non-supplies by some brands due to various issues which we don't want to get into but these are also the reasons why I, we fee l this part may be there.

Attendee:
Good evening everyone. Thank you for a lovely presentation.
I have two questions. One is you spoke about the cross utilization of data in the brands that you operate in. So can you speak about some of the initiatives th at you would have taken and how is the progress there and how do you really measure the distribution efficiencies arising out of that?
Mr. Hiranand Savlani :
So like we are developing a software whereby suppose my plumbing guy is going to any dealer's point and he finds that here paint is selling.
So he can put the remarks in the system which we can be a predefined question. He can pick on that. So immediately that thing goes to the paint division and paint division guy get immediately all the data so that he can approach to that counter. Similarly project side also, now suppose here Hiranandani's one project is there and here somebody my Faucet guy is going or Pipe guy is going there and he finds that here also we can sell our Product. He can g ive one brochure of other products also to them and he Can

put in the System that here I met and here this product can be Sellable immediately the other team guy can approach to because ultimately product wise team will be different. It cannot be one perso n serving to all the Category so he can immediately give the information to them. All the data will be there in the system so he will get immediately all the connect who is the person? Where is the location? Which is the builder? He can get ready data so h e can immediately approach them. So thereby we can use the databank and we can do the cross selling benefits.
Attendee :
Last time I remember you had spoken about the loyalty program that you were running. So any updates on that? How is that helping you in the last mile?
Mr. Hiranand Savlani :
So, loyalty program is going on with big bang I can say, one of the sizable side program in the piping industry which Astral is running, whereby we have connected all the plumbers across the country. We have connecte d all the dealers more than I think 35,000 plus dealers are connected with that. So all dealers, any purchase they are doing from any of distributors across the country he will get the loyalty point and that loyalty point he can engage with the company thr ough Paytm also.
Now this year onward we are going to start the direct bank credit also or through a Voucher, maybe a gold Voucher or maybe a foreign trip depend the option which company is giving to them. So he can encash that. So that program is running very well. Through that we can get a clear visibility of where our product is selling, which dealer is strong, which is selling average product. So we have categorized dealers, plumbers into the diamond category, gold category, silver category like that wa y. And based on that we keep interacting with them, we continuously dialogue with them and we keep giving them very lucrative incentive plans to them. So that they can be connected with the company and they can do more and more sales of the company product . There also integration will play very important role because he can buy any of the Astral product and he can get the loyalty point and he can encash that part also.
Attendee:
And do you expect any margin expansion because of this Initiative or any other initiative that you would take in the..?
Mr. Hiranand Savlani :
I think we are already at a good margin, so there is no point to expand the margin from here. We are the highest in the industry.
Attendee :
Sure. Sir next question was on the EBITDA.
Mr. Hiranand Savlani :
I think you should restrict your question so other can get the chance please!
Attendee :

Sir, last one question on the EBITDA margins. So do you see all these acquisitions that you have been doing or the integration of all the businesses that you are in, do you see those as margin accretive or margin dilutive in maybe next ten years?
Mr. Hira nand Savlani :
I'm not getting your question.
Attendee :
So after you have forayed into paints business, valves business, tanks business so do you see all these businesses improving the margins in future or do you see the margins will be dilutive?
Mr. Sand eep Engineer:
No no, Margins will not be diluted because paints we have acquired. Tanks we only acquired one small company. Rest all is our production.
Attendee :
Understood sir. Thank you so much.
Mr. Sandeep Engineer:
We have not acquired and done tanks, and valves we have not acquired it, it is our own plant.
Mr. Hiranand Savlani :
All these products have better margins. (Illegible)
Mr. Sandeep Engineer:
Paint only is the acquisition.
Attendee :
Yes Sandeepbhai. It seems that from what was presented, Astral is firing on all the cylinders. No, what I'm trying to highlight, sir, is extension of board, extension of team members, experienced people coming on board. To a large extent it seems that thin gs could be on, to some extent on autopilot, where some - few challenges wher

e are required. So I am curious to know, sir, what is your mind occupied with taking astral say in 2030? I'm not wanting numbers, but I'm trying to think through where is it your mind is occupied with? What I'm not saying worries you, but what is it that bothers you that you need to be on top of it at all the time from the risk point of view?
Mr. Sandeep Engineer:
One is I have two sons, then our team! So human today, you know ta king care of human is the biggest challenge for machines don't need cajoling, consoling, and understanding . Machines do their work very silently. Computers do their work very silently. So a lot of time goes in taking care of the humans and the senior human s are you can understand, expand on that. So that is one thing.
Attendee :
I appreciate. I appreciate.
Mr. Sandeep Engineer:
Second, we are more I'm doing firefighting like strategies where things are there, seeing that things are happening and wherever, s ee, when you are growing at a pace, there are certain things where you also ignore or sometimes you have to keep seeing that you don't become complacent , you don't take your market as a consider. So we are continuously getting on the ground and doing our w ork, whether it's connection with the market, distributors, users, teams and systems. So sometimes that's correction, sometimes that's firing, sometimes there are hot meetings, sometimes, so a lot of things are happening, but I think everything is happenin g for good and I am confident going around in the market and with all our team is confident next 25 years of this country is massive growth for infrastructure, massive growth.
The faster we move with more plants, the faster we create the reach, the faster we grow.
Attendee:
Sir any vision for 2030?
Mr. Sandeep Engineer:
How much vision should I have now?
Attendee:
Something which you feel, which you would have seen in international markets, in developed markets, companies which has grown where you think Astral should be heading up there?
Mr. Sandeep Engineer:
I have seen recently in lot of these international marke ts that lot of technology change is coming, especially in the chemicals horizon and I would feel that we would have to keep our pace with that thing. And in the globe, I think the way things are going to happen, we will have a very positive growth. So by 2 030 – 30 is a long time. My age is 70 now .
Attendee:
Sir you have a long way to go sir.
Mr. Sandeep Engineer:
But I will come here till 75, so don’t worry)
But, I think we should be at a very good scale of company the way we are, the way we are thinking then, the good part of the whole thing is that the next generation also is quite to the ground and interested in the business. That is one of the biggest positive point if you see for organizations who strive to that level, next level and that is what ther e and teams are there. All of family members are

associated with many, many now family members. I think it's a positive thing.

Attendee:
Fine sir, all the best.
Mr. Sandeep Engineer: If I say everything I want to say then you will not want to do. I have to hide a lot of things)
Attendee:
That’s why I want to know your mind)
What is going in your mind? Because most of the things are on autopilot.
Mr. Sandeep Engineer:
Whatever I do will come in the market. But it will come at the right time. Obviously I get a lot of ideas but.
Attendee:
Fine sir. Okay.
Attendee:
Good evening sir. Thanks a lot for the opportunity. Just a couple of questions.
Firstly, during the entire C OVID time we have seen a lot of unorganized players losing market share with PVC prices shooting up. So just wanted to understand now that prices have broadly stabilized, where do you see the share right now? Do you see competent intensity being high? I un derstand you're a CPVC based focused company and more plumbing and the competition w as always more

on
the A gri side but just wanted to understand how is the intensity right now? Are those players out or are they back in the market? And just some sense.
Mr. Kairav Engineer:
So actually when the PVC prices shot up, the competitive intensity was very high because Unorganized players who were mixing calcium now calcium is a very cheap material. It's Rs. 10 -12 kg, maybe even less. So when the PVC was at its pea k around Rs. 150 - 160, people were mixing 30 - 40%, 50% of filler. They were more price competitive than the organized players because the delta was very high, between the price of the calcium and the price of the PVC. As the PVC dropped from its peak of Rs. 162 to right now, it is in the high 70s.
What happened is that the unorganized sector who was using a huge amount of filler, the proportion of this product available in the market went down because the delta shrunk. So that is why you can see that majo rity of the organized players right now are so ld out in the Agri capacities.
Agri is the highest unorganized market in India, more than Plumbing PVC or more than Drainage PVC or any other PVC. Agri is the highest unorganized PVC consumer in India in the P iping segment. So it is a clear sign that the competitive intensity from these unorganized players has reduced as the PVC price has gone down. So it's a good sign for the organized players and also very good sign for the consumers because the consumer sent iment is also very positive for the polymer.
Attendee:
Understood sir. Sir secondly, I just wanted to understand the leader have been mentioning a lot on the "Nal se Jal" scheme taking all the benefits. Where do we stand? Are we participating in such schemes or because it's a low margin and not that great business is what we feel.
Mr. Kairav Engineer:
So basically, we are not actively selling to any of the government projects we sell to contractors and distributors. Now say there is a "Nal se Jal" contractor who has been awarded a contract for a certain area or a certain region and if he is agreeing to buy my product at my quality and my price, we will gladl y supply. But for the sake of some tonnage numbers or for the sake of some overnight supplies to such projects.
Astral has never, it's not in our blood to reduce the price or to put high amounts of fillers or to reduce the quality. Basically, whatever prod uct I sell in "Nal se Jal", I sell in my trade or I sell in my retail counter or I sell to my projects. So we have never changed the product quality as per the requirement of the consumer.
So if some distributor or some contractor who wants to participate in a "Nal se Jal" scheme in his particular area and is happy to buy our product at our quality, our price, we are supplying. But we are not actively chasing for the sake of false volumes and then giving a subpar product, which is the demand from most contr actors in the country. That is not going to happen. Not in Astral, because we very much adhere to the quality principles that we have.
Attendee:
Understood, sir. Thanks a lot sir and all the best.
Mr. Hiranand Savlani :
And you must have heard lately that within last 4 -5 months many companies have been blacklisted by the government, including big companies. I would not name any specific company but many of India’s big companies have been blacklisted. So it’s like a milk shop, if you want to sell it at Rs. 5 per litre, you would add one jar of water, if you want to sell it at Rs. 4 per litre, you would add 2 jars of water. Pipes in the Nal se Jal scheme are being sold like that. So it is not a profitable business and whoever has done cheating in that, the go vernment is blacklisting (blocking) them one by one and

many companies' name is already available in the public domain. Even you can easily find it out. So if in that business, our products sell with our quality at our price then yes, we do.. but that port ion is going to be very sm

all because we can not do that work. But many companies are doing that and slowly and gradually government is also understanding this and many companies are being blacklisted.)

Mr. Hiranand Savlani :
So I think this was the last question. We are concluding this meeting. Thank you once again to everyone for joining this cal l. And if something is left out, you can meet us later on one by one… we are still around.)

Call: Aug 2023

“Astral Limited Q1 FY2 4 Earnings Conference Call ”

August 11, 202 3

MANAGEMENT : MR. SANDEEP ENGINEER – CHAIRMAN & MD
MR. KAIRAV ENGINEER – EXECUTIVE DIRECTOR
MR. HIRANAND SAVLANI – EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER
MODERATOR : MR. RITESH SHAH – INVESTEC CAPITAL SERVICES
(INDIA) LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Astral Limited Q1 FY24 Earnings Conference Call hosted by Investec Capital Servic es.
As a reminder, all participants ’ lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ritesh Shah – Head (Mid -Market Coverage & ESG), Investec India. Over to you, sir.
Ritesh Shah: Thank you all for joining for the Astral Q1 Conference Call . We have with us from the management team, Mr. Sandeep Engineer – Chairman & Managing Director; Mr. Kairav Engineer – Executive Director; and Mr. Hiranand Savlani – Executive Director & Chief Financial Officer.
I will hand over the call to Sandeep bhai for ini tial remarks post which we will have a Q&A session. Over to you, Sandeep bhai.
Sandeep Engineer: Thanks everyone for joining the earnings call for Q1 FY24.
I am very delighted today that this year, Astral is going to celebrate its 25th anniversary in Octob er 2023. Astral started its journey in October 1998. So, we are completing our 25 years of journey in the industry and we are going to celebrate which we will fully commemorate the legacy of our innovation, connectivity, and brand building while distributi on reach and strong product capabilities across the country.
As you are very well aware, the market situations are highly volatile and particularly the downward polymer and chemical pricing situation within which we have continuously worked to deliver the numbers. I am happy to say that the Astral team is working hard, and once again within the volatility also, we have given fairly good growth and particularly in pipe 31% volume growth and in Adhesive also a very healthy volume growth has been given by our company.
Demand scenario is very robust, and seasonally, this quarter is highly loaded with PVC products such as agriculture pipes and drainage pipes. In spite of that, our CPVC team has done a remarkable job and is able to give us a very healthy growth. T his is the reason, in spite of PVC downward pressure, we are able to deliver a very healthy approximately 18% EBITDA margin after adjustment of Sanitaryware and Faucet losses of the quarter.
In our pipe business, due to robust demand in pipe vertical, the company has decided to

aggressively move into expanding its capacity. We have now decided to put 3 new plants instead of two which we discussed last time – Guwahati 22,000 metric tons, Hyderabad 70,000 metric tons, and Kanpur 50,000 metric tons. We will pu sh fast track expansion based on the demand scenario. Guwahati plant work is in full swing and we are expecting the trial production to start from next month. This plant from its inception to commencement has been fast because we have

gone ahead with a pro perty which we have leased out. We have gone on a leased premises to put this plant. We are working hard to increase our existing plant 's capacity by putting in new machines as the demand is very robust. And so, we have to use the space within the existing plant with the lowest capacity. We increased and we added a few machines after the demand scenario which came up from April. In the months of May and June, we have added a number of machines in our PVC capacity as well as other capacities in various exist ing plants. Hyderabad plant expansion work is in full swing and we are trying to complete the project before schedule and we will roll out phase I from this plant in the coming year. In Kanpur, the company has purchased 24 acres of land and shortly we will start construction activity once again as the pl

ans are ready. Kanpur, we have taken a decision looking at the expansion scenario and the demand scenario in the state of Uttar Pradesh and surrounding areas. And there is going to be a robust demand coming up from the North India. And with that, we have taken a decision to go ahead to have a plant in Kanpur. And already we have an establishment in Kanpur because we run our 2 adhesive plants out of Kanpur. In Adhesive and Sealants, our Dahej plant has started trial productions and will be fully operational in coming months. We will get the benefit from that plant in coming quarters. We will see automation and capacity rationalization. Because most of these materials will be bought in volumes and will be stored in bulk storage facilities which we have created above the ground and under the ground and which will save a substantial amount for us in the raw material cost. Our volumes are continuously growing high and our prices will settle down, as you see a very h ealthy growth. And the value growth will also be there in the coming months with the volume growth in the Adhesive business.

In the Paint business, the company has appointed a very senior person now and more senior persons are joining. We had to go through 2 challenges here. One is the demerger which happened just recently with their various smaller companies associated with Gem Paints, with the NCLT order which is now in place. We also implemented SAP and various systems and processes in April from this ne w fiscal in Gem. So, Gem is now working completely on SAP. Gem has a lot of programs and systems which Astral uses and also we did a due diligence and detailed diligence of every of its buyers and dealers and we had also changed certain policies which are favorable in the way we do our Adhesive and Pipe business on credits and receivable cycle.

Our branding team is working shortly to move the Paint business with Astral Synergy and we will be shortly unwilling the Astral Synergy launch in the Paint business in coming months and we will surely connect with you either through a call for this or we will have a personal gathering for the launch of Astral Synergy in Paint shortly in Mumbai.

Sanitary and Faucets:

I am very happy to announce that we are inching on g rowth and we are even looking at substantial growth in the coming months and quarters and we are going on a firm footing in this business. Our first milestone of 500 stores has been achieved. We are getting good orders and

project orders from good builders and good projects which also is a very positive sign for us. And we are just going ahead to launch another range called the Tresco range which will be an economical range in the market. And this range will be sold through the distribution channel of Astra l as well as new distributors and through the retail channel which are served by Astral and the Adhesive and the Paint business. This range is ready. It will be launched in a couple of days and it is going to be a much economical range and it will give a b oost to the Faucet and Sanitary business, with the buyers who go for the economic housing and from the channel which we already have. We are continuously getting good inquiries from projects for this. The sales is very good on the project side in faucets a nd adhesives.

A lot of new SKUs are getting introduced in the market as per the demand and we are also increasing our product range both in Faucets as well as we are also putting new chemistries in Adhesives on the waterproofing and the construction chemic als. We are also working to put new chemistries in the white glue segments, especially the products which are used to join the plastic and wood.

To summarize :
All verticals are doing good and we are going as per our plans and we don 't see much challenges in the market and we will keep giving you a consistent growth for which the company is known.

I now hand over to Mr. Hiranand Savlani, our ED & CFO for his opening remarks on the numbers. And then, myself, Hiranand bhai, and Kairav will answer a ll your questions. And once again, thanks for joining and trusting Astral.
Hiranand Savlani: Good afternoon everyone and thanks for joining this earnings call of Quarter 1 . Once again, I am very happy to share very robust Q1 numbers.
As communicated in the past, Astral is always believing in consistency and we will always try to maintain this consistency in the coming time also. As Sandeep bhai said, demand is very robust in the market, and Astral being one of the leading players, we are receiving a very good response in the market for our brand and that is the result of this Q1 robust numbers with a 31% volume growth. And you all know that Astral is not an agricultural company. We are more focused on the plumbing side of the business. The revenue growth in the Pipes was 7.1% and Adhesive & Paint was 2.4%. The reason for lower value growth was mainly due to heavy reduction in the polymer price and the chemical price. That was passed on to the market and that is the reason that the top line growth was lower than the volume growth. Even in Adhesive also, volume growth is very robust.
Paint business was highly affected due to implementation of SAP. So, dispatches were stopped and we were completing new KYC norms also. Because of that, we lost a round Rs. 15 crores to Rs. 20 crores of sales and that is why the Paint business has de -grown by almost 25% to 26%.
Pipe margins were very healthy, close to 18% of EBITDA if you do the adjustment of Sanitaryware and Faucet. Also, some inventory losses were there as some portion was in PVC

and some portion was CPVC also because CPVC prices have also fallen in this quarter. That was close to roughly about Rs. 15 crores kind of run rate.
Adhesive, our Indian operation was having a very healthy growth. In value terms, it was 10% while the volume terms was much higher. In the UK, it was 4.5% growth. And as discussed, Paint was de -grown. Margins were good in Adhesive also. Indian operation was roughly about 16% EBITDA while the UK was disappointing a little bit an d having 8% of EBITDA margin.
And our Paint business was having roughly about 17% EBITDA margin. In spite of so much of a challenge in the top line growth due to value erosion, we were in a range of 14% to 16% margin which we guided earlier. We have mainta ined that run rate. And even in pipes also, we were at 18% margin. If you adjust even the inventory losses, then it was even a higher margin.
Demand scenario in pipe business is very very robust and that is the way how we are seeing in the coming time also . Numbers are going very very excited way and that is the reason we are going very very aggressive in our expansion plan, which normally Astral doesn 't do so aggressive expansion activities. But looking to the current scenario, it looks that now the demand is going to be in the right direction.
And I am sure Sandeep bhai has already communicated to you in detail about each location -wise capacity addition and the implementation. We are further targeting that if the demand scenario will ramp up from here that we may complete our projects before schedule also because we don 't have any issue of cash because the company is already sitting on a sizable cash on hand.
Our value -added product contribution like Valve, Silencio, FirePro, DrainPro, etc., is very well, and that is the reason you are seeing, in spite of having so much of pain in the margin in the entire industry, we are able to deliver 18% plus EBITDA margin in our pipe segment.
Sanitaryware business is slowly picking up as per our plan as we were focusing at present only on creation of new stores. And I am very happy to communicate, as Sandeep bhai said that we have crossed the 500 mark, which we commu

nicated earlier that our first goal is to complete 500
stores and then the next milestone will be decided. Now we are giving a clear KRA to our team that – Q2 still will be some focus on the store creation – from Q3 onwards, we will be focusing on the sales side. And I am very happy to say that in the last 3 months, our run rate has crossed Rs. 5 crores monthl y and this will increase substantially in the coming quarters. With this launch of economical products into that category, that will also help us to increase our run rate.
Paint : NCLT order was received and filed with the RoC on 1st August. So, now the demerger process has started and shortly we will settle down and our team will take charge of the business under the new demerged entity. We will be seeing Astral Synergy in the busi ness from Q3 onwards. Sandeep bhai has already taken a very rich experienced senior person who has joined the organization. We are confident that he will be taking this business to the next level and we are expecting a very very exciting time ahead in that vertical also. Further, I want to highlight

here that if you see the number, the gross profit margin Y -on-Y basis has shot up from 31% to 37% on a consolidated basis, so 6% improvement in the gross profit margin. But that was not

proportionately reflected in EBITDA margin. That is mainly because of the erosion in the value growth. Volume growth was there but value growth was not there because of the lower polymer price. It is not proportionately converted into EBITDA margin. But I am sure that in the comin g time when the value will start picking up which we will shortly see in the Q2 and further improvement from Q3 onwards, then you will see from Q3 onwards value versus volume will be more or less in the same zone. In that quarter, you will see that the EBI TDA will also shoot up.

We are having lower EBITDA compared to the GP improvement, but still you can see the number that employee cost though it is moving in the same direction but percentage term it has improved from 6.3% to 7.8%. Similarly, other expendi ture also if you see, that has also gone up from 10.8% to 13.8%. That is mainly because the top line growth is not there. That 's a percentage term; it is showing very high. Even if you compare last quarter which was a very heavy quarter for us, the other e xpenditure was Rs. 183 crores. Now it has come down to Rs. 177 crores. But if you see the percentage term other expenditure, last quarter it was 12.1%, now it has shot up to 13.0%. My objective of communicating this number is that the GP improvement is sub stantial but that is not reflected in the EBITDA margin which you will see in the coming time.

Adhesive also if you see that the GP is all -time high. For the last 3 -4 years, the highest GP 41% we are seeing in this quarter. I think in all fronts, numbers a re moving into the right direction and we are expecting a reasonably good improvement in the margin in the coming time. Of course, these margins are also excellent margins, but looking at the way GP has improved, we are expecting there is room for further improvement in the margin in the coming time. I don 't want to take much time, and once again, thank you for trusting Astral and joining for the call. Now I open the floor for the question & answer session. Over to the moderator.

Moderator: Ladies and gentl emen, we will now begin with the question & answer session. We will wait for a moment while the question queue assembles.

The first question is from the line of Rahul Agarwal from Incred Capital. Please go ahead.

Rahul Agarwal: Sir, 3 questions. Firstly, o n Adhesive. You said obviously the pricing is under pressure but the volume growth was good. If you could highlight what was the volume growth both in India and outside and the outlook for the year in terms of growth and margins?

Hiranand Savlani: We are

e xpecting 15% plus full year growth for Adhesive business, 15% to 20% kind of growth. And we have guided that we will be delivering 15% plus EBITDA margin. We are standing by with that number. Q1 was 14% something but we are expecting that in the coming 3 q uarters, the margin improvement will be there because the GP are all -time high. That has given us the confidence that once the value growth will come back, then the margin will also shoot up.

Rahul Agarwal: What was the volume growth, sir, in 1Q?

Hiranand Savlani: We don 't have an exact volume because some products are in liters, some are in kg, some are in PC, so very difficult to know. But yes, definitely it should be somewhere around 15% to 20% kind of run rate.

Rahul Agarwal: So, demand is not a problem , it's just that the pricing has to settle down and then things get back in place, right?

Hiranand Savlani: Exactly. Even demand has soared. Pricing has also settled down. Only thing is that the prices have dropped substantially. Because of that, we have t o pass through some portion to the market. Because of that, top line growth in value terms is not there. Otherwise, everything is fine.

Rahul Agarwal: Sir, secondly, on the capacity and I want to thank you for the timelines given for capacity addition, rea lly helps us to calculate how the next 3 years will look like. But on the debottlenecking side if you could help us, what 's the expansion plan?

Hiranand Savlani: Like Sandeep bhai has already said that whatever additional space is available within the exis ting plant, our first priority because the way volume growths are coming which we were never expecting that kind of growth, but looking at even the current quarter numbers also, it looks that the volumes are moving very fast. In that case, the easiest way to improve the capacity is the Guwahati which we have taken on the lease premises. So, first will come that. And the second easiest way is that whatever the capacity is available in the existing plant, we are adding the machineries over there. Our team is working on that and continuously we are working on that. I think number is not freezed how much we are able to. The team is working on that, but I am sure there also we can improve the capacity. We can add a few machines and that is what we are working on right now. How much exact capacity will be added? I think we will be in a position to tell you in the next quarter con -call.

Sandeep Engineer: We have off the rack taken quite an amount of machines in the last quarter and have put most of them in productio n in the month of June and putting some in the July. This is going to help us to immediately ramp up the capacity in the products.

Rahul Agarwal: On an average, 10,000 tonnes to 15,000 tonnes of debottlenecking in existing plants. Is that a fair number?

Hiranand Savlani: Yes, you can expect that number.

Rahul Agarwal: So, basically we are adding 1,40,000 tonnes on the 3 plants plus that 2,90,000 existing. That 's about 420 and plus 30,000, let 's say 10,000 each year. So, the third year exit fiscal '26 is g oing to be about 4,50,000 tonnes is what I am working with. Is that fair enough?

Hiranand Savlani: Yes. And it is up to us how fast we want to ramp up. If we really see that the demand is exceeding what we are planning, then we can do it a little early als o because cash is not a problem to the organization. We can deploy a fast track team and we can try to complete the expansion activity early also. It depends how the demand is going to work out because in the last 2 quarters at least,

we are seeing a very robust demand and now this quarter has also started with a very very bang, I can say. It looks that the demand scenario should be better only.

Rahul Agarwal: And last question from my side. Bathware sales, you said Rs. 5 crore run

rate a month. So, I am assuming Rs. 15 crore sales for the quarter. Is that fair?

Hiranand Savlani: Last quarter, it was around Rs. 13.9 crores or something because April was low. May -June was very good. July is again very good. The last 3 months, I have considered May, June, and July. All the 3 months were Rs. 5 crore plus.

Rahul Agarwal: Paint sales and EBITDA, you said 25% degrowth. My number is about Rs. 40 crores of top line.

Hiranand Savlani: Paint is Rs. 41 crores.

Rahul Agarwal: And 17% EBITDA, right?

Hiranand Savlani: 17% EBITDA. EBITDA was good because the GP improvement was substantial in that business also. But that is mainly because of the long -term benefit. We have to implement SAPs and we have to do the Re -KYCs and all. That 's why we have knowingly sacrificed the sales. But that 's fine. We have done this kind of exercise in Adhesive also when we implemented the SAP, when we acquired the Resinova also.

Rahul Agarwal: Sir, lastly just squeezing in one. The new person who has joined for Paints. Could you elaborate a bit? Could you share some details about who the person is?

Hiranand Savlani: We will share it at the appropriate time, but a very richly experienced person having 20+ years of experience in the paint industry.

Sandeep Engineer: We are having some personnel joining there also. But at the right time, we will communicate on that.

Moderator: The next question is from the line of Dhananjai Bagrodia from ASK. Please go ahead.

Dhananjai Bagrodia: Just a question regarding on EBIT per tonne, what number do we think or OP per tonne do we think will be steady state for the year? Because, there has been some variation. Now, assuming we are steady state in terms of inventory gain and losses, what would be that for the year?

Hiranand Savlani: I don 't track EBIT but EBITDA basis, we are considering that its number should be in the range of 35 to 40 minimum.

Dhananjai Bagrodia: These are the losses of the bathware business. It is taken in which segment?

Hiranand Savlani: Pipe.

Dhananjai Bagrodia: How much was the loss for th e quarter?

Hiranand Savlani: Last year was Rs. 16.5 crores. This first quarter is 3.4 crores.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: Sir, my first question is related to volu me growth, which is quite high at 31%. Can you elaborate a bit on that? It is largely because of the plumbing, and in the plumbing, it is largely because of the project business. There, the growth is coming in or the capacity expansion or the geographical expansion you are doing. Can you elaborate a bit on that from where these growths are coming in?

Kairav Engineer: The growth is coming from all the different segments that you mentioned. It is coming from geographical expansion because we are entering into newer geographies with our plants where we had limited presence. So, growth is coming from that side. Growth is coming from the retail side also, growth is coming from the project side also, and growth is coming from both the CPVC and PVC segments also. R ight now, growth is coming in all of our product segments across India

and growth is coming from all the different categories like projects, retail as well as geographical expansion. So, it is a multifaceted growth that is coming.
Praveen Sahay: Is it fair to assume that it is largely because of geographical expansion?
Kairav Engineer: No, it is a combination of both. Wherever we already had our plants, there also we are working. Now we are entering deeper and deeper into the smaller towns and villages and we are doing a lot of work on the retail side. Similarly, we have strengthened our project teams also. We are tapping even the small scale projects. We are very aggressive on retail and project even in our stronger geographies. And in our weak

er geographie s where we are bringing up manufacturing facilities, there naturally we are also getting growth because affordability comes in plus people get confidence that the plant has come, so material availability will be there. So, it is not just geographical expan sion. It is a combination of all the factors.
Praveen Sahay: Sir, the next question is related to the CPVC pricing. Can you give some color on that? Because, we had seen some softness in that. How you are seeing right now in the month of June -July? How is that?
Kairav Engineer: CPVC prices have definitely softened. But CPVC prices will not soften like PVC prices have softened. PVC prices softened one way. CPVC prices usually soften gradually and usually don 't go down to the level of PVC prices. Say PVC drop ped from Rs. 160 to Rs. 80 or Rs. 75, that way CPVC will not fall because still CPVC supply constraints are there. Local players are there, but they don 't have enough capacity to serve the entire market. So, India will continue to remain import dependent f or the coming couple of years more. Plus the anti -dumping duties there, which puts the price of imported CPVC at $2. So, it is very hard for CPVC to soften beyond a point.

Sandeep Engineer: And the local materials are still settling on their quality issues. It will take time for them to also settle down on a particular quality which is comparable to the international standards.
Praveen Sahay: The next question is related to the Adhesive business, sir. How much is the capacity utilization currently you are at?
Hiranand Savlani : We should be around 65% kind of utilization. But we have put up a new plant at Dahej, which will increase the capacity substantially. Once that will be operational, we will come to know exactly what capacity we can operate at. Th en, I think utilization will come down to almost 40% or so.
Moderator: The next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: A couple of questions. The first is on capacity. You have outlined a new aggressive plan. What this essentially implies is, are you looking at around 25% volume CAGR for the next 3 years? Is it something that we are looking at internally to do?
Hiranand Savlani: Ritesh, right now, the market scenario is very positive. Q1 numbers are already in front of all of you. Q2 first 40 days is even higher than the Q1 volume growth. So, it looks that the numbers are moving in the right direction and even faster than what we are expecting. But it is too early to comment on the basis of the last 6 to 7 month s' numbers. But the way numbers are moving, the way our geographical reach is increasing, the way our team is moving into the smaller cities in the project sites and all, overall positiveness among the team members is very very high, I can say. In that sce nario, it is possible that we can do that also. But I don 't want to unnecessarily give the commitment at this stage looking to the last 6, 7, or 8 months ' numbers that we will be doing the CAGR growth of 25% because 25% is a very huge number, and at a scal e at which Astral is there, definitely it is a very high number. So, I don 't want to unnecessarily flow the grapevine in the market that we will be able to do 25% CAGR volume growth in the next 3 years, but yes, we are making ourselves ready for that becau se initial positiveness is there in the market. Because of that, we are making ourselves ready, and if the time will come, we should not be shying away because we don 't have any issue to ramp up the capacity. We have enough cash available with us. So, we a re preparing ourselves for that kind of growth. But ultimately, it is the market which will take the call whether we are going to grow at 20% or 25% or 30%.
Ritesh Shah: And sir, just to clarify, when we say this 20% or 25% whatever comes, this is excludin g any government o

rders whatsoever?
Hiranand Savlani: We are not in the government order at all. So, definitely it is excluding the government order. That is not a cup of tea for Astral.
Sandeep Engineer: We are more focused on the big projects going aroun d in the plumbing segments, in the infrastructure segments, and in applications which connect to various builders, various projects which are huge projects. But specifically if you see, the water distribution projects by the government and all, we are not so much there in those projects.

Ritesh Shah: Sir, my second question is on EBITDA per kg. If I just adjust for bathware losses and inventory losses which I think you indicated Rs. 15 crores, the EBITDA per kg for the quarter comes to around Rs. 37.5. Corr ect me if my number is a bit off, but against this, you indicated that a minimum of Rs. 35 to Rs. 40 per kg we are looking at for FY24. Aren 't we far more conservative? Because, to my limited understanding, Q1 is very heavy on PVC, and as we get out of Q1 the product mix, all the ratios actually improve. So, why this number of 35 to 40? Why can't this number be higher?
Hiranand Savlani: Ritesh, it is difficult to predict the ratio in which direction. If you see the number of Q4 where the ratio was totally one sided in favor of value -added products and CPVC. We were able to deliver even more than Rs. 45 also. So, we don 't know exactly which direction the ratio will move. We are always willing to move the ratio in the direction of value -added products and CPVC. But you don 't know and I don 't know what the market will be at that point of time. So, we have to be very very conservative. We don 't want to unnecessarily misguide any of the investor community that this is the way we are going on. Ratio can ch ange at any point of time. In particular quarter, things may change also. And last quarter, even I guided also openly in the call that Q4 you don 't consider as a benchmark because Q1 numbers are always tilting towards the PVC direction. So, per kg is going to go down only. So, it depends on how the market is going to behave. If it will be in the favor of CPVC and value -added products, yes, you are right; number can be even much higher.
Ritesh Shah: Sir, the third question is on bathware. This is for Sandeep bhai. Sandeep bhai, are you happy with the Rs. 5 crore per month run rate? Where do you see this run rate, say 6 months, 12 months, 24 months out? And if you can just help us understand, how will we map this with the number of stores which we have indicat ed, we are above 500? Corresponding to 500 stores, are we looking at, say 1,000 stores in 12 months? And when should we look at an EBITDA breakeven for bathware as a business in insulation?
Sandeep Engineer: Basically, the first concept is that many pipe p eople have come in bathware, but we have come in bathware which we had conceptualized even before that. And we have come with our own production facility which we are ramping up in Jamnagar. All the products in Faucets are made in-house. The ceramicware we are sourcing from the sources which everyone uses, all other competitors. Bathware is something which is not as easy as selling a pipe or a paint or adhesive. It has a product feature design behind it, application behind it, and also the marketing channel , the users, the way we have to market is also different. So, obviously we are going step by step. The good thing is, yes, we have 500 showrooms; we will keep increasing – 1,000 will happen, 2,000 will happen. We are here for the long term, as we have inve sted in the business and we have a plant here. We are not here for just outsourcing, selling, and if tomorrow doesn 't work, make a choice what to do. We are going stepwise. Here, my focus now is that how much repeat orders we are getting. That is very impo rtant for us. Secondly, the run rate is always growing,

and obviously, I want to see in the next 1 or 2 quarters, it will break even. It will not be an additional burden on any of the businesses. Third, yet to ramp up quite a number of good professional te ams which we have started doing it. And in this quarter and coming quarters, there

will be quite a good number of teams in the sales & marketing channel, who will be very aggressive in going to the market, consumers, dealers, distributors, architects, buil ders. We are on the top. You will see the numbers coming. When we acquired Adhesive, we were a small company of Resinova and you have seen what we have done stepwise. We have not jumped overnight to any level in Adhesives. Paint also we are such a serious that you will see the numbers coming as quarter, but what we want and what I think in every business is to build the base perfectly and then build the building on it. Your work at the ground level should be so strong that the building built on it remains m ore stronger. And similarly you will see in our Faucets and Ceramicware business one more going that we are coming with an economic range in the next couple of days. The range is called Tresco. And the Tresco range is what we bought the company; they had t his range. We have upgraded that to a level which also satisfies what comes from the house of Astral and which will be widely sold in the dealer network as well as the wide consumption at the level where the consumers want.
Kairav Engineer: I will add to t his Ritesh bhai that we are just not making and selling for the sake of making and selling. We have our unique designs, we have our teams that are constantly working on product quality, product launches. Whatever parts that we have used are all state of th e art and we are also focusing on making Astral a very strong brand in this segment. We are not just interested in only selling the fast moving and the low end of the spectrum. We have 4 ranges. We want to justify all of our products that we launch. So, we are working on our base. I think in another 6

to 9 months, you will see a lot of difference in this particular segment.
Hiranand Savlani: And Ritesh, I am sure you must have studied that in the bathware project business, the cycle is very lengthy. 18 -mont h cycle is there. Today you get the order and the completion stage takes place after 18 months because first you only supply concealed products, then the front product, then the outer products; the process is very lengthy. So, right now, we are preparing a pipeline throughout the project. Actually the number will come only after 18 months because 1 cycle you complete and then only…. And any developer cannot give you 10 projects out of 10. He will test for 1 project. If he is satisfied, then he will allocate a few new projects. So, it 's a cycle of projects. We have to pass through that cycle. And that cycle is very lengthy. We are already present in many projects but the number will not be there. Number will take some time because we have to complete that 18 -month cycle. And then once they will be happy with our product, then the number will ramp up very fast. We have to keep patience and we have to be waiting for a few more quarters, and then all of a sudden, you will feel that what happened, all of a sudden number, because by that time, you will be completing the cycle. And then, repeat order of new projects and multiple projects will keep coming from the same builder.
Moderator: The next question is from the line of Sneha Talreja from Edelweiss. Please go ah ead.
Sneha Talreja: Just 2 questions from my end; firstly related to CPVC pricing. Where are we right now in terms of, you said there have been inventory losses. So I just would like to know where the inventory losses were more. Was it PVC or was it CPVC o r can you give us some sense that how much

prices could have declined and what can we see in the coming quarters both for PVC as well as CPVC from your end?
Hiranand Savlani: It was not that high losses, Sneha. All put together, I say Rs. 15 crores to Rs. 17 crores kind of that. Not that high losses. Mainly, some portion was PVC because PVC price had fallen. Now PVC has started coming back and it is going on an upward journey, and CPVC price has fallen. And as rightly Kairav said that CPVC prices are not go ing to fall sharply. Because of anti - dumping duty, there is always a cap. Because of that, there will not be…. But yes, whatever the prices have gone up above the anti -dumping duty level, that has corrected to the anti -dumping duty level. So, to that exten t, some losses were there but not a substantial amount.
Sneha Talreja: But do we see this price fall continuing in the coming quarters?
Kairav Engineer : No, because anti-dumping base price you have already reached.
Kairav Engineer: I think the prices in CPVC have more or less stabilized now. So, we don 't see any major falls coming in this particular polymer going ahead. Because there is that anti -dumping duty, majority of the stuff comes into India comes via imports. The people who are selling to India, t he Japanese, the Americans, the Koreans, they are strictly abiding to the $2 anti -dumping duty law. And you can say more than 90% is currently being imported into India. So, I don 't think the prices are going to fall further.
Sneha Talreja: My second quest ion was related to, you answered a lot about demand that demand has been growing at a robust rate and you are also looking at now 3 greenfield expansions versus even the leader has done that sort of expansion, which is Supreme. I just wanted to understand what would have been the industry growth rate in this particular quarter, let 's say. And what is the industry looking at? Because, we saw very strong numbers coming in across the players this particular quarter in the plastic pipe space. So, I would just l ike to get a sense of the industry growth number. Is it that it 's only the larger players growing?
Kairav Engineer: I think it is very difficult to say industry growth numbers because the majority of the people who have reported stronger numbers are more o nto the agri side of the business. Two years ago, PVC was at an all -time high. So, the last 2 seasons have been very bad for agri pipes. Now, since PVC reached the rock bottom pricing levels, all of a sudden the demand came from rural India because up till then, that people had shifted from agri pipe to HDPE pipe. Now people have gone again back to agri pipe because agri pipes are significantly cheaper than HDPE pipes now. So, all of a sudden the surge came for the core agri pipe business. So, it is very ha rd to say how industry has performed because our forte is behind the wall. We are a plumbing brand. Our exposure to the agri side of the business is very negligible. So, we cannot comment on what the competitors are doing or what their future lies. But as Hiranand bhai said, we are very confident that we will continue to deliver as per our guidance in the coming quarters.
Kairav Engineer : Thank You.

Moderator: The next question is from the line of Nikhil Agarwal from VT Capital. Please go ahead.

Nikhil Agarwal: Good Evening and thank you for the Opportunity Sir, my question was on, we heard that Grasim is coming up with a plant under a tie -up with Lubrizol. And if I am not wrong, they will be supplying only to Prince Pipes and Ashirwad. So, do you think that they might have a price advantage over you once the CPVC plant comes in?
Hiranand Savlani: I think it is a misunderstanding given to the market. Today also, if you want Lubrizol material, it is available in the open market. Whether you want resin, whether you want compound, it is available. Even

they are a pproaching us also to buy. We are getting quotations from them also.
It is nothing like that it is restricted to few players. When somebody is putting up such a large capacity, it has to open for everyone. There is no reason that it will be available to on ly 2 players. Whether 2 players will be able to consume that much of quantity? It is not possible for the 2 players to consume that quantity. So, I think it will be available to everyone. But let the plant to come. I think they have given this press releas e 3 years before also that they are putting up a plant but nothing has happened so far on that plant side. Again they have released the press release in a similar fashion that we are coming up with a plant, but till today, whatever our knowledge is that no thing has happened. Unless and until capacity is not coming, unnecessary putting a grapevine in the market that they will support this player, they will not support to this player, I think that 's not a fair thing. Let the quantity to come in the market. We will see at that point of time what is there.
Sandeep Engineer: They are already supplying a non -branded compound to a few players in India at present also. These are big brands. I don 't want to name, but we are aware of whom they are giving the compound.
Nikhil Agarwal: Sir, are you open to buying the compound or the resin from Lubrizol?
Kairav Engineer : Yes, if they are giving us the right price, then we are open to buying from Lubrizol. There is nothing wrong in that. We have a very long and rich relati onship with them since 1998.
Sandeep Engineer: We will procure resin. We don 't buy compounds. And we are open to buy resin from anyone because we have no compulsion to buy resin from one source. And as our demand is growing and our capacities are growing, not one supplier can suffice that. So, we are open to buy from anyone.
Nikhil Agarwal: Sir, I just wanted to know your water tanks monthly run rate. And you have no expansion plans as such right now in that segment, right?
Hiranand Savlani: Water tank, our run rate has been continuously improving. We will be delivering the number only at the year -end. We will communicate the exact number because there is no point

unnecessarily to give every monthly number or so. Whenever there is a new produc t, we give. But now it is already a 2 -year old product.
Kairav Engineer: Also, your question regarding adding of capacity, we have made it a rule that wherever we are building a plant, we are installing the tank machines. So, most of our facilities will ha ve the tank machines.
Nikhil Agarwal: Just one last question. If you could just highlight on your CPVC and PVC mix in Q1 and FY23.
Hiranand Savlani: We don 't share all these numbers. We have stopped since last 3 years.
Moderator: The next question is from the line of Deepak Jangid from Purnartha Investment Advisers Limited. Please go ahead.
Deepak Jangid: My question is, as you have announced the capacity expansion, what is the CapEx requirement year-wise for FY24 to FY26?
Hiranand Savlani: FY24, we are exp ecting to put somewhere around Rs. 350 crores or so. For FY25, we have still not worked out the exact number, but it should be somewhere around Rs. 250 crores or so.
Deepak Jangid: As you have mentioned that for the next 3 years, it might be unnecessary fo r giving a guidance of 20% to 25%. As we have grown 31% in the first quarter, what do you foresee for the next 3 quarters in terms of volume growth?
Hiranand Savlani: I said that originally we have given our guidance of 15%. First quarter is very robust, a nd second quarter started with a very very good number. So, definitely, looking at the current situation, it looks that the number will be very very conservative. So, once Q2 will be getting over, by that time, we will be understanding fairly the demand sc enario of the mar

ket. We want to understand whether this is a temporary kind of demand or this is a permanent kind of demand. I think fairly if 3 quarters continuously volumes are improving, that clearly indicates that the numbers are going into the right direction. So, wait for the Q2 numbers. Then after, definitely we have to change our guidance in an upward direction. That will be happening only in the Q2 con -call.
Moderator: The next question is from the line of Shubham Thorat from Perpetual Investment Advisors. Please go ahead.
Shubham Thorat: I just had one question. You mentioned that we have witnessed an unexpected surge in demand.

I just wanted to pick your thoughts on what could be the possible demand drivers behind this surge in demand and how sus tainable is this demand?

Hiranand Savlani: I think Kairav has already communicated that the demand is coming from across; it is not specific to one thing. It is coming from the rural also, it is coming from the urban also, it is coming from the new geograp hies also, it is coming from the new products also. So, the overall demand scenario is good. Otherwise, on a scale if you are growing at a 31% volume, it cannot be from

the one sided. And secondly, we are very clear that we are not an agri -dominated compan y. It looks like the overall demand scenario is good. I don 't think that it is any specific region where the demand is coming. We have to again wait for one more quarter. That 's what I said to the previous question. So, let 's wait for the Q2 numbers. Then after, we will be knowing further about the market. We are also deep diving because we are also committing to use CapEx. So, naturally we have to deep dive the thing so that it should not happen that we will be falling short of the demand or we may exceed too much of capacity and then the demand goes away. So, we are also understanding in deep. Hopefully, by another couple of months we will spend, then we will be having a fair idea about the market and then we will be able to say confidently to all of you. But at this stage, give us some more time to understand the market and let 's see. Because, it is not specific to only Astral. Other companies are also growing. Of course, Astral is less dependent on agri. But still, overall the market scenario is good and very healthy for the industry per se. In that case, we are of the view that it should be better only in the coming time. But again, wait for some more months and then we will be in a better position to communicate.

Moderator: The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: I have 3 questions, two for Sandeep bhai. Sandeep bhai, can you broadly touch upon the management structure that we have in place? We had recent promotions also which were there. And I do und erstand that there have been new appointments at the top level, including CHRO, CTO. How are we looking at the business segments given we have multiple growth engines in place? That 's the first question. And the second question for you is, again, is there any specific reason not to be into government orders? If we are not risking receivable days, we can still do the volumes via contractors. Any specific reason not to be over here? Those are the 2 questions for you. And I have a third question for Hiranand s ahib. Do we still stick our number for Rs. 1,500 crores what we had given, I think, a year back with a 4 - to 5-year time frame. Those are the 3 broader questions.

Sandeep Engineer: First is, we are not adverse to any government business. We are already doi ng business through the contracting houses in a big way, only supplying to projects which they take on the government projects because we are in corrugated pipes and we are also in some of those products. But we have not made HDPE or LDPE and we are not in that segment. Most of the projects which have come ar

e basically on the Jal se Nal which is more they use the HDPE or PP pipes, mainly HDPE pipes and in which segment we are not there at present, and we are also not planning to get into that because we ar e already getting a robust demand for the segments which are there in the infrastructure business of private housings and various projects which you are aware of. That is the reason. And if we have to come, we cannot come alone in pipes. We need to also ad d fittings with them; that is the reason. We have no adverse things on the government business nor at present we are having the products which are used in mass to be supplied to them.

Second thing, for the senior management at various levels, yes, we have put in place ahead for the IT division, the HR division, and we have a lot of seniors who are there in Pipe division. We

are adding a few also there for projects on various segments which are needed. In a couple of months, there will be more seniors added. To the export division also, we are adding people and also we are going to add seniors required, especially to address the rural markets also.

Coming to the Adhesive, we already have every segment, the 4 segments; in maintenance, the wood segment, the whi te glue segment, i.e., the industrial adhesive segment, and the last segment is the construction chemicals. Every segment has their heads and they are on the job to do how we can grow. And that is already seen in our growth.

Coming to the Paints, as we communicated that we have already not only zeroed down but seniors and professional people from the industry have joined and are going to join. And at the right time, we will also let you know about the profiles and the way these things we are going to take it ahead.

I have already communicated that in the Faucet and Ceramicware also, we are strengthening the team on a lot of segments, which is needed to ramp up the sales to see that the product reaches every nook and corner of India. And that also, in the next 2 quarters, we will communicate. So, we are strengthening ourselves on the professional front, the manpower front in all the ways.

Now, coming to the third point, I think Hiranand bhai 's point is there. So, he will give you the complete….

Hiranand Sav lani: Ritesh, I think I can add further what Sandeep bhai said as far as the government order is concerned. The first biggest problem with us is the consistency. Our company always believes in consistency of growth and consistency of margin and the quality which is missing in this kind of government businesses. Secondly, there is no margin stability in that. Thirdly, receivable is always a challenge. If something goes wrong to the contractor, then there will be always a challenge on the receivable side. Fou rthly, these all businesses are seasonal businesses. Particular season they give you the order; rest of the time, you have to wait and watch. And many times government money is stuck, your order gets stuck. So, there are a lot of ifs and buts connected wit h the government business. That 's why we thought that we should not enter into this kind of business. Secondly, we are very happy with the run rate which we are growing. We are continuously growing the organization at a 20% CAGR for the last 10 to 15 years . So, I don 't think that even if that portion of the business will go away from us, we have any regret for that. But we always believe in certain principles; and within that principle, this business is having, and there are certain other issues which I can 't discuss on the call.

Now, coming to your question specific to me regarding the Rs. 15 crores from the new products. Yes, we are working hard in that direction. And I think all our new products – whether it 's Silencio, whether it 's DrainPro, whether it 's FirePro, whether it is a tank, whether it is a paint – all direction we have done our work. It

is only when it will start picking up fast, that is the only waiting time. So, 5 -year guidance, whatever we have given, I think we should be moving towards that direction. Even if Rs. 100 crores plus or minus, that isn 't going to affect as long as our long - term strategies are clear. Our, I can say, foundations are clear, then I think Rs. 100 crores to Rs.

200 crores plus or minus is not going to affect us because we are not here for 1 or 2 or 3 years. We are here for the next 10 years or maybe 15 years kind of vision. So, I don 't see we have any challenge at this point of time.

Ritesh Shah: Sir, just a follow -up for Sandeep bhai. Sandeep bhai, are we averse to inc reasing exposure to agri as a segment? The reason to ask this question is we have done phenomenally well on the CPVC side. I am not sure what our market share is on volumetric terms over here, but at some point, growth will become a limiting factor. So, ar e we open to agri as a segment, say 12 months out or 24 months out to ensure that we continue to grow on volumes?

Sandeep Engineer: Ritesh, we are completely open and actually we are continuously building capacity on that. I told you we have built enough c apacity, but last year what was the demand and this year? I told you a guy buying Re. 1 of material straightaway wants Rs. 5 of material. Nobody would envision 5x or 10x demand would be coming overnight. We bought off -the-rack machines and put them in prod uction in June -July and we are continuously adding machines on that front. So, we are never adverse. We have the highest range of fittings available here. We are already adding machines at every plant and ramping up the capacity.

Kairav Engineer: Ritesh bh ai, as you are aware that whatever agri products we sell, we want to sell at our price and we will sell at our quality. And in a lot of areas, the contractors and plumbers use agri for drainage purposes in place of SWR. So, a lot of markets agri product is used for drainage and we are selling good amount of agri. But we are sometimes not in the water supply business of agri lines because that is a very very low margin business and it will impact our per -kg margin also. We can easily do that business but the n it will affect our per -kg margin also.

Sandeep Engineer: But looking at the whole scenario, we are continuously ramping up our capacity, as I told. I told about the huge capacity in these 3 plants plus adding in the existing plants. Obviously, so much capacity is not going to come for the plumbing, CPVC, and products, but it 's obviously going to even have a good section of pipes in PVC and agri pipes.

Hiranand Savlani: Secondly, Ri tesh, I think I can add a very very critical question that agri business is viable with the profitability only if you are a decentralized company. The more decentralized you become, the agri business becomes very very viable for you. Astral was not so decentralized company. The way our capacity expansion, I think, now in all the 4 zones, our plants are there. Now, new 3 plants are coming. So, now Astral will be at a pretty decent level, I can say a decentralized company. Once you become decentralized, you are going to save a huge cost on freight. Because, agri carries a lot of fre ight elements. If you are near to the market, your freight element goes away. So, in that case, even agri business is also equally viable because the working capital cycle is very fast in agri. ROCE point of view also, agri business is a reasonably good bu siness. But that is only possible once you become a decentralized company. Now Astral is becoming a decentralized company having 8 -9 plants or 10 plants across the country. Then it will become very easy for Astral to ramp up volume into that direction also . We are working seriously on that ground also. And at an appropriate time, we will increase our volume in that direction.

Moderator: We'll move on to the next question that is from the line of Rahul Agarwal from Incred Capital. Please go ahead.

Rahul Agar wal: Sir, 3 questions. Firstly, are duplicate products in the country a big problem? Because, the leader also mentioned that East India is copying a lot of the leading brands in the country and it has become a headache to manage. Sandeep bhai, do you agree with this?

Sandeep Engineer: This is going on for years. It has not overnight come. But it is not a headache that hurts the volumes down or something that. It is going on from years. It is going on from 10 years and even more, I guess. And everyone, we an d every company, is jointly or individually taking actions and it is going on. Very swift actions are now taken, a lot of legal actions are taken. If you see newspaper cuttings, we bring it to the notice of the public at large on these segments. And fairly now, everyone is working and everyone is controlling this and it is quite getting controlled. In a few months, it happens and in a few months it doesn 't, but basically it is not concerned with the growth for the business.

Rahul Agarwal: Because Supreme 's management mentioned that they lost some volumes and some market share in East India because of duplication and it was a bigger issue basically versus the past gone 6 months. Hence, I was just checking with you, but I get what you are saying. Secondly, on adhesives. The growth guidance is about 15% to 20% value growth for Fiscal '24. I am assuming this accounts for Dahej ramp up in the second half. But fiscal '25 should see a step jump, right? Because, the capacity increase is very high. Any thoughts on fis cal '25 market share gains and top line growth please?

Sandeep Engineer: It would be obviously better than what we will do this year because of the capacity expansion, the value which will help us in the raw material cost because of the bulk production and all. So, obviously, with new plants and things will not be working, but we will be expanding and we will be getting better. But Hiranand bhai can also add to this.

Hiranand Savlani: Rahul, I think we are preparing ourselves for the higher gr owth, but again I am telling you that coming 3 -4 months will give us more confidence to say that now we are ready and we feel on the market ground that we can easily grow at this level. But right now, we have given a long - term guidance of 15% CAGR volume f or 5 years. I think we will stick to that guidance at this point of time. And Sandeep bhai also rightly said that after 1 or 2 quarters down the line, value growth will also be coming back because now the PVC bottom out has happened. Now there is no furthe r bottom. So, from there, we can see that the value growth is definitely going to go up. So, keep fingers crossed, wait for some more time to have more confidence from the market. But at this stage, yes, we are very positive.

Sandeep Engineer: One thing is that whatever we have guided, we have tried to do the best, but especially we have been very transparent with everyone about the way the businesses are moving, the way we are looking forward, and the way we are changing and the way we have our own vision to take each segment ahead. That has been a very clear communication of what we are going to do and what is happening and what is exactly done and what is achieved.

Rahul Agarwal: Where I was coming from purely from a Dahej perspective that my sense was 15 % to 20% looks conservative, but I get what you are saying. And last question Hiranandji to you on the Gems Paints. The payments for 51% and 29% buyouts, all these are done? The Rs. 465 crores is net of debt?

Hiranand Savlani: No, we have not done the paym ent which we are expecting to be complete before 30th September.

Rahul Agarwal: What is the total payout we shou

ld expect?

Hiranand Savlani: Total payout will be somewhere around Rs. 275 crores to Rs. 300 crores for all 80% buyout.

Rahul Agarwal: And the b alance? You said that contract is like it will be spread over the next 5 years. Anything specific you would like to share like when does it happen or is it matched to some…. What are the conditions basically there?

Hiranand Savlani: No, there is no conditi on. We have fixed a multiple of EBITDA. I don 't remember exactly, but it is roughly about 11x of EBITDA. So, whenever we want to buyout the balance 20%, we have to pay that multiple. There is no other condition.

Rahul Agarwal: The 11x EBITDA is for the yea r in which you will buyout, that year you should multiply?

Hiranand Savlani: Naturally, trailing 12 months.
Ritesh Shah: Ok Perfect Hiranand Bhai thank you So much .
Moderator: Reminder to Participate any one wishes to ask a question please press a ‘’*” and 1 .
Ritesh Shah: There are no more questions in the queue. Sandeep bhai, Hiranand bhai, any closing remarks if you wish to c onclude the call now?
Hiranand Savlani : Thank you Ritesh for hosting this call, and thanks to every investor for participating in this con - call and always putting trust on Ast ral management and giving us confidence to work hard. We assure you that we will continue to work hard and keep giving you excellent results in the coming times.
Kairav Engineer : Thank you Ritesh bhai for hosting this call. We will deliver our best in the coming quarters and you will see the new divisions and the new businesses firing well in times to come. We are very excited for the future at Astral. We will come back with even stronger set of numbers going ahead.
Hiranand Savlani: Thank You Ritesh bhai Thank you.

Kairav Engineer: Thank you Ritesh bhai Thank You .
Moderator : Thank you members of the management team. Ladies and gentlemen, on behalf of Investec Capital Services, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines.

Call: Oct 2023

Astral Limited Q2 FY2024
Earnings Conference Call ”

October 19, 2023

ANALYST : MR. ARUN BAID – ICICI SECURITIES LIMITED

MANAGEMENT : MR. SANDEEP ENGINEER – CHAIRMAN & MANAGING DIRECTOR – ASTRAL LIMITED
MR. KAIRAV ENGINEER – EXECUT IVE DIRECTOR – ASTRAL LIMITED
MR. HIRANAND SAVLANI – EXECUTIVE DIRECTOR & CHIEF FINANCIAL OFFICER – ASTRAL LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Astral Limited Q 2 FY2024 Earnings Conference Call hosted by ICICI Securities . As a reminder, all participants' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing “*” then “0” on yo ur touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you and over to you, Sir.

Arun Baid : Welcome to the Q2 FY 2024 post results con call . From t he management s ide we have Mr. Sandeep Engineer – Chairman & Managing Director; Mr. Kairav Engineer – ED; and Mr. Hiranand Savlani – ED & CFO . Now I hand over the call to Mr. Sandeep Engineer for his opening remarks, post which we will have the floor open for Q&A. Over t o you Sandeepji.

Sandeep Engineer : Thank you. Thanks everyone for joining the earning call of Q2 FY 2024, and the first half of FY20 24. First of all, I am happy today to share this year Astral is c elebrating its 25th anniversary, which was full of legacy of innovation, connectivity, b rand building, wide distribution, network creation, creation of reach in every corner of India, and building a strong p roduction capabilities across the country . We started the journey of CPVC pipe manufacturing a nd today we can proudly say that we are a building material company having four different verticals and thousands of S KU's in different verticals. Ast ral started its journey in 1998, in the same month of October with single product and single focus to bring CPVC to India and today we can say with pride that we are the first one to bring CPVC to India. The first one to make CPVC, a product which replace d the metal piping and we have created a history of CPVC for 25 years now present in this country and growi ng and now mult iple manufacturers joining to make CPVC pipes.

As you are w ell aware, the market situation still continues to be volatile. The polymer pricing, and the chemical price situation, which is continuously going up and down, but slowly the P VC pr ices are now se ttling down, and C PVC prices of this quarter also come to a level where it is settled out. But all fluctuations are the challenges of margins and various growth aspects of the m arket, but I am very happy that with all these challenges and volatility , we at Astral are always try ing to mitigate these challenges and deliver a consiste nt performance on yearly basis.

The re sult of this is in front of you, once again, we are able to deliver a teamwork and we have worked hard once again with this v olatility also and to give you a volume growth of 25% plus and in a certain quarter in the row. Indian scenario is very robust and seasonally in the first two quarters which is loaded with P VC product demand with agriculture and certain grenade pipes . In s pite of that ou r CP VC growth was excellent during downward pressure trend of polymer we also known the distributors always restock that product and

 material . In spite of that, we are able to grow and maintain our margins of 18% plus EBITDA after adjustment of sanitary and faucets losses and CPC inventory loss es.

Now coming to the pipe business. Due to the robust dem

and in pipe vertical, company has decided to aggressively move into expansion of its capacity. As communicated earlier, we are putting up three new plants and all are going to be as per schedule. Guwahati 22000 metric ton plant already started producti on of water tank and shortly we wi ll start production of pipes . Hyderabad 70000 metric tons and Kanpur 50000 metric tons expansion activities are g oing on in full swing at these plants.

As communicated earlier, we have increased our capacity within our existing plants to a tune of 20000 metric tons which is up and running. At present our capacity has increased from 2.90 lakh metric tons to 3.10 lakh metric tons. We are a company which can proudly say that we are the first company and at present the only company to get NSF certification, the highest certification from United States now which also is considered very prestigious and important in India f or our water ta nks. No ne of the water tanks available in the market at present are NSF certified, so our water tanks are safe to handle drinking water. When water is stored there and consumed that by the human beings with the NSF certification award and st andard which is safe for consumption of water by human beings and without any leaking . We are also probably the first one to get the BSS certification for firefighting systems . Before we go deeper in question answer session and detail sessions our firefigh ting system i s getting approvals and acceptance very fast in the market and the business is building up in size, value and volumes.

For our adhesive and Sealant business , our state of art plant at Dahej which has got all the permissions, also the gas con nections to ru n the plant is up and running , and the production capacity at Dahej is huge and it will be fully opera tional in the next two quarters, a nd as we planned we will make our major products of epoxies and white glue and other adhesive products at Dahej and we w ill reduce on e production facility in Kanpur in next two to three quarters and all these production capacity will be moved mostly to Dahej, Ahmedabad and Rania , and so one location we will be reducing from Kanpur.

Our volumes are continuously growing in h igh double digits and now the chemical prices have settled down and are stable. So we a re getting good supports of marg in and consistency of the business in adhesive and sealants . Both our UK and India businesses are foreseeing a good growth i n coming year s and we are very positive on the business outlook for the adhesive and sealant s.

Paint business : In paint business as we communicated in the last call, we are passing through some changes, some keeping problems . SAP is completely implemented now. Lot of KYC s are done for th e counters or the retailers whom we sell. Our systems are in place

 and the systems are settling down and we are seeing improvement in sales compared to the last quarter and now we will see further improvement with growth in the coming t ime and our team has started taking charge of that business and you will see a lot of improvements in coming two quarters for the paint business, and in next coming two quarters, the paint business will show a positive growth number also and there will be strategies to launch the paint under Astral program shortly and which will be communicated within two quarters and we will be opening many new geographies of India in launching our paint products.

Sanitary and faucets: I am very happy to anno unce that our team has achieved the first milestone of getting 500 stores wherein our display is placed and a ll these stores have started selling the product to the end consumer. We are completely cracking the tertiary sale for me selling to actual users a nd to the cli ent. The tertiary sale is very important and we are getting good response from our product line. P

roduct line is growing. We have reached an
average of 6 Crores , but last two months, last month we have been averaging around 8 Crores plus and I am sure that in next two months we will be crossing our breakeven number of 10 Crores plus and we will continue our growth.
Lots of new product SKU's are getting accepted in the market. We can clearly see that forthcoming time will be really good for our brand Astral in the vertical as we have worked very hard to build the brand Astral and the brand Astral itself is a big thing to pull a lot of our product lines and to make them reach to the consumer with pri ce and with the brand power.
To summarize, all verticals ar e doing good. We are going as per our plans and we do not see any much challenge in the market and we keep giving our consistent growth for our company as it is known for and as we have always communicated.
Now I hand over to Mr. Hiranand bhai, our ED and CFO for his opening remarks on the numbers and then myself, Hiranan d Bhai and Kairav will answer all your questions and once again thanks for joining the call and trusting Astral. Thank you very much.
Hiranand Savlani : Good afternoon, everyon e. Thanks f or joining this conference call. I will take you through the few key numbers of this quarter and then straightway go to the Q&A so that we can spend more time on the Q&A side.
The revenue numbers are in front of you. This quarter we have grown 16.3% in a consolidated basis . EBITDA growth was very high compared to the last quarter or even compared to the last year also and in percentage term it was 17.1% compared to last year similar quarter was 13.2%.
 Now if you break up this consolidated numbe r then I thin k pipe that is the plum bing which include the sanitary ware and faucet also which is roughly about Rs. 17, Rs. 18 Crore . The value growth was around 17.3% and volume growth was close to about 28% and the EBITDA growth was around 57% and the perc entage term EBITDA was 18%. So we have guided that we will be working in the range of 16% to 18%. So I a m very happy to say that we are on a higher side of what we have guided and not only that, if we do the adjustment of inventory losses of CPVC to the tu ne of 20 Crores and roughly about Rs.4 Crore of loss of the bath ware, then the adjusted E BITDA will be even much higher.
Now coming to the further breakup of our adhesive and the sealant business. Adhesive business of India has grown by 18% in value term s and EBITDA was roughly about 15 .5%. Adhesive business in UK grown by 17% and EBITDA was roughly about 10%. P aint business which was around negative 6% and the E BITDA of 16%.
So these are the key numbers and now I will take you through the few highlights of this quarter.
This is the second consecutive quarter where we were able to deliver 25% plus volume growth of our core piping business in spite of having a very high base last year. If you can see the last year number also you can see that our base was not low in the last year also and that i s why we have given in our press release the last four years C AGR growth also. The demand scenario is excellent and we are expecting the coming quarter also demand should remain positive mainly due to good announcem ent of new projects by a lot of developers, low p olymer prize both CP VC as well as PVC. Lot of infra spending is increasing and we are seeing a good growth in the housing side also. Across the board when we are seeing the city wise data , most of the good c ities are tou ching the new high. Most of the cities of India is having good construction activity and demand is coming from across all the four zones of country and our new locations are giving very good healthy volume growth th an originally we planned. So we are very excited with the performance of not only our new location in is the East, but we are ve

ry happy with our new product growth such as Sync, Wall, Grain Pro,
Silencio and now Bathware also.
As you all are aware that the CPVC pric es are on a low er side and we have to also pass the price reduction to the market and due to that, our realization has dropped compared to earlier quarters, we have to incur approximately Rs. 20 Crores of loss on inventory and our volume is highest in the turnover, that i s why the effec t on the inventory is high on our company. But in spite of that, we were able to deliver a very healthy top line volume and EBITDA margin.
We have always communicated that Astral is always believing in consistency in performance and you can s ee in this qu arter also that in spite of inventory loss in CP VC, our
 margins were healthy and our volume growth was excellent. We have not compromise d our margins in spite of 28% robust volume growth in this quarter and high loaded PVC volume

also. Our gross profit mar gins were highest in the last four years. We were having EBITDA margin guidance of 16 % to 18%, but we have over surpassed this number and we are expecting that from the coming quarter the polymer prices are more or less going to bottom out. We are not seei ng much drop from here on little bit may happen because it is very difficult to predict the number. But it looks that now the seasonal quarters are starting, seasonal months are starting in India and historically also in the seasonal quarter , the demand is high, so the prices will not fall. So we are expecting maybe little bit upward revision of the pricing in the coming time and if that is going to happen that there will be a conversion of inventory gain in the coming quarters. Of course Q2 wi ll be little pressure because of the PVC which had dropped in the first 15 days of the month of October.
Looking to the first half of performance of 29% volume growth and lower price polymer , we are increasing our guidance from 15% to more than 20% volume . That means minimum 20% plus volume growth for the full year. So we will try even more than 20% also. Since our Gauhati plan has started paint products and shortly we are going to start the pipe also we are expecting some support from that location also i n the second -half of the current year. We are putting up 22 000 metric ton capacity in Gauhati.
During the first half, as Sandeep bhai communicated we have increased our capacity within our existing plan t to the tune of 20000 metric ton. So our capacity h as increased f rom 290,000 metric ton to 3 10,000 metric tons.
Indian operation of our adhesive business had deliver ed a very, very healthy not only volume growth but value growth to the tune of 18%. UK has also delivered both volume growth and the value gr owth. Value gr owth is to the tune of 17%. EBITDA margin were also very healthy. In Indian operation close about 15 .5% and UK was 9.7% little lower than what normally they deliver 11 %, 12%, but we are expecting that this margin to improve further from UK in the coming qu arter because now whatever the high cost inventory there almost on the verge of completion.
Paint business has shown good recovery compared to the last quarter. You can see that last quarter was around 40 , 41 Crore s, this quarter is around 4 7 Crore s and a very healthy EBITDA of 16%. On Y-on-Y basis we can see there was a drop of 6%. But we are confident that in the coming quarter we will improve that because now we are settling down with our new systems and processes and SOPs and the SAP impl ementation. So I think mostly our team is ge tting acquainted and the new Gem Paint is also getting acquainted with the new system. So we are expecting that it is going to give us a very, very g ood result in the coming years.

 We have successfully implement ed SAP. We are confide nt that we will be com

ing to grow
trend shortly and now more clear visibility of the data is there that is helping our team in the transparency within the two teams and as communicated and as per our agreement, we are going to complet e the 80% sta ke in the Ge m Paint s in this month itself that is in the month of October itself. So you will see that now our full -fledged team will be there in the Gem Paint also.
Lot of work is going on in the business as Sandeep bhai communicated at the back office level. You will see the benefit in the coming quarter in terms of system improvement, in terms of branding, in terms of HR activity, in terms of sales and marketing into the paint business. Bathware as communicated last quarter, we are slowly i mproving the p erformance in the sales number and happy to share that last quarter we have done a sales billing of 18 Crores with approximately a run rate of 6 Crore a quarter. Last month was very heavy, close to about Rs. 8 Crores that is the September mont h, and we are e xpecting that it will improve further in the coming time. If I can correct little bit what Sandeep bhai communicated, we are shortly going to cross the 10 Crore run rate instead of two months within two quarters we are going to cross the 10 Crore plus run rate and we are going to achieve break even as early as possible. So hopefully in the first quarter or second quarter definitely we wi ll be into the break even side.
Now to summarize all the four verticals, we are very happy with the perfor mance and we are confident that this growth momentum will continue and we will keep working hard to gain the market share and last but not least that our core vertical that is pipe, you can see that in spite of higher base, we are still gaining the market share and with brand getting more and more stronger will gain more and more market share in the coming time because we are adding a lot of new geographies in terms of manufacturing facility, which will help us to grow market share and reduce our trade cost.
Now I a m ope ning up the floor for the Q&A se ssion. Thank you very much.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Shubham Aggarwal from Axis Capital. Please go ahead.

Shubha m Aggarwal : Hi, Sir. Just one question. Thanks for the opportunity. Just wanted to reconfirm the inventory losses, Rs.20 Crore , right? And there i s no inventory loss in PVC in this quarter. The whole inventory lo ss in PVC will come in October.
Hiranand Sav lani: In fact P VC was some gain in the beginning, but because what happened that in the last month of September everyone has to give the price protection to the market. Because Reliance announced the price protection , so in the first day of the October, th e price dropped by Rs.4. So because of that we have to pass on, give the credit now to every
 distributor. So whatever some gain we get that was wiped out because of this protection which we have given to the market. Otherwise there was a slight gain in the beginning of two months. So now this loss is purely because of the CPVC.
Shubham Aggarwal : On the growth, I had a question. We a re seeing that the government CapEx has been really front ended in H1 of this year given that the elections are coming around. So just wanted to take a sense from you, do you expect any growth to slow down going into Q4 of FY20 23 and Q1 of FY2025? That i s the question.
Hiranand Savlani : I do not think it is going to affect too much because of the election. The reason i s very simpl e that our comp any's dependency on government project, it is very, very thin. Except Rex product that is a double wall corrugated that is related to the government projects and that too we have converted sizeable business of racks also into the private pro jects because our forte is more on the private

side of the business than the government side of the business. So I do not think it is going to affect a big way to our company because our dependency on the government is very low.
Shubham Aggarwal : Got it, s ir. That is all . Thanks and congrats for the good volume growth that you have been delivering. That i s all from my side. Thank you.
Moderator : Thank you so much. The next question is from the line of Vineet Shah from Shah Group . You may please go ahead.
Vineet Shah : Sir, I have two questions. First is that since you have already done 29% volume growth Y-o-Y in plumbing segment in first half of financial year 20 24 even if I assume 16% Y-o-Y growth in Q4 FY 2024 it will bring your volumes to almost 63K metric tons. So assumi ng 300K/4 like 75000 ton of production capacity per quarter will bring your utilization capacity to around 85% level, which is much higher than normal levels of 65 % to 70%. Is it possible to achieve this kind of utilization of machines given shorter change over time of fitting s etc., or am I missing something?
Hiranand Savlani : See capacity right now, our utilization is around 67 %-68%, and we have recently added 20000 metric ton within our internal plan ts and 22000 Guwahati is almost on the v erge of complet ion. Tank has already rolled out and pipes are going to be rolled out shortly and there is still some scope available in our existing capacity whereby we can further a dd 10000 to 15000 metric ton if required. We have to add the machines only . So we will se e evaluate the situation on the ground and based on that we will take and next year anyway in the second quarter our Telangana plan t will be up and running. So I do not think we have any problem as far as the capacity is concerned. Secondly, we are always sitting on a reasonable inventory levels also . So, even if particularly the last month of the year Mar ch, some extra demand comes then we can reduce a little bit to our inventory because anyway
 Q1 is slow. So we can readjust that also. But I do not see any problem into capacity. We have enough capacity to take care of whatever the demand, even 30% kind of volume will come and then also we will be able to manage. That i s what we have done our internal working.
Vineet Shah : One question like wh at is the maxim um possible utilization that we are assuming? Is it like 85% possible or we will stay around 80 % itself?
Hiranand Savlani : Yes, 85% is possible because more and more utilization will increase, the same machi ne will manufacture the same di a pipe so naturall y 85% we can reach that.
Vineet Shah : I have a second question on CapE x. You have guided a CapEx of like 350 Crores for financial year 20 24. So while your half yearly cash flow statement indicates almost 300 Crores is already done. So second -half of financ ial year 20 24 CapEx is just like 50 Crores . So is there any revision in the CapEx or are you going ahead with 50 Crores itself.
Hiranand Savlani : CapEx will increase to the tune of 75 Crore s additional because there is a land which we acquir ed for the corp orate house which is near to our existing premises? So there we have spent Rs. 70 Crores. So that is the additional CapEx, which were not originally planned because we were getting the land very near to our existing corporate house, which is very, very diff icult to get otherwise we have to select the o ther location. So we have recen tly

acquired that lead. So that i s why that is the additional CapEx.
Vineet Shah : So on and on it will be like 300 already done, 50 timing and 75 more.
Hiranand Sav lani: I think 2 80 we have done and the bala nce will be in the second -half.
Vineet Shah : Got it. Thanks a lot, Sir.
Moderator : Thank you. The next question is from the line of Keshav Lahoti from HD FC Securities. Please go ahead.
Keshav Lahoti : My question w as there has be en a

sharp cut in r esin prices in October month . So how is the channel reacting?
Kairav Engineer : Right now I think PVC has mostly bottomed out . So the price drop that came did came very rapidly in a span of 11 days, there were three major d rops. So around Rs.11 price of PVC had dropped, but channel is still buying, there is no destocking as such. People were expecting this sort of a price drop in September and hence all the major player has given the price protection also. So the first price drop was alrea dy supported by the manufacturers. So the second two price drops basically came in a very fast duration and at that time the
 channel inventory was not at its peak. So I do not think there has been a major issue with regards to dealers losing out because of this price drops, and now I think globally PVC has bottomed out and everyone is well aware that from here onwards PVC will only see an upward journey going ahead. So globally also internationally also we are seeing that PVC has bottomed ou t and stabilized at this level.
Hiranand Savlani : I think I can agree what Kairav says, that the September you are right, there was some destocking from that distributor side because everyone was expecting there is a drop in the polymer pri ce because interna tional price w as low. But India price was high. So September there was a destocking, but I think now quickly in 11 -12 days that drop has happened. So now again, we are expecting that the channel will refill in this coupl e of weeks or three weeks ' time.
Keshav Lahoti : In your assessment , what was the reason for the shar p cut in resin prices?
Kaira v Engineer : Import level? The international offers were lower than the Reliance offers, and the local trader were also quoting at a lower ra te than the Reliance pricing. So even tually to match the international level and the local trader level the Reliance had to do the price cuts.
Keshav Lahoti : Any idea about what would be the volume growth on the adhesive segment side.
Kairav Enginee r: Adhesive v ery difficult to give volume n umber because there we are selling differ ent chemistries, some are solid, some are liquid, some are in a gel form, some are in a powder form. Construction chemicals are there, sealants are there, additives are the re. So it is very difficult, packaging is a lso very different for that product. So very difficult to quantify the volume number for that.
Keshav Lahoti : One last question from my side. What has been the CP VC price correction in quarter two?
Hiranand Savlani: I think we have dropped cl ose to about 7 % to 8% in the market .
Keshav Lahoti : Because in Q1 call you said that the prices are almost have bottom ou t for CPVC because we have anti -dumping duty in place . So 7%, 8% sounds like a bi g number.
Hiranand Savlani : Yes, but because the probl em was that, that the international level price drop, so the countries which are not falling under the anti -dumping duty, they started cutting the price. Japan, Thailand, local manufacturer, US, they started cutting the price. So naturally we have to also pass o n to the market and in a way it i s a good move because ultimately it is going to shoot up the volumes in the coming time. Because price will be affordable then it will grow the market also so in a way it is a good move.
 Keshav Lahoti : So price is not coming a t the expense of margin, right?
Hiranand Savlani : No, margins are still stable in spite of so much of drop. You see we have maintained 18% kind of margin. So we are also slowly and gradually giving the price reduction to the market as and when we are getting th e support, we are giving it to the m.
Keshav Lahoti : Understood. Thank you. That is it from my side.
Moderator : Thank you so much. The next question is from the line of Praveen Sa

hay from Prabhudas Liladhar . Please go ahead.
Praveen Sahay : Thank you for tak ing my question and many congratulations for a very good set of numbers. The first is just a follow up on the last participant question related to the CPVC pricing. So what is the reason , I can understand that the US and Japan , the local play ers has reduce d the price and ultimately the 7%-8% reduction in the quarter? What is the basic reason? It is a demand suppl y mismatch which has led to the price.

Kairav Engineer : This raw material for CPVC is PVC, now PVC , if it is bottoming out internati onally at the $750 level, then one ca nnot expect CPVC to hover at $2, $2.1 levels. No, that much delta should not be there. So when base raw material prices are falling, obv iously the derivative price is going to fall.
Praveen Sahay : So what your expectati on for the way forward for the CPVC resin . Is it also bottom out or is there a further room for r eduction in the prices as well?
Hiranand Savlani : I think it is almost bottom out now we are not expecting further drop because PVC is almost after so many yea rs low is ther e. We do not see that PVC will furthe r go. I think we are at the pre -COVID level. So I do not think further drop in the CPVC or PVC.
Praveen Sa hay: Number can you give like what is the pricing of PVC resin right now.
Hiranand Savlani : It vary from company -to-company because multiple companies are there, every company 's price is different.
Praveen Sahay : The next question is relate d to the adhesive business and especially the domestic adhesive business and where now the Dahej unit up and runnin g. So how is t he utilization level at the company level for the adhesive capacity?
Sandeep Engineer : At present, the utilizat ion is good, but not you can even increase it to a level, but with Dahej coming in, will have a good capacity and the utilization w ill obviously go down. But in chemical plants you cannot keep adding like pipe plant one extruder every time when you are bui lding a plant, you must keep a vision of at lea st 10 years and put your plants because

 chemical plants are tough to keep erecting a nd adding. So in Dahej we have gone with an automization plan t. A plant with good filling cap acity, good production capacity, and also we can make multiple chemistries out of it, and also we are getting a good response of our epoxies in exports a lso, we ar e seeing a goo d growth coming in th e coming years from that market, and also the Indian market. So Dahej will add capacity to a substantial level, but it will also optimize the production cost as it is a plant which will be automized and running. Certainly we are in cer tain chemistries going one to two steps backward, which will give an additional advantage of our raw material c osting. So adding capacities or building capacities in the pipe business or the polymer business is something which is different an d in chemical business or in the adhesive business, which is something which is also different. But we are optimist or we are sure that this capacity will help us to go a long way in coming four to five years and even a little bit more than that.
Praveen S ahay : Can you quantify as a percentage how much the capacity has increased with the Dahej.
Sandeep Engineer : Capacity we cann ot, because in adhesives side the lot of things which are different we are than to tell you this is the capacity in liter, this is the capacity i n KG, this is the ca pacity in, because we have different products which are made and labeled in different metri cs. There are liters, KGs, there are ge ls, there are formations. So i t is not like a pipe. You convert a polymer KGs tonnage into p ipe for everyt hing is KG, single digit only and tons.
Hiranand Savlani : Let me put it other way that whatever capacity is there right now, we can easily get a revenue

of 2000 Crore s plus level.
Praveen Sahay : The next question and the last question is relat ed to the Bath ware segment and they are also you have reached to 8 Crore per month of a run rate. So, can you give some more color on the, what mix of the premium or the economy segment right now you are fetching and also if you give s ome geographical colo r as well?
Kairav Enginee r: Right n ow geographical color is very difficult to give because we are now selling to almost all the States and there are a few pockets in the East where we have yet to penetrate. But otherwise, our centers have opened up pan India and with r egards to your question, obviously the premium product category will not sell automatical ly. People will first gain confidence in the brand and then use our, lower and then mid segment product and once they are comfortable with the brand and they get posit ive response and they see positive response from the market after using that, I think the n slowly and gradually more of the prem ium segment stuff will get sold.
Praveen Sahay : At what level of revenue you are expecting a break even here in th e Bathware?

 Hiranand Savlani : I think we have said around 10 to 11 Crore kind of run ra te we will be at a break even, but it can be a little bit here and there also because once you get some feel from the market, now you keep changing your strategy. So lik e now we are g etting a good response in certain geographies. So we have started doing s ome branding activity over there. So we have to monitor the market and with the time we have to change our mindset. So we were also not expecting that in the month of Se ptember we wil l do Rs. 8 Crores, but we did it. So I think we are not looking of break even 1 Crore here and there. We are having a vision of next 10

year. So for that even if the one quarter here and there break even, is not going to affect the company when our v ision is for the next 10 years.
Praveen Sahay : Correct . And when the Telangana an d Kanpur is going to commission .
Hiranand Savlani : So like Telangana, we are targeting by June and Kanpur will be by March end. So you can see Q1 of 20 26, you will see t he prod uction capacity up and running.
Praveen Sahay : Thank you for ta king my question. All the best.
Moderator : Thank you. The next question is from the line of Akash Shah from UTI Mutual Fund. Pleas e go ahead.
Akash Shah : Thank you for the opportunity. S ir, just want to understand, what was the key reason behind 44% growth in other expenses on a Y -o-Y basis? So in this quarter we saw 44% growth in other e xpenses.
Hiranand Savlani: So what happened that in many time the event which we have worked out for t he promotional activity or maybe a branding activity may one or two mon ths here and there. So because of that event based some spend you have to do. So in this first half, the events were more so because of that the branding cost and the promotional activi ty was high , because most of our adhesive meets, dealers meet, and the pipe mee ts were happened in the first half and preferably in Q2 more. So because of that, that spend had jumped up very fast. So you can see in the coming half this event will not be th ere, so the ex penditure will come down in the second -half. But our annu al budget what we have allocated to particular things will not going to change. So it happened that on a quarter -on-quarter basis it is very difficult to even out. But on a 12 month bas is, it definit ely even out that i s why o ther expenditures are very high , and similarly you can see the employee cost is also very high because we have appointed a lot of new senior management people within our team for the sanitary ware side also and for t he adhesive si de also, pipe also we have added the senior people. So their cost is not absorbed because once it even out in 12 months it will be abs

orbed. So on a yearly basis again you will see the employee cost will not be that high, but right now becaus e of the low er half historically first half is 45% of the revenue and the second -half is
 55% of the revenue. So once it will be even out in 12 months, I think will not be that high of other expenses.
Akash Shah : Sure, Sir. And what wo uld be the advertiseme nt spend for the whole year and this quarter?
Kairav Engineer : We stick to whatever guidance we have been giving since when we started doing ou r advertisements. We do about 1.5% to 2% spends on branding and promotional act ivity like always we have done.
Akash Shah : And Sir, in Dahej , I mean, so Dahej facility, what wou ld be the reve nue potential of that facility?
Hirana nd Savlani : I said Dahej should contribute the minimum of 80 0 to 1 000 Crore kind of revenue.
Akash Shah : Sure, Sir. Tha nk you very much for answering.
Moderator : Thank you so much. The nex t question is from the line of Dhananjai Bagrodia from ASK. Please go ahead.
Dhananjai Bagrodia : Hi! Sir, it is actually wonderful execution again. Wanted to understand we have grown 28% what would have been roughly indus try growth in the same time .
Hirana nd Savlani : I think it is very difficult to say industry growth because other companies numbers are still not out. So it is too early to say what was the industry growth, but whatever our internal working sa y that we must have got the market share in this quarter. So we have gained the market share in this quarter, but of course actual numbers once will be out from all the other players, we will exactly will come to know.
Kairav Engineer : I can add to whatev er, Hiranandj i said that if you look at our H1 FY 2021 to H1 FY 2024, four year CAGR as far as tonnage grows, we are deliver ing at a 20.5 % four year H1 CAGR . I think we are outperforming in the most of the industries branded players by a long shot and we hav e almost doubl ed our tonnage in four years H1 to H1. So I think we are very comfortable with that type of tonnage growth we are seeing and we remain bullish with our guidance to close the year also at a 20% plus tonnage growth level.
Dhananjai Bagrodia : And it is a book keeping question. What is yo ur margins in India and UK in the adhesives.
Hiranand Savlani: India was 15 .5 and UK was 10?
Dhananjai Bagrodia : Perfect. Co ngratulations again. Thank you.
 Moderator : Thank you. The next question is from the line of Achal Lohad e from JM Financial. Please go ahead.
Achal Lohade : Good evening. Thank you for the opportunity. Just two questions. One is with respect to the DWC pipes, in terms of contribution, how large is that , and most importantly what I wanted

to unde rstand also is that has the Rex played the way you thought at the time of acquisition or it has b een kind of little laggard.

Kairav Engineer : So D WC is a significant business for us and looking at what the infra spend numbers and reports are coming out, ye sterday only I was reading that India will spend more than 143 trillion for infra work in the coming five years. It is a very positive sign for a product like double wall corrugated pipe and the acquisition has played out well for us. Obviously we do not give segmental wise numbers, but we are doin g very good volume growth in our double wall corrugated pipes and we see this going in the same run rate for the next couple of years. So I do not see any much slowdown. Actually most of the places our capacities are running at almost full level.

Hiranand Savlani : I can add further to what Kairav say that you do not look Rex as an independent company, but in the Rex premises , we have started manufacturing the other pipes also. So that business is also picking up ve ry fast. So th at is also gi ving us a good support from th

atlocation. So that is also adding to our growth as well as our margins.

Achal Lohade : And have you also been beneficiary of the spending which is happening in the Nal Se Jal programme and in which segments, is i t in only DWC or is it in…

Kairav Engineer : DWC is usually not there in Nal Se Jal programme because Nal Se Jal is a freshwater drinking water supply scheme? So double wall corrugated pipes ar e used for drainage application. So double wall co rrugated pipe application i s very different from the type of pipes that are used in Nal Se Jal . So Nal Se Jal predominantly uses HDP and then pressure Agri pipes in their scheme, and we have taken some Nal Se Jal orders. But that is all being done at the l ocal level by our distribut ors. We do not deal directly with the scheme. Our local distributors, if they get a Nal Se Jal order, they ta ke that order, we support them.

Achal Lohade : And if you could also give some heads up on the storage tank as to how it is buildin g up like you tal ked about Bathware you a re looking at a 10 Crore in next couple of months. How is the run rate for storage tanks now.

Hiranand Savlani : I think we have stopped giving individual number in the beginning of the new product journe y, we share th at number? But at a later stage we do not share because unnecessary we do not want to create unhealthy things in the market. So we normally do not say that way, because sanitaryware, faucet, and all are the new segment that i s why we are sharing over a

 period of time we will not be sharing the individual number into that segment also because ultimately we want to keep it this confidential, unnecessary everyone will spot each other, the competitors also. So which we do not want things to happen. B ut I can sa y tank is giving us an excellent number. Whatever we originally plan ned, we are going ahead of what we have originally planned. From that you can understand the growth is going beyond w hat we have originally planned.

Kairav Engineer : Actually tank i s where t he brand play comes in because Astral is a very strong brand, whenever people want to buy the water tank, they look at the label Astral on the tank and immediately the sale happens. So tank we are commanding a premium in the market. We are se lling at our p ricing and yet we are selling good numbers of tank and we are very bullish and that is why whenever we launch a new facility the first product we manufacture is tanks.

Achal Lohade : Sir, just one clarification, your tanks and both the DWC pip es, they would be better margin than the blended margin what you a re reporting . Is that a fair understanding?

Kairav Engineer : The tank will be close to our piping margin initially was not there, but now with this growth in the volumes, it wi ll be closer t o our pipe mar gin, DWC will be I think couple of percentage lesser than the normal margin.

Achal Lohade : Got it. Thank you so mu ch, Sir, and wish all the best.

Moderator : Thank you. The next question is from the line of Sneha Talreja from Nuvama. Please go ahead.

Sneha Talreja : Good evening Sir and congratulations for great set of numbers. Just two questions from my end. Firstly just wanted to understand that the paint s division is just others implementation things and everything settled in, and secondly mo reove r to that what kind of synergies are you seeing in that particular business with respect to adhesives. Have w e started receiving benefits or what is the vision here with respect to the synergies between both in paints and adhesives which you used to p oint out at th e time of acquisition.

Hiranand Savlani : Still we are working on the back office and the plant levels and all. Still our team has not yet taken the charge on the front side that is on the sales and marketing side because we state th at we are g oing to comple te the 80% acquisitio

n in this month. I think once that 80% will be completed then our team will be taking front roll in the sales and marketing and then

at a period of time we will keep communicating to the market whatever we feel that it is necessary to communicate to the market. Lot of synergies are there, lot of things are there otherwise we should not have entered into that business. So we are seeing a lot of synergy with the adhesive side and lot of synergy with the pipe side also on the project busin ess and
 all, but this all will be unlocked over a period of time . I think it will be too early at this stage to communicate that we are going to do this, we are going to do that. We do not want unnecessary to float the grapevine in the market . So at the ri ght time, we will definitely going to communicate to the market.

Sneha Talreja : And secondly also this for this particular quarter some inventory levels moving up, any specific reason for that and do we expect a tr ouble because inv entory, I m ean, PVC price s have been falling Rs.11 fall in a very short time. So is that inventory related to PVC or how is that place d will be happy to know.

Hiranand Savlani : Major inventory related to the CPVC because our company is more of CP VC driven. Secondly, y ou should also understand that we are growi ng at a 30% volume and that too in our off season first half I said that which is 45%. Our seasonal months are going to start now. So we have to start sourcing the inventory l ittle in ad vance. So I think it i s not going to give us much pai n in the coming time because CP VC is not going to fall further from here on. That is what we are expecting. Of course we are not an expert into that sid e, but we are of the view that our seasonal months are starting and secondly, we know that a lot of our dealers and distributors have done destocking in the month of September because everyon e was expecting that the prices to go down. So because of that also little higher inventory is there, but I think th at will be sold out in the month of Octob er itself and we are expecting this month also similar to what we have done in H1. So should not be the problem for inventory, it will come down immed iately in the month of October.

Sneha Talreja : That was helpful. Thanks a lot Sir.

Moderator : Thank you so much. The next question is from the line of Pinaki Banerjee from AUM Capital Private Limited. Please go ahead.

Pinaki Banerjee : Thanks for the opportunity. A couple of questions. With all the CapEx which will be coming of the beginning of ne xt financial y ear, how much growth are you expecting in FY2025?

Hiranand Savlani: FY20 25, I think we will guide you once we will b e completing the year. Our long -term guidance we have already given to double the top line or the v olumes in next five years t hat we have al ready communicated our long guidance for particularly next year I think we will be able to tell you once we complete our Q4 number.

Pinaki Banerjee : given the fact that you have already sitting on a cash of about 53 3 Crores . So for this under going CapEx , do you need to take any further debt or which is this to internal accruals only.
 Hiranand Savlani: I think out of that the 275 Crores , I think 275 to 280 Crore s will go awa y for the 80% acquisition to Gem Paint. Then the cash level will come d own? Basically we have not completed, they are doing some compliance work. So because of that the payment has got little delayed, but we are confident that we are able to comp lete this by this month itself.

Pinaki Banerjee : Okay , Sir. Thanks. That is all f rom my end. Th anks.

Moderator : Thank you so much . The next question is from the line of Bhavin Pande from Athena Investments . Please go ah ead.

Bhavin Pande : Sorry . So basically, I mean, margins have shor

t up well despite I sort o f just collecting . So was i t on account o f operating leverage or they are not the volume .

Hiranand Savlani : Your voice is breaking friend. Whatever little bit I understood early part, I am replying you because later part again is not clear. But your question was relatin g to the margi n. I think margins are normal margin. There is no abnormality in the margin, which is the normal margin whatever we deliver every year. So nothing is spe cial in this quarter. But, yes, looking to the volatility I think margins were good. We w ere able to ma nage somehow the volatility in the re sin price , and secondly, you rightly pointed out the volume growth always helped to maintain your margin. So this first half the volumes were pretty decent 29%-30% volume growth. So that has also help ed in the economy o f scale , and secondly with the addition of the new plan t that also help you to improve your margin because you are going to supply from your local plant, near plant. So that will save a lot of money into the logistics side. So that is also he lping us. So o verall put together this margins are that, but we do not see these are the abnormal kin d of margin on the either side.

Moderator : Thank you. The next question is from the line of Manan Madlani from KamayaKya Wealth

Management . Please go ahead .
Manan Madlan i: Thanks for the opportunity and congratulation on great set of number. My question was what would be our valve and like this growth for H1 on Y-o-Y basis, and have you got any export orders of valv e particularly?
Hiranand Savlani : I think i ndividual cate gory number, we do not share, but I think overall we have given that we are targeting 1500 Crore s revenue from our new launches. Whatever, whether the DrainPro , Silencio , tank, sanita ry ware, faucet, valve , and then paint and all that , I thin k we are going just as per the track . So we can say that they are doing all good. Otherwise these kind of maintaining the margin without the value added product is not possible. So value added prod uct contribution is healthy. That is why we are able to mai ntain our marg in. So it is doing good, but we will not be able to s hare you the exact number or exac t grow th on that particular category.
 Moderator : Thank you. The next question is from the line of Parv from Niveshaay Investment Advisory . Please go ahead.
Parv : Sir. Jus t wanted to understand on the Kanpur plant closure part, which you indicated f or it was for adhesives, right?
Hiranand Savlani : Yes, it is adhesives .
Parv : And what is the reason for such closure and how do we manage the capacity levels that are going to r educe going forward.
Sandeep Engineer : It wo uld not reduce actually we are moving certain of their equipment s to our Rania plant, Most of them have moved and some of t he vessels are moving to the Dahej . Actually the capacity is going to go up , not decrease and none of these equipme nts which are there making products are going to go away . They are actuall y moving to different locations and in Rania , which plant we have i n Kanpur has been consolidated to one plant. We have bought land, we have b uilt buildings and we have moved most of the products to Rania plants and some of the products will be moved to the Dahej plant with the additional capacity. So we are closing the p lant but not reducing the capacity.

Hiranand Savlani So this was the origin al understanding with the Regin ova Promoter that after seven years we have to give back the premises to them.
Sand eep Engineer The Unna premise only.
Hiranand Savlani and which is the smaller premises compared to our Ahmedabad premises or Rania premises or the Dahej . So that was originally a part of the de al and accordin gly they have given us a little extension of two to three years becau

s e of COVID and all. So now we have to give back that premises to them.
Sandeep Engineer The reason of moving this plant was that this plant is surrounded by most of the residential place, so we have to m ove out of a locality where there i s more residents than the plant.
Moderator : Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah : Hi! Sir. Thanks for the opportunity. First question is f or Sandeep bhai . Little bit of different question. When do we say no to an order? The reason I ask is a lot of government orders, Agri orders which are there. So when do we say no to orde r? Is it working capital and it i s all margin that we look at? How sh ould we underst and this?
 Sandeep Engineer : We do not say no to any order. We do supply to projects. Even if you are pointing to government projects, we have done many projects. If you go to the Narendra Modi Stadium is full of Astral products. The Statue o f Unity is buil t with Astral products and many other projects we are supplying but mostly we go thr ough the big contractors like L& T, Shapoorji Pallonji or contractors which are regional based. Today we are doing a big project in one of the big towns of Gu jarat giving th em sewage and drainage pipes and this is a lso going through a very big contractor. So we do not mostly say no to the projects except we say no to the projects when we are not having capacities. This is the last.
Hiranand Savlani: In fact ye sterday also we have got Rs.20 Crores single order fr om the very good project of government which I will not disclose the name and all this a single order of 20 Crore. So we are doing but through a channel only so tha t our money is safe and which will give us a reasonabl y good margins. We do not want to sell the product with raw material plus Rs.3 or raw material plus Rs.4 what many other players are doing .
Kairav Engineer : Yes, s o little bit to add to what Hiranand bhai was saying that we do not explicitl y deny anyone w hen they co me asking for the materia l. But, yes, we do have a threshold where if we are not making any money on this a particular supply then there is no use for us to take

that order. So if it is at resin cost or resin plus Rs.2, Rs.3, Rs. 4, there is then you are losing money on that order. We let such orders go also.
Moderator : Thank you. The next question is from the line of Keshav Lahoti from HD FC Securities. Please go ahead.
Keshav Lahoti : Just one small follow up. The 2000 Crores capaci ty is post Dahe j addit ion, right? The number you sa id.
Hiranand Savlani : No, not additional 2000 Crores all put together will be generating the 2000 Crores revenue.
Keshav Lahoti : That is including Dahej full ramp , right.
Hiranand Savlani : Yes.
Keshav Laho ti: Ok. That is it.
Moderator : Thank you. The next question is from the line of Aasim from DAM Capital. Please go ahead.
Aasim : Just wanted to understand on CPVC price movement. So you say they have bottomed out at current levels that should stay here. Can you just tell me how much the CP VC price s correct from its peak to now?

Kairav Engineer Very different to and difficult to say because there are so many manufacturers and each of them is quoting their own price and at their own comfort levels and their own margins.
Aasim: Can you tell me just for one particular supplier how much that would be the hypothetical. The PVC prices have dropped 50% right.
Sandeep Engineer: CPVC is our pattern, it is our key thing and I would not love to share these numbers because these are t hings which people ke ep an eye on us and we are very effective buyers. So it is difficult to share all these numbers on CPVC. CPVC is something which is kept close to our heart because we do the best of the buying and everyone is eyeing .
Hiranand Savlani : Japanese are giving different price, Koreans are giving different price, every country is quoting the differ ent price. So very, very, difficult to predict what current price is there in the basket.
Aasim : I understand, just that since PVC p rices dropped 5 0%. Just wondering is there more downside le ft in CPVC or not because?
Sandeep Engineer : CPVC as per my experience t his is t he bottom. What we are getting.
Aasim : Thank you.
Moderator : Thank you. The next question is from the line of Akash S hah from UT I Mu tual Fund. Please go ahead.
Akash Shah : Thank you very much for the opportunity. Just wanted your thoughts on UK business, Seal It, I mean, Sir, will you please share revenue outlook and margins for this business?
Hiranand Savlani : I think U K is doing good , this quarter also UK has given us a good growth close to about 17% in top line this quarter. So UK is fairly doing well margins this quarter about 10% otherwise normally UK work on 11 %-12% kind of margin and we are expecting second - half sh ould be coming back to the normal margin. We are very happy with the perf ormance of UK.
Akash Shah : Just one thing. This is a sort of matured market. So, what would be the sustainable growth rate for this business?
Hiranand Savlani : I think it depends what new products y ou ar e launching, what new strategy you are bringing on the table. It depends on many things. I agree with you that it is a mature market. So getting growth is always a challenge. But you will look at the number of UK operation, the time wha t we acquire d and wh at is the today number. So we are continuously adding the new product, continuously adding the new customer. Even recently also we have added a

couple of big ticket customer. The number will be reflected in the coming time. Maybe second -half you will see s ome effect on that because of these two new customer s, and second year you will see a reasonably high growth number because of this two big ticket new customers. So it depends which product you are giving to them, which chemistry you are offering. So we ar e working on that and will see that how we can add more chemistry over there.
Sandeep Engineer: One more thing that today in U K all the competitive companies, which were competing against us or they are b igger than us also are being ac quired by big m ultinationals and because of these there are a lot of policy change, pricing changes, all these coming and this in last 2 -3 years is giving great advantages for us for reaching out to bigger DIY customers who want to tie up and are tying up with us actuall y in that market. Second is all these markets are not matured at all because of their climate conditions , their houses need continuous repairs, waterproofing and that is where the continuo us flow of many products

happen a nd third thing is we have actually started getting export orders and we are going to work in a big way in the Middle East to tie up and sell many products m ade out of UK and US and India.
Akash Shah : This was something new that I heard. Sure. So, basically there is an export opportunity as well from India or UK market to Middle East.
Sandeep Engineer: Yes, we have already started and we have already started getting orders also. That i s why I can proudly say that w e have started working in this.
Akash Shah : And, just last quest ion, Dahej facility, can we say that by FY20 26 we will be able to ramp it up till the revenue potential that we had discussed about 800 Crores or wo uld it take more time, say FY202 7 or 2028?
Hiranand Savlani : We have finger crossed? We want early, but mark ets should supp ort. I think whatever we have given the guida nce you forget about particular facility what they are going to give you. Look at the overall pictures of adhesive. We have guid

ed that we will keep growing 15%-
20% run rate annually a nd I think w e are very well on track in fact if you see the last three years growth, I think we are much ahead of what we have originally guided. I think we are very bullish on that segment of the business . So we will keep growing at 15 %-20% run rate and if the market will support w e can grow even faster than that and in past also we have deliver ed that numbers also more than 25% also growth we have given. So it depends on how the market is supporting us. If the market will open, definitely we will be the first player to move into th e mar ket.
Sandeep Engineer: Certainly Dahej the major advantage which comes for u s is the storage is all in bulk, today when we buy the product from manufacturer to manufacture our product, it comes in loose

 packings of grams of 200 liters or 200 kg packi ngs a nd we have to sometimes send the product right from the Dahej area to Kanpur or Ahmedabad. Most of the raw materials o r the chemistries which we have put in Dahej t he 80% raw material is made and available from Dahej . So one advantage i s there. Second adva ntage for pricing will happen for the raw material as we will buy in bulk, we will store in bulk storage in tanks, underground tanks, overhead tanks and so that will also save substantial amount on packing s of the raw material in coming years, and all the chemicals will move through automization in pipes, so there wo uld not be any spillage or wastage also happening.
Moderator : Thank you so much. The next question is from the line of Rahul Agarwal from InCred Capital . Please go ahead.
Rahul Agarwal : Hi! Good evening. Thank you for the opportunity and congratulations for the good set of number on the piping side . First question was on capacity, as I understand you said 20 000 tons got added was that Orissa, that is one clarification I needed .
Hiranand Savlani : No, not Orissa, This Santej plant some addition, some Dholka and some to our Hosur also.
Rahul Agarwal : So I am trying to calculate March 2026 numbers for overall capacity my sense is as of now 310000 tons is already there if I add up G uwahati, H yderabad a nd Kanpur, that is about 140000 tons and I am assuming that over next two and a half years you will add another 20000, 30000 tons of balancing, that basically means that we are going to add another 170 - 180 so about 2 lakh tons on a base of 3 lakh tons is t hat correct.
Hiranand Savlani : Yes, correct. Look at that growth number also, because we never added so quick that capacity but look at the last three quarters numbers the volumes are coming very huge so we should not shy away and if we see that any point of time that the market is not support ive you we can little bit delay also and if the market is support you we can preponed also because cash flow is not a problem to our company but depend ing on the market condition we are continuously monitorin g the mark et conditions and based on that we are telling our project team to gear up. So it is within our control so whenever we feel that we do little early we will try to, even there is still scope available within our existing plant because we are havin g capacity or free land available at our Dholka plus we have recently added a new parcel of land at Dholka also we have some scope available with our Santej capacity also we have a spare capacity means we can add more capacity in our Ghiloth plant also, a very stat e of art fitting plant is coming up in this Ghiloth also I think almost building work is on the verge of completion and hopefully shortly we are targeting to put up the machines so very sizable plant is coming for the fittings over there also so I think acr oss all the plant we are adding the capacity and there is still room available so we are working closely with our technical team that how additional 20000, 3000

0 metric ton you can add

 within our existing plant that is going to add and support ou r organiza tion so we are working on that also. So capacity will not be a problem to our company.

Rahul Agarwal : Absolutely Sir, I understand that because my sense was two years back if you remember, we ha ve been discussing that CapEx for Astral w ill actual ly come do wn. But f ortunately the volume growth has been so high that we have to actually increase our CapEx so that is good news.

Hiranand Savlani : But look at the last three -year number. Last three year we have doubled ourselves. We have not sh owing but to increas e our capacity. I always feel that now we should put some break, but the growth is so fast and so quick then we have to do like that and still I think whatever we have discussed and said and done, we are working on m any things in the or ganization in every vertical, which we cannot disclose in advance. So at that right time we will keep disclosing the thing, but we are working on many things and continuously our work is on with new products, new t hings in the organization, auto mization, m any, many things we are working. So at appropriate time we will keep disclosing that thing to investor community. Because there is no point to disclose at this stage . So I think we are working on lot of new products also we will keep communicating you one -by-one onc e we will be ready at the stage of launch. You know recently Sandeep bhai communicated but no one had highlighted that thing in the question and answer session that is the ISI in the fittings for this fire sprinkler also, fire sprinkler is a very , very big opportuni ty and I can give you a list of projects which recently Astral has got and we have completed also many. So there also a lot of scope is there. I keep finger cross, w e will keep giving you thi s kind of things every quarter.

Rahul Agarwal : Yes. Good news tha t is happy to know. This fiscal 2025 just wanted to quantify the CapEx number we understand the volume additions, but as you said 350 Crores plus 75 for current year fiscal 2025 will be earlier I think last quarter we discussed 250 Crores, will t hat be higher to or is that 250 that we felt?

Hiranand Savlani : I think land acquisition is completed all the locations Telangana also land is covered this year and this Kanpur land is also covered. Additional parcel of Dholka is covered this yea r. I think corporate office land is also covered this year. I think next year will not be at that cost so whatever we have said will not be increasing to that.

Rahul Agarwal : It should assume 250 Crores right.

Hiranand Savlani : Yes 250 to 300 Crores.

 Rahul Agarwal : And one cl arification was on the plumbing side, on the volume 52000 tons. I am assuming there is nothing included of Bathware there, right, I mean, Bathware is sold in pieces, but just want to clarify because as I am not clear all.

Hiranand Savla ni: Bathwa re sale is only Rs. 18 Crores billing. This is nothing negligible.

Rahul Agarwal : And lastly, on the inventory loss, how is that accounted? Because when I see gross margins is actually up Q -o-Q, so just wanted to understand that.

Hiranand Savlani : So if we have not a ccounted that, then the gross profit margin could have improved a little further?

Rahul Agarwal : So it is basically a part of raw material cost, right.

Hiranand Savlani : Yes, it is a part of the raw material cost.

Rahul Agarwal : And this is all r ealized lo ss, right . There is no mark -to-market on the 3 0th September inventory, right.

Hiranand Savlani : No mostly realized.

Rahul Agarwal : Ok, perfect. Sir. Thank you so much for answering my questions. All the best.

Moderator : Thank you. The n ext questi on is from the line of Manan Madlani from KamayaKya Wealth Management . Please go ahead.

Manan Madlani : Thank you for the opportunity. S ir, we were going to appoint a senior employe e for our paint segment. Any update on that?

Hiranand Savlani : We have alrea dy appoint ed and he has already joined the organization.

Manan Madlani : Okay, congratulation on that. And are we planning on appointment specifically for our Bathware segment anytime soon?

Sandeep Engineer : Yes, already in bathware also one senio r person h as joined in the marketing and in the design also somebody has joined.

Manan Madlani : I mean, on the advertisement par t.

Kairav Engineer: Bathware advertisement we have started slowly and gradually we are doing , but we need to also get some of the sales g oing on because only spending money and not building the showrooms and creating channel and selling. Only doing one way advertisement is also not good. So we like always in the case of our other category even adhesive also we reached a certain point before we started doing advertisement. Even in the piping business we reached a certain level before we started doing advertising . Similarly in Bathware also we have kept a certain threshold before we will start doing significant advertising. Of cour se it is mak ing no sense.

Manan Madlani : Fair enough. That i s it from my side. All the best.

Moderator : Thank you. The next question is from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani : Hi, Sir. Thank you for the opportunity. Just one q uestion. Do we have any channel financing arrangements with the bank?

Hiranand Savlani : Yes, we have channel finance, but non recourse . So we do no t give any guarantee to the bank.

Bhavin Rupani : And what would be the amount of that as on September.

Hiranand Sa vlani : We do not track that because we have not given any guarantee. So we do not track that because it i s a direct understanding be tween distributor and the bank.

Bhavin Rupani : So are we paying any charges for that or is that done by the deal er.

Hiranand Savlani : No, because it is a direct deal between two. So we are not in the picture . We are only a supportive role we are playing whenever banker need any information or data we are sharing that with the bank. Otherwise we do not pay any single penny to the bank.

Bhavin Rupani : And this scheme is applic able for the dealers in Bathware segment as well?

Hiranand Savlani : Bathware yes, a few have started, but the Bathware base is still low. So still lot to join in the coming times.

Bhavin Rupani : That is helpf ul. Thank you.

Moderator : Thank you . We would take that as our last question. I would now like to hand the conference over to the m anagement for closing comments.

Sandeep Engineer: Thank you ev eryone for joining in this call and wishing you a Happy D iwali and a prosperous New Year and will connect after this quarter is over again. Till then have a great festive season, all of you with your family and friends.

 Kairav Engineer: Thank you everyone for joining and Happy Diwali and we wish everyone the best in the coming year and we will see you a fter our Q3 numbers. Thank you.

Hiranand Savlani: Thank you everyone for joining this call, and if we have missed anyone to answer the question you are free to call me personally anytime post this con call. Thank you s o much and wishing you a very happy Diwali and happy New Year in advance and thank you Arun for hosting this con call. Thank you everyone.

Moderator : Thank you. On behalf of ICI CI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

"Astra l Limited Q3 FY-24 Earnings Conference Call"

January 30, 2024

MANAGEMENT : MR. SANDEEP ENGINEER – CHAIRMAN & MANAGING
DIRECTOR – ASTRAL LIMITED .
MR. KAIRAV ENGINEER – EXECUTIVE DIRECTOR –
ASTRAL LIMITED
MR. HIRANAND SAVLANI – EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER – ASTRAL LIMITED .
MODERATOR : MR. RITESH SHAH – HEAD MID-MARKET COVERAGE
& ESG , INVESTEC INDIA

Moderator: Ladies and gentlemen, good day and welcome to Astra l Limited Q3 FY24 Earnings Conference Call hosted by Investec C apital Services.

As a reminder, all participant lines will be in the listen only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference i s being recorded.

I now hand the conference over to Mr. Ritesh Shah – Head Mid-Market Coverage and ESG at Investec India. Thank you and over to you sir.

Ritesh Shah: Thank you, Seema. Welcome all to Astral's Q3 FY 24 Conference Call.

We have with us from the management Mr. Sandeep Engineer – Chairman & Managing Director; Mr. Kairav Engineer – Executive Director ; and Mr . Hiranand Savlani – Executive Director & Chief Financial Officer .

I'll request the management to start with initial re marks post which we can have a Q&A please . Over to you sir.

Sandeep Engineer: Thank you Ritesh. T hanks, everyone for joining the Earning C all of Q3 FY24.

As we have communicated in Q3, the demand scenario is very robust, and we are able to deliver 15% volume growth in Q3 and 24% volume growth in the first nine months of FY 24 in the plumbing business.

As you are very well aware, the market situation still continues to be volatile. As far as pricing is concerned, particular ly a downward polymer and chemical pricing situation within which we have to continuously work and deliver numbers .

During Q3 also the PVC price s were down by almost 7% and CPVC prices were down by 5% which normally affects the margin and the channel also is continuously destocking the inventory in such conditions. But in spite of that, I am very happy to share that with all these challenges and volatility , we at Astral are always trying to mitigate these challenges and deliver a consistent performance within our guided numbers and guided ranges.

Plumbing Business:

The results are in front of you that once again in the plumbing business we are able to deliver an EBITDA margin of 16% in Q3 and 17% on a nine -month basis against our guidance of 15% to

17% EBITDA margin .
The margin is after charging a few one -off the expenses, a loss of Bathware business which Hiranand Bhai will explain in his remarks and the expense incurred towards the celebration of

Company 's completion of 25 years and the event which we celebrated for the Company and its staff at Jaipur.

Pipe Business:

As communicated in last concall due to robust demand in pipe verticals Company have decided to aggressively move into expanding its capacity . As communicated earlier we are putting three new plants , and all are going as per schedule .

Guwahati Plant :

A 22,000 metric ton ne plant already started production on the water tank last quarter, and from the month of January we have already rolled out our pipes, so we are expecting some sales in the last quarter from this plant .

Hyderabad & Kanpur Plants:

A 70,000 metric ton ne and Kanpur plant 6 0,000 metric tonne, expansion activities are going on in these two locations a t full swing . Hyderabad first phase of construction is almost getting over by March and in Q1 we will be starting to put machines and by Q2 end commercial production will start . Kanpur plant layout is in progress and shortly the construction work will be started.

During the first nine months we have increased the capacity from 2.9 lakh metric ton nes to 3.29 lakh metric tonnes, 30,000 metric tonnes increase in the capacity .

As a part of our commitment to society and to our customers , we are happy to share that we have recentl y received a Green Product Certification for our Astral CPVC Pro and Astral GrainPr

o

products from CI I Green Products and Service Council .

Adhesive and Sealant :

Our state of art plant at Dahej is in operation and giving good results in terms of energy saving , cost reductions what we originally planned and what we have been reflected in numbers is going to be exactly seen in the coming quarters after one or two quarters as the plant gets fully functional at the scale and the inventories of differe nt plants which has already been there and made at the older locations is sold in the market.

Our Indian adhesive operation has given excellent growth in Q3 , a top line growth of 17% and on the nine-month basis 15% in value terms . In volume terms it is much higher due to the fall of chemical prices . Even EBITDA for the quarter was very healthy at 16 .5% in Q3 and on a nine - month basis it was 16%.

Our UK adhesive top line has grown by 9% in value terms, and in volume terms it is growing much faster, but in EBITDA terms it has given a negative 3% EBITDA in last quarter mainly due to inventory loss and heavy FOREX loss due to the fluctuation of GB P and US dollars. If

we remove th at the UK EBITDA was on a higher single digit number. This also will be explained in detail by Hiranand Bhai in his remarks . Nine-month basis EBITDA was 5.3% and top line growth was 10% at our UK plant, UK, US operation.

Paint Business:

In paint business we are getting ourselves ready with lots of new products at the plant and various systems and MIS in the back office at the same time we are creating a team to launch Astral brand in few states from Q1. So, in Q1 we are coming out with our launch of Astral brand products , and we will be addressing a few markets, at the Phase -1 of it and slowly and steadily increasing the reach to different markets and almost completing our reach to the entire country in coming one to two years with the new brands , new products and new complete range of product line.

Due to this we are confident that Q1 next year we will see a substantial improvement in the numbers and presence of brand Astral in market . We are in the last leg of production which will be done in Q4 post that we are foreseeing a continuous journey of growth, and the pain t business has always been in a positive EBITDA number and always whatever the sales have been happening and happened is always in a positive EBITDA number.

Bathware :

We are continuously seeing quarter -on-quarter improvement in this business and now slowly we are seeing the product is visible in the market. Also, our branding team has started work on this segment and we the first time showcased our product in an Acetech , exclusive group for the faucets and sanitary ware product lines. We are taking part in various exhibitions; we are of the

view that it will convert in numbers in the coming time. Compared to last quarter sale of Rs. 17 crores this quarter the Q3 sale was (+20) crores, which is very healthy a nd continuously improving. Since this is a new segment for us , we don 't want to rush and we want to grow slowly, steadily with steady and consistent growth.
Now , I hand it over to Mr. Hiranand – our ED & CFO for his opening remarks and numbers and then myself , Hiranand and Kairav will answer all your questions.
And once again, I thank you all for joining and trusting Astral .
Hiranand Savlani: Thank you everyone for joining this Earning Call for Q3. Numbers are in front of you so I'm not discussing any of the number but whatever the key highlight s for the quarter , I want to discuss with you.
FY24 started with a very good note and momentum may still continue. We all know last year Q3 base was very high due to continues price rise of PVC and CPVC due to the loss of that restocking demand was there in spite of higher base, current year on a higher base also we are able to grow 15% in volume and on a nine-month basis 24%

in volume .

Our margin front also we have maintained our guidance of 16 %, 17% in the pipe business on a nine one basis our margins are (+17%).
As you all know, last quarter that is Q4, always delivered a good volume and good margin for our Company and we are expecting to repeat the same in the Q4 also. So, if we consider that we may surpass what we have guided in our guidance .
This quarter a few items were one -off which I wanted to highlight :
1. The Rs.11 crore we spent on the Jaipur event that is our 25th anniversary .
2. Rs.4 crore loss on the Bathware division because we have spent some money on the branding activity in this quarter because of that Rs.4 crore loss is there .
3. The inventory loss of PVC and CPVC is difficult to quantify but it should be in the range of somewhere around Rs.20 crore. So, in spite of all this Rs.35 crore of one-off item, we are able to deliver a very , very healthy margin .
Last three quarters continuously we are seeing pressure on reduction in polymer, and we are incurring the losses , but in spite of that we are able to maintain 17% healthy margin . Q4 will be the last quarter where we will see that there will be a minor reduction in the polymer price but Q1 onward that will be the bottom and Q1 onward w e will not be having any polymer pressure and that will be the bottom and from there we are seeing upward journey of polymers .
Our value -added products are giving a fantastic result because of that in spite of pressure on the polymer price you are able to see that we have maintained our margin and we have maintain ed our realization also , we have never ever seen such pressure in polymer price in last so many years which we are seeing since last three quarters .
All our new products in plumbing, whether it is wall, water tank , Silencio, Grain Pro, now even fire sprinkler all is contributing a good number and that is reflected in the margins. B ecause of the competitive environment we will not be able to give you the number of each product, but we can confidently say that all the new products are giving us very, very healthy growth in the Q3 and will continue in the coming time also .
Bathware as per the plan, we are gro wing steadily and consistently, as Sandeep Bhai said, being a new product, we don 't want to rush, but we are growing quarter -on-quarter, and you will see a good number in the coming time. Now 20 crore run rate quarterly has already been established so, we are also confident that next year we will be at least triple digit number on a full year basis.
Adhesive division in India is doing excellent progress and as communicated earlier we are growing on as p er guidance of (+15%) revenue growth and margins also , as we guided 14 %, 15% we will be touching to that even will be higher than that also . The first nine-month India operation has already delivered 16% so we have surpassed the guidance of 14 % to 15% for India operation . The only a little bit hiccup came in the UK adhesive which is a challenging year due to drop in the silicon price, where our Company 's highest weightage is there and maximum

contribution is coming. So, because of that drop , the inventory losses and particularly in the Q3 we have incur red (-2.3%) EBITDA because of this inventory losses and there was FOREX losses we are accounting into the margin. So, that has also contributed and that is the reason it is a negative EBITDA of (-2.4%). But still we have maintained 9% growth in the top line, and we are of the view that we will be coming out from this problem from the Q4 onwards . Nine-month basis our EBITDA was 5.35 in the UK operation, but on a full year basis we are expect ing we will improve a lot in Q4 numbers.

Paint has delivered a revenue of Rs.47 crore in this quarter and with an EBITDA of 18.5% . We are now almost on

the verge of correction, and we will see a sizable improvement in number from Q1 onward. That is from next year first quarter . As we are planning to introduce a lot of new products and with the Astral brand launch in additional few states which will give us a good number and we will quarter -on-quarter keep updating you .
Last but not least, business sentiment on the ground is very , very robust. And we are fully geared up with the capacity in all verticals and we will definitely deliver a good number in the coming time. You can clearly see; we are gaining market share in bot h our flagship vertical that is pipe and adhesive. And once our two new plants that are in Kanpur and Hyderabad become operational, we will be gaining a good market share in pipe vertical in that particular geography .
Further , I can add that we had given guidance in FY 21 first time to double our revenue in the next five years . That was our first long term guidance and I'm very happy to share that we are going much , much ahead of what we have guided. At the same time, we are working for a new product in all the verticals. So, the time will come , we will unlock one by one and that is going to give us an additional booster to our growth.
With this, I want to thank everyone once again for joining this concall and opening the floor for Q&A. Over to moderator.
Moderator: Thank you very much. We w ill now begin with the question -and-answer session. We take the first question from the line of Dhananjai Bagrodia from ASK. Please go ahead.
Dhananjai Bagrodia: On your volume part, for plumping just wanted to understand what should be a fair OP per tonne we should be taking for the plumbing business going ahead because that 's been a little volatile, even after accounting of inventory loss and gain ?
Hiranand Savlani: We have multiple time communicated that the per kg understanding will be very difficult for us also and you guys also. So, we are always guiding the EBITDA percentage , because so many polymers we are dealing today it is very , very difficu lt to maintain the per kg EBITDA . So, we always request every analyst that please take the number with a percentage EBITDA rather than on a per kg because if you see , last year the Q4 is always loaded with higher CPVC and the value -added product they shoot up like anything and first half is always higher loaded with the PVC product and other products. So, in that case maintaining per kg EBITDA will always be a

challenging and it will always going to be volatile. So, please look at the number with the percen tage EBITDA rather than per kg EBITDA.
Dhananjai Bagrodia: Okay. A nd what would that number be just a rough ballpark ?
Hiranand Savlani: So, we have guided 16 % to 17% plumbing EBIT DA, right now we are working on a higher side and we will be closing the full year on a higher than 17% because Q4 is always robust in our industry and this adhesive and the sealant business we have added 14 %, 15% EBITDA we are at 13.8% right now on nine -mont h basis but we are confident that we will be moving between 14% to 15% EBITDA on a full year basis.
Dhananjai Bagrodia: Okay. And both Bathware and paints, they are relatively small right now. So, would there be any guidance o r what could be like two years , three year and in terms of numbers or is it too early to discuss this right now ?
Hiranand Savlani: It will be too early to discuss because still the base is very low and paint also we are coming up with a lot of new products and Astral brand also. So, once we will launch these products in the market , after working couple of quarter we will be able to guide you that this is the trajectory where we want to grow but it will b e too early at this stage but definitely our expectations a re very high from that division. Bathware , slowly and gradually every quarter run rate is growing.

So, already this quarter 20 crore run rate is there that's why I say at least +100 crore we will b e doing next year. But again it is a very low base. So, it is very , very difficult to predict at this stage. But again there also our expectations are good in terms of number but give us a few more quarter once we will create reach and make certain ways th en after giving guidance will be the right way to do.
Dhananjai Bagrodia: Okay. And sir lastly what would be your CAPEX number for 24 -25?
Hiranand Savlani: '24-25 we will be somewhere around 250 to 300 crore, mainly in the pipe because other division we have almost done the CAPEX.
Moderator: Thank you. The next question is from the line of Rahul Agarwal from InCred Equities . Please go ahead.
Rahul Agarwal: Sir three questions. Firstly, on pipes and adhesives you obviously mentioned in terms of what margins you are looking for which are more sustainable in long term, just on the growth rates, on volumes and revenue for either se gment for pipes and adhesives. Some outlook will help for fourth quarter of FY25 -26 based on your capacity increases both in plumping as well as

adhesives , just help with some growth rates that will be helpful. That 's the first question.
Hiranand Savlani: So, this year we have already given the guidance of (+20%) volume and nine month basis already we are on 24%. So, there is a higher probability that we can cross 20% also. But our guidance is definitely we have given 20% volume, which we revised last quarter. And as far as long-term

guidance is concerned, looking to the current situation on the ground (+15%) volume should not be a challenge .
Rahul Agarwal: And for adhesive?
Hiranand Savlani: Adhesive also we have guided 15 % to 20% kind of run rate.
Rahul Agarwal: Okay, get it. O n the UK business for adhesive , could you just help me with the 3Q margin you said (-2.5%) is that correct?
Hiranand Savlani : Yes. So, this quarter 81 crore was the top line again that is 2.4 crore was the loss. So, roughly about 3% negative .
Rahul Agarw al: Okay, get it . And last question on the Dahej plant, is it fully done with , what is the status there?
Hiranand Savlani: So, Dahej yes, we have completed that plan t, but the synergy will come in the coming quarter because once the volume will start pic king up you can see in the number also this quarter it self our margins are 16%. So, synergy has already started working in our favor, but what we have originally planned will take another one year or so, once we will reach at a certain level of scale. So, we are very happy and in the coming quarter you will see further improvement .
Rahul Agarwal: And what is the final CAPEX for the plant because my sense was about 1000 crores of top line we expect from whatever machines we are put as of now. Could you help me with the final CAPEX number and does that include the land cost as well?
Hiranand Savlani: We have already incurred (+200) crore, 200 something on this plant .
Rahul Agarwal: There's no land in cluded here right?
Hiranand Savlani: Including land .
Rahul Agarwal: What will the land cost?
Hiranand Savlani: I don't have a number because we have bought long back.
Sandeep Eng ineer: Land was taken around 10 years back. For some other chemical business , land cost is not so high here. If I remember right , it will be somewhere around originally cost was five, six crore and when we transfer to this Company that time it was around Rs.7 crore , Rs.8 crore .
Rahul Agarwal: Right. No, why I am asking was just to calculate that, what would be a revenue, the asset turns into business basically, but anyway I get the an swer. Thank you so much , all the best .
Hiranand Savlani : But in that plant we have kept the provision for the paint also remember, it is not only for the adhesive. We have kept certain pace for that a

lso , so in future if required we can manufacture paint also from the Dahej .

Sandeep Engineer : And also, we can have a massive plant of our solvent cement and some other chemistry . So, we have enough land bank still with us at Dahej plant.
Moderator: Thank you. The next question is from the line of Sneha Talreja from Nuvama. Please go ahead.
Sneha Talreja: Just two questions from my end. In your opening remarks, you mentioned that raw material prices are expected to bottom out in Q1. Does that mean currently your destocking is on and it 's expected to continue for Q4?
Sandeep Engineer : It will bottom out probably in this quarter and Q1 it will stabilize or start growing up . And one more thing ma'am it won 't be a huge bottom out this quarter it is already at a very comfortable level. So, it will be in the range of .
Kairav Engineer: Plus, with this Israel war there has been a Red Sea blockade by Yamen . So, that is also causing some logistical issues with regards to raw materials. So, maybe some polymer and chemical prices could also see an upward tick depending on geopolitical factors. So, we don 't know what the impact is and when it can happen but it seems likely that small impact may come.
Hiranand Savlani : The prices may start going upwards near term also .
Sneha Talreja: Right. So, the idea was in anticipation of the same has channeled started picking up inventory compared to last quarter?
Kairav Engineer : Channel is picking up inventory, there has been no real channel destocking, it is very evident in our volume numbers also, as you know Astral as a healthy retail and project mix, we are not only a project Company , so if the channel was destocking then this volume numbers would not have been possible.
Sneha Talreja: Understood, that was helpful. Secondly, also on your PMS, I just wanted to seek some guidance where we are right now , and what 's the path ahead, when are we launching it at the pan India

level, s ome guidance here would be helpful.
Sandeep Engineer: See, when we bought this Company , we needed some systematic corrections , strategic correction , safety measures. So, bringing in SAP a proper system. So, all these things have been done , there the market channel of their brand in South which also we are strengthening and there the sales numbers have started coming in a healthy manner. There were collection cycles which were disrupted which we have corrected . We have made few products , not few many products which are made now and tested to be launched. So, we did lots of work there. And our strategy launch of products in the brand name of Astral umbrella is almost getting ready. And in Q1 we will be going ahead with this launch also in a bi g way. But we will be moving from market to market , we will take at least two years to reach a pan India level we don 't want to mess up rush and say we are pan India. We'll put one zone three , four states see that everything is properly

working there , reach is there , we have dealers there , we are delivering proper products at time and then move to another zone , then another zone. And so, we want to go stepwise with correct measures, and you can see the way Astral has been in the adhesive business. And our way of working, our way of taking the business that reflects our capability from adhesive business and the way we are doing it . The good thing is that in adhesive as we have a very good manpower at senior level and junior level , in paint s also we have got a good manpower and this manpower are already working with us in the seat and preparing strategies to go in the market. So, we will be doing it and we will be always communicating things .
Hiranand Savlani: And I can add that you will be seeing that our employee cost is going up , that

is mainly because
of this new vertical we are adding the good people with us , we are increasing our management bandwidth, not only the new vertical even existing vertical also we are adding the senior people. So, because of that our manpower cost is also going up, but looking to the long-term picture s, which we are foreseeing in the next three to five years, this cost right now looks higher , but once will be absorbed with the growth it will come down to the no rmal level, but that is going to take the Company to the next level. So, we are incurring intentionally the higher costs considering the future growth in mind.
Moderator: Thank you. The next question is from the line of Praveen Sahay from Prabhudas Liladhar. Please go ahead.
Praveen Sahay: So, sir first question is related to the volume growth guidance , as you have done better than 20% of growth and now guiding for a simila r number, even there is also discussion related to the channel picking up when demand is very strong and your peers are also giving a guidance of a 30%, 35% of growth for the fourth quarter, but you are giving on the lower side why is it so?
Kairav Engin eer: We have not given for the reverse side. We had earlier given the guidance for the volume at 15% at the start of the year, which was then revised to 20%. And at nine-month basis we are under 24%-25%. And even this quarter has started on a positive note, and it is matching as per the nine-year average. So, we can also deliver higher than 20% at the end of Q4. But we don 't want to get over optimistic because we don 't know we are sitting in a commodity industry, we don 't know how the pricing of the polymers will behave , the channel sentiment sometimes changes overnight, which is very hard to predict. And then what happens is that even Holi false towards the end of month of March, so we don 't know plus, there is a election period a lso being talked about in the month of April and May. So, we don 't know what all sectors will contribute to the building material industry as a whole and how this will affect our volumes. So, we are giving a little bit of conservative guidance, but we will as always try to beat our guidance in this quarter also.
Hiranand Savlani: And Praveen , I can tell you, it is not that we are stick to 20% we are ready for the higher growth also and even in the month of January also we have maintained (+20%) run rate. So, nothing to worry on the volume, but don 't go by only the guidance of the management for particular quarter , look at the bigger picture for the next three to five years .

Praveen Sahay: Yes, sir got it . The second question is related to the Gem Paints how much is the revenue for this quarter related to Gem Paints ?
Hiranand Savlani: This quarter is 47 crores . With a margin of 18.5% EBITDA.
Praveen Sahay: So, even if I look at the top line number for pai nt is quite stagnant, but the margin profile has sequentially improved. So, is there anything we have done so far or we have yet to do?
Hiranand Savlani: Margin has naturally improve d because these chemical prices substantially come down , because all our crude derivative, so because of that the margin has improved, but next year onward we are going to go aggressively in the market. So, may not be maintained this 19 %, 20% margin

which we have done in nine months, nine-month margin is 19.38. So, will not be like that level margin because there is a lot of branding cost and everything will be there , a lot of marketing efforts will be there, because now our focus will be going for the growth and the volume. But this year because of the benefit of the raw material side we are in a good shape.

Sandeep Engineer: And second, the stagnancy which you are seeing is there, because as Astral came in and runs the unit we did a lot of correction on the credit cycles and all. So, now what

ever the sale is h appening is with the maintaining of the proper cycles of payments , it's not that somebody has a payment and he wants order and then we go and supply and then see everything is falling in the discipline how the Astral works for the other segments also.

Hiranand Savlani: It is recalling this adhesive story when in 2014 we acq uired adhesive also couple of years were like that only because we have to correct a lot of system and that is exactly happening right now also, but we are looking for the long-term benefit. So, for that we are sacrificing right now short - term growth, but we are confident that once this systems will be on the place then growth will come auto rather than depending on human , we are more depending on the systems so we are creating right now system that is why short term pain is there, but we are confident that long term it is going to pay us .

Sandeep Engineer: And as I told in the opening remark we have completed everything a few things will be in line in this quarter. And we have already planned the products , things , designs , communication to market , strategies of launch , branding strategies and which will all be unveiled with the new product line , the new brands and things in the first quarter of Q1 next fiscal .

Praveen Sahay: Okay. A nd last ly sir on the sale in the UK busine ss. How is the situation now like how is because we incurred losses because of silicon prices or GBP , USD fluctuations. How is because .

Sandeep Engineer: Business is excellent, there is no problem of any business growth. This is the whole, after our acquis ition in the whole of the history this is the first quarter this has happened and this is mainly due to the steep fall off silicon prices, nothing that inventory losses and if we take out the currency loss, it is not a loss, but we are accounting it in the margin. So, there 's nothing to worry about any situation s, there is nothing alarming for one quarter whatever it is, we have put in front of you , but it is not alarming situation at all , and things at 9% the Company is growing there.

Hiranand Savlani: And we are expecting a positive EBITDA close to about 7%, 8% that kind of they have worked out the budget that they will work in such a way that they will deliver 7 %, 8% minimum EBITDA in the last quarter. So, absolutely nothing to worry as Sandeep rightly said this year also we are growing and growth is also not , you see a country like UK where the economy is not growing still this Company is growing in double digit. So, what else we can expect from that country. So, we are very happy with the performance , this is the one off where the $8.5 silicone has come down to $2.3. So, naturally that kind of situation has to be created and inventory losses will be there in the sy stem. But now everything is said and done. So, we will be coming back , next year we are going to be at double digit growth in top line as well as we are expecting double digit EBITDA margin also.

Sandeep Engineer: And with even such a steep fall of the raw material the top line has grown by 9%. So, you can imagine the volume growth is even much better.

Hiranand Savlani : Yes, volume growth were very, very on a higher side of double digit, 18%, 19% kind of .

Moderator: Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Just a quick question, w ith respect to CPVC price. You mentioned something in the opening remarks the price was down Q -o-Q some 5% so just wante d to clarify was that about CPVC or PVC you were talking about?

Hiranand Savlani : So, CPVC was down by 5% in the last quarter and PVC was down by 7% in last quarter .

Achal Lohade: Understood . What was the price action in 2Q for both CPVC and PVC on a Q-o-Q basis sir?

Hiranand Savlani: CPVC every Company

-to-Company price will be different. So, very, very difficult to predict what will be the price of individual Company because there is no benchmark . As far as the PVC is concerned , PVC prices are published by Reliance. So, there we can say it was somewhere around 85.5 in the beginning of the quarter and at the end of the quarter it was 79 points or something. So, Rs.6 net rate is drop over that, so in percentage term it will work ou t to be 7%. But CPVC every supplier has a different price. So, there is no base on price we mean to say . We have worked out our average price and based on that we have calculated 5%.

Achal Lohade: Fair point sir, because PR actually mentioned about a 10% price correction in 2Q and prices were stable in 3Q, so I was just curious, the extent of price drop, is it similar 10% over two quarters or is lower for us?

Hiranand Savlani: No, for us Q3 there was a down in CPV C also.

Mode rator: Thank you. We take the next question from the line of Ritesh Shah from Invest ec Capital. Please go ahead.

Ritesh Shah: Couple of questions. S ir first is on the Bathware side. Can you indicate how far we are on the number of SKU s, number of stores and any timelines by when will stop bleeding at EBITDA level over here and if you want to highlight anything on the management changes and even we have senior level departure recent ?
Sandeep Engineer: One is Bathware the display is continuously growing. But only growing displays are not important we are now strategically growing with two markets one is retail base market. We have added one more product li ne here which is on the lower end in the pricing which was also to be addressed and we have the top range also with us. So, w e have completed the complete range which the competitors offer , and we have a complete range of products, and few new designs and products will keep coming as years pass as the months passed. So, things are very positive. Now team wise we have a senior person coming , I cannot disclose the name for the marketing and sales a very experienced person is joining shortly and has a rich experience of the product line for almost (+25) years we will add a lot of value on the growth , product segments, strategies and going to the market . Now coming to the second thing we have already started branding; you can see Astral Bathware at various airports and various places and also in the exhibitions as Acetech was a flagship exhibition of Mumbai and where we had only the Bathware display booth. So, similar booths are coming up at various exhibitions. So, the Bathware is steadily growing , acceptance is very good, we don 't push and sell the product whatever sales secondary we give a lot of projects that we have approved, and part supplies have started we have around close to 60 to 90 crores worth of projects lined up for buying Astral Bathware products. And we are gradually as the demand s come we have started supplying to these products . There is nothing that is going wrong in this segment, and we are continuously seeing growth on the upper end of the segment and acceptance of the product.
Kairav Engineer : This segment is very different than the other segments we operate in , paints , adhesives and pipe will operate in a very different manner, this operates in a very different manner, we are front of the wall brand here. And there are a lot of things that go into creating and developing a market for this product. So , unlike our other products, getting that num ber moving very fast overnight is not possible unless we sell in a very haphazard manner, which we don 't want to do. We want to grow slowly and steadily at a decent pace for the coming five or six years to establish a base on which then we can do exponential growth. The first five to six years of creating the base is very important in this product.
Ritesh S hah: So, j

ust a follow up question over here. Are we already incentivizing our existing plumber network or to cross sell Bathware has that process started ?
Kairav Engineer: Yes, we are doing that. But as you know plumber plays a very small role in this pa rticular product segment. No, a house owner will blindly trust a plumber when he says to use a particular brand of Bathware . Every house owner wants to feel and touch and see the product in person before they decide. So, even though we are incentivizing plumbers play a very small role in this particular segment .

Hiranand Savlani: Ritesh particularly in the replacement market you are right the plumber play role, but on a new project side or new construction plumber role is very limited, but replacement market yes definitely. And that is why we are giving focus on the retail market. I can share you yesterday 's experience with me personally, I took my architect because my house is getting built up. So , I took my architect to the Astral Display Center , he was amazed to see our faucets, he said I was not aware that Astral is manufacturing such a excellent product, because he was so far was using GROHE and the other brands. So , I said no, I don 't want to use GROHE because I want to use Astral in my home. So, he was shocked , literally shocked so from there I came to know that basically we have to create a lot of awareness in the market among the architect and this community , otherwise this brand will take more time. So, now we are going to enter on that also to create awareness among all the stakeholder. But otherwise he was very shocked to see the product , he was amazed , he was telling me 10 time at least that I would not thinking that Astral will make such a great p roduct. I am in the local market, but I 'm not aware about the Astral product. So, that's what we have to create in the market.
Ritesh Shah: Sure, sir this is helpful. Sir my second question is basically on the agri basket couple of quarters back you had indicated that we will look at agri as a product category and you have also indicated that we will add extruders specifically to cater to this particular category, any specific updates

over here ?
Hiranand Savlani: So, that volume is increasing year -on-year basis. And when th ese two new plant s come up, then it will further improve a lot in the next year. because these two locations that is in Kanpur and this Telangana both are the good agri market, so we are expecting a reasonably high growth in the next year onward, but this year is also a very , very healthy growth in the agri side also otherwise 24% kind of volume growth is not possible in nine-months' basis .
Kairav Engineer: So, Ritesh we want to also say that we are selling agri in a different application, we are selling agri in the building application we are not selling , we don 't want to sell agri in the agri application because there you also do R plus basis business, and we don 't want to do R plus basis business, and we want to cut corner in our quality and all that. So, we are focused on the building material, this building project side and retail side agri business.
Ritesh Shah: That's useful. And just the last question for Sandeep. Sandeep, you did indicate that synergy benefits from Dahej are yet to come , possible to give some timelines and quantification like, how should one infer the synergy benefit is that probably from a procurement , logistics standpoint, how it can potent ially help ?
Sandeep Engineer: From next year Q1 complete benefit will be seen from Dahej. T his year there will be overlap of stocks already made a t the old plants which are already in stock and some of these products are made , slowly all the chemistry of epoxy and other products are going to be shifted to Dahej completely in this quarter. So, from Q1 next fiscal you will see complete benefit of

Dahej
coming .
Ritesh Shah: Sir any scope of quantification ?

Sandeep Engineer: Quanti fication would be always a positive increase EBITDA which you have already started seeing and it will be more visible in the Q3 of our Q4 of this fiscal and from Q1 you will see a quanti fied increase in number but give us one or two more quarters. We see t he benefit and we are already seeing benefit not only in the product consistency, the speed, the reduction of the time limits to make products but also in the bargains. But we 'll quantify and let you know , we won't quantify individually but you will see in the numbers as a totality the increase in EBITDA.
Moderator: Thank you. We will take the next question from the line of Pinaki Banerjee from AUM Capital Private Limited. Please go ahead.
Pinaki Banerjee: First qu estion is now , CPVC prices considering the fact that the middle East is still facing lot of tension so basically you would aim to grow more on volume wise keeping in mind that the PVC prices might be under pressure is it fair to assume that?
Hiranand Savla ni: We don't see that polymer price will be further pressure from here on. Almost we are on the verge of bottom one , two rupees here and there can be possible because it is very difficult for anyone to predict. But at least we are not seeing a downward revision much from this level.
Pinaki Banerjee: Secondly, just after the union budget coming up day after tomorrow the election notification will be coming and just now you al so told that Holi is also towards the end of March so considering that the el ections and all the festivities, do you expect somewhat volume growth in the current quarter ?
Hiranand Savlani: So, like normally election affect more to the government projects. Election doesn't affect the private project our sizeable say like it 's almost 95% of the business is with the private project. 5% dependent on the government project , I don 't think we are going to be affected much because of the election. But, definitely many companies who are more dependent on the government side of the business or project business may get affected because the decision making will get slow because of this Ac har Sanhita .
Sandeep Engineer: And also, what happens during election period , sometimes this laborer they go back to the native so the building , the construction industry slows down.
Pinaki Banerjee: Now for the elections to be over it will be around some three months so middle of May, so expecting so actually the pickup in your volume should be from the second q uarter of FY 25?
Sandeep Engineer: It won 't impact that much so don 't worry about it.
Hiranand Savlani: So, I can tell you. We are lucky that this is going to happen in Q1, even though it is not going to affect first of all much to Astral but even if little bit it affects , this is going to affect it the Q1, Q1 is historically you see our numbers are always low. So, in the four quarters Q1 is the lowest . So, even if it is going to affect, it is not going to affect the full year number. At least in Q 4 there will be absolutely no effect.

Sandeep Engineer: Don't wor ry, there will be always growth, I am confiden t, don 't worry at all .
Moderator: Thank you sir. The next question is from the line of Venkatesh from Axis C apital . Please go

ahead.
Venkatesh: I just had a couple of questions. Is it possible to share what w as the revenues and EBITDA in the Bathware segment in this quarter?
Hiranand Savlani: This quarter revenue was 20 crore and loss were 4 crore .
Venkatesh: Okay. Now, on the broader business, how do you look at the business , you look at it retail and projects and within projects is there , do you have any element of government projects, or it is entirely non -government projects and is it possible to

give a break up between retail and projects
and how are these two categories been growing , has one category been going faster than the other ?
Kairav Engineer: We are selling to all type of projects and government supply also in Astral if it happens, it happens via distributor, we don 't sell directly. So, a lot of our distributors are w orking with the government projects, a lot of our distributors are working with the private projects, lot of our distributors are only retail focused. And we don 't give the exact breakup between retail and project. So, it's very hard to find out the exact breakup between retail and project because the sales are handled by our distributors.
Venkatesh: Okay. Now, but I'm not asking for any hard and fast number, but for example in this quarter if you have grown volume at 15% is it like project is growing at 20%, 25% and retail is growing …..
Sandeep Engine er: It is at present a very small number and both are growing , he is talking about total piping.
Sandee p Engineer: Total piping or only faucet you are asking ?
Venkatesh: No, I 'm only talking about pipes.
Sandeep Engineer: pipe we don't' disclose all these numbers .
Kairav En gineer: Both the segments are growing at the same pace.
Moderator: Thank you sir. The next question is from the line of Nikhil Agrawal from VT Capital . Please go ahead.
Nikhil Agrawal: Sir my question was related to the adhesive business, are we seeing any impact of the Red Sea crisis on the adhesive business any impact ?
Sandeep Engineer : Right now, there is no impact.

Nikhil Agrawal: Okay . And a ny possibility, because of the silicon prices it's so volatile so any impact on that , possible impact?
Sandeep Engineer: I don't see us having much issue.
Nikhil Agrawal: Okay. And sir you had said that silicon prices, we saw sizable inventory losses in Q3. So, could you please quantify that on the adhesive business?
Hiranand Savlani : So, that is only to the UK operation not to the India operation .
Nikhil Agrawal: Okay. And what would that be, if you could quantify ?
Hiranand Savlani : I somehow don't have it handy but that is the reason our EBITDA was negative by 3% of the UK operation .
Nikhil Agrawal: Okay. And sir you guide for 15% revenue growth in the adhesive business of the UK adhesive business?
Hiranand Savlani : All put together.
Moderator: Thank you sir. The next question is from the line of Akash Shah from UTI Mutual Fund. Please go ahead sir.
Akash Shah: Just one thing I wanted to check , what is the nine-month revenue from UK business ?
Hiranand Savlani : So, nine-month revenue from UK business i s 270 crore.
Akash Shah: Right sir. And nine months EBITDA number margin?
Hiranand Savlani : 5.5.
Moderator: Thank you. The next question is from the line of Manan Madlani from KamayaKya Wealth Management. Please go ahead.
Manan Madlani: So, I just have one question. You said that in the paint we are going to start with the two states. So, can you name those states ?
Sandeep Engineer: No, w e cannot. Not two states , one zone it may be two, or three or four states depends.
Manan Madlani: Okay. And what would be our top line guidance for let 's say FY 25 or 26 for the paint business?
Sandeep Engineer: We will give you on paints only?
Manan Madlani: Sorry?

Sandeep Engineer: You want paints only right?
Manan Madlani: Yes.
Sandeep Engineer: We will give you after this fiscal is over, we will give you in the analyst meet complete guidance .
Moderator: Thank you. We take the next question from the line of Rahul Agarwal from InCred Equit ies.

Please go ahead.
Rahul Agarwal: I just wanted to revise the capacity expansion plan. The Hyderabad plant is basically going to see a CAPEX of 130 crores is that correct ?
Hiran

and Savlani: Yes, it will be maybe 130 to 150 crores .
Rahul Agarwal: Okay, and the start of operations we are looking at March ‘26 is that correct , it has Phase -1 and Phase -2?
Hiranand Savlani : No, Hyderabad construction will be over by this March and by June ‘24 this plant will be operational. Realistically, you can count to Q2 of the next fiscal.
Rahul Agarwal: And this is what capacity is this, like for the Phase -1?
Hiranand Savlani : Out of the total 70 we will start with 4 0. So, 30 will be the next phase.
Rahul Agarwal: And that next phrase comes on stream is about March 26 is that correct?
Hiranand Savlani : Depends how the demand is there and how fast capacity utilization is happening, because normally the building will be ready only left out will be the machinery part , so as and when the demand will pick up we will add the machine .
Rahul Agarwal: Right and similarly for Kanpur how is that , it was about 90 crores and that also comes in phases right ?
Hiranand Savlani : So, that will also come in phases , yes. And originally we are targeting to complete by M arch 25 and first quarter of FY 26, so maybe June 2 5 it will be operational.
Rahul Agarwal: And the first phase capacity is ?
Hiranand Savlani: That will be again a 25,000 metric ton ne, 25 to 30,000 metric tonnes.
Rahul Agarwal: Okay, and this is a 90 crore right?
Hiranand Savlani : It will be little higher than 90 maybe around 100 to 125 crore .

Moderator: Thank you . We take the next question from the line of Mr. Ritesh Shah from Investec . Please go ahead sir.
Ritesh Shah: Just one question. Sir, what do we make of competitive intensity , are there any specific categories that we would like to avoid because the competitive intensity is high because of practices or any other reason?
Kairav Engineer: No, we don 't want to avoid any particular segments we will evaluate as time comes and decide where we want to enter or not, competiti ve intensity is going to remain forever. So, we are not afraid of competition , we take competition head on. And you can see in our volume number that in this highly competitive market also we are gaining market share.
Ritesh Shah: Let me put it the other w ay, one of the largest South India based companies they had internal issues , has Astral benefited either by shift in dealer loyalty or any market share gains , have we absorbed ?
Sandeep Engineer: We have benefited that is why you can see that the guidance o f 20% volume in nine months we are at a 24% level so, we have obviously benefited from our competitors becoming weaker. There are lot of things which help to grow a business, it’s not somebody 's weakness always is important. But where things are important are the consistent quality which Astral maintain s from it’s inception, you must evaluate that, then consistency of service , third is the branding consistency , fourth is continuously putting pla nts, evaluating and putting products which still people struggle to come , GrainPro . People are still struggling and thinking how to make it , silent pipe is growing, valves business completed one range entering into second range, getting multiple approvals for various products. So, what we do is, we don 't say that somebody 's weakness is my strength, my strength is my strength and I want to grow on my strength . And I don’t see right left, I just see straight. And that 's what Astral has been and has been growing for , a new products like people say about the future of certain products, OPVC and various products. Astral will always evaluate, always come and communicate at the right way. But wherever we will come , we will come with our technologies. Technolog ies are proven also but cost effective so that the margins are coming . So, continuously we are working and always doing something on the back. But the first priority remains for A

stral is a good product, viable product, and something which new technology. So, that’s always going on backend .
Ritesh Shah: Wonderful sir. Thank you so much for your detailed answer. Over to you management , if you have any closing remarks we have no further questions. So , I’ll just handover the call to you.
Sandeep Engineer: Than k you very much for the call and we look forward to seeing you all again in person after the fiscal year is over. And as we meet in person, we are eagerly looking forward to working hard for our Q 4. And then see you in person at Mumbai on our Analyst Meet . So, t hank you everyone for supporting us and thank you for this all also.

Hiranand Savlani: Thank you Ritesh for hosting this call. And thanks to all the participants and if any answer we are unable to give, please call me on my mobile number. If any number is left out, I will be happy to share with you. Thank you so much.
Kair av Engineer : Thank you everyone. We are committed to providing industry leading growth as always, and we will work hard and come with a good set of numbers in the next quarter. Thank you.
Moderator: Thank you . On behalf of Investec C apital Services , that concludes this conference. Thank you for joining us and you may now disconnect your line .

Call: May 2024

Astral Analyst Meet,2024

21st May, 2024

Mr. Sandeep Engineer Speaks,

Thank you everyone for joining us for the meet for the last fiscal's results and I know there will be many questions but I would first start briefly to appraise you about the business. To start with the piping business, last year we have given a growth of close to 24%. As you are very well aware, all of you, that Astral is mainly concerned with the infrastructure industry. Our very few products go in the government infrastructure projects. We are more on the building space of the private infrastructure indu stry. Still, Our CPVC has grown at a good pace. PVC has equally grown. And our new products have also grown at a substantial pace. The fire sprinkler business, which we have been talking from many years, has grown at a very good pace last year.

And a lot of acceptance has come from various markets. There are certain key approvals in fire system and highest of that is the UL approval. And all of the STL products have seeked UL approval in last year. And this has helped us to get bigger projects, especially from good five -star hotels which have come from the international, which have come from abroad. We have given into Marriott and JW also Marriott and the normal Marriott and many other hotel chains we have been supplying now for the fire sprinkler system. Especially the plants are concerned. Guwahati plant is now fully operational. We started with water tanks and now we are making PVC pipes and CPVC is also started recently. The Cuttack plant is completely operational now with CPVC and all the product, all the pipe products made from the Cuttack or plant two new plants are under construction.

Work has started in a big way for our plant at Hyderabad and work will start shortly for the Kanpur plant. So, these two plants will be completed and will be operatio nal before this fiscal year. So, we'll be adding these two plants, apart from the last two plants which we added. Capacity and other details, Hira nand bhai and Kairav, they will be providing. We are at present working with OPVC. In the third quarter, we wi ll be starting our OPVC manufacturing. First from A hmedabad plant, and then in next one, to one and a half years, we will have OPVC machines at various plants throughout India. You all know that OPVC is today taking over from the ductile line in a big way in the infrastructure projects. The acceptance is huge.

The market is growing. The difference between others and Astral is that Astral has its own technology. its own type of machine, we are not dependent on any company where we have to give royalty, we have to give any brand fees, we have to buy fittings from there, we will be making our own fittings, and above that, the old technology will be completely in the ownership of As tral. The capex of our OPVC will be much lower than the capex done by the compe titors because this has been worked, developed, and done by Ast ral. We will be coming in to PEX, aluminum PEX, with our own machines, which will also be operational by the last quarter of this fiscal. We are also working on various other products, especial ly polyolefins, and we would be launching a few new products which we would only be disclosing in the second or the third quarter in this fiscal sum and maybe in the next fiscal sum of these products. This will help Astral to complete almost the complete p ortfolio of the piping industry which is available globally and will be available within India.

Lately, especially in last few days, the PVC scenario has completely changed. The PVC price is started going upward. The availability of PVC is in short suppli es. The price has gone up last week, going up this week, and it will the trend will continue. So, there is a very, very positive demand on PVC come up and will continue to be there for next few mo

nths or maybe the whole
year because of various reasons.

CPVC also may be going upward because there is anti -dumping duty which is proposed and if it comes then there will be upper trend which will be again a positive thing for astral. Both of these things will bring in a growth of 20 plus. Our guidance is alway s very honest and we always try to over perform that but it will give a good growth and if this happens, we are planning two more locations to zero down and start work on plants at the end of this fiscal or next fiscal, which may be, the decision may be fa ster even depending on the demand scenario. Tank business has been now growing at a very fast pace. This year itself, we were very close to 150 crores and our continuous growth of 20% plus is there in tank business. As we start two more new facilities, we will continue to keep our growth pace on the tank business and tank business in next two to three years will be a substantial business, and a substantial number will be, and margin, bottom line will be given by tank business.

Now, coming to the adhesive business. Everyone has a great concern on the growth of adhesive, especially the EBITDA of adhesive and again, the detailed explanation will be given by Hiranand bhai in the financial numbers. There is no concern on adhesive business. Let me tell you, our plant at the hedge is fully operational. We have started getting a lot of benefits from the Dahej plant in the last quarter.

The Dahej plant has reduced our cost of raw material because now we buy in bulk. It is an automated plant, a closed -loop system, so the efficiencies have gone up. The consistency of product is there. People have found our product very consistent lately because of the process controls which we have in the automation. And the dahej plant is at full operational, and we'll be shortly sh utting one plant in adhesive at Kanpur. Because we need to give that plant back to the original owner as per the terms of agreement. So one plant operational cost will come down in adhesive business in this quarter. And the Dahej plant gets fully operation al and automated plant is there. The challenge which you see in the last quarter and the whole fiscal is come from our UK operations.

UK operations The price dropped steeply in most of the raw material last year and because of that the UK operation has n ot grown in value terms also the UK operation has also not grown in the EBITDA margins because of the drop of the raw material. So , again Hiranand bhai will be splitting these numbers and giving the complete explanation on the margins and growth in the adhesive business in India and adhesive business in UK. UK business is back on track and this year we will have a 10% plus growth and the margins will be also normalized in this year. As I say, the piping business, the value growth is less, the volume growth is more because of the fall of raw material price.

Similarly in adhesive also the value growth was a challenge the volume growth is even higher, which you see the growth in value and the volume. Volume is even much, much higher than that. Similarly in UK also.

Now coming to the faucet and ceramicware business I attended almost 5 to 6 funds and people have two thin gs to ask me. One is faucet ceramic and second is paints. So, I'll clarify as much as I can and rest you can also take over in the question answers.

Faucet ceramicware business is one and half years old. And faucet ceramicware business took its own time t o stabilize, to grow. But if you go with the last quarter of this fiscal, we crossed 20... almost touched 25 crores of this business with a good margin. And if I go to this fiscal as we started off in April and now in May, there is a substantial growth com ing in the business. There is a lot of acceptance of the product which has come, lot of showrooms have started, lot of distributors have started, lot of builders have

started accepting it and they are putting in their projects.

We have also changed our m arketing team. We have now the marketing is headed by Mr. Khurana, who has come from Roca Periwares . So a lot of changes have been done in the manpower, changes in the faucet ceramic business. We have added two more ranges, which were very well accepted in the Plumbex Mumbai. It was displayed. And the same day, we booked huge orders. And these two ranges were missing in our portfolio, which were added. So now we have a huge range of product. We have complete product. We have a distribution system which is growing. We have products which are well accepted. And last year we closed to around 62 -63 crores. This year we will be anywhere above 125 -150 crores between that. And this year faucet ceramic business will be break -evening or making some profit. So, we hav e started some soft branding activities in faucet ceramic business and we will continue that. soft marketing and branding activities, especially the branding activities and we are going to bring faucet business into breakeven or in a single digit margin at least in this fiscal. But we will be crossing 125 and closing anywhere between 125 and 150 crores.

So there is a substantial jump in the business in this fiscal for faucet ceramic ware. Coming to Paints . Paints we have de -grown in last year. Not much, b ut we have de -grown. We have closed around 200 crores. The reason is that before, in the last fiscal, the owners of GEM were running the company as per the agreement, terms of agreement of the company which we bought over, that they had to perform, they ha d to give a EBDITA , and on that their further valuation depended.

So now, as we took over the 30% from there last year. When we are now 80% owner of the company, we are on the driving seat. So, we made massive corrections in the company. The first correcti on was to bring in systems of SAP and the HODs and many corrections at the plant and sales and multiple levels.

And the biggest correction we did is the cash cycles. Most of the dealers have 90, 120 days payment terms, which Astral has brought down to 60 days. And this took a toll on the business to some extent. And obviously it will take. The same thing happened when we acquired Resinova. At that time, again, the same concern was there. People were expecting, you went into adhesive sealants, how will you do it? How will you grow? How will you move forward? Today, proudly, there is an adhesive sealant worth 1400 crores. And we can proudly say we are the number two Indian company in adhesive sealants. So, we have delivered, we have grown, we have succeeded in adhesive sealants. Similarly, we will be growing and succeeding in paints also.

Yesterday only we have launched complete range of product in Astral Paints brand. We have the packaging lying there , So we are launching Astral Paints in Ahmedabad on Thur sday. We will be starting selling Astral Paints with gem paints in south in Karnataka, Tamil Nadu and Kerala and in the state of Gujarat from this month end. We will be adding state by state in paint. We assure you that we won't be doing any cash burning o r you can say branding or you can say margin EBITDA washed out or nothing. We would stick to 14 -15% EBITDA. We are not here to do magic. But next year our target is 300 crores plus around that in paints and we'll deliver this number. And we are confident a bout delivering this number and even growing at a better pace in paints.

So, there is no concern about anything which will go wrong in paints as we did in adhesives but we don't want to overshoot the numbers. We don't say that we'll be overshooting numbers and we'll go pan India and we'll be doing huge branding or we'll be overspe nding somewhere and we'll be Creating a paint brand. Nothing like that. Astral is a brand. Known brand. It is there right on the container. People see it and people trust it

. That's how we will be building our paint business.
Rest we will take over in the question answer session. Thank you very much. And I will now tell Kairav to take over from here. Thank you very much.

Mr. Kairav Engineer Speaks,

So, good evening, everyone. This is our presentation that we will later upload on our website and we will circulate to you guys. It is loaded with a lot of information so I'm just going to ski p through it because if I were to tell you everything that's in the presentation it will take a lot of time. At the end of my presentation, I would like to, I will spend a bit more time talking about our loyalty program and our initiatives with regard to our IT platforms that are transforming the company. So, in the presentation, I will just ski p through basically and later we will upload the same. So, don't worry if the s lides are moving a bit fast. So, just a glance on what we have achieved in our 25 years of operation. Around 9,000 employees exporting to 31 countries, 42 depots across businesses, 25 manufacturing units across businesses, across countries, more than 5 lak h tons of capacity across businesses, and more than 3,300 distributors across India and access to more than 2 lakh dealers across India. Actually, this is the core strength of Astral . If you look at the distribution footprint of the brand, it enables us t o launch newer categories and newer products and to spread our wings in the market into uncharted territories and uncharted product categories. We never thought that we would get a positive response for a lot of the products that we launched. And once we s tarted getting that, it only enabled us to become more confident in launching different categories going ahead. So, for example, we started out with CPVC. We were a pretty late entrant in the PVC product category. There were many market leaders before us. But our distribution strength enabled us to succeed in PVC.

Then products like water tanks. You can consider us a very late entrant in this water tank category also. But because of the strength of the brand and the distribution strength, we were able to succeed in that. Then came the category of adhesives. Again, the network of Astral along with the network of Resinova combined enabled us to grow much faster. The same thing we are seeing in the bathware business also. There has been a lot of interest by o ur network to stock and sell this product and the similar type of interest can also be seen for our paint product as well which we launched yesterday. A lot of the distributors were present. A lot of them have shown interest in starting this particular pro duct in their firms.

This is the corporate structure of Astral. 80% holding in Astral Coatings which was formerly known as Gem Paints, 95% in Seal IT UK, 50% in Kenya JV which is not undergoing any business operations at the moment and 100% Seal IT UK owns 100% of Seal IT US. These are the eight high growth categories that we operate in, pipes, water tanks, adhesives and sealants, construction chemicals, bathware, paints, specialized walls and infrastructure products. The nineth Hygro category which we will launch later this year is the OPVC product line which we have declared in our annual press release. We have ordered four OPVC lines which will be set up across India. OPVC is a replacement for ductile iron pipes and there is a good future for this product category and product line in India.

And we are seeing a good response for OPVC pipes and good demand for OPVC from water supply companies. And since the future looks promising, we are committed to enter into this product category and to grow it. We were the first to introduce CPVC in India. We were the first to introduce lead -free UPVC pipes for portable water and lead -free column pipes for underground water in India. We were the first to introduce low -noise products in India, and we are the market leader s whe

n it comes to our low -noise polypropylene piping systems. which consists of Silencio and Drainpro products. We were the pioneers in introducing double wall corrugated and infrastructure products in India. Our pipe innovations, we cannot list all of th em, but we have done a lot of innovations in the piping category.

We were the first to introduce water tanks with NSF certification in India. and first to introduce tanks with copper shield in them so our tanks have active copper free radicals inside them to kill viruses. Just our brief journey. I am not going to cover all of it because it will take time. But from 2021 onwards we introduced our water tanks. We expanded a lot of product portfolio by also introducing few adhesive products like Bon dtite Pro. In 2022, we did a launch for the Polypropylene Drain Pro Piping Systems. The Bhubaneswar plant got operational. We got into bath ware. We got into paints. 2023 was our 25th anniversary. And 2023 was also when we commissioned the Dahej adhesive p lant. And then we launched our ball valves.
And we also launched our rain gutter systems, which is known as the rainway. 2024, we launched a product known as PTMT water taps. PTMT water taps are basically plastic water taps, molded water taps. And we have seen a good demand for this. Our channel sells a lot of this. Earlier, there was a company known as Water Tech that used to be the market leader in this segment. But now there have been a lot of unorganized players who have also been operating into this segment. But there is a demand for branded, good quality PTMT taps. And this is a very good product line for tier 2, tier 3 markets, especially markets where they cannot afford the chrome - plated brass taps. So in the rural markets also, in slums, in cholls, wherever, you know, the consumer is extremely price conscious.

But it is a molded product and it has good margins. We continue to be certified as a good place, not a good, but a great place to work. It is, I think, third or fourth year running that we h ave gotten this certification. 2024, we also launched astral Paints. These are some of our record awards and recognitions. 2024, FY24, we saw third consecutive great place to work, most trusted brand in the piping segment for sixth year running uh most des ired pipe brand uh most preferred place to work, and astral bon dtite and astral pipes both got recognized as super brands for 2023 -24. Astral Pipes has been a super brand since the past five years. We also got a several green certifications like green pro certification for our CPVC product and green pro certification for our astral drain pro as well.

So these are some of our core competencies and some of the firsts. I am not going to cover much of this. These are some of our pipes and water tanks manufact uring units. Sa ntej is our mother plant, followed by Dholka, G hiloth, Hosur, Jamnagar is our faucets facility, Sangli is our infra - product facility, Aurangabad is our water tank and PVC pipe facility. Sitarganj is our infra facility. Bhubaneswar is our pip es plant and Guwahati is also our pipe plants. Adhesives and sealants manufacturing facilities. Seal IT UK, Seal IT US, Santej, Rania, Unnao and The Dahej . Paint manufacturing units Peenya, Dabaspeth and Sompura. These are our upcoming facilities for pipes. Hyderabad with 70,000 metric tons in two phases and then Kanpur with 60,000 metric tons which will also be in two phases.

This is an overview of all our manufacturing facilities. it sho ws that, you know, we have a largely pan-India footprint. Central and East are places where we need to, you know, develop more manufacturing footprint. So going ahead, it will be a core focus, especially MP Chhattisgarh side and also, you know, West Bengal side. This is a list of our plants, depots and offices across India. By offices it means sales and marketing offices. Our head office is in Ahmedabad and we have a se

condary office out here in Bombay as well. This is our adhesives and paints business offi ce and depot list. These are some of our plumbing business offerings. So plumbing systems, we have CPVC, UPVC. We are also working to launch PEX composite pipes.

Drainage, we have FoamCore, we have DrainPro, we have Silencio, we have AquaSafe, we have DrainMaster. We have a lot of products in the drainage segment as well. And in the agri segment, we have agri pipes, column pipes, casing pipes. We have full range of conduit pipes as well. We have massive solutions. when it comes to industrial piping in CPV C, UPVC, both, along with industrial ball valves . We have our state -of-the-art, highly certified fire protection system, which is seeing excellent traction in the Indian market since the past 12 months. And then we have urban infra products, like double -walled corrugated pipes and Telerex pipes for the cables, and also Plastirex pipes for post -tensioning ducts. These products, post -tensioning duct products were used in the Atal Setu by L&T when it was being constructed.

We have a wide range of solvent cem ents in the Weldon brand, Solvobond brand, Amro brand, Truzo brand, Pipefix, a lot of brands and we are the market leaders when it comes to solvent cements in India. We have a lot of specialized fittings as well. and ancillary products like clamps, hangers , and insulation materials. These are some of our specialized valves, true union valve, single union valve, and industrial ball valves. This is our PTMT range. Our water tanks range, we have tanks in different capacities from 500 litres. To 10,000 litres. We have them in roto moulded configuration. As well as blow moulded configuration. And in various colours. We have also launched. Our channel. Channel trains. Known as channel pro. These are developed in house. And 100% made in India. Earlier we used to s ell this. Under Horaton. But. now we have decided to make our own channels and they are made as per industry, international standards with different load bearing capacities. And we have also gotten a very good response for our channel drain products. And l astly, like I said, we are going to launch OPVC pipes for high pressure water supply. You can play this video.

Normally, when you have PVC pipes, they crack when someone is using a hammer against them. And they break when someone will move such a large load over them. So, compared to that, our drain pro pipes are very resilient. They have a very high impact strength. And this is one of the reasons why they are largely being accepted in the market. And we see a lot of market being shifted from traditional PVC SWR piping systems to pp piping systems, PP drainage systems. Because these pipes are very resilient when it comes to cracking and breaking, either during installation, on sites, or in transport. Just some snippets from our 25th anniversary celebratio ns that we had in Jaipur. It was a one -time event we had kept for our key customers and key employees to reward them for their service and dedication to the brand and to the company. These are some of our branding initiatives. Our cricket branding. our in -film branding. Now coming to Bathware, it is 100% made in India, 100% designed also in India and in -house. We have a very strong after -sales service and the best thing is that we have designed our products in such a way that the after -sales service is very easy with the use of minimum number of spares. So we have tried to ensure that all the spares that are being used in our bathware product are similar so that when it comes to any sort of repair the plumber does not need to carry too many spares with him.

And we are spreading our distribution network in this particular product category in a very rapid manner. These are some of our bathware products gloria is our base range product, then comes Premia, then Imperia, and Celestia is our top-of-the-line p

remi um product. These are some of the
Bathware branding initiatives. So basically, Astral Foundation is the CSR arm of Astral , and these are the six categories that we usually support. Education, environment, support to disabled people, infrastructure developm ent in communities around our plants, healthcare, and wildlife conservation.
So these are some of our CSR initiatives. These are our sustainability initiatives. We have increased our CSR spends this year by 23%. We have increased our training man -hours by 32%. We have increased our solar capacity. Energy consumption through renewable source was 18% and 20% in Sa ntej and Dholka plants. green certifications for various products. And ISO and IMS certifications as required by ESG as well. So, before I hand ove r to S aumya for adhesives and paints business, I would like to show a few films about our loyalty program which is known as ALP. Give me half a 7 feet pipe. Sir, half a 7 feet CPVC pipe, half a 8 tees and 5 elbows. And yes, all of them are Astral. Half a 7 feet CPVC pipe, quarter a 7 feet UPVC pipe, 15 tees, 15 elbows, a big tin solvent and a 500-liter water tank. And yes, all of them are Astral. And all of them... Astral. Is there a lottery? Not lottery. Loyalty. Loyalty? Astral Loyalty Program. Buy Astra l and get rewards. You'll get daily rewards, big rewards and accidental death insurance. Download this ALP app today. Do it. There's no fun in this. Show me that one. The red one. The one with the skull. Yes. Brother, why are you sitting on a cycle? What's wrong with the bike? I've got the bike points. I'll get the bike too. Is there a lottery? Not a lottery. Loyalty. Loyalty? Astral Loyalty Program. Buy Astral. Get rewards. You'll get daily rewards, big rewards and accidental death insurance. I'll download the DLP app now. Brother, did you download the LP app? Yes. What did you get from

the points?

Amazon vouchers. New shoes for the vouchers. New jewellery for the wife. There are a lot of points, but there is less money in the account. That's it. You can transfer the points directly to your bank account on the ALP. This is really a lottery. Not a lottery, Loyalty. Earn points on the ALP and transfer them to the bank. It's fun for everyone. Hey, from my side? The tea is getting cold. What happened, Ms. Shee tal? Is everything okay? If he passes away, his income will be stopped. So many expenses. No help. Everything will be fine, sister. If something happens to me, I will also have to pay for such small things. You don't have to ask. There is accidental insura nce on the Astral Loyalty Program.

In difficult times, you can get it. Astral Loyalty Program. Plumbers and dealers get a lot from it. Accidental death insurance of lakhs too. Small help in difficult times. So this program has done wonders for us. It has connected the dealer and plumber community with the brand and especially with all the initiatives that we have taken, including them in the death insurance policies and then offering them direct to bank transfer when it comes to point Redemption, as well as different types of rewards. So people have bought cars, people have bought motorcycles, people have bought jewel lery. there have been many plumbers who lost their lives due to accidental deaths, whose families have also gotten insurance claims from this particular program. So this is a program that is seeing increased subscription, YOY basis, and it is a very positive sign for the brand that more and more dealers and plumbers are joining this program and it will be a game changer and mark my words every pipe company will come up with such loyalty programs in the future because we have again been a trendsetter when it comes to loyalty programs so with that i will hand over the floor to Saumya for the adhesive and paints business thank you .

Mr. Saumya Engineer Speaks,

Good evening, all of you. I'm Soumya. This is my first time. Usual

ly, I'm sitting right there every
year from past eight years. This is the first time I'm addressing all of you. I handle the adhesives and paints side of the business and I joined Astral in 2014 when the acquisition of Resinova and Sealit in UK happened. And I took a year and a half, two years to just get to know adhesives, chemistry, what it is. Before I start the presentation, I just want to give you a brief on adhesives because every time I tell my father, you know , you are pro -piping from heart and now we are adhesives also. So That's why I wanted to talk today. So, Adhesive , proudly, we can say today that, you know, we acquired Resinova at 190 -200, and we are in the four -digit club in eight years, because Astral took the command in 2016, full -fledged, wit h Parekh Saab exiting the organization, and that's where we started taking decisions in terms of day -to-day business and restructuring the business. So, Big thanks to the team, everyone who has given their best in this journey and will keep going forward. What did we do in adhesives in last eight years?

We strengthened manufacturing, setting up a special R&D facility because adhesive is dependent on the application of the business and not just, you know, it's for example pipes which is our mother, water i s one application, it does water. Adhesives, every product there is a change in application, so understanding that business, understanding the different substrates which the adhesives will cater going forward was the key for us, change in that mindset was a key for us in terms of you know, how we should restructure the adhesive business and you know, so that was a major journey we did, we got good scientists, we got good chemists on board who are redefining few substrates in the Indian market for the first time what we are doing at Astral in terms of few applications.

Then we understood sales and marketing. Well, as you know that now, adhesive business for us, we have segmentized into four to five selling verticals. M&T business, which is our core retail business, selling repair and maintenance products, adhesives, construction chemical business, which is waterproofing business, Wood is our woodworking adhesives, white glue. Industrial is our B2B segment. And this year itself, we are going through a big lau nch of our rural division for the first time, New Bharat, which we are launching in adhesive business, catering into the rural parts of India by clubbing all the M&T, CC wood businesses into a single sales channel catering into the rural parts of India. So this year we have launched New Bharat which will help us penetrate to the 2000 to 10,000 populations.

Exactly statistics I won't go into but that's how we have planned to how to go into the depths of Indian market and cater to the mass of India because adhesive is a retail business. Why New

Bharat? So we understood that you know when we acquired Resinova When we acquired this business, it was born from rural. This business was born from rural. Then astral strength, our strength, the brand strength, we ma de our mark in urban. We are still a long way to go. But we knew that we have that rural penetration, we have that rural data. And at the same time, these segmentizing teams, why not create one sales channel where we can reconsolidate and cater all three b usinesses together in New Bharat which will give a lot of strength to the organization and the pilot results are excellent.
So, in terms of sales and marketing, marketing also we have put in lot of efforts in terms of setting up new chemistries, new subst rates. As you know that Indian adhesive market has been dominated by one player for last 40 years. We are seen as the top player in the Indian market now. Not just by our numbers, but the way we are moving, the way we are leaving the legacy, we are leaving the legacy of creating new applications in adhesives. Still the application of

adhesives
in the Indian market is at the tip. There is still a big iceberg in the bottom which is still not explored, which is explored in developed nations, which is still bei ng developed in Indian market, which we are entering into. And also, our UK -US business helps because they are present in the developed market. Even if you know what trends are going there, what substrate trends are going there, it helps us. So, just few examples. We work closely with fiber optics market. We work with motors now. We are into one of the manufacturing lines for Tata motors in terms of our silicon application. So, there are very big, big applications which we are break throughing, researching , understanding. where I'm just seeing that adhesive business is still, it's going to be a great journey for Astral when it comes to adhesive. So, as I covered New Bharat briefly, tap into the massive untapped market potential of rural India by establishin g a unified presence under the New Bharat umbrella. 69% of India's population residing in rural areas as per 2011 census. Reduced competition and opportunity to establish strong brand presence. I was in the rural parts of Ahmedabad last week and I went to one of the outlets and I was just talking to the dealer and the way the rural dealers talk to you, they want the business, they want company to approach them, they want company to talk to you. City mein kya hota hai? There are 10 customers lined up, so even me as an owner, if I go there, he's like, sir, wait for a minute, my morning house is running, let me finish it, then I'll give you time. But rural, they give you space, they give you chance, and they are more humble in terms of accepting newer companies , newer entrants, and they will give you that place to prove yourselves in the rural market.

And again, it's lesser brand conscious than urban, so it gives us a big edge to just spearhead into the rural. One unified brand identity and distribution channe l for Astral's wood adhesives, construction chemical and maintenance products. I covered that. Leverage the strong brand equity of Bon dtite to enter wood adhesive segment in rural markets. So, again, India's 40% market is still the white glue. And I'm sure you guys know that. You guys know your figures for sure. And the breakthrough we are getting with the white adhesives glue in the rural is absolutely amazing. We have set our qualities. We had some hiccups in terms of the formulation in understanding the RMC, understanding, you know, how exactly we set the whole structure in place. But I can, you know, confidently tell now that after two years or two and a half years, you know, COVID also spoilt a little bit of the launch.

But now we are quite confident in terms of our approach, in terms of bringing Bon dtite as an umbrella brand. And then what we did was, you know, having multiple brands, Bon dtite takes the umbrella brand and then epoxy, which is our mother product, where we fight against foreign players and big players. Then we put PVA under the Bon dtite brand as well. Sinoacrylates, which is the super glue in Bon dtite and synthetic rubber chemistry. So all four chemistries go under Bondtite brand. So it gives us leverage to do branding also with lesser c osts. We brand Bon dtite. And that's the tagline which we want to use. And you know, Kairav and his team and Yogi and everyone, India ke alag -alag material ko jode Bon dtite. So that's the tagline we want to take forward and create Bon dtite as the next gener ation adhesive for the Indian market.

And that is the legacy we want to give to the Indian adhesive market. So that is the vision and journey we have in terms of Bon dtite. Cross -selling opportunities by offering a diverse yet complementary product portfo lio. Comprehensive solutions catering to rural consumer needs under a single umbrella. So these are just all benefits and highlights. Establish strong brand visibility and

recognition in rural markets. Capture market share by being an early mover under served regions. Diversify revenue streams and reduce dependency on urban markets. Gain insights into rural consumer behavior for future product development. You won't believe rural India is spending and they are spending fast. They want to spend after good pa ints. Not I'm saying top -notch paints but you know mid -size premium paints. Even waterproofing. I went to one of the shops and there is waterproofing there.

So it's not just that city and your urban is doing but your rural is also doing. So this is also one of the thoughts we had before, you know, going into New Bharat. So these are just the product ranges we are present in, epoxy adhesives and putties from where Resinova was born and how we acquired. Bon dtite PVA, which was, we are consolidating under on e name which I told you, Bondtite. Bon dtite rubber adhesives, anaerobic adhesives mostly used which are mostly used in engineering, mortars and repair shops and auto shops. Tapes, so we are into masking tapes, PTFE tapes and PVC tapes. And we are growing v ery well in all the three categories of tapes. Silicon sealants is again, is going to be one of the biggest chemistry for Astral in next four to five years and for India.

I'm not just saying for Astral, but India will move towards silicon sealants. And w hen I talk about silicon sealants, I talk about all the chemistries that go under silicon sealants, acetic cure, neutral cure, hybrids, all those things. And we at Astral know the know -how, know the applications, know how to do it. So we are sitting at the right time to cater to the market with good products and, you know, just work on the penetration now. Instant adhesive. is something we launched a couple years back. We had a rough patch. I will be very honest with all of you. We launched on the brand ResiQuik, and we failed. There was formulation error which happened, and the team’s worked day and night for one year, one and a half year, and then we said that we need to go with a fresh mindset into the market, so we restructured it under Bon dtite.

And we launched Bon dtite quick and very happily saying that in last six months, seven months, the traction we are getting in the market for this five-rupee product is amazing and few northern and western belts are doing very well. Waterproofing is something we strengthened the portfolio last year. We completed the full portfolio. So waterproofing also, what we did was restructured how we approach the market in terms of waterproofing. So We put waterproofing into admixtures, coatings, membranes, and all those th ings. And we want to go more specialized approach in the market. So again, this is going to be a big growth driver for us in next four to five years. And with that, I would take your time and launch Astral Paints here with all of you.

Two years back, we acquired Gem Paints, certain stake in gem paints and again, see, I'll go back and just give you a brief is when we enter businesses, we understand the businesses. We understand what are their loopholes, what are our loopholes. Is that business structured t o drive to the next level? Does it need structuring? So it takes time. We set up SAP, we restructured the house, we restructured the man force. aligned it with the culture of astral, which is again a big thing because you need mentally focused and driven p eople with us and now happy to say that things are going in the right direction. Then we went into the R&D, we went into the setup, same, same, you know, journey. I still remember sometimes I, 2014, 15, 16 with adhesives is again repeating with paint.

So then we understood the formulations, we understood, you know, what's how the big players are working on their formulations because even if I'm not a chemical person, I should know that how a paint is being made, though I don't need to move a reactor. So, we

redid the formulations,
I'll tell you. The formulations you see today are all redone. No formulation of gem paint is used in astral paints and we set the complete formulations according to the Indian paint standard, the top standard comparing to all the top companies in the market. After that, we decided the launch date, not launch date and then work towards the formulation. So, lot of energy, effort and power has gone from the team's end towards the launch of Astral Paints and I would like to thank all of them. So we launched yesterday in Bangalore, great response. me, my brother, my father, we are all there with our teams in South because Gem it's where Gem started and we wanted to continue that legacy and that's why we chose Bangalore and now we'll ch oose Ahmedabad on Thursday because that's where A stral was founded so we want to choose two states. Gem paint products will continue as is, the legacy of Gem paints will continue in those southern states because they are very strong in industrial paints wh ich We want to continue and which we want to keep servicing the market in the best possible way. So that is a very, you know, strong point. So we are very excited with the paints launch. We, me personally with my team, we have done blind tests in the marke t.

We have done some small projects also in Ahmedabad with contractors and painters where they applied the product neck to neck with top companies. And I was there, Ram was there. we all understood, took their feedbacks, and the results are good, we are confident, and that's from where we decided, okay, we are going with the launch. And on day one, I would be happy to tell you we are coming up with the painter loyalty app and contractor loyalty app, like Kairav explained with ALP. On day one of launch, th ey'll get everything in their hand to have that transparency with the business. So in paint we are going with economy, premium, luxury. Usually the market trends are such that you go from economy range, premium range, luxury range.

And as you can see that the sub -brands in economy, Styla, Raga, Premium, Estima, Extura, Styla. So these are all the sub -brand names which you will see there. The quality, the performance, everything is benchmarked. And everything with the formulation is b enchmarked with the market and we are preparing and ready for launch. So phase one will be complete decorative launch. Phase two will start finishing the wood coatings, marine coatings and again phase one with the paints will be giving waterproofing as wel l. So waterproofing will go with phase one to the market. Which will be of course a bit separate portfolio than TrueBuild, which I explained of the Adhesives portfolio. So we'll complete the full range of paints in next six to seven months, which covers almost 95% of the paint portfolio in the Indian market.

So this is our interior emulsion, Elita and Styla, exterior emulsions, Extura Plus, Extura, primers we have, puttees we'll launch, We'll have acrylic wall putty as well, stainers and colorants. So again, news to all of you, we'll be coming with our own tinting machines and the loyal dealers of astral paints, we will give them tinting machines and we will be installing tinting machines to the loyal dealers who will give us certain chunk of their busines s. So certain policies have been set and we'll be implementing that from day one. All right, with that I will pass it on to Hiranand bhai. Thank you so much.

Mr. Hiranand Savlani Speaks,

Good evening, everyone. We normally finish our analyst meet in on e hour. give the maximum time to the Q&A session but I am extremely sorry that this time we have extended because now Astral is no more a pipe company as two young gentlemen said.

Now we are in a different four vertical. So naturally it is very difficult to complete the presentation in one hour. But still we will try to see that we give maximum time to the Q&A

. So I will quickly
finish the financial part which I think all numbers are in front of you but I wanted to only highlight the few of the exceptiona l thing which many of you are having panic that what happened to this number, that number. So, I will give the clarification maximum in the Q&A session and few highlights I will share now in the coming presentation time. So, this is the way forward present this message from Mr. Sandeep Engineer, it is already there. So, I am not going to read the completely.

The message is very clear. that we are into the high growth trajectory and we are quite confident that we are going to double our revenue from here o n in next five years. So practically 15% CAGR will not be a challenge to our organization . If the economy support will be there at the kind of infra - spend which is happening in our country, we may even exceed to that target also. And our new vertical, new babies, they have just done a beginning of the journey. So when they will mature like Resinova , when I still remember when we acquired the Resinova , everybody was crying that how you are talking about 500 crore top line. I still remember every analyst, eve ry fund manager were scary when we were telling that we are targeting to achieve the 500 crore mark.

And today proudly we can say we are a 1400 crore company in ADSU. So similar journey is for the Bathware and same journey is pain. More or less numbers a re in the same line. So next five or 10 year down the line, I will be here only and talking to you all this number, what we have achieved in the ADS event. So you will be there, so we will be sharing with you the same thing. So industry outlook, we are qui te confident that the industry is going to deliver close to about 12 to 13% kind of PI revenue and close to about eight to 10% kind of ADSU. That is what industry outlook we are getting the sense from the market. There is no authenticated number available, but we are of the view that this kind of trend will be there for the next year.

And there are a lot of triggers available in the industry side. It can be a also. It can be infrastructure spending also. It can be industry consolidation. That is the big t hing happening in the market. I'm surprised when I see the pipe company's number. Most of the good companies in the pipe category out bitten the industry average number. So any up and down which is happening in the polymer side, earlier the range was 5% ki nd of up and down. Now that range is going up to as high as 20% up and down. So in this up and down journey, smaller companies are going to lose heavily in the financial terms, in terms of profitability, while companies like us will be getting big, big ben efit out of that.

Nobody was expecting that in the month, the q1 itself, the polymer will go up like that. So two polymer rises already taken place, and another third rise is on the card. Before first of June, we are expecting another four to five percen t polymer price will go up. That is what grey market is suggesting in the country. Housing. Anyway, it's a booming. You talk to any developer, whether it can be a Godrej, Oberoi, Shobha, anyone you speak, everyone is talking about the big number. And actua lly, they are delivering. You see their numbers also. The kind of project booking is happening. 5,000 projects are getting booking in a one -week time. That clearly indicate that there is a huge demand, and the availability is very, very thin.

A city like Mumbai, if you ask anyone, I own four BHK apartments. It's hardly available in a ready position. So huge demand is expected in the next three -to-five-year time. So, these are the big drivers for the growth which we are expecting in the coming time. That t he overall industry growth will be 10 to 12% shift from unorganized to organized which we already. Another big advantage to company like Astral is the decentralization of manufacturing. What happ

ened that when you
are supporting from the distant location t o the market, your logistic cost will be very, very high. So, in that case, it is very difficult for us to maintain the margin and gain the market share. But when you are near to the market, it is very easy to take the market share and at the same time maintain the margin.

Because many dealers and distributors are very much keen to join the brand astral. But because we are supporting from the distant location, they have to keep a sizeable inventory, which is very difficult for a smaller distributor to hol d the inventory. Not only holding the inventory, secondly, you know, nowadays the rental costs are so high. So it is very difficult for any distributor level or a dealer level to spend so much money. But if your plant is near to the market and you hold the inventory, there are high probability that everyone want to join the brand astral. So that is going to play big way in our favor. Secondly, expanding the network. Like recently we have taken the entry into the eastern market. You will be happy to know tha t very first year itself, our plant utilization is 70% plus.

This is a big, big, I can say, even we were not forecasting that that kind of support the Eastern market can give the brand Astral . Because everyone knows the brand Astral , but the availability was the big challenge. The moment we have put up the plan, everyone is keen to join the brand Astral . And with that confidence, we put up the second plan in East, that is in Guwahati . So now we are coming this side to the Hyderabad. Because we are seeing that the brand is very well recognized across the country, but the challenge is the availability. More and more availability we will make near to the market. There are high probability we will continuously going to gain the market share. Loyalty program, Kairav has already discussed.

So this continuously we are adding the dealer network in our Pote and similarly the plumber side. Continuously every week new and new plumbers are joining to our loyalty program. So, all these things are going to give us a big support and the biggest thing which we have seen in the last year is the infrastructure business of Air style. Infrastructure business, first time in the history after taking over the Rex acq uisition in 2018 -19, we were able to sell completely 100% capacity throughout the year. So we were not having capacity last year which can fulfill the demand. So demand was so high that we were not able to fulfill. So now this year, quickly we have ramped up the capacity. We have added 4,000 to 5,000 metric ton capacity immediate basis.

Further capacity we are going to add in the near term. So that sector is also going to give us a good number in the coming time. So I want to skip all this thing. This I d iscussed. Now coming to the main number side. So if you see the consolidated number of Astral, the last five year growth was close to about in a revenue term was 21.63% CAGR. The management has always given the guidance of somewhere between 15 to 20% and w e are able to deliver 21.63%. So we are always in line with what we have guided to the street. The biggest drawback in the last year was the value erosion because of the drop in the chemical price as well as drop in the polymer price. So because of that, the gap between volume and the value was very high, close to about 14% because volume growth was close to about 23% and the value growth was 9 point something. So 14% gap was there. That's why we were not able to absorb the overhead. Othe rwise, our margin could have been much, much better in the last year itself. But still, margins are better. Margins are as per what we have given the guidance. Within that range, only that. But if value erosion was not there, then our EBITDA percentage cou ld have been much, much higher. I can correlate this thing with the GP percentage. I'm sure you must have gone through

. Unfortunately, this slide is
not here. Otherwise, I could have shown you.

The GP improvement in the company at the consolidated level was close to about 5%. But EBITDA improvement was hardly 0.6 or 0.7%. So the GP to EBITDA conversion was not in a parity. The reason was very simple that our overhead, fixed overhead were same, but because value addition was not there, because top line was eroded, that's why it was not fully converted into the EBITDA. But in the coming time, in the coming years, once the polymer price will come back to the normalcy level, then this is going to be there, and that is going to help the improvement into the EBI TDA. Few of the number which you want to write down, you can write down, many of the analysts, because they mostly are much worried about this thing.

So please write down, because it's not there in the presentation, but I was going through this, my balan ce sheet in the flights today morning, and I have picked a few, so that you can correlate how the erosion of EBITDA taken place, otherwise EBITDA could have been much, much higher. So number one thing is the sales and promotion. Sales and promotion, specia l drive was there for 25 years, celebration, so we completely changed all our packaging material, all our boxes, all our social media campaign, all our TVC. Across the board, we have changed the theme of 25 year. So because of that, we have to give the hig hest budget to that event and plus there was a celebration also with our dealer community, our suppliers, our employees, our plumbers, everyone was a part of that celebration.

So we have spent sizable money into that side also. So all put together brandi ng and all put together total spend which was 127 crore rupees last year. This year it is 179. So more than 50 crore spend was there because of sales promotion and the branding activity. which is not going to be repeated next year. Saijabal will be curtail ed this year. So that was one of the things. Second element was the freight. Last year, freight was 66 crore rupees. This year, freight is 102 crore rupees. Because volume growth was 25%. So naturally, freight is directly connected with the volume. But bec ause value was not there, so because of that percentage term, this freight has jumped up substantially. So that has eroded the EBITDA.

Third element was power and fuel. Power and fuel has increased from 90 to 116, so almost 20 by 30%. It is in line with what is the volume growth, because volume was 23, 24%, but value was just 9%. So because of that, that cost has also shoot up. So, all this individual line level, when I am giving you only three, four item right now, but if you go through our balance sheet line level, there are so many expenditures which would link with the volume, But because value was not there, that's why it affected our EBITDA. Similarly, employee cost. Many of our labour costs, all other things were linked with the volume. But value wa s low, that's why that cost also increased. And you can see very well that our employee cost has also substantially gone up in terms of percentage in the previous year.

Now EBITDA was also similar line, 20% plus, 20.64%. This year also, in spite of havin g so much challenge on the value growth, we were 15% EBITDA growth. PBT was also 24.42% in last 5 year CAGR, and last year was 18.9%. PAT, again the same line. Similarly, EPS in the same line, and cash profit also. All across the things, if you see, everyt hing is 20% plus in the 5 year CAGR. One more exceptional item was there in the balance sheet, that was the amortization. Because we acquired the JEM paint, so on that acquisition we are writing up every year 26 crore rupees annually to amortization. So to that extent my PBT is low and consequently the PAT will be low to that extent. So 26 crore every year we are writing up, so two year we are writing up, so seven year we will be writing up to take the taxation adva

ntage.

So that was also the exceptional, that's why you will see the EPS has come down, but that is only a book entry and the non -cash entry. It's not going to affect the cash flow of the organization. This is the consolidated working capital cycle. You can see last four, five years, it is const antly maintained. We are not deteriorated, though we are growing at a 20% plus run rate, we have maintained very, very tight our working capital position. So you can see the inventory levels are, last year it was 62%, now it is 59%. and the working capital day last year was 24, now it is 25, now it is 24. Sorry, data days. And net working capital has reduced from 30 days to 27 days.

This is the cash position, more or less close to about 500 crore kind of net cash we are sitting. Definitely the question wi ll come, what are you going to do with this cash? So company have an aggressive plan for the expansion. We have already announced the few plans. Few more expansion activities, it is still at the board level. We have still not concluded, which may be conclu ded in the second half of the current year, FY25. Once that will be finalized, we will be communicating to you. And in between, if any good opportunity will be there for the acquisition side, we are ready for that also. So it depends what kind of opportuni ty is coming. But definitely, we are going to utilize that cache.

Otherwise, there is no point to hold such a cache and deteriorate our own returns. So we will be definitely going to use this judiciously. Otherwise, we are going to give back to the share holders.

This is the more or less breakup is same. Last year, the pipe contributed 73%. Pipe include plumbing, means including bathware, contributed 70%. This year is same. And the paint and is 27%. The ratio is maintained. This is a broader backup of plum bing business, that is the pipe and the bathroom. Here also the five -year CAGR, if you see, it is close to about 20% plus, all front, whether it is the revenue, whether it is EBITDA, PBT is little higher to 26%. So on a long -term basis, if you see constant ly 15 -20% guidance which management is giving, we are continuously delivering into that.

This is the capacity utilization you can see. So last year, we were close to about 68% kind of utilization. So capacity utilization improved in last three years. Thi s is a plumbing business working capital. More or similar line what we have seen on the console because 73% is contribution from the plumbing. That's why data days has come down, sorry, inventory days has come down from 64 to 60. And working capital days h as come down from 21 to 19 days. Daters, almost 18 to 19 days. This is the paint and adhesive business. If you see paint and adhesive, Keger is 26%. Of course, the paint is the later stage edition. That's why it is showing 26%. But if I remove even paint, only adhesive also, which is not a separate slide here, but that also close to about 19% kind of Keger is there.

EBITDA again 21% and PBT is around 17.7% mainly because of 26 crore rupees which we are writing off as an amortization that's why PBT is low. If I remove these 26 crore rupees annually and write off that is in amortization the number will be 20% plus. This is a key takeaway I think mostly I have covered. So I am not going to repeat again because we have already taken so much of time from you an d we want to give maximum time to Q&A session. Thank you very much.

Q&A Session

Attendee:

Sandeep bhai, thanks for the opportunity. It's very nice to note that you are no longer alone while addressing the meeting. You have your second son also joining and I don't want to compliment him too much today, but he's done a good job.

My question is on the paint industry. Two years ago, when you acquired this company, we had a godsend opportunity with one major cement player wanting to enter this field. He entered the field and at that time I

remember asking this question , don't you think this could be a big disruption and opportunity for smaller players? Today we have a situation where the plant is operational, there is disruption in pricing The e stablished players are talking of taking price cuts initially to sustain the market. Do you think the next 12, 15, 18 months will be a time for you to enter this market in a big way, capture pockets of the market and this could be the game changer for Astr al Paints?

Mr. Sandeep Engineer Speaks

Yeah, when we acquired GEM and in very short time, in maybe a month, the announcement came from the big business house and they have also come with their products. But basically, the news around disruption, they might have told that their pricing are not a disruptive pricing as of now. As of now, they are fighting against the biggest paint company of India. And we are also studying what the launch is happening, how their schemes are happening, how they are going to approach the market. But when we see ours elves in this market, and with the adhesive dealer network which we have almost now, it is going to touch 200,000, 2 lakh adhesive dealers. And we did a survey, almost 60 to 70% sell paints. And we are still very, very niche. And we would not do any disrup tive business. When we acquired Resinova , the same challenge, people said that there is a huge company in front of you.

And how will you succeed? And we said, we'll go in our way, we'll create brand, we'll create our space. And we said that we'll keep gr owing at 20 -25%. So our still target here is 25 -30%. We have astral brand well established. We don't want to go and do any cash burns or not go into any fights. Still with all these happening last year, JEM itself had 17% plus EBITDA. This business if rightly done can be always 14 -15% EBITDA which people doubted when we had even adhesive that how will you have so much EBITDA. So we are not going to push, put money behind it, be aggressive without any reason and do any unordinary expenses. We will grow. This year we will reach 300, 325.

It's an ideal number. And from there we will keep growing at around 25 -30% which is because the size is small, which is a good number for us. Let the top people have their own things going on. We'll make our own way. Because I'm seeing that we have a better way. Yesterday I met 350 dealers. And there is a lot of clusters . When this cluster happens, their margins have come down. And they have fight going on. And with that, we'll make our own way. But what we can tell you, all of you, is, today also I met a big fund and you want the baby to be born, tomorrow it should start walking, third day it should start running and fourth day it should start building the muscles. I said give us three years. The baby is getting developed bu t the patience of the market loses very fast and this fiscal you will see the difference in paint. You will see the growth, much growth in adhesive, much better growth in faucet. We are not magicians here. You come, I told them that let's extend the seat a nd see how things work. Because it doesn't work with magic. Business takes its own time, but we are very cautious. Why we presented both of them that we have now a team of people who are going to run it. It's not, we have concerns of many companies who don 't have people to take over. And still, you trust them. Here we have people and bandwidth. Please trust us to keep growing at the right pace.

We won't overshadow anything. We won't overcommit anything. See, when things run here and there, a few parameter s keep going here and there. But the company is not shaking. It's still cash positive company. It's still with certain unexceptional expense come of 25 years celebration. Everybody started shaking. But it happens, 25 years people have stayed with us. We ce lebrated with the smallest guy and we spent 35 crores for that. Gives us a big reward with the

dealers.
Today when we had multiple dealer meets of this celebration, you see the amount of business we are getting from the next day. So don't worry about pain ts, we won't be doing any disruption. We will go phase wise. It will go very perfectly when you see our paint going.

Attendee:

Sir, last question on the O -pipes that we are talking. Could you give us some sense of the ductile iron pipes, typically we als o hear of very large diameters. So whether it will come in all those sizes, it will come in the mid -size, where would this be an advantageous?

Mr Kairav Engineer Speaks

So, first phase we are launching up to 12 inches and after that maybe we will go to higher dais. Major demand is up to 12 inches, 315 mm is the major market for this and it is a replacement for ductile iron pipes that are used typically for fresh water supply. And, this is different from the null sejal pipes. DI is a pressurized applicati on. So, OPVC is also a pressurized application. And, it is typically used in, which is, it's not the same.

You know, using HDP in agri for null sejal and using ductile and OPVC in freshwater supply is two different categories. So, by getting into OPVC, w e are unlocking a new growth driver for the company. And there are many plastic pipe players who have already announced their entry into OPVC. There is a BIS standard also developed for this particular product. And majority of the market leaders and majori ty of the bigger players are going into this. So this will also see going ahead maybe not immediately, but in the next 5 to 10 years, shift from metal to polymer. Thanks.

Attendee:

Thanks for the opportunity. Girish from Morgan Stanley. Wanted to under stand the adhesive portfolio for FY24. If you split the performance for international and India, if you can help us with the revenue and EBITDA margin. And you also mentioned in the commentary that there's going to be the dahej , which will be the only plan t running right now, going forward. So, the impact cost for shutting down, is it likely to come through in Q1 again? And if there is any one -off in Q4, if you'd like to comment on that, that's the first question.

Mr. Hiranand Savlani Speaks

First of all, it’s not going to be a big effect on shutting down the plant because most of the machinery we have moved to the new location. So, it's not going to affect too much, maybe few crore rupees, 2 -3 crore or 5 crore ma x. It's not going to affect much to the size of company which we are today. The revenue from the last year from India operation was 960 crore and the EBITDA was 15 1 crores .

So, close to about 15.7% EBITDA was there from the India operation. The biggest ch allenge which we faced and the GP, the best part that GP was improved from 34.72% last year. The UK did around 355 crore rupees last year. Again, that EBITDA was just 19 crores . Last year EBITDA was 34 crores . This year EBITDA was 19 crores . Almost half EB ITDA. That was the pain point for us because of the inventory losses at the UK level. Otherwise, GP in that business has also improved from 33.42% to 35.57%.

Attendee:

So, what... What is the normalized EBITDA in UK business that we should expect going forward?

Mr. Hiranand Savlani Speaks

So, we are expecting close to about, double digit, close to about 10% EBITDA next year. Next one, you have 500 crores of cash.

Attendee :

Just wanted to understand your CAPEX program for this year and next year an d if you can break it down into various business segments to the extent that plans are formed up now.

Mr. Hiranand Savlani Speaks

So like we are, initially we have chalked out the plan which can take away the 300 crore rupees of CAPEX. But if the demand scenario is going to be high, which is there are high probability, then in that case we may increase also. So like we have planned out Hyderabad and the Kanpur plan in two phases. That is 40 plu

s 30 in Hyderabad and 30 plus 30 in Kanpur. Okay. Now if the demand scenario will be robust, then we can prepone also. It depends on the demand scenario. So roughly about you can say major chunk. 250 crore kind of will go to the pipe and 50 crore will go to the other businesses.

Attendee:

And there was a comment t hat you could expand in Central India also. So that will be the next phase. Not this year.

Mr. Kairav Engineer Speaks

This current CAPEX is only two plants. But Central India is a vacant geography for us. So after these two plants, the Kanpur and the Hyderabad plants are done, something might be on the cards for us in central India but it is in the nascent stages of just thought process.
Mr. Hiranand Savlani Speaks

Still we have not identified the land also.

Attendee:

Okay. And just final question on OC PVC. If you could quantify any opportunity size, the pricing or I am sure the margins would be accretive. So you spo ke about ROC being better because the capex intensity is lower.

Mr. Kairav Engineer Speaks

So yeah. So we are our OPVC capex typically we are going to invest one -fourth of what our peers have invested in OPVC. Because we have not bought a licensed machi ne from any manufacturer. Neither we have done any contracts with them. And on the realization side, I think it is too soon to comment that what the realizations of this product line would be. But since it is a technical product and a technology driven pro duct. It will not be like a agri pipe or a HDP pipe which are sold at R plus basis. There is a lot of technology behind this. So it will be selling at a premium price though it's a PVC product.

Attendee:

Good evening. Good evening, this is Heth Choksi from Devend Choksi. Thank you for the presentation, Sandeep bhai, Kairav, S aumya and Hiranand bhai and thanks for inviting us. A few questions, first around the entire theme that how Jal Jeevan Mission conceptualized in 2014 brought around the entire pipe water to the villages of India, we see a similar theme of pipe gas in the next 10 years. So, could you talk a little bit about how would you be wanting to capture this theme of pipe gas business especially going forward?

The second question is around, we 've seen how George Fisher involves and we have seen how Jubirit has created value in the insulation piping business. I think I remember last time in the last analyst meet, you spoke highly about the aluminum coated insulation pipe for the hot water segmen t.

So could you just throw a little bit light on that space as to how would you want to capture that theme? Because that product is a very premium product, but eventually you want to bring unit economics to India. So that would be really helpful as to ho w would that market eventually evolve.

The third question is around adhesives and sealant business. Look, honestly, you have been very strong in the piping business over the last 15, 16 years. But to replicate that similar kind of a distribution, the kind of a reach, the just -in-time product to the market, it requires a little dedicated effort in which I'm honestly seeing great effort from the team. But do you think that creating a separately listed company with a very dedicated, separate distribution netw ork, still relying on the cross synergies of the parent business can support your expansion because your vision is very big, the addressable market is huge but probably the ability to cater to it in the right time at the right moment might be the influenc ing factor around the growth. So that was one question and the fourth question is on we've seen how some regional players like Sera Chem in Chennai or in Tamil Nadu segment having a really dominant position in the niche silicon sealant space, where DAO is really a significant player. So how would you want to really work on this space going forward? Because I think the regional players are having a lo

t of impact on the industrial applications. So I think a little bit light on that aspect would really help. Thank you for that.

Mr. Kairav Engineer:

So, I will answer the piping side of the questions that you raised. So gas piping, yes, you are correct that there will be a shift. See, Europe, they use polyethylene and polybutylene pipes for gas applications. And India is still using metals. So gas side, t here will be a move to usage of polymer pipes. It is still in a very nascent phase. And we are actively keeping a watch on the developments on this side. It's too soon to commit to any sort of a capex till there are proper standards and proper uses and pro per authorities willing to accept these products for the gas transfer application . Because India, the thing is that, you know, foreign and all, they have set of standards.

So they are very comfortable using polymer products. But in India, you know, people are always scared that it's a polymer pipe and we are using it for gas. What if there is breakage? What if someone drills through it? What if there is a leak of gas? So all these things come up in people's minds. So we are actively watching this space. We are not saying that, you know, if tomorrow this space develops, that we will not enter it. We will definitely enter it. But it is still in a very nascent phase. So, we are just keeping a watch. And you asked about the aluminum composite pipes. We already have the CPVC aluminum composite pipe for hot water supply. And we are also going to launch the PEX, aluminum PEX composite pipes, again for hot water supply, with a differe nt set of fittings that do not require the solvent cement crimping method as well as push method.

So there are two ways to do the fitment of this particular product categories. But again, it is a very premium product. It is something that is selling at a lmost three times to three and a half times of a CPVC pipe. So the takers for this particular technology will be very limited in a cost -conscious country like India. But nonetheless, since it's a new and upcoming technology, we are committed to launch thes e products and manufacture these products in India very shortly.

Mr. Sandeep Engineer Speaks

Please wait. Folly Oliphants will give you a good news. Every child if I make, I am born today, then you will start eating my head from tomorrow. So we'll give y ou some good news as time comes in this fiscal. A lot of things are coming in new ways for a lot of applications and we are there working on many, many new products.
Okay.

Mr. Hiranand Savlani Speaks

So, regarding your second question was the George F isher wall kind of things. So wall business, I think we have recently taken the entry and we are really doing great. We have already crossed three -digit marks. So that business is anyway doing good. But still we have not explored the opportunity for the ex port market. Once we will be exploring that export opportunity, this number can be any number. Because huge demand is there. So, keep patient because it's a new business for us but doing great into that business and going forward also we are expecting that we are going to do reasonably well in that business. I am very happy to announce that recently Astral has opened up the office in Dubai. So now Astral focus is going toward this export market also. And we are going to bring lot of new projects from the G ulf region also and tha t we are going to support so many products. It's not only VAL. This can be a CPVC also, it can be a Drain Pro also, it can be a Silencio also. Multiple products, even ADC also we are selling into the Dubai market. We have appointed t he distributors over there also. So now focus is moving toward that direction also. But it always, it takes time. So give us few years, definitely we are going to do a good job into that category also. Regarding your another questions of adhesive and a sea lant, a

separate
company so you can give a more focus and all. I am sure you have not seen the number of our this business.

Last 10 years, our growth is 17% CAGAR , including UK. UK geography is growing hardly 1 or 2% in the GDP terms. Including that also we are growing at a 17% CAGAR . So which is one of the best growth I can foresee in a country like India into particularly that category. Where the big giant is there, no one is even dare to do 500 crore business against them. And we are today close to about 1400 crore. So we have done a good job. Yes, definitely we can do still better. And we are trying hard that we can do further better into that segment. But you know, any brand journey, initial journey is always a push journey. The moment pull start, num ber move very fast.

So we are almost on the verge of pull side. Now Bon dtite brand is very well recognized. You go into the Mumbai city, every shelf you will find the Bon dtite brand. That is what a big achievement for a brand. So pull will come and that will take this business to the next level of 3000 crore. So it's a question of only time. And S aumya, you want to add anything?

Mr. Saumya Engineer Speaks

You mentioned about the sealants and the application of sealants and how you will go into B2B. B2B, correct? Yes.

Attendee :

I mean, yeah, the competition from the...

Mr. Saumya Engineer Speaks

So, basically, there's application of sealants. You know, it's B2C and B2B. B2B is directly to industries. So, we do both. We do both. And B2C will be our focus because we are a retail -focused company when it comes to adhesive business and will be the same when it comes to the paints. We reach to around 2 lakh unique outlets every month with loyal outlets Growing every month on month who are billing with us regularly, so we'll be focusing on our distribution and strength of distribution But as I rightly sa id that sales marketing is creating the category creating the application Application banayata category bana. So we'll be focusing on creating applications. I'll give you one example is for Jio, you know fiber optic market fiber optics so Jio, Airtel and T ata, we are one of the biggest suppliers for them, for their repair kits. So, that's how we are going into segment by segment, understanding, developing that application and then ending over. It's a little different because application to application, ther e is a change in chemistry, there is a change in the packing size, there is... So, it's not fit to fit method for everything.

But yes, mass is retail. for sealants and we'll go head on with the competition in the retail. Thank you.

Attendee:

Thank you . All the very best.

Attendee:

Hi, sir. This is Ritesh from Investec. A few questions. First for Sandeep Bhai, I think on one of the slides we have indicated 10 -11 percent industry growth. It was not specified whether it was volume or value. If you coul d specify that and, in that context, do we have any aspiration on maintaining market share or increasing it and would you want to revise your volume guidance which historically we have indicated around 15%? So that's first question for you.

Second quest ion for you again and Hiranand bhai, two years back we had given a number of 1500 crores of top line within four to five years.

If we could spell where we are on the journey and are we still retaining that target? That's the second question.

Third, aga in, specific to Sandeep Bhai, I think Kairav did indicate that we have around nine verticals. Just wanted to understand what sort of management structure we have and how it folds into Kairav and S aumya and into you and Hiranan d Bhai. I think this is first set of questions. I have a few more.

Mr. Sandeep Engineer Speaks

The market, we have been guiding at 15 to 20% growth, but on the higher end, we will always be 20 and we will always want to be above 20. So that

is what we are looking at. And this year, as
we look the polymer scenario, I think the guidance of the higher end will happen.

So, safely, we don't want to give absurd number and tomorrow you all run and something happens to the stock and then we don't deliver. We have always given a guidance and delivered. So, yeah, it's a 15 20 percent but 20 is all I'll just add to this.

Mr. Kairav Engineer Speaks

Ritesh bhai Industry is supposed to grow at between 10 -12% volume and our indication to the market is between 15 -20% volume for this year. We will observe the trend for H1 and based on the trend of H1, like we rev ised our guidance last year, we might revise our guidance based on the movement of A, the polymer price and B, the demand.

Mr. Sandeep Engineer Speaks

And second question for me was about the bandwidth of the people.

Attendee:
Yes, sir.

Mr. Sandeep Engineer Speaks

So, bandwidth of the people, yeah. It is always a challenge today. One, people and one, to maintain people. But by God's grace, today, in all our segments, we have the best of the best people. The bandwidth of the people, say, if you say in the pipe, we have. you can come and meet some of them are very, very good people from the trade also. And today the pipe heads are come from real com panies who are from B2C. General trend was to take all the people from the same pipe industry which go around. We change the trend. We have people who have come from different B2C segments, deliver the best results. Adhesive, we have one of the best teams today in place for every vertical in adhesives, be it the maintenance and wood and everything.

Paint, we have Mr. Ram. We especially brought him here because a lot of people would like to ask questions. He has 25 years of experience plus in paints. And i n narrow leg, he has been there for almost how many years? Narrow leg only. So it's a big journey for him and well connected with the market. The technical guy in paint also has a big journey. So he's also a very good person. Similarly, we had concerns abo ut our faucets, about sales. So the concern was addressed, we made changes and we have Mr. Khurana who is again 25 plus years in the same trade. So yeah, bandwidth is proper at present. We keep our fingers crossed that we all remain together as a family a nd deliver things.

Attendee:

And sir, on market share, how do you look at it? The reason to ask is...

Mr. Sandeep Engineer Speaks

Which market share do you want?

Attendee:
On polymers, basically. If you look at it... Plastics.

Mr. Kairav Engineer Speaks

If you can see, Hiranand bhai presented the CAGAR . So, last... It's about 21% was the volume CAGAR in the last five years. So, I think we have outgrown the industry as a w hole in the last five years. So it is very indicative that we as a company are very aggressive to gain market share and to grow our reach and our networks. So that aggression and that pace of outgrowing the market will continue and we want to gain market s hare in the next five years also.

Mr. Sandeep Engineer Speaks

If you see the pipe industry, we have given 24% growth, but the best EBITDA in the segment. Now you want to give 40% growth and the lower EBITDA, then you are doing government business. These businesses which you see in Jal se Nal or gas and all, you have to invest looking at the long term. Those businesses are going to be gone in 4 -5 years. Those are not permanent businesses. In India, Jal se Nal is done, then from where will w e do Jal se Nal every day? There is no water in Bangalore. It is being sold on the money of a bucket. So, these projects we are going to come, but we are looking at alternates also for the application. Tomorrow I want to make an alternative for that applic ation, that it can be used in the industry, where it can be used. So it's a long sustainable thing. There were many products in PE

came for say rainwater harvesting.
Harvesting got over. We are thinking in a very big rational way of bringing all our produc ts. That is what goes in our thought process on the long-term horizon of 10 -15 years, not a short -term horizon.

Mr. Hiranand Savlani Speaks

So Ritesh, you know Ast ral by nature is a very conservative company in terms of guidance. We don't want that over night our share price goes up by way of giving a higher guidance. So we always give the guidance which is do able. And whenever the time comes and we see that the market is good, we can anytime revise the guidance. It's not that management cannot revise th e guidance also. Last year we have given the 15% volume guidance.

Half yearly when we see that we did around 28 -29% kind of volume, we immediately revise our guidance to 20%. And actually, we deliver 23%. So, guidance can be revi sed also. But you know, we are working in so many variables. And now variable is not restricted to the India. Variable restricted to the globe. So anything can happen anytime. So very very difficult for us to predict what is going to be there next 12 months down the line. Who thou ght, any analyst thought that 10% kind of price rise can happen in polymer in one quarter time? No. Even company never expected. So these kind of variables are there within that we have to perform. So we have to be always conservative. We don't want unnece ssary our investor make losses.

We are not that kind of company who make the losses. We give the higher guidance and then don't deliver and then ultimately our shareholder make losses. Because ultimately analyst will project higher number because they ha ve to extrapolate only in excel. In real world doesn't happen like that. So because of that they will do like that way and then number will never come. So we are very clear that we will give whatever it is do able. That only we are going to guide. And we h ave clearly, categorically said that once we will complete six months, we can revise our guidance upward. That also we have communicated today also in the media also, in G News also I have given categorically answer that we can revise.

It's not that we are restricting ourselves to the 15% or a 20%. It can be 25% also, it can be 30%. We are prepared. We are having capacity. We are having cash flow. So nothing is going to stop us for the higher growth. But at the same time, we want to work judiciously and in the interest of our shareholder. Secondly, your question was our original marks of 1500 crore from the new business. We are very well on track. We have not shared the number. But next time in the presentation, we will give the net numbe r also what level we have achieved. We will not be able to give the breakup of individual category. But definitely whatever we have given the guidance of 1500 crore from the new businesses, we are going to achieve in next committed time.

Regarding your a nother question of management bandwidth and all, you are very well aware our employee cost are going up because we are adding a lot of senior level positions in our organization because we are preparing ourselves for the 10,000 crore marks. So we are prepa ring ourselves in the management bandwidth side also. We have already appointed the CTO level person. We have already appointed the CHRO level person. These positions were not there in the organization . So all these new positions are getting created and th at's why you see our employee costs are also going high. But this is mainly because we are forecasting our doubling the turnover from here from the next five years. That's why we are preparing the base for that and we are creating the management. Today our employee costs may look higher but once the number will start coming, this will be automatically absorbed and that will be coming to the normalcy what we are used to do earlier. So we are mentally prepared to aid the management b

andwidth and that is, on t hat line only we are working right now and two gentlemen are in front of you. They are already working hard, on an average 14 to 15 hours both are working, so nothing to worry on the management side.

Attendee:

Just two quick questions. ANP spends, would you like to quantify? I think Hiranan dji gave a number of 179 crores. How do you see this number?

Mr. Kairav Engineer Speaks

ANP, like Hiranandji said, most of it was due to the one -off of the 25th anniversary. If you look at the core brand spends and advertisement spends, we have not increased from what we have been doing. It has always been in the same ballpark. Budgets are made accordingly. And coming into this year, I think A&P spends will be rationalized aga in to what they used to be as a percentage of sales. So, it is not that we have done a lot of TV ads or it is not that we have done, like... Actually, in fact, starting from this year onwards, we are also coming out of the brand ambassador spends because n ow we have reached to a certain scale where most people are aware about our products and we want to save that money and use it. towards, you know, developing the newer categories within the particular vertical.

Attendee:

Thank you so much.

Mr. Sandeep Engineer Speaks

And take the last question because almost six o'clock or two more. One is there and one is there.

Attendee:

Thank you for the opportunity. Amit Purer from Ilaria Capital. Sir, just on your comment on infrastructure pipes, you highligh ted that that is a growth opportunity and we acquired r ex and you said that has done very well. Has it grown ahead of the company average or any ballpark number if you could share the outlook for that?

Mr. Sandeep Engineer Speaks

So we won't give you the breakup of the number but it has grown much better last two years. Not only I can say it's projects which are the infrastructure project of the government but we worked with the projects of various builders and got the product accepted.

So now the growth of this pipe is 30 -40% comes from the private businesses from various cities and equally it is growing with the government projects. It is growing at a good pace.

Mr. Hiranand Savlani Speaks

So it is higher than the one normal busines ses.

Attendee:

Okay. And, and just working capital cycle

Mr. Sandeep Engineer Speaks

it's much better. Because we do you know .

Mr. Hiranand Savlani Speaks

Astral is very, very careful about the working camera that's why many businesses will leave i t. Because we are very clear that we don't want to do the business at the cost of balance sheet. So we are very clear. We will be happy with one or two percent lesser growth, but we will not dilute our balance sheet. We don't want to

Mr. Sandeep Enginee r Speaks

We are supplier of a special product we made for the bullet terrain project. It was approved in Japan. And we are one of the suppliers for that. So that's a niche product which we have made for them. Yes, last.

Attendee:

Hi sir, good evening. This is Rahul Agarwal from Ikigai Asset. Sir, one question I had on adhesives. The Dahej plant has just started. I think your focus will be to ramp it up next year. I understand the long -term guidance of 15 -20% of the segment growth revenue. But just want ed to know, like a bit shorter term, next two years, would Adhesive see higher than normal growth, you know, purely from a volume perspective? I understand the pricing is up and down. But that's one question I had, purely from a next two-year perspective on Adhesive , please. Yeah, yeah.

Mr. Sandeep Engineer Speaks,

Obviously, it will be growing at a much higher pace in volumes. Much, much higher pace. And the Dahej plant is having a good capacity. So it will be... helping us to grow much faster. The initiative of New Bharat now has started seeing results for u

s. So basically, one more reason also for this
manpower jack -up cost which has come is that the New Bharat initiative, it comes like people come first or the business comes. When you see number, you feel, no, people should not. But people come first, then the business comes. Now we have also Faucets which is going to, that cannon has to fire this year. Obviously, the manpower cost will go up. Pai nt, similar you will see for one or two years. When you see consolidated, it looks little higher. But yeah, we have put people on the ground and adhesive will grow at a faster volume pace in this year and coming years also.

Mr. Hiranand Savlani Speaks

Even if you see last 4–5-year CAGAR number, that also adhesive, India operation is growing faster than the pipe. But that, because of UK, if we consolidate the number, now you feel little lower than the pipe. Otherwise, India operation, it is, we are doing much better. And if you compare with the peers, you will immediately come to know what is the difference. So, we are continuously gaining the market share.

Attendee:

Sure. So, essentially it means that 20 -25% is what we could essentially see this year, right? Purely because a new plant has started.

Mr. Hiranand Savlani Speaks

Yes. India operation, you can still expect that 20% plus. Right. But overall console base, 15 to 20% will be there.

Attendee:

Sure. And lastly, just as a bookkeeping ques tion to Hira nand bhai. Sir, paint car revenue EBITDA, if you can share. And for the bathware business, I think you shared the top line, but if you could give the EBITDA, please.

Mr. Hiranand Savlani Speaks ,

So, bathware, I think we lost close to about 1 7-18 crore last year, EBITDA level. And top line on a net basis after GST, discounts, all was around 60 to 63 crore rupees. Gross was much higher. And painted total revenue was around 185 crore rupees and EBITDA was somewhere around 14.5 to 15 percent.

Attendee:

Okay, thank you so much.

Mr. Sandeep Engineer Speaks

Okay, thank you. Any other questions? I am here, so you can meet me in person.

Thank you very much all of you.

Mr. Hiranand Savlani Speaks

Thank you everyone. Thank you.

Mr. Kairav Engineer Speaks

Thank you everyone. Thank you.

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August 09, 202 4

MANAGEMENT : MR. SANDEEP ENGINEER - CHAIRMAN AND MANAGING DIRECTOR – ASTRAL LIMITED
MR. KAIRAV ENGINEER – EXECUTIVE DIRECTOR – ASTRAL LIMITED
MR. HIRANAND SAVLANI – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – ASTRAL LIMITED

MODERATOR : MR. KESHAV LAHOTI – HDFC SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Astral Limited Q1 FY '25 Earnings Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions a fter the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star the n zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Keshav Lahoti from HDFC Securities. Thank you, and over to you, sir.

Keshav Lahoti: Good day, everyone. On behalf of HDFC Securities, we welcome you all to Q1 FY '25 Earnings Call of Astral Limited. From the management side, we have Mr. Sandeep Engineer, Chairman and Managing Director; Mr. Kairav Engineer, Executive Director; and Mr. Hiranand Savlani, Executive Director and Chief Financial Officer.

I'll now hand over the call to the management for their opening remarks, which will be followed by Q&A. Over to you, Sandeep, sir.

Sandeep Engineer: Thank you. Thanks for joining the earning call of Q1. As you all are aware that the pre -COVID volatility of polymer and chemicals were in the range of 1% to 3% and its volatility is in -- today is in the range o f 10% to 20%. In the long run, it's good for a bigger and cash -rich companies and very painful for smaller companies.

But for a shorter period, it gives fluctuations in results from -- for every company. In the past also, we have communicated to all our i nvestors to please see our results on a yearly basis rather than on a quarterly basis because this kind of fluctuations are going to give high volatility in numbers either in top line or in the EBITDA margin levels.

But in spite of so much volatility in raw material side, I'm very happy to say that our team is in a better position and able to manage this volatility and deliver a good 16% volume growth against our guidance of 15% volume growth. So we are very much in line with what we have guided.

Our CFO will discuss more on the numbers, but let me take you to all the verticals of the business. In pipe, we have completed the Guwahati plant and it's fully operational now. Our bigger plant at Hyderabad is ready and trial runs are going on, and we are going to start commercial production in the last week of this month, that is August '24.

Our fitting plant at Ghiloth is on the verge of completion, and we are expecting to start the production in Ghiloth plant for the fitting from next month, tha t is September 2024. We have put 22 injection molding machines in Phase 1 and another 22 injection molding machines will be installed in Phase 2.

Dholka, our expansion of existing plant for additional machines for pipe is in full swing, and we are expecte d to start the production from Dholka from October '24. Regarding our Kanpur plant, construction drawings, plans are ready, agencies have been appointed, and we are awarded the construction work to a company which is starting the project work from the end of this month.

Regarding new projects. We are planning to enter into OPVC and Pex pipes. Our -- for both of the products, our machines are ordered, machine orders are placed. OPVC trial production will start from October '24 and Pex will start in next yea r -- next fiscal year second quarter. Regarding bathware business, we are progressing very well. As communicated earlier, this is a new vertical for us, so we will go slow, but as we have guided earlier, we will be doing net sales of 100 -- anywhere betwee n INR100 crores, INR125 crores for this fiscal.
Best part of the business is that all our customers who have used this product are -- as well as the plumbers who are fitting the products are all appreciating the quality of the p

roducts, so our
confidence is going up for this vertical and this business.
We are also adding new SKUs in the vertical and we are foreseeing a good growth coming from these new SKUs in the bathware division. Regarding our Adhesive business, it is going as per our plan. This quarte r also, we have a very healthy growth of 14%, while the industry was growing very slow. It's not only the growth, but we have also delivered a very healthy EBITDA margin in our adhesive business at 16%. Our rural initiative in this vertical will give us fu rther growth in the coming years, and all the products are very well accepted in the rural market.
Regarding our U.K. operations of adhesive. This quarter was not good. It delivered a negative growth of 5% in top line and 2.5% in the EBITDA due to the ele ctions and slower growth in the geography. We are closely monitoring the same and will work out plans to come back quickly on the growth path. We are confident that from Q3, we will be coming back to the normalcy of its business and to the plan -- as per t he plan, which we have made for the business.
Regarding paints, we would like to inform you that we have launched Astral Paints in last week of June and opened Gujarat and Karnataka market. We are understanding the market and slowly we'll open a few more states. The uptick in numbers will start from Q3 once we appoint sizable numbers of dealers for our brand.
On a consolidated basis, our growth is good. We are seeing the future of the building material industry is very good in India, so we are confident t hat we will keep doing higher than the industry growth and keep gaining market shares in the coming time.
I will now request Hiranandji to take you through the financials, and we will take on your more questions on the business or whatever clarities you w ant in our question -answer session. Thank you very much.
Hiranand Savlani: Thank you, everyone, for joining this conference call of Q1 number. First of all, I want to take you a few numbers, and then we will give you the explanation of each vertical wise w hat was there in the quarter.
So the plumbing business last year was INR938 crores, which has gone up by 8% to INR1,013 crores with EBITDA of 17.94%. Of course, this EBITDA is including other income. So we are giving numbers in that way, that's why I'm putting this number. Adhesive business, India operation, last year was INR210 crores with 16% EBITDA margin, this yea r is also INR240 crores, so almost 14% jump. Though the industry was very slow or adhesive, but our company

has delivered 14% growth, with the same EBITDA of 16%. So we've maintained the EBITDA in the category.
Our U.K. operation was a little bit disappoi nting this quarter. Last year, it was INR94 crores. This year, it has delivered INR89 crores, so almost negative 5%. And the EBITDA last year, it was 8%, which is now 2.5%. But as Sandeep bhai said, we are working on that. In fact, we were expecting some i mprovement, but it is getting delayed because of, so reasons already mentioned that elections and slowdown in the economy, which has resulted in that, but we are working on few initiative, which will give us the growth back to the Q3 number onwards.
Paint s, last year, it was INR40 crores; this year, it is INR42 crores, so almost close to 4.5%, 5% kind of growth. EBITDA margin last year, it was 17%; this year, it has come down to 10%, mainly because of the new launch of Astral Paints. So for that, we did a couple of big bang dealers meet in Bangalore and Ahmedabad city, and we have appointed a lot of new staff for the Gujarat region and the Karnataka region and because of that, we have to spend additionally INR2.5 crores to INR3 crores. But this amount is INR3 crores, but if we have work out on the top line of INR40 crores, it is working out to be 7%.
So that's why it looks that the EBITDA margin

has dropped from 17% to 10%, but actually, it is
not like that. So gross profit margins are maintained, but it's the only challenge is that we will

spend this amount that's why it looks -- that's why our EBITDA margin has dropped.
So overall, on a consolidated basis, we've grown 8%, and which is a very healthy growth under the circumstances where the polymer price we re very, very low in the industry. The gap between the volume and value was 8% because of this lower polymer price and that has resulted into the -- a little bit lost into the EBITDA side also.
Now I'm coming to that also. First off, we want to discuss ab out the gross profit margin. The GP has improved during the quarter, all -time high of 40% -plus, so we are having no challenge as far as the gross profit is concerned, but it is not fully converted into EBITDA, mainly the reason we have communicated in the press release, that is mainly because of the employee cost and the other costs, which has gone up.
If you see the GP1 on the per kg basis also, I think we have maintained a little bit improved also on a per kg basis, so absolutely, we are on a right track . Q1 is always slow. Cotton and polymer price were low, so the gap was wide between the volume and value, that's why also percentage EBITDA has come down.
If the value and volume could have same, then the percentage EBITDA could have been much better than what we have delivered. We are quite confident that in coming quarters, this cost will come down like other costs and employee costs also because our seasonal quarter is going to start now. And as mentioned that couple of events were together in the Q1, p articularly the ICC cricket and the IPL because of that, our extra INR20 crores cost was there on the branding, advertisement and exhibitions and all these things, but these costs will not be a regular kind of cost.

So we will stick to our annual budget, which we normally give and which is normally in line with the growth of the business. So we assure you that on a full year basis, this number will be in line with the growth of business. So we should not worried about this cost, because this is the one of the cost of a particular quarter, and that is loaded on a lower quarter, that's why it is looking in a percentage term very high, but this is not going to be the case on a full year basis.
Secondly, in the second half, normally, we have seen the element o f CPVC will be high. Value - added products will be high because our seasonal quarter is normally Q3 and Q4, so that is also going to give us a more advantage in terms of margin. Q1 is always -- in the historically last 10 - year number, you see it is loaded w ith the more of PVC products, then the CPVC and the value - added product.
So that is also one of the reasons that some pressure will be there on the margin. But otherwise, in the coming time, second half, it is going to be in a much, much in a positive dir ection.
Secondly, we are also expecting that the BIS norms and the antidumping duty on PVC, which is already on the car, which may come in Q3. So that is also going to support on the polymer price in the second half. And second half is always peaked in our industry. So that is also going to add further support to our volume and you can say the advantage on the margin side.
In the month of June, PVC price substantially gone up. But that pass -through doesn't take place because the industry side, everyone was finishing the quarter and no one was passing through to the market. Everyone was expecting that from July onwards, we'll pass through to the market.
So because of that, everyone was expecting that the top line should improve and equally, some inventory ga ins should also be there in the system.
But actually, the pass through doesn't take place in the industry, no player has pass -through in the industry, so because of that,

there was no inventory gain. Otherwise, the kind of price rise was there in the PVC, that could have been an inventory gain. So there was no inventory gain for us also.
As far as the bathware is concerned and paint is concerned right now, we are spending more money, that's why it looks that the margins are low. And similarly, the market still it has not reached to the breakeven point, so that is also reducing our EBITDA to some extent. But the way we are seeing the growth in the bathware also, and once the all launch will be over for the paint, we may open up one or maybe max 2 sta te in the second half in the paint also.
So then after, I think it will be a substantial growth into that vertical also, and that is also going to support us with the additional EBITDA. So lastly, as Sandeep bhai said, we are always giving the guidance of full year basis. One quarter will not be the right method to do the evaluation on all the parameters, somewhere top line will be there. Volume will be missing, EBITDA will be high, EBITDA will be low. This kind of things will keep happening on a quarter -on-quarter basis.
But our annual guidance, which we have given 15% volume growth, we are maintaining that. If any change will be there or any plus or minuses will be there in the system, we will be

communicating to you in the coming quarter. But right now, we are confident that on a full year basis, we will be maintaining 15% kind of volume.
Thank you very much. And with that, I want to open the floor for Q&A session.
Moderator: Thank you very much. Our first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, this 15% volume growth that we are seeing, I think previously, we are looking at 15% to 20% kind of a range. So given the fluctuations in the PVC prices, so is it possible that maybe the second quarter onwards, we can -- there is a chance to revise this upwards or 15% would be kind of a max that right now we are looking at? And also now particularly July, how was the kind of a demand or maybe if you can give some idea in terms of the volume, how was it?
Hiranand Savlani: So like you see the history that whenever the polymer price goes up, the demand picked up. It is not a genuine demand, but it's a stocking demand. So the genuine demand will be the secondary sales. Primary demand keeps coming up and down. So whenever polymer price goes up, primary demand goes up. Whenever polymer price come down, primary demand comes down. So that is the normal phenomena. And to some extent, secondary also get affected with the price fluctuation.
So we have seen in the past also, whenever price has gone down, the demand has come down. But the moment INR1 or INR2 or INR3 polymer price goes up, the pent -up demand come back. So I think on the basis of 1 month -or-so, it is very, very difficult for anyone to predict wh at is going to be there for the full year basis. But that is why we say that right now, we are sticking to this volume, right? If any change will be there, genuinely any uptick or slowdown will be the last year also, you see we guided 15% volume and on a half yearly basis, we revised the guidance to 20% and we ended with 25%.
So we are very, very sincerely communicating to our investor the reality of the market. This year also, we have not given the too high guidance. We have given only 15% -plus kind of g uidance because we know there is a highly volatility will be there in the market.
Otherwise, we could have guided you more also, but we don't want it to do that way. That's why we have given the guidance 15% clear. 15% can be 16%, 17%, 18%, 19%, 20%, anyt hing, 15% to 20% number. So we have to see how our peak quarters are going to perform. If our peak quarters are going to give us a good result, then I think should not be any problem, we can achieve even more num

ber also then the 15%.
So 15% -plus guidance we have given, so we have stick to right now that. As far as July is concerned, yes, you are right, absolutely, July is slow because the polymers are coming down and another INR2 to INR3 everyone is expecting that the price will go down. And that is already reflected in the Street and every dealer and distributor know the Street. But beyond that, seems difficult to go down immediate basis. And if anything positive comes out on the BIS side or antidumping duty side, there are high probability the polym er price starts going up also.

Similarly, the antidumping side of CPVC also can support in the increase in the price in the coming time also. So these all are subjective, and that is the region we have given the range. So it is very, very difficult to mon itor on a quarterly basis. But on a yearly basis, yes, we are quite confident that we will be delivering 15% -plus.
Shravan Shah: Okay. And secondly, in terms of Q2, is there a possibility that we can see the inventory losses?
Hiranand Savlani: At this stag e, we don't see any inventory losses. If further polymer goes down, yes, there can be a probability of loss. But at this stage, when I'm talking to today, it doesn't look that the inventory losses will be there.
Shravan Shah: Okay. And a couple of data poi nts. Bathware Q1 revenue and EBITDA loss was how much? And capex , how much we have done and for full year, we were looking at INR300 crores to -- that remains intact?
Hiranand Savlani: So bathware, we have already given in the press release, we have done c lose to about INR26 crores of revenue, which is Y -on-Y basis, if you see, it is a 90% jump, but that is not the right way to evaluate 90%. It looks a very good number. But the base is very low.
And as far as the capex is concerned, we have not done any capex into the bathware side because Sanitaryware is completely outsourcing and as far as the Faucet is concerned, already our Jamnagar plant is operational, so we have not done any capex . And we have not given a guidance of INR300 crores, we have said we wi ll be -- Sandeep bhai also said in the initiative remarks that we should be doing between INR100 crores to INR125 crores of revenue this year.

Shravan Shah: No, no. I'm saying the full year at company level, consol level in terms of the capex guidance. So...
Hiranand Savlani: capex guidance will be somewhere around INR350 crores on a full year.
Shravan Shah: Okay. And then in bathware this quarter, how much EBITDA loss?
Hiranand Savlani: It is very difficult to work out exact loss because earlier it was a s eparate segment, but now our plumbing product fittings where we are using the brass element, we have started manufacturing this all brass rings in -house in our Jamnagar plant. So now that is clubbed with the plumbing business. So very difficult to arrive t he exact number, but it will be very low.
Sandeep Engineer: It is very, very, very low. And there is no capex going to be done in the bathware business for this whole fiscal, we have enough capacity .
Shravan Shah: Okay. And lastly, sir, on the Paint for full year, how much revenue we are looking at and in terms of the margin, I think previously, we said 14%, 15% kind of a margin, so that -- for FY '25 it remains the same?
Hiranand Savlani: So this year, margins will be a little lower as I communicated in the first quarter also because of launch and all employee costs because our revenue has not started, but expenditure have started. That's why our margin has come down. And second half also 1 or 2 more states may open. So in that also will take some ini tial costs, but we will be maintaining double -digit kind of margin.

Shravan Shah: And then revenue for full year Paint?
Hiranand Savlani : Yes, full year, I'm telling you a

minimum 10% kind of margin we are targeting.
Moderator: The next question is from th e line of Sneha Talreja from Nuvama.
Sneha Talreja: Just a couple of questions from my end. In fact, an extension to the previous question on Paints. Given that we've just launched it in Gujarat and Karnataka, how are you looking at further launches? And what kind of revenues can we see maybe from 2 to 3 years' perspective in this particular division?
Sandeep Engineer: We have launched in Gujarat. And Gujarat also, we just launched a month back, and we have got a good amount of traction from the market, we have already 40 big dealers who have started stocking and selling Astral Paints. We are opening Rajkot from this month, and then we are opening Baroda, Surat from this month. And in next 1 or 2 months, we'll be also opening in the North Guja rat.
See, the paint, one thing you understand is a paint we are going with the direct -to-dealer model also, which is there for what -- when we bought Gem the same model was there. And direct -to-dealer model takes some time to get established. But the sale in first 15 days itself for Astral Paints was very good.
We'll quantify some numbers on this from next quarter for Astral Paints to make it more clear and clarity. And then in the next 2 months, we'll be opening 2 more states, which we have -- we want to finish Gujarat, go to Rajasthan, then go to Maharashtra. So we will be going in phases of 3 months, 3 months, 2 months to open 2, 3 states, then consolidate the position in 3 states in the Western Zone and to work more on the Southern part where Gem is pr esent.
And you will always -- we are targeting a growth of at least 15% to 20%, 15% minimum from the level which we were last year. And as EBITDA, already Hiranandji conveyed, the EBITDA margin would be maintaining double digits. We will have certain expenses to cover up the market to create the market and to grow the market. But the response is positive. The product is well.
We have done a lot of painter meets in Ahmedabad, in Rajkot and there is a lot of positiveness from the painters about using Astral paints. And the response is also very positive in the rural markets where we have gone with our paints. Our segment covers all the paints. We have the oil paints and the normal paints, which can be sold in the rural market.
So the market is v ery positive. But as I would always tell when we acquired Resinova, the market and everyone got impatient about the competency and the way we would have deliver. Now when adhesive is you see the way we have grown, the way we have delivered, the way we have created new markets, new products. We would help to trust and give us time, but we'll not derail anywhere in the business. We would not burn our capital behind the business. We will not show capital behind the capex here without understanding. And we will always be in a positive mode on growth and margins and keeping margin intact at a level we will keep growing the same.

Sneha Talreja: Understood. So that was pretty helpful and detailed answer. Just second question from my end

was related to pricing, espe cially CPVC. Of course, we see PVC being volatile. CPVC, there were a lot of price hikes, which were anticipated. How is that panning out? Is it still have an anticipated more are we passing anything on? And moreover, how the inventory levels at the dealer distributor level. This was the last.
Hiranand Savlani: So PVC price so far is stable. There is no much volatility, but there are high CPVC -- CPVC price is stable right now, but there are high probability that because of this antidumping revised rules, t here are high probability that the prices should go up. But because the PVC price has fallen that the industry is under that a little bit worried that CPVC may not go up. So because of that, no dealer or distributors are happ

y to keep the inventory.
Every body is in a watch -and-wait mode. The moment, some uptick will start then everybody will rush to do the stocking. But at this stage, very light inventory in CPVC in the market, and everybody is worried what will happen. Like PVC, nobody expected so sharp f all will be there. So because of that, right now -- and secondly, it's a rainy season also. So normally also the demand will not be that high and quarter is always lean. So that is also one of the reasons. So I personally feel that from September onwards, things should start moving and prices should go up. But right now, it is a stable and there is no price uptick.
Moderator: The next question is from the line of Rahul Agarwal from IKIGAI Asset Management.
Rahul Agarwal: Sir, 2 questions, firstly on adhesi ves. Obviously, consol number looks lower. You explained that India was 14% to 16% margins. Wanted to know your overall outlook for the balance 9 months. In U.K., you have already said what do you expect, but India, what will you expect in terms of growth and margins? And on a consol number for adhesives, what should be the margin we should work with? That's the first question.
Hiranand Savlani: So I think India, we are expecting to maintain the similar margin for the balance 9 months. And at the same time, we are expecting 15% to 20% kind of growth. As far as U.K. is concerned, U.K. full year, we were expecting 8% to 10% kind of growth on a full year number. But we have to reevaluate the things, how it is going to span out because second half, we are expect ing a lot of new things, development is happening, so it should definitely going to give us a good number. For the full year basis, we are of the view that U.K. should give us minimum 8% to 10% kind of growth. And margin side, we are expecting somewhere a round 7% to 8% minimum EBITDA should be there. from the U.K. And if the second half will be better, it can go up also.
Rahul Agarwal: Got it. That's pretty clear. And secondly, last question. On the opex side, so I completely understand the explanations gi ven on higher branding costs for about INR20 crores for the quarter. But last year, if you remember that both the staff costs as well as other expenditure grew pretty high, I think it was 35% higher Y -o-Y, about INR250 crores for the full year. If you coul d guide us for the run rate ahead, that would really help. Like how should we build the growth?

First quarter, I understand it's up again 25% Y -o-Y, if I add up the staff cost and the expenditure. But some outlook on how should we look at staff costs and other expenses on a run rate basis going forward?
Hiranand Savlani: So see staff cost at all has gone up mainly because top line growth was affected because of the lower polymer price. Now hypothetically, if the polymer price goes up by 8%, 10%, then the percentage term will not be big gaps, what we are seeing today.
Secondly, then normally, whenever you are adding the new verticals, new plants, like my Hyderabad plant is not giving any revenue to me, but my all complete staff is appointed over there and c ost is already started incurring. So that number will come at a later stage. But I have to incur the costs in advance. Same thing Paint also, we are expecting good number in the coming quarter. But I have to appoint the staff where we need one, I have to t rain the staff.
So all these costs we have to incur for the new verticals, new plants, new geographies, like East and all that market, we have taken the entry. So there also, we are increasing the manpower span, so these all will definitely going to benefit the organization once the number will start flowing. But right now, the top line is affected because of the polymer that look that staff cost is very high.
And definitely, it is high on this lower top line. The moment the top line will start comin

g, I
don't think it is going to be more painful in the coming quarter. And secondly, this quarter is a very lean quarter also. On that, definitely, it is looking very high on the percentage term. But otherwise, if you see on a quarter -on-quarter basis, it is not that high. If I'm comparing Y -o-Y, which is, yes, it is very high. So please wait for some more time. When the polymers will start going up for 8%, 10% also all the number will be changing.
So our way of looking is that our gross profit margin shou ld not be affected. So gross profit

margin, not only it has gone down, but on the quantity improved to some extent. If you see per KG also, it is maintained or little improvement. So we are not too much worried on the employee cost at this stage. But if th e growth will not be there, then definitely, it is going to be a decremental. But we are having confident that in the seasonal quarter growth will come back. There is no reason that India overnight will something happen to the country.
So we are very posi tive. As far as other costs, I have already given the explanation that we are seriously looking into that and on a lower base and a couple of even become together only and these events are booked long in advance. So sometime it happened that in the same qu arter, this happened. But in the coming quarter, it will substantially come down also. So on a yearly basis, it is not going to affect much. So we are quite confident on a yearly basis, whatever the branding budget or promotional budget we have given it to the team, we will stick to that budget only.
Rahul Agarwal: And sir, just to follow -up. What I'm saying was first quarter basically has the lower staff cost and other expenditure. If you look at the full year trend, if you go past history for Astral, shou ld that be similar this year also?
Hiranand Savlani: So like whatever the percentage you are seeing last year, I think on a full year basis, more or less, it should be in the same range.

Rahul Agarwal: Actually, I was referring to the absolute numbers, but I get your point, sir. I'll get back in the queue.
Hiranand Savlani: No, you can separately also call me on a specific number.
Moderator: The next question is from the line of Pujan Shah from Molecule Ventures.
Pujan Shah: Sir, you have been like mentioning from few press releases about the OPVC and the segment we wanted to grow. And in our investor relation con -call as well, we have explained about this OPVC to develop technology while indigenously we have been developing this technology. So could you just give a glance how we have been -- is it this first mission is being imported or we have been indigenously developing with any kind of association with any company? How we're looking into it and how forward we have been planning to grow this segme nt? And what could be the potential plans for next 2, 3 years?
Hiranand Savlani: So OPVC, yes, we have guided that this will be our indigenous technology. We have not outsourced this technology. So it will be completely in -house. And to start with October, November and December, 3 machines we have lined up. So initially, the capacity will be close to about 7,000 to 8,000 metric tons. We have -- once the machine will be there and actual operation will be there, we will come to know exactly the -- how the cap acity is going to work out, but it should be somewhere around that level.
And if we get good response and success, then we can expand very quickly. So we have to see how it is going to work out. And definitely, it should be price wise, it will be very, ve ry advantage to us, and that is going to help us to grow the market very fast. As far as market is concerned, market like this product, and a lot of inquiries are getting floated in the market.
And the moment we will start immediately the demand should co me. That kind of inqu

iries are
there in the system. So keep finger cross. Once everything settled down and we start selling into the market, we will be in a much, much better position to guide you what exactly is going to be there, what kind of the realiza tion will be there, what kind of profitability of that business will be there. But at this stage, it looks very good, and it's a very, very promising product for the country per se, I can say. So it is going to help every player in this industry.
Sandeep Engineer: And there is no technology or license fees, which we will have to pay or no royalties. It is a jointly developed technology as we did in our Silencio Pipe or in our DP Pro pipe. And secondly, we will be making all fittings also in -house. We will be not dependent on anyone to source fittings or pay any royalties or long -term things, and it will be purely -- everything would be owned and run and done by Astral itself.
Pujan Shah: Sir, just to confirm, you are saying jointly developed. So we have been associated with any company -- company or it is just...
Kairav Engineer: We are associated with a technical partner, but we are not at the liberty to disclose from where we are sourcing the machine on what the technology is for the obvious reason s.

Pujan Shah: Okay. And sir, like we know that the value of the technology will follow from the best and even though I just wanted to look into -- if you look at the best country and even China, so how they have been shaking out in this piping segment spe cific? And is there any.

Sandeep Engineer: You are asking that how China is shaping up with this type of things, but we are not aware, nor are we anywhere involved in anything to be bought from China .
Pujan Shah: Sir, I didn't get you.
Sandeep Engineer: You are asking that how China is shaping up with this type of things, but we are not aware, nor are we anywhere involved in anything to be bought from China.
Hiranand Savlani : Operator, this voice clarity is missing. We are not getting the right voice. Somew here something is missing. So can you check the line?
Moderator: The next question is from the line of Nitin Jain from Fairview.
Nitin Jain: Thank you for the Opportunity So the volume growth that you have reported this quarter is quite good. However, if you look at the volume -value gap, which you indicated, it's around 8% for Astral. So it's a little higher than what our peers have reported. So if you can elaborate on that and how we see this gap closing going forward? And also, like in the last 2, 3 quarters, this is just an observation, like there has been a recurrence of one -off expenses like the Jaipur event, then around INR20 crores on pending in this quarter.
So thes e are -- I think they're impacting the margins. So where do we see this recurrence? Do we see it subsiding going forward? If you could elaborate.
Kairav Engineer : Yes, yes, all this will subside. See, we have already changed our branding strategy. We are moving out of and have moved out of the brand ambassador model. So we are saving money on the brand ambassador side. We are saving money on the TV ad side. We have moved out of the TV ads also.
We are focusing mostly on the on -ground activity and cricket. And in cricket, IPL and World Cup, both the events happened in the same quarter, now that is not in our hand because we have a tie-up with both of them. We had a contractual obligation to fulfill, so we had to do it. But then going ahead, going further, th ere are no major such events in plan. So obviously, the cost will come down.
Nitin Jain: Okay. So on a full year basis, it will be the same is what you're trying to say?
Kairav Engineer : Yes, it will come down only. It will not go up. There are no major ev ents. Now only the events that are going to come up will be the major exhibitions and such things, which are essential for tr

ade. No other big bang activities are there in line, we have already finished them majorly.
Sandeep Engineer: In the mode of stick into our budgets and guided figures. So be assured by the fiscal, it will come down. But by the fiscal end, it will be in line with everything what has been guided.

Nitin Jain: Okay. Fair enough. And if you could clarify on the volume -value gap, like for A stral it is 8%, but the peers have reported much lower numbers. So if you can elaborate on that?
Hiranand Savlani: So basically, normally, what happened that first quarter, as far as normally of a CPVC driven more company. But the first quarter is always l oaded with the more of PVC product. And we open up the plant in Guwahati and just Cuttack where right now, the more of sale is coming from the PVC side.
So because of that, overall, it is like that. And the PVC also, if you see Q1 and Q2 was Y -on-Y basis substantially low. But June only, it started picking up sizably, but that could have been passed through to the market. So that was the reason that the gap was wide. But going forward, I don't think in the coming quarter, the PVC will be high. CPVC will be more. So because of that, that gap will be narrow.
Nitin Jain: Okay. That's helpful. And just a follow -up on what you indicated that you were unable to pass on the prices like most of the industry players, was it because of increased competitive intensity or how is it shaping up?
Hiranand Savlani: So normally, what happens that everyone was sitting with the old inventory. And secondly, quarter ending was there. So everybody was of the view that from July onwards, we will increase. And all the big players w ere of the view that we don't want to the market. So because of that, and then the July already, naturally PVC price come down. So normally, in PVC business, it doesn't happen like that so quickly, it goes up and so quickly, it comes down. Normally, stabilized for some time and then either it goes up or it goes down. But this is the unique things we are seeing for so many years, we have never seen that in 1 month, it is going up by INR14, INR15, and the next month, it is coming back to anoth er INR11, INR12. This is not a normal phenomenon. So because of that, every one before it gets digested, it gets reversed. Otherwise, these kind of things we have not seen in the past. Normally pass -through takes place within a week's time or max to max 10 days time.
Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies.
Sonali Salgaonkar: Sir, my first question pertains to your volume growth again. I understand that we are majorly into plumbing and some part into DWC or infra. So could we get some kind of qualitative or quantitative colour as to how much our volume growth has come from plum bing and how much

from Infra this quarter? And secondly, also, how much from urban versus Tier 1, Tier 2, et cetera?

Hiranand Savlani: I think we don't share, Sonali, these kind of number in the calls, neither in the personal meetings also. These are the c onfidential things we don't discuss in the market.

Sonali Salgaonkar: Okay. Fair enough, sir. Sir, my second question is a bit strategic in nature. This is regarding your new products and verticals. Sir, we understand that you have started into Bathware vi a Greenfield and Paints via an acquisition and then developed on that. So as of now, how much would be the distribution overlap of these individual new verticals with your core pipes

business? And so how many more quarters do we foresee this added promotio nal cost to continue to strengthen our own brand?

Kairav Engineer: So Bathware has a bit of an overlap with the piping business. I would say about 50% to 60% of our retailers sell Bathware product. So right now, our distribution channel and

our retail chan nel
has gladly accepted our Bathware product and the numbers are moving in a very positive manner, and we will only grow up on them.

When it comes to paints, there are -- there is a bit of an overlap between Paints and Adhesive side. There is not a major overlap between the paints and the piping side of the business. However, there are a few piping distributors of ours who are into project business and into industrial business, who have shown their willingness to stock and sell this particular product line of ours.

So that is also a very positive sign for us. And with regards to promotional spend, see, we are not doing major promotional spend in either of the 2 divisions, neither in Bathware nor in Paints. The promotional spends are basically mostly the ex hibitions that we have to do for the Bathware product because it is a touch -and-feel kind of a product. And for Paints, it will be mostly painter meets and meeting the influencers who are going to test and experiment with their product. So that is -- both of these are very essential for these businesses.

And this is the only thing that we will continue. We are not looking to do any big bang branding campaigns or spend a lot of money buying these 2 businesses as of yet.

Sandeep Engineer: And I would like to correct. In Faucets, we did acquire a plant at Jamnagar which has a good capacity, good product, a latest plant also and with a good product line and which could help us to take all our Faucets till now. But it was on an asset value base. So we never paid for any brand value or anything else. So we got it at a good price and we have our own plant at Jamnagar.

Sonali Salgaonkar: Understood. Sir, very helpful to know. And just lastly, I wanted to clarify, are we or have we been a part of Nal se Jal so far?

Sandeep Engineer: For our PVC product, yes, we have supplied and we are in a few states supplying 2 good contractors. And it's a PVC -based product line which we have...

Kairav Engineer: But it is -- it will not be a sizable business for us because we are selling it our quality and our price. So it is not -- Nal se Jal is not a sizable business for us. We are only selling to the selected contractors who are buying it at our price, our terms and our quality.

Sonali Salgaonkar: Sure. Sir, as of now, say, in FY '24 or Q1, whatever you choose to let us know, what would be the revenue accretion from Nal se Jal? And maybe ask which states are we a part of?

Hiranand Savlani: So Sonali, it will not be possible for us to give the exact number because we are selli ng it to our distributor. And from distributor, it goes to the contractor or maybe site or maybe project directly, which is very difficult for us to know. So we don't know exactly what will -- and even if that number will be then it will be very low. It wi ll be very miniscule.

Sonali Salgaonkar: I understood Sir, Thank you & all the best sir.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: I have only one question that too related to your o verall -- for the quarter overall gross margin. So gross margin of 40.5%, which you had delivered for a quarter. So how you see this number the way forward? Would you be able to maintain this? Or is there any one -off there in this quarter? Or you will see this to improve in the down the next 3 quarters because your seasonality is there in the second half?

Hiranand Savlani: So as far as improvement is concerned, I don't think we are already sitting on a very high margin. So there is no point to improve furth er from here. Even if it is coming down around 2%, it's fine to us. But again, further improvement. I don't think we have a mindset to do like that. Rather, we will be more focusing to grow the business in the margin of GP. So we are at a very, very health y margin.

So our normal range is moving between 36% to 40% kind of zone. Precisely, now it is 40%, but other 36% to 39% kind of zone. So I think we will be happy with that kind of gross margin, but we'll be more interested to grow volumes...
Praveen Sahay: Sir, any one -off is there in this quarter or no?
Hiranand Savlani: Which one?
Praveen Sahay: Any one -off is there in the gross margin for this quarter?
Hiranand Savlani: No, there is no one -off.
Moderator: The next question is from the line of Shubham Aga rwal from Axis Capital.
Shubham Agarwal: I have 2 questions. One is, can you quantify the onetime cost and the cost hedge? So just to summarize, you've spoken of them over the call, but if you can summarize what were the onetime cost in Q1 FY '25?
Hiranand Savlani: So like the main onetime cost was INR20 crores for the branding, advertisement, exhibitions and debt -related additional costs work there, which Kairav also explained. And I also initial remarks said that because of few events will happene d at one time, that's another additional INR20 crores we spend into that.
And to some extent, will be on the employee side also, which is very difficult to quantify exactly, we have not done the working but some portion will be into that side also. But an employee at all will be normally in the routine part of the business. Whenever you are doing any new activity, new vertical you are opening new markets, you are opening new plant you are opening, you have to incur these kind of things and then the revenue follow later stage. So the major chunk was, I think INR20 crores on the branding side and advertisement side and another few crores maybe on this employee side.
Shubham Agarwal: Right. And this is INR20 crores is after considering the savings, let's say, that you would have done because you were not doing what you say those brand ambassador -related spend. Despite

that, you spend INR20 crores extra is what you're saying and this will normalize over the next 9 months?
Hiranand Savlani: No, no, no. Brand ambassador and all contracts were there. So that cost was already there. So new cost of Kairav said that the brand ambassador will not be there. Whatever the existing recurring cost -- because we are -- we have to pay that in advance. So that will not be the reduction into that side. But future will not be that cost. So to that extent, it will be a saleable saving on the company side...
Kairav Engineer: Also, I would like to add that last year, whatever we had the one -off event cost and al l that also will not be there this year. Whatever we have our 25th anniversary celebration event cost, et cetera, that also will not be there going ahead in this year. So that all cost will also be removed.
Hiranand Savlani: And that is why we shared in th e initial remark that you wait for the full year number. Definitely, you will see that the cost will be only in line of the growth only, not going to be high on a full year basis.
Shubham Agarwal: Right, sir. I'll just move on to the second question, which is regarding the pipes business. So what I understand is that the whole -- as you mentioned that the industry was sitting on old PVC inventory and then they did not pass on and at the same time, we are also hearing that the growth was subdued in June '24. So is it right to say that there was some kind of caution in the industry players with respect to the volume growth of PVC pipes? That the preferred volume were increasing passing on the price increases to market? Was there some kind of ambiguity with respect to the volume of the demand in June and how is it fared on July and August?
Hiranand Savlani: Normally, what happened in the month of June in a phased manner the prices go up. So in a normal circumstances, also normally every company gives 1 week to 2 weeks time to the distributor to manage the inven

tory, okay? So everyone might have thought that even if we are going to increase the price, we are going to get the benefit for 1 week on an average.
So that is not going to affect too much to the company's profitability and everyone was on the quarter ending phase. So everyone was of the view that unnecessarily disturbing the price on a quarter ending period is definitely going to unnecessary create problems within the distributor.
So industry do not part o f that thing, but that is not the regular kind of phenomena.
Kairav Engineer: And to add to Mr. Savlani that in our market, if the giants do not pass on the price after a PVC rise to the market, then we also have to follow the same because we cannot work i n the opposite direction.
Sandeep Engineer: Basically, any price rise, it is very simple Price rise in PVC takes a few days to pass on. But as we forget about passing on the price rise, we don't say we have not passed on. There was a sudden product price, which has come down. And because the reason is that a lot of PVC, which

was earlier booked by traders at a lower price, all the material came together. And that material, they wanted to offload for their capital journey. And it all happened very fas t.
Otherwise, if you see the way the PVC is globally and if you see the way the PVC raw materials are bearing, there is no reason the price has to come down. We had a detailed meeting with the

India's biggest PVC producer and he explained that there is no reason looking to the capacities and the VCM availability that this price at a lower bandwidth will remain, it will obviously improve as the stocks in the market are over.
Moderator: The next question is from the line of Manan Madlani from KamayaKya Wealt h Management.
Manan Madlani: Sir, my question is again on the gross margin side. Could you just give us to understand , what would you report on any change in the product mix?
Hiranand Savlani: So if you see that compared to last quarter, it is not much cha nge, slightly improvement compared to the last quarter. There is no big bang increase. Very, very small increase. But yes, definitely, it was all -time high, that's why we say. But other way last quarter also, it was close to 40% kind of thing.
Manan Madlan i: Okay. And for OPVC, how much gross margin will be there in that business? Any broad range will be fine.
Hiranand Savlani: I think let we launch the product, and then we will be having more clarity and we -- even we have to see how the costing is getting worked out because it's a new product. So we have to understand how the cost parameter is setting out. And based on that, we have to work out the realizations and all.
Also, we have to see how the competitive product realizations are there. Then only we will be deciding the final driving and all things. So I think we have to wait for another couple of quarters. October machines are coming. So hopefully, November market commercial production will be there in the market or maybe quarter end -- October end a lso. So we will be in a position to give you all this thing in Q4.
Manan Madlani: Okay. And on the adhesives side, how is the silicon pricing is fairing?
Hiranand Savlani: Silicon, now, I think it is comparatively stable. Not big volatility right now.
Mode rator: We have the next question from the line of Ritesh Shah from Investec.
Ritesh Shah: Sir, One pointed question. You have given guidance on EBITDA margin on CNBC today for both Plumbing as well as Adhesives. Sir, simple question is, what is the absolut e employee cost and other expenses that we plan for FY '25?
Hiranand Savlani: So we have already communicated that all will be in line with the percentage margin whatever was last year.
Ritesh Shah: So does it mean 7.8% of sales and 14.6% of sales that is what we are looking at, irrespective of the changes in resin price and

the revenues?
Hiranand Savlani: No, if the resin price goes down, then the percentage can go up also.
Ritesh Shah: Correct. So that is the reason, sir, why I'm asking what is the absolute number? The reason to stress upon this is in Q4 had a lot of focus on cost rationalization. I mean, Q1, again, we see a

bump, which we understand that it was perfectly logical and it was expected. So that's why I'm asking like at the start of the year, you emphasize on having full year budgets, so what is the employee cost that we are looking at on a full year basis and likewise ?
Hiranand Savlani: So it is very difficult to give you the absolute number, Ritesh. Normally, every quarter -on-quarter, we monitor the things and based on that, the new recruitment plan getting executed. So budget is always subject to certain numbers. If the numbers are moving in a certain direction, then we may add a few or if it is not like that, we may reduce also. So it is very difficult to give you the absolute figure in the beginning of the year. It keeps changing based on the requirement of the business and based on the growth of the business.
So very, very difficult for us to give you that, okay, we are going to end the year at this number, and that is never going to be the right number also. Even if I communicate it is not going to be the right because it keeps fluctuating. So in a business doesn't work like that way. If suppose my Paint business give me extraordina ry -- I'm giving you an example, if my Paint business give me extraordinary number, then I can increase that staff strength also. I can open the new city also. So in that case, my absolute number will not be matching. Same thing, now Hyderabad plant is getting opened up. Now suppose Hyderabad plant is give me extraordinary number in the beginning stage, I can add new staff over there also. So it is very, very difficult to quantify on

an absolute basis. That's why we said that you have to monitor on the b asis of percentage rather than on an absolute number basis.

Ritesh Shah: Right, sir. What you have indicated on a guidance -- I'm on the same question. Let me just please finish. you have indicated a guidance 15% to -- 16% to 18% for Plumbing and 14% to 16 % for Adhesives. Is that right, sir?

Hiranand Savlani: Yes, it is the right number. It is the -- I have given it for the India operation, not the U.K.

Ritesh Shah: Yes. So let me just finish the question. So when you have given this EBITDA margin guidance, hypothetically, if the resin prices go down by INR15 for the rest of the year, my simple question is, will the management be flexible to cut down on the cost or we will still continue to go ahead with the cost? And then basically, how should one understan d the sanctity of the margin profile?

Hiranand Savlani: So naturally, cost will come down because we have to be sensible. If my business is not growing, if business is not giving me the right thing, then I have to reduce my cost. That is what we have done in the past. You see our history, 2007, we have got it listed. Today, we are in '24, last 17 years, we have done it that way only. We are always trying to adjust the thing. When the quarters are good, we are working in a different way. If the quarters are not in our favour , we reduce also. So that is what the business because we cannot keep spending the money even if the business is not growing. That is not the right way to manage the things.

Ritesh Shah: Sure. I just have a related question for Sandeep bha i.

Sandeep Engineer: In short what we would like to communicate very clearly is that if there are challenges coming up in the polymer, we will be accordingly taking care to see that by year -end, we fall in the right

number and which if need be, we'll start working and correcting from quarters, whet

her it is the other expense, whether it is the branding expense or whether any other expenses are there. Secondly, manpower wise also, we will be working judiciously to see wherever -- but when you have 2 new thin gs which are firing up, the same thing happened in the past when we acquired Resinova also, because you are -- now Resinova is proving itself growing, everything is happening, so there are other initiatives also we have taken in Adhesive business.

And we are opening many new markets and revenue which give us this three quarters again, communicating when we meet. But very, very as Hiranand bhai said, is the challenges come up in growth or in numbers or in polymers or chemicals or anywhere we will be obviously cutting on the cost and see that we are maintaining our guidelines, and we will be very much on conscious about our numbers and figures and EBITDAs.

So we are as a family, and we are, as all of us always cautiously working to see that things mov e in the right direction.

Hiranand Savlani: Look at the COVID period. how quickly we reduce the cost. So we are understanding that because at the end of the day, we are the trustee of investors' money. So we have to judiciously work. We cannot work what we like because ultimately, we have to respect the other. So based on the requirement of the business, we will act.

Moderator: We have the next question from the line of Akash.

Akash: Thank you for the opportunity Yes, I just wanted to ask what is the gross margin in Adhesives business in India?

Hiranand Savlani: India gross margin is 45%.

Akash: And what was that same quarter last year?

Hiranand Savlani: Roughly about 43%.

Akash: Sure. And sir, what is the current plastic piping capacity and how you see it i ncreasing over next 2 years?

Hiranand Savlani: Capacity. Current capacity, let me check my people and give you the exact number. It is roughly about 3,34,000 metric tons.

Akash: Yes. And say, by FY '25, what will it be?

Hiranand Savlani: I think I have to work out because a lot of expansion activities happening at Hyderabad, then Ghiloth, then Hosur also and then Dholka also, every plant some expansion activity is going on because we are expanding the capacity everywhere. So I think maybe you can call me la ter, I can give you the tentative number, what will be the year -end capacity.

Akash: Thank you sir.

Moderator: We have the next on the line of Amit Purohit from Elara Capital.

Amit Purohit: Sir, just one on the realization for the Plumbing business. So if I look at, you indicated that second half, you would see improvement that is largely to do with the base effects which will play out because Plumbing cost had come down -- sorry, PVC prices have come down during that period.
So mid - to high single -digit growth, if the prices remain stable as of now should be assumed, right? And second, I wanted to check sequentially because of the infusion mix, also you were saying that Q1 was looking low. So from here on, the -- if prices remain same, then we should see realizations improving for our plumbing business? Is that a right assessment?
Hiranand Savlani: Yes, it's the right understanding. Even if the polymer price remains same, the coming quarter, realization will be much better because it will be more loaded towards the plumbing side of the business than the PVC side of the business or every side of the business. So definitely, even in the past also, if you see that the first quarter is always low and then every sequential quarter, it goes up and fourth quarter is always at the peak.
Amit Purohit: Okay. And so on a full year basis, there is a possibility that we may have 1%, 2%, even if pricing remains stable, the realization could be better just be cause of Y -o-Y being lower in the second half last year?
Hiranand Savlani: No, it

will be more than 1%, 2%.
Amit Purohit: Okay. And the full year margins for the Plumbing business, you are indicating 16 to 18 percentage margin?
Hiranand Savlani: Correct. C orrect.
Moderator: That was the last question. I would now like to hand the conference over to Mr. Keshav Lahoti for closing comments.
Hiranand Savlani: Okay. I think Keshav is not there. So we can conclude the call, let Sandeep bhai to say the closing remarks.
Sandeep Engineer: Thank you, everyone, for joining the Q1 call -- earning call and we will again get connected after the Q2 call. And thanks for your support. And anything which you want to ask for unanswered, you're always welcome to get in touch with us. Thank you very much, everyone.
Thank you.
Hiranand Savlani: Thank you, everyone. Thank you. If anything is left out, any question, please call me on my mobile number. Thank you so much.
Sandeep Engineer: Thank you. Thank you.

Moderator: On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

"Astral Limited
Q2 FY 25 Earnings Conference Call"
November 07 , 202 4

MANAGEMENT : MR. SANDEEP ENGINEER - CHAIRMAN AND MANAGING DIRECTOR – ASTRAL LIMITED
MR. KAIRAV ENGINEER – EXECUTIVE DIRECTOR – ASTRAL LIMITED
MR. HIRANAND SAVLANI – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – ASTRAL LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Astra Limited Q2 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this co nference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you, and over to you, sir.
Arun Baid: Good evening, ladies and gentlemen. On behalf of ICICI Securities, I welcome you a ll to the Q2 FY '25 Results Conc all of Astra l Limited. We have from the management side, Mr. Sandeep Engineer, CMD; Mr. Kairav Enginee r, ED and Mr. Hiranand Savlan i, CFO and ED. Now I hand over the call to Sandeep bhai for his opening remarks, post which we'll have the Q&A. Over to you, Sandeep bhai.
Sandeep Engineer: Thank you. First of all, I welcome you all to the Astral Earnings Call of Q2 FY '25. I also wish you all H appy New Year and we all wish from Astral family a very healthy life for everyone.
As you are aware that last quarter was full of challenges because of huge volatility of polymer prices. PVC prices went down by 13.5% during a single quarter because of that dealers and distributors community was not comfortable to keep a regular stock and inventory. On the contrary, they reduced their normal inventory levels to a huge extent.
However, since last one month prices were stable, but from beginning of November the prices have started an uptrend and that is because of the two reasons. One is international price of PVC has now started going up due to increase in freight costs. And also recently, the governm ent of India has put antidumping duty on PVC imports. Due to the PVC -- due to this antidumping duty in place, the PVC prices went up by INR1 on 1st of November and again by INR2 on 7th of November.
We are expecting further price rise in the coming time a s full effect of antidumping is yet to come in the coming days. And also the BIS hearing is in December where there will be furt her uptrend in PVC after the BIS implem entation is going to take place. Now coming to the performance of the business of each vertical. Let me talk first about the piping business. There were many challenges due to PVC and the polymer price going down and the stability of polymer, people were expecting will fall further and fu rther. So the channel was disturbed and channel was also in guessing whether while the price will stabilize.
So these challenges in this scenario, you have seen th e numbers across the companies, b ut one thing Astral did is they maintained a minimum fall i n any of the sales, but maintained its margin to the best level in the whole of the industry. So managing the EBITDA and still selling more product was the first criteria which as Astral we did, and we never lost our market share. So as I tell you that the other challenge which happened in the last quarter is the extended monsoon in the country. It's a very positive thing to have good rains and extended monsoon, but this did effect and slower the construction activity and the agriculture sector demand also went down.

One more thing was that the infra demand on the government side was also -- also slow and on the lowest level in the last quarter. And that also impacted the growth of the business. However, in spite of this huge pressure and demand, Astral has maintained its brand strength and maintained its EBITDA margin in the range of 16% to 18% without losing its market share.
Now when I talk about expansion, our Hyderabad plant initially started water tank.
Now pipe production has also started. Initia

l ca pacity of 21,000 metric tons is in place and further
machines will be added in Q4 at the Hyderabad plant. The expansion of G hiloth plant for fitting with 22 machines is almost ready and will start production from the month of November this month with a cap acity of 4,000 metric tons. Our first machine of OPVC has already been installed. The trial productions have been done. The product has been tested with the specifications of ISI in our laboratory and it has been given to -- for testing at the ISI laborato ry and we are awaiting the ISI approval for starting the commercial production and sales.
So we are now completely have launched OPVC and are in OPVC business. We are expecting 2 other machines of OPVC to be installed and commissioned in this quarter, Q3. Our Kanpur plant construction is going on as planned and in full swing, and we are expecting the initial trials of water tank and some of the products at Kanpur plant in the end of Q4 and starting the production of some of the products in next -- first qu arter of next fiscal. Our new range of PTMT product range with 150 SKUs is ready to launch in the market from the month of December and the revenue of these products of PTMT water taps and other bathroom fitting will give us the revenue and start from Q4.
We are also increasing the infra pipe capacity, the double -wall corrugated pipe capacity by 5,000 metric tons by Q4. We are placing -- every plant will have one corrugator, and the corrugator orders were placed. The corrugated orders corrugators are gettin g delivered and will be commenced in the next quarter, and we'll be making double -wall corrugated pipe from almost every plant of Astral to serve this product in pan -India basis.
In the ball valve division and the valve division, which we started, now we h ave ball, thick ball and non -return valve, a new range of all these valves from 0.5 inch to 4 inch for PVC and CPVC, and we will start commercial production of 50 SKUs of valves from Q4 of this fiscal. Bath ware vertical, as I talk about bath ware vertical . Bath ware vertical has started growing, and now we are happy to inform that last Q2, we have grown by 63% in this division, almost done a net sales of almost INR29 crores against INR17.7 crores in the similar quarter last year.
And on a half yearly basi s, the growth is at 75%. Adhesives division, Adhesive India business has grown in Q2 by 8.7% and in first half by 11.5% and maintain its EBITDA of 15%. Due to heavy rain, the business was slightly lower in Q2, which will be expected to pick up in this Q3 and Q4, and we will be back at our normal volumes, margins, growth, and we will be delivering the numbers as per the guidelines.
The U.K. business growth has been flat in this quarter, and there has been an EBITDA challenge of minus 2%, which we are working on it, and we'll see to come back to normal EBITDA in

coming 2 quarters. Now when I talk about U.K., there are some challenges which we faced in Q1 and Q2 in our U.S. business with one product.
And the margins of U.S. as we are launching 12 to 13 new prod ucts, we had some manpower both on the plant side, the QC side, the purchase side and the sales side, which inc reased the cost of manpower for one or two quarters, which did effect in the margins. But we have already launched 12 new products in the U.S. an d a few products have started going to the market.
And in coming two quarters, U.S. will be not only growing with all these products, but U.S. also will be delivering a good number and a good margin. So we have -- in the U.S., we have waterproofing produc ts, we have adhesives, we have sealants, we have silicones and all these products which were actually exported from U.K. but was unviable will be now made at our U.S. plant and delivered to the U.S. market.
In U.K., we have the sales and the margins and t here are certain big play

ers who are destocking
the product. And because of that, the combination of products sold in the market has lowered the margins, which also will be back to normal in Q3 and Q4. And there is nothing great to worry on this product -- on the U.S. and U.K. business. And we are sure that we'll give you the -- by the year -end, the margins as well as the numbers as we have been guiding.
Now in U.K., there is another thing which is happening and which is a good news that we are

working on a few new products, which are advanced technology adhesives and these R&D stages have been completed. And initial response for these new products in the market with the customers is very good, and we will be launching these products in coming two quarters.
As well as we are exploring and we will be making these similar products in India and selling in the Indian market, which also will give a boost to the Indian adhesive market, and we will be one of the first companies to launch advanced technology products for in adhesives in the Indian market in coming -- in quarter 3 or quarter 4.
Due to these corrections and expected U.K. will start performing from quarter 4 onwards and will deliver a double -digit growth in business and normal EBITDA margins will be mai ntained.
Paint business has delivered a growth of 4.5% in this quarter. We have launched Astral brand Paints, which everyone knows in Gujarat. We have opened some parts of Maharashtra. We have also launched it in Karnataka, and we have recently launched th is product again in Rajasthan and in Jaipur.
So there is some pressure on margin. There is nothing which is abnormal or which is alarming. We have to -- when we go with new product, when we go to expand our geographies to these states, we have a pressure on keeping more manpower to reach this marketing. And as the sales pick up, the good news is the Astral brand paint, which was launched in Gujarat and now certainly in Rajasthan is delivering good number in the first two months.
And in next one year, this will be stabilized and giving us good sales number. So there is some challenges on that front, but nothing in the negative margin, nothing on the pressure on the other

way. It is only the cost of selling and reaching the market, which is there. We are not burning any cash. We are not in any negative things or we are not ploughing any wrong capital behind it.
So once the distribution is reached and created, the things will start picking up at a very, very fast pace. So these are my notes, opening notes on al l the businesses, and I'll be open to answer your questions and answer as the call progresses. And I hand over to Hiranand for his further remarks on the earnings call.
Hiranand Savlani : Good afternoon, everyone. Thanks for joining the earnings call, and Happy New year to all of you. Since results are in front of you, I just wanted to give you some vertical -wise number, so you have a more clarity about the number. In the Bath ware division , this quarter, our top line was INR966 crores versus INR980 crores last quarter, Q2, so a degrowth of minus 1.4%. Again, that EBITDA last year, it was INR177 crores. This year is also maintained at INR177 crores. So there is no loss of EBITDA in this plum bing business.
Paint business last -- this quarter, we have delivered a number of INR49 crores against the last year similar quarter of INR46 crores a growth of 5%. And EBITDA last year, it was INR10.3 crores versus this year, it is INR2.6 crores. And Sand eep bhai has already given the reason that we are opening up the new states. So because of that, we are incurring a lot of cost on manpower and the launch cost.
Adhesive last year, it was INR242 crores. This year, it is INR263 crores, a growth of 9% and EBITDA of INR41 crores this year, last year, it was INR37 crores. U.K. adhesive, it was flat. Last year, it was INR93 crores,

this year, it is INR92 crores. A negative EBITDA of minus INR2 crores this year versus last year, INR9.1 crores. On overall basis, consolidated basis, if you see last year, it was INR1,363 crores top line versus this year, INR1,370 crores, a growth of 0.5% on a consolidated basis. On an EBITDA level, last year, it was INR233 crores versus this year, INR219 crores, so almost 6% negative EBITDA growth.
In terms of percentage, if you see the Bath ware business last year was 18% EBITDA. This time is also 18.3%. So we have maintained the EBITDA percentage. Bath ware and pipe, both put together. Paint business , there was a degrowth. So paint this quarter, it is 5.35%. Adhesive India business last year was 15.4% EBITDA, this year is also 15.5%. So we have maintained the EBITDA of paint adhesive in India operation. U.K., Sandeep bhai had given in detailed explana tion. So last year, it was 9.7% EBITDA. This year, it is 2% EBITDA.
So overall, last year was 17% EBITDA against that this year is 15.97%, so precisely 16%. So overall, on a consolidated basis, it is 1% drop on the EBITDA. But we have guided that we will be maintaining 16% to 18% EBITDA on pipe, which we have maintained. India operation also, we have guided adhesive 15%, which we have also maintained. Only little challenge which has come that is from the paint and the overseas adhesive business, so that we are going to address shortly.

So we will be back not only I can say back, but will be on a higher side than what we have guided. We have guided consolidated 15% to 16%. We are already on 16% in this quarter on a consolidated basis. Even on a half yearly b asis, if you see the number, half year basis also, we are at 16% Pipe half year basis, 18% and paint 7.3%. India operation of adhesive on a half year basis, it is 15.75%. So overall, you will see that we have not at all diluted any of our margin what we ha ve guided.
So that Sandeep bhai also mentioned there was a tremendous pressure on the polymer price, which is reduced by almost 13.5%. In spite of that, we are in a position to maintain the margin. There was a slight loss of inventory also in this quarter . It was not that high, but it was between INR10 crores to INR15 crore s kind of loss was there. But in spite of that, we were able to maintain our margin.
As communicated in the past several times, our company is always believing in profitable growth. And we have again demonstrated that in Q2, you can see our margins are maintained within our guided range of 16% to 18% and overall 15% to 16% on a consolidated basis. Similarly, Adhesive India, we have guided 15%, we are 15.5% on a half year basis .
As communicated Sandeep bhai in U.K., once this new R&D products are commercialized, we are expecting a good number and improvement into the margins also. Similarly, once this U.S. sales will pick up from Q3, some uptick will be there. But Q4, we are exp ecting a sizable growth because we have launched -- we are launching in this quarter 12 products. So we are expecting that it will be a really good number for us in the coming quarter because this is including adhesive sealant and waterproofing all put tog ether.
Bath ware has already started picking up. We have already reached a INR10 crore s kind of monthly run rate. So we are expecting that whatever we have guided between INR100 crores to INR125 crores revenue for full year, we are going into the same line . Paint, we are expecting that initial journey for launch, there will be a pressure on the margin, but we are confident that the growth will be there for the full year. And as well as from the next year onwards, we are expecting a reasonably high growth in the paint side.
As communicated in the last con call, we have already started controlling costs, which we promised in the last call. And you can very well see in our numbers that our other expenses on

a consol level basis has come down from INR219 crores t o INR194 crores. In percentage terms, last quarter, it was 15.9%, which has drastically dropped to 14.2% and there are high probability that in coming time, it will further drop because last year, there was an event of Jaipur. So because of that, the cost was high. So we have not spent anything extra, except last quarter, there was a back -to-back two events of cricket. And because of that, we have to spend extra spending on the branding side.
To summarize, the margins were maintained under the difficult tim e. And now since antidumping duty has initiated on PVC, we are confident that growth will come back. Also in December, some clarity will be there on the BIS front also. Once that clarity will be there, we will be back to our growth path of volume. Right no w, volume was a little bit lower than what

we guided, but we are confident that in the coming time, we will be maintaining the growth. We are expecting this year to end between 10% to 15% volume growth.
We are giving you the range between 10% to 15% becau se we want to see how the destocking effect at the dealer and distributor level is playing in this quarter. Q3, we are expecting that to play a very critical role, particularly in the month of November. That's why we are giving broader, but we will try our level best to see that once the demand will start picking up post this monsoon season, we will try for the 15%.
But we are giving you the broader range of 10% to 15% because we don't have a clarity about the destocking side exactly what is there in the ma rket. So once that clarity will be there by end of Q3, we will be in a better position. Thank you very much. And now we are opening the floor for the question and answer.
Moderator: Thank you so much. We will begin the question and answer session. We have first question from the line of Rahul Agarwal from Ikigai Asset Management. Please go ahead.
Rahul Agarwal : Sir, first question on BIS. Just wanted to know which products are applicable here? What clarity are we awaiting here? What's really happening on th e government side? And how does it benefit? Obviously, from shift to organized from unorganized, I understand that. But if you can add some more colour on where is this BIS getting applicable? And how does it benefit overall once it gets impleme nted? That' s the first question?
Hiranand Savlani : So see, if you see there were two pending issue with the government. First was to initiate the

antidumping duty, which government has recently a few days before, they have issued the circular and now that is done. So sooner or later, you will see the price effect will be there on the mark et. Already INR3 price rise is taken place. We are expecting between INR6 to INR8 price rise should happen over a period of time. But I think almost 40%, 50% price rise is already done with the price -- antidumping duty amendment.
Second, BIS, BIS side, t he clarity that the government has to finally issue the order because government has to follow certain protocol as per the international standard. So once that will be done because they have to show that at least 120% kind of gas demand should be there so that they can implement this circular. So Indian capacity plus overseas capacity put together, that tool is there. So now a few companies have successfully passed this BIS test from some companies from Japan, some companies from Korea, Taiwan. So once that will be done, then government can issue this circular.
The biggest advantage, you rightly said there will be a shift from unorganized to organized side. So a lot of unorganized players are using the poor quality of raging. So that will be going to affect them because their costing will go up. And because of BIS, overall costing will -- for the industry will also go up to some extent. But now antidumping is th

ere. So there may not be a
substantial effect on the pricing because of BIS. But at least shift wil l be there from unorganized to organized side. That is what we are expecting, and that is very, very healthy from the Indian consumer point of view as well as from the organized players point of view.

Rahul Agarwal : BIS is getting applicable for the PVC re sin...
Sandeep Engineer : There will be two ways of BIS, which is being done is one is the resin qualification of BIS. And second is at some point, maybe in 6 months or maybe earlier, certain products which are sold in the market without BIS will be elimina ted. And even the small players who are selling non -BIS product will have to have -- everyone will have to have BIS certified products. So these 2 implementatio ns are going to happen in next one or two quarters, and these two will further affect the rise i n the product or demand as well as the rise in the pricing.
Rahul Agarwal : And lastly, on CPVC, just some understanding on what's really happening on pricing there. And if you could share not the exact number, but in terms of growth on CPVC on construction plumbing, how is that shaping up quantitatively finally?
Sandeep Engineer : CPVC is continued to grow, and it is growing. And if you see Astral has done despite of all these challenges in PVC, a good number. So obviously, the CPVC sale is continuously growing at giving us good number and margins. Secondly, CPVC, antidumping duty is in place, but a lot of product was there in the market, stocked by everyone. And as this destocking of old stocks continue, -- and the new products which will co me will be having a little higher price. So CPVC will also see good growth and the revenue increase in next -- maybe not Q3, but maybe up to Q4. CPVC is for us going in positive.
Hiranand Savlani : On the market, you can see that we have given a value -added focus and CPVC is also falling under the value -added product. And that is why in this difficult time also, we have maintained 18% kind of EBITDA margin. That clearly shows that the CPVC growth is very healthy. So whatever drop has taken place in this quar ter, that was mainly because of the PVC. Because of that, you can see that our per kg EBITDA has also improved. And at the same time, per kg realization has also improved in this situation in spite of drop in the polymer price.
Rahul Agarwal : Sir, any colour on October, what's really happening? What happened in the last month?
Hiranand Savlan i: October was normal because there was no high demand in the October because of the holiday season was also there, and there was no clarity about the antidumping duty. Thirdly, monsoon extended in the month of October also. So October was not that great, I can say. It was a flat kind of thing. But November, I think, started pi cking up reasonably good level .
Sandee p Engineer But October was much better looking to the festivals and things and around than what exactly would be expected. But let's not talk of a month -to-month basis. Let's jum p to the quarter -to- quarter basis . Things are goin g better and shaping up better .
Rahul Agarwal: Thank you sir. I will get back in the queue. Thank you.
Moderator: Thank you very much. We have next question from the line of Nitin Jain from Fair View Investments. Please go ahead.
Nitin Jain : Congratulations on the resilient performance in this tough environment. So can you throw some light on ap plications and market size of OPVC and whether it will, at some point in time,

cannibalize PVC or CPVC sales? Also, there has been a significant rise of about close to 20% in employee costs Y -o-Y. So how would you explain this rise? And my last question is , if you can provide more detail about what exactly is hurting us in the U.K. adhesive operations and

what corrective actions we are taking? And if any timeline you could provide by when we can see the results of these corrective actions?

Sandeep Engineer : Firstly, let me tell you the application of OPVC has no concern on PVC business, neither CPVC business. It's a totally different application. It's a more water transportation product. To long distances, it's replacement of ductile iron. And today, if you see the amount of work done to transport water throughout the country is at a huge scale. So the demand of OPVC with people coming in and things is going to continue.

And now the good thing -- other thing which is there and as Astral comes in, it's very st rong in the project side of the business. Any private people who are in projects have also started using OPVC in the water transportation in big projects. So OPVC is there, is there to grow and is there for the applications to grow the country at a larger scale in the infrastructure.

Secondly, the other thing which Astral did is against the other people who are all in these technologies, we have like our -- the silent pipe, the Silencio, we have worked with the companies to have our own technology, have mac hines which are more economical, and no fringes of royalties or technology cost and a lot of homework Astral did in coming in this product. So we have kept our capex under control. We have kept no fringe benefits for anyone on other side. And still, we own and govern the technology of the product.

Now coming to your employee side, yes, we had employees -- more employees. We have taken 2 initiatives. One is the initiative in adhesive called new Bharat and where we are going to the most rural parts of India a nd which is actually giving us good numbers and growth and visibility. But when we talk about new Bharat -- when we talk about new Bharat, we need people. Second is when your numbers are at some level flat, your cost of manpower is looking higher, which will be normalized by the end of the fiscal.

Third is there were some of the challenges where we had to take calls on some of the manpower rationalization, which process has started, and it takes two to three quarters to rationalize this manpower also. So we are very much aware, very much awake and very much in control to see that. Now second, as I told you, we opened 3 states on paints. So the sales have started coming, people have started coming, and we have also to add manpower to that.

We also in U.S are launching -- in the opening remarks, I said, so I'm repeating, but I think -- again, let me repeat that in U.S., we are launching 12 to 14 new chemistries in waterproofing, in silicones, in oxeyes, in hybrids and the plant is ready. The products are gettin g run by. So we have a QC senior two people. We have R&D people. We have people for purchase and we have people for head of the occasion. So this also has added to the cost.

Second, we have started Hyderabad plant and any plant and which starts and which c omes to full swing, initial cost of that plant setting up on the manpower side is also there and which will

rationalize over the next two to three quarters in the manpower cost. Our Bath ware division, which is now growing at a faster pace, has some manpower. And we have opened two new regions in Bath ware.

We have opened in East and we have opened the seventh Sisters also and which is giving us even positive flow and positive numbers and acceptance. So all these new business of Bath ware, expanding in paint, expanding in U.K. has also given us some challenge -- with the challenge of the local markets, which actually is known to. But we are in comman d, we are known, we are very much aware and the rationalization where we need to do is in the process.

Now when coming to your last question is U.K. bu siness. Yes, U.K. business has two aspects. One is the U.S. losses comes throug h the U.K

. business. U.K. stand alone, when it works it is not a negative one. But U.S. is a part of the U.K. business, so that also gives us some negative margin. But U.K. itself has lower margin. The reason is we have been selling to some big customers in a big way. And some of th e products which are there are bought in lesser amount because they are destocking their products.

I continuously are in touch with those customers, market and everything. And the sales of these products are picking up. So the mix of the sale has changed. And in next two quarters, as the mix changes back to normal, the margins will be there. Also, we had some taken some steps to be very frank, on the marketing person, we had employed there, and we had left him to work out on the growth, but the executive p erformance levels have been a challenge.

So we are making the necessary changes required in this section. And our Managing Director,

David, who was going to step down, will be continuing for coming 2 years to 3 years and has taken over the required steps, measures and the driving seat. So we assure that this -- by the fiscal, things will be at the normal level.
Hiranand Savlani : I think to summarize what Sandeep bhai said that we have done a lot of new initiatives because of that cost of employee is high, but that is natural because any new businesses you take up, initial cost will always be high. The fruit will come at a later stage. So keep -- I request investors to keep a few quarters patient. This will ultimately going to convert into the reasonably good number in the coming time, whether it is a paint, whether it's a new Bharat initiative, whether it's the U.S. launch of dispute, 12 new product, whether it's a bat h ware, everywhere we have certain numbers in our mind. Based on that, we have appointed the staff. Similarly, the Hyderabad also.
So all this benefit you will see ideally comes into the next year. And next to next year, you will see the full benefit out o f that. And then everything will be normalized, and we'll be back to our normal percentage of employee cost.
Sandeep Engineer : I would l ike to tell everyone is that - we are not doing anything burning any cash. We are building business. We are building a v ery strong Astral with all these four verticals, which will be more stronger in coming time. And when you are building stone by stone, there are certain things which will cost us, but we will not do anything at the cost of burning out our cash or taking an y

decisions out, which will affect negative cash flows. So please be assured that we are very much in control of every step we take for growth, every product we launch in the market, every business we run. And we will be very, very much in the control of e verything.
When we acquired Adhesive, for 3 years, the similar challenge was there, the similar things happened and everyone was afraid on growth, margin, manpower, everything. And now you see when we are at number two level in the adhesive business, you s ee the results which we have got in just 9 years.
So nothing will be -- nothing is happening at any cost of burning the cash. We are reassuring in the paint business, whether it's a U.K. business. U.K. business is 9 ye ars only, given tons of money. One or two quarters d oes not shake up the business. one or two quarters are quarters where something is happening and something wrong happens also, there is a time to take measures, but nothing wrong has happened, a few things here and there.
Nitin Jain : Just com ing back to the point on...
Sandeep Engineer : Yes, tell me.
Moderator: The line for the question has been disconnected. We will proceed with the next question which is from the line of Sneha Talreja from Nuvama Capital. Please go ahead.
Sneha Talreja : Hi, good evening and thanks a lot for the opportunity. Just couple of questions from my end .

Firstly, I wanted to understand, we were hearing of a lot of price increases in the CPVC segmen t. Did that really take place o r is it taking place now? And while I understood from your commentary that CPVC volumes were up significantly or maybe we have s een growth in PVC. How was the degrowth in PVC and by end of September, did we see any pickup happening on the PVC side also?
Kairav Engineer : So CPVC side, prices are stable right now in the market and there is no much volatility seen. Once these PVC prices ri se, maybe the CPVC prices might rise by a few percentage points. But that is to be seen. As of now, the CPVC prices are stable. And as far as CPVC volumes grow, we are very much doing a fairly good double -digit number in the volume term in the first 6 mont hs, and we expect this growth rate to continue in the coming 6 months as well. So CPVC side, we are growing and gaining market share, and we are doing very good on the CPVC front. As far as the PVC volume dip goes, I'll let Hiranand answer that question.
Hiranand Savlani : So, I think S neha, it is very difficult to understand exactly what is the destocking. Our

understanding is that there is a reasonably high destocking at the dealer and distributor level. So which should be filled up in the coming next three to four weeks' t ime. That is what our understanding. We may be wrong also. But we are of the view that because of Diwali also, nobody was interested to have an inventory because there were a lot of review and cry in the market that it will go further down or so. So becaus e of that, no distributor or dealer. And secondly, festive season was there, so everyone was knowing that there is no demand. So why unnecessary to keep the inventory. So now with INR3 price rise, we are expecting next coming 2 to 3 weeks, demand should b e robust. And that will make a clarity that how to what extent destocking is there. I think by November end, it will be having clarity what is the situation on the ground.

Sneha Talreja : Understood, sir. And can I get the numbers of sanitary ware and fauce t segment separately both in terms of revenues and EBITDA?

Hiranand Savlani : EBITDA will be difficult for us to give because now -- earlier, the Jamnagar operation was separate. So we were able to arrive the number now there. We have already started manufacturin g the CPVC, the fittings brass ring over there. So now it is club, so very difficult to arrive. But sales -wise, yes, last year, it was close to about 17.7%. And this year, it is 28.9%. -- almost 63% kind of growth is there in this quarter.

Hiranand Savlani : That is press release also.

Sneha Talreja : Yes. I saw that. Understood. And lastly, I just wanted to understand the price hike which is happening in PVC you passed on already to the chann el because that's come in last two days.

Kaira v Engineer : Price actually, one time -- the INR1 price increase came when the market was closed for the festive season. And the Pacham was yesterday. So most of the market do their muhurat yesterday only. And yesterday night itself, another INR2 has come. So obviously, we will have to give some time t o the channel to stock up the product. We cannot pass it overnight. So we will give them some few days to plan their order and lift the material, and then we will take it. But we usually don't give much time. We take it in a reasonable span of time.

Sandeep Engineer: But as this trend changes, the level of confidence is changed and so the channel will slowly start or maybe at a pace also filling up to the normal level.

Sneha Talreja : Understood, sir. But as of now that we understand October would have been slightly on the weaker side due to festivities, it would be a negative or a flattish volume sort of a thing for us?

Hiranand Savlani : It was close to flattish kind of thing.

Sneha Talreja: Understood. Thanks a lot team and all the very best.

Moderator: Thank you very much. We have next question from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : I have got clarity for most of the questions. Just a couple of things. Sir, just trying to do the math. So you say for plumbing the volume, we are lookin g at 10% to 15% we'll try for 15%. So in 1H 6.5% I understand October is, as you mentioned, was a flat. So just trying to understand in terms of the ask rate for remaining 5 months is too high. So let's say, if the destocking happens, then are we confident that we can do 15% kind of a volume growth?

Hiranand Savlani : I think we have already -- that's why given a broader range of 10% to 15% because we don't have an exact clarity how much destocking is there in the system. If the destocking level will be high, then yes, definitely, we will try for the 15%. Otherwise, any number between 10% to 15% will be there.

Kairav Engineer : There is also the fact that we are not sure when the BIS notification will also come and what the price impact that will also bring into th e market. And because of the BIS notification, if the traders will continue to import or stop the import or whether there will be a little bit of a shortage of PVC seen in Q4. So there are a lot of parameters at play. So that is why as a management, we have given a broader range titles.

Shravan Shah : Okay. And in terms of the margin, definitely for plumbing, already 18.1% is there in 1H, though we are mentioning 16% to 18%. So just trying to understand, is there a possibility given the price hike is already happening, INR3 PVC is there and maybe further, as you mentioned, INR6, INR7 you are looking at. So will this 18% can move to 19%, 20%?

Hiranand Savlani : But that will be counted in the inventory gain. That is not a permanent kind of margin for us. So we can't guide like that way because I can't forecast the gain of inventory. This is the why we are giving 16% to 18% because that is a normal business margin, excluding the inventory gain. Even if you -- this quarter also, if you add the inventory loss, it will be 19% plus. But that's not the correct way to look at the number. That's why we are giving 16% to 18% broader range. Yes, inventory gain will be there in next quarter, it can be 19 or 20 also. In 1 quarter, we have delivered 22% also. But that cannot be for ecasted into the number.

Shravan Shah : Okay. Got it. And sir, our capex in 1H, we have done INR282 crores. So for full year now, how much we are looking at? I think last time we said INR350-odd crores?

Hiranand Savlani : So more or less, it will be the same line only because now Hyderabad has already started,

machine has already placed this. So because of that, I don't think it will be -- now balance will
be more than INR100 crores. Kanpur will be there.
Shravan Shah : Okay. And for paint for full year, so INR91-odd crores revenue is there. So full year, we were
looking at INR210 crores, INR220-odd crores. S o will it be on the much higher side?
Hiranand Savlani : It can be. It can be because we have to see now the 4 states will be open. So we are expecting
that they should be delivering good number to us. So we can expect a higher number also if it
works what we hav e planned.

Shravan Shah : Okay. And anything in terms of the market size or how much once the OPVC once we start,
broadly, any ballpark range in terms of the revenue that we are looking at?
Hiranand Savlani : Market is huge, but we should be -- after all the se 3 machines in operation, the first year -- full
first year target should be anywhere more than INR100 crores for us. By the market, once we
stabilize, we have to get a process of approvals from the government agencies, get our things
done. It wil

l be in the next full fiscal. So the market is huge. So it can give -- but it's too early
for us to predict numbers. Let us get into the market, let's swing all the products, let us go and
do things. It's a positive market.
Astral is there now in this new produc t line. And I'm sure it will give much bigger numbers than
what I'm telling you. But I don't want to give you our numbers and promises without entering
completely in the market. But we are at a very positive way in this market, and that is why we
have got three machines and each machine goes at different locations, not at one location. So we
can serve to different states for their products from the location and reduce the transport cost,
which only Astral can give this benefit in the whole market.
Shravan S hah: Got it sir. Thank you and all the best.
Moderator: Thank you very much. W e have next question from the line of Ritesh Shah from Investec. Please
proceed with your questions.
Ritesh Shah : Thanks for the opportunity. Fo ur quick questions. Sir, first i s for Sandeep bhai. Sandeep bhai
how do you balance quality, profitability and volume growth? What we have seen over the call
and over the years as well, there has been a lot of emphasis on profitability and the company has
rightfully delivered so. However , volume growth is something which has gotten a bit subdued.
Now the reason to ask this question is when we speak with the channel, they indicate Astral
quality is very good. S o that's the reason why I ask, how do you look to balance quality,
profitability and volume gr owth? That's the first question?
Second question for Hiranandji . Sir, in the prior call, you had indicated that we are going for
several cost control measures. We do see improvement on a sequential basis, but would be
worthwhile if you could highlight what measures have we implemented? And are all the full
benefits al ready visible in the numbers or there is more that we can expect? And third, earlier,
we have spoken about growth engines, which also included Drain Pro, valves and tanks. It would
be good to have some colour and some quantification around what the current run rates are and
what are the numbers that we are looking for the full fiscal & thank you
Sandeep Engineer : The first question is for me, let me answer. One is volume growth. Now volume growth, I don't
see this as a bad value growth. You have seen the volume growth across the channel. Reliance
itself has said, I'm in a minus volume growth on polymer by 5%. So it 's the giant is seeking on
the polymer growth, it's a very open picture for that. But forget that also, you have seen the
volume numbers of the company with vice versa the profitability.

Now why I have been telling about profitability again and again is i f you are dropping your
price, that's not going to give you sale, why you drop and make your product cheaper and
cheaper. If it is going to get something enormously high, then you compromise. Otherwise, once
you go down in the market on price schemes or va lue to come back to that level, we take you
another 6 months to 1 year.
So that's one thing which is for every product because the market will start expecting whether
it's a dealer, consumer, distributor, the lower pricing. The price compromise is in the c hallenging
market, not the solution for the volume. And so we have never thought about that. Quality is one
phenomena from day 1, I've come in plastics. And the last one, if you can say enter in the plastic
and reached at this level. And one thing Astral d id for this market is give products, give
innovation.
CPVC was something which was brought by us, t esting produ cts are brought by us, PVC lead

free was brought by us, Silencio and many other products. And we have always stick to innovations, new products, new geographies, new products in the infrastructure and priority is the qua

lity.
Today, to get the market, lowering the price, cutting off the margins, giving -- getting the margins what people have got shortcuts of resin sales to the sale of product with minus qualities have happened across India by many of the companies and which today Astral is much better in position. And the profitability is maintained, the quality is done and the volume growth has not been compromised. Actually, we have gained the ma rket share, vice versa with profitability to the volume growth in CPVC.
Kairav Engineer : So Ritesh, you are saying that your channel check is saying that Astral quality is too good. It is not that we are doing it as per standard only, but people -- the other br ands and other competitors around us are over compromising, and that is why our quality stands out extensively. We are doing all our products within the standards prescribed standard only. We are not going over the standard and giving something over the st andard that is extra. It is within the norms.
Hiranand Savlani : Ritesh, your question was cost measure. I think we have done cost control and which is reflected in the number, and yet it is not completed. You rightly said it will come further in the coming quarter. Secondly, also, we have to see that how your top line is behaving. Today, the situation is that the polymer was subdued because of that, our top line was not there. Now in the coming quarter, you will see the top line growth also. With that, subs tantial drop will be there in percentage terms to the other costs and all those things or maybe the employee cost. So that benefit you will see in the coming time.
Regarding your number -- individual number, I think we have stopped giving individual number of Drain pro, tank all this because of initial stage, we were telling you that this direction we are going. But I can say all the three products are doing excellent. And that is the reason inspired by this number, we have put another valve series in the m arket. You can understand in this difficult time, if company is able to maintain 18% margin, that is mainly because of the value -added

product. And that is why we are launching another 50 new valve in the coming time. And that is not far away. Maybe Q4, we are going to launch.
So all this focus will always be there on the value -added product. At the same time, in your previous question regarding the volume, we are not at all interested to drop our volume. But at the same time, in a category like PVC or Agri pipe, just doing volume at a 0 baring doesn't make sense. So sometimes we have to sacrifice. We don't want only for that volume number. But at the same time, we want to see that anything we do, it should be profitable.
Secondly, Sandeep bhai rightly said , we are not in a game of only to show the number. Whatever the reality is there, we have to say to the market that this is about the reality of the market. Unnecessary doing all the shortcut route, it is going to pain us. By playing with the quality, we can also improve 5%, 7% volume from here or maybe 10% volume from here. But that is going to destroy the brand for a longer period.
We are not here for this year, 1 year or 2 years. We are here for next 25 years or maybe 50 years. So we are looking for a lo ng-term visi on of the company and Sandeep bhai is very clear that there is no compromise in the standard, that is what Kairav communicated. We will be strictly following the standard, what is prescribed in individual category, and we will be selling our product as per the standard only.
Ritesh Shah : Just a quick follow -up. Sir, I did ask for specific measures that you have implemented on the cost side. You indicated manpower rationalization. Would you please highlight other measures that we have implemented ? And if you can possibly give an absolute number of incremental cost savings that we are lookin

g at in forthcoming quarters?
Sandeep Engineer : We cannot give everything. We are rationalizing and you have to -- people have to trust us. We know that how and where and where to do, but we cannot give you what numbers and all other costs also. We have been very categorically, very open on every front, whether it's -- but we have not to have every front open that relates to what business, it's a business. Let us also drive it.
Let us also be conscious about it, and we are conscious about this. And we are categorically openly telling you that measures which come to our knowledge as sitting here, not by indicated by others and what are needed for business, which we have to take have to be balanced because it's a business where we need growth also. At the same time, we need to have a cost balance equation also.
Hiranand Savlani : Yes, it is already reflected in the number. You see in an absolute level, employee cost is i n both

the quarter. In both quarters, Q1 and Q2, employee cost is flat and other costs has substantially dropped by almost INR25 crores. That clearly indicates that the management is taking measures -- and further, I am reiterating again my previous answer that still a lot to come in terms of revenue either from paint, whether it is a new Bharat adhesive, whether it's a U.S. operation, whether it is a bath ware, whether it's Hyderabad, all expenses of employee we have done. Now only we have to keep patient that it converted into the revenue. Once it will be converted into

revenue, all this will drastically drop in percentage terms, which will be reflected in the next year.
So first, we have to incur the cost, then only revenue will come. So we have already d one the cost. Now we are waiting for the revenue to be there in the system. And that will always naturally take some time. So we need some patience for a few quarters. Definitely, it is going to convert into the percentage term, and you will see in the com ing quarters, the percentage term drop will be there.
Ritesh Shah : Sure. Sir, I just squeeze a quick one. Working capital days have increased because of inventory bump. Does it essentially also imply we had inventory loss during the quarter? And are we staring with inventory gains in the next quarter given the resin price increase?
Hiranand Savlani : So inventory has gone up mainly because we were continuously growing at a 15% plus run rate. So we have planned our inventory and everything in that way. But all of a sudden, the demand started falling in the Q2 and inventory was planned well in advance. So because of that, inventory levels are high, but which will come down drastically in Q3 because now antidumping duty is there.
So we are expecting sizable selling will happen in November. So we don't see any problem of the inventory. It's a one -off quarter inventory problem. And ultimately, it is going to give us a gain because we are sitting with the old inventory. So now prices have gone up. So indirectly, it is going to give us the gain into the inventory side.
Ritesh Shah : And inventory losses, if any, during the quarter?
Hiranand Savlani : We already communicated it should be roughly about INR10 crores to INR15 crores, not that high, but between INR10 crores to INR15 crores kind of. So we have not exactly worked out because amount was not that substantial looking to the size of Astral. So -- but it should be somewhere between INR10 crores to INR15 crores, not much.
Ritesh Shah: Sure sir. Thank you so much for th e answers. I appreciate it. Thank you.
Moderator: Thank you. We have next question from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti : Congratulations on great set of margin on pipes segment. Now speaking on the Paint segment, so possibly if we see paint segment, we have continuously lowered our guidance. And this year, in FY '25 a

lso, it looks challenging, maybe we might not be able to achieve FY '23 paint revenue.
So something is not working out. And despite this reve nue reaching FY '23 levels, the margin has taken a hit. So what's happening on the business side? Is the competition intensity have increased in the market?
Hiranand Savlani : No, there is no relevant with the competitive intensity because we are the newcom er, and we are just launching the paint. So it cannot be compared with that way because launch was a little bit delayed. So because of that, it is looking like that. But we will be definitely going to achieve the

good number in the coming quarter. So keep patient. You will see a good conversion of number in the coming time. But just we have launched. So you can't expect that I launched very fastly, I get INR2 crores or INR5 crores of order.
So it takes some time. You keep a little patient. We will be cross ing that FY '23 number also. It's just a question of time. Once this launch formality get over, dealer onboarding will be over, then immediately, it will convert into the number.
Sandeep Engineer : But basically, we are not in a minus margin. We are not in any issues of whatever growth we are getting is slowly but steadily happening. So where is the business going wrong?
Sandeep Engineer : I don't understand -- the business, even we corrected systems. We are changing field, the offices are chang ing from there to here. We have also done a lot of corrections in the Gem paint, which was going in the market on the credit cycle time, the recovery side. So I think the stone laying -
- again, I'm telling you the same thing was challenged when we were in the Resin ova and adhesive. And it were -- after acquiring, it took us time a few years to put things on track in a

system.
And when the system clicked, the things are moving. So paint business for us as the size, volume and things -- there is no question of competition. There is no question of any capex going behind it. The biggest thing is there is not a single capex rupee spent on that till now after acquisition. Second is the margins are never negative. The cash working is not there and 5% or 10%, 15%, 20% growth which we are expecting and even more will be coming, just give us 1 year to 2 years and you will see a steady business build around this segment by Astral.
Keshav Lahoti : Understood. Got it. That is helpful. Coming on the adhesive business side...
Moderator: Sorry to interrupt, sir, I would request you to rejoin the queue for a follow -up question as there are many participants.
Keshav Lahoti : Yes. Sure.
Moderator: We have next question from the line of Udit Gajiwala from Yes Securities. Please g o ahead.
Udit Gajiwala: So just one on the pipe front, you mentioned that you will be having the double wall corrugated line at every plant, and we are also entering OPVC. So are we seeing this infra demand to pick up and infra to be a larger share of our revenue for the pipe business?
Hiranand Savlani : Infra, our share is very thin. That is why we are increasing the capacity. And demand side, we are getting a very good response. So last year also, we did an excellent number in the infra, and that has s upported us to increase the capacity, and that is why we are adding another 5,000 tons of capacity. So we are expecting a good response from these products. Plus we have also started exporting also some of the products. So that is also helping us and givin g us a good realization also. So our expectations are very high, and that is why we are increasing the capacity.

Udit Gajiwala: Understood, sir. So that will not then -- I mean, I'm sure you all have given the guidance and you have also delivered on it. So that does not dilute the margin per se on the blended basis. I mean, usually...
Hiranand

Savlani : Today also, we are selling double corrugated and infra product. And you can see our margins. It's not today. We are selling this year from 2018 onwards. So this is not a new product for us. We are selling this product from 2018. So last almost 6 years, we are already selling and we have maintained our margin.
Udit Gajiwala: Got it. Great sir. Thank you and all the best.
Moderator: Thank you very much. W e have next questi on from the line of Praveen Sahay from PL India. Please go ahead.
Praveen Sahay : Thank you for opportunity and the only question from my side is related to the domestic adhesive business. As in the quarter, you had grown by around 8.7% first half is around 11.5%. So is that the growth rate you are expecting in this business to continue? And at what level of utilization you are at current? And also related to the adhesives margin because if I look at margin front on the last 5 -6 quarters, slightly the re is a contraction as well. So what's the reason for that as well? That's the only question I have.
Hiranand Savlani : Praveen, I think you have not seen the margin. If you see our India operation margin, it is constantly maintained at 15%. Continuously, w e are -- quarter -on-quarter, we are telling that our margins are in the range of 15%, and we have maintained. In this year also, if you see this quarter alone, it is 15.5%. On a half yearly basis, it is 15.7%. Last year also, you see it is 15% plus. So we have not any diluted margin into the India operation. Whatever challenge which we have faced, that is from the U.K. operation.
And there, we have done the correction. And you will see in the coming couple of quarters, you will see the turnaround will star t from there. But India operation is stable and continuously giving us a growth of 15% plus. So this year also because of the extended monsoon and all, so Q2 was a little slow. It is not for our company only. You see the adhesive other companies' number al so. Ultimately, we cannot be out of from the industry. Ultimately, whatever the industry will perform, we can only say that our growth will be industrial, whatever growth is there will be 1% or 2% or 3% or 5% higher than the industry growth.
We will be co ntinuously gaining the market share. And that is what exactly we are doing into the adhesive. You pick up the last 10 -year number, not 1 quarter, 2 quarter or 1 year, pick up the last 10 -year number, we are constantly gaining the market share into the adhe sive side. So that is what our expectation. But every quarter, 15% kind of growth will be very difficult for any company to maintain our 20% kind of. But yes, on an average, if you see, we are continuously maintaining 15% plus growth, and that is what we h ave guided.
And even this difficult time also first half, we already delivered 11% -- so I don't think any way adhesive business has any challenge. You see the compare with the peers, what the growth other

peers are delivering. And then you compare and you see Astral is doing much, much better into that side.
Praveen Sahay : Right, sir. Got it. And what utilization you are at?
Hiranand Savlani : I think we should be 55% to 60% kind of utilization.
Praveen Sahay : Okay. Thank you sir and all the best.
Moderator: Thank you very much. W e have next question from the line of Nikhil Agarwal from Kotak AMC. Please go ahead.
Nikhil Ag arwal: Good evening sir and thanks for the opportunity. Sir is it possible for you to give us the normalized margins for the adh esives India business, standalone India business, U.K. business and U.S. business?
Hiranand Savlani : I think in my initial rema rks, I have already given stand alone margin. India operation is 15.5% in this quarter.
Nikhil Agrawal : Normalized margins, I'm as king for.
Hiranand Savlani : Normalized margin is 15%. That is what we have guided. 14% to 16% is our range.
Nikhil Ag arwal : For all the three segments .
Kairav E ngineer : U.K., it will be around 8% to 10%.
Nikhil Ag arwal : Okay. And what is the growth potential for India, U.S. and U.K. in this segment?
Hiranand Savlani : So India, we have said that we will be keep growing at somewhere in the range of 15%. And U.K. from next year, we are expecting double -digit growth. So 10% kind of growth from next year onwards. Once this all correction will be done in this Q3 and Q4. So next year, we are expecting double -digit growth.
Nikhil Ag arwal: All right sir . And sir, just a clarification. You mentioned that the -- you expect PVC price rise by about INR6 to INR8. This is over and above the INR3 that has happened?
Hiranand Savlani : No, including this INR3.
Nikhil Agarwal: Okay. All right sir. That’s it from me. Thank you so much.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as our last question. I now hand the conference over to management for closing comments.
Sandeep Engineer : Yes. Thank you very much for the call. And as we have always come back and been very transparent and all the assurance and the work which we have been keep doing and rest assured the guiding figures will be achieved, and we all are working towards it to see Astral becomes

more better, stronger and with all these headwinds which Astral will be a much stronger company in this infrastructure business in the coming ye ars. Thank you very much.
Hiranand Savlani : Thank you, everyone, for joining this call. Since I am going on a leave from tomorrow till 17. So I may not be available on call. So in case I am not able to answer your question, ple ase excuse me for this quarter. But if you drop the message, I will call you whenever it is a convenient to me. Thank you so much.
Kairav Engineer : Thank you, everyone, for joining the call. We are committed for the growth and delivering the numbers. So we hope that we have a very good Q3 and equally good Q4. Thank you.
Moderator: On behalf of ICICI Securities, that concludes this conference call. Thank you so much for joining us. You may now disconnect your lines.

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Call: Jan 2025

"Astral Limited Q3 FY25 Earnings Conference Call "

January 30, 2025

MANAGEMENT : MR. SANDEEP ENGINEER - CHAIRMAN AND MANAGING DIRECTOR , ASTRAL LIMITED
MR. KAIRAV ENGINEER - EXECUTIVE DIRECTOR , ASTRAL LIMITED
MR. HIRANAND SAVLANI - EXECUTIVE DIRECTOR AND CFO, ASTRAL LIMITED
MODERATOR : MR. RITESH SHAH - ANALYST -MATERIALS AND HEAD MID-MARKET RESEARCH COVERAGE AND ESG, INVESTEC INDIA

Moderator : Ladies and gentlemen, good day and welcome to the Q3 FY25 Earnings Confer ence Call of Astral hosted by Investec Capital Services India Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ritesh Shah, Analyst -Materials and Head Mid -Market Research Coverage and ESG from Investec India. Thank you and over to you, sir.

Ritesh Shah: Thank you, Albert . Thank you all for joining the Conference Call. We have with us our senior management of Astral Limited.

We have with us Mr. Sandeep engineer – Chairman and Managing Director ; Mr. Kairav Engineer – Executive Director and Mr. Hirana nd Savlani – Executive Director and CFO.

I'll hand over the call to Sandeep Bhai for the initial remarks post which we'll have Q&A. Over to you Sandeep Bhai. Thank you so much.

Sandeep Engineer: Thanks everyone for joining the Earning Call for Q3. As you are very well aware, the building material industry is facing challenges in demand scenario during the third quarter due to overall infrastructure spending by the government and liquidity challenges in the market. In spite of that, I am happy to share that on a consolidated basis, our company was able to deliver a marginal top line growth of 2% and a very healthy growth of 9.3% in EBITDA on a YOY basis.

Now let' s go through the different verticals of Astral :

To start with, Pipes and Bathware :

Pipe vertical was doing excellent in last year in Q1 for the current year, but post -election, some slowdown started, which has created a problem for the industry. In spite o f that, Q3, we are able to maintain our volume and grow our EBITDA by 10.9% in spite of huge volatility in polymer prices.

Entire industry was waiting for the anti -dumping duty on PVC, but it got delayed, which also affected the industry volume growth. We are expecting that post budget this should be in place and this will be helping the industry at large. In pipe, our focus continuously is and will be on value added products and quality products. We are working on that and we'll bring new products in the n ear term.

The good news is that much awaited UL certification for our Fire Pro fitting is received recently by us. Wh ile we were already holding the UL certification which is required when you sell the fire products, fire pipes in the Indian market. Hence now our full range is UL certified which

will help us in a big way for the project business and also the export business in Europe and various global markets. I'm happy to share that Astral is the first company in India to get UL certification for fire sprinkler products .

Now PTMT range d as I had guided, we are launching it in the market. And we have already launched it in t his quarter and we are expecting more sales from this PTMT range in the coming quarters. The Ghiloth plant has started SWR fitting production in a full scale. And we are about to start the CPVC fitting production also in the full scale at Ghiloth plant, which will help us to feed the northern markets and various markets in even the eastern region.

Channel drain, which we used to import from Europe, and now we have started the complete range of production of channel drain in India. We are the only company ma king and the first company to make this entire range of channel drains at an international level of standards. And these channel drains are well accepted and used in many infrastructure products, whether it's a private level or it's a government level or b uilding of airports or v

arious facilities , is our channel
drains are accepted and are in use.

OPVC complete trials are over. The product range is ready. And our products have gone for the BIS approval to get the ISI standard. And we are expecting the BI S approval and ISI standard certification in a few days from now. So the entire product range will be placed in the market. And we are expecting very good sales number from this new OP VC product line.

Coming to Bathware , before that I'll just brief you that our construction work at Kanpur plant is on where we will be starting the first manufacturing of our water tank shortly. And then we will be starting, especially the PVC pipes from the Kanpur plant shortly. As for our pipe production, as we had said in the last call, is already started in our Andhra Telangana plant. As projected and guided in bathware, guided we are targeting in bathware, a revenue of Rs. 120 crores for this vertical , in this fiscal and we are already on the line in our sales to achieve this target and we have already reached Rs. 83 crores of sale in nine months and we are confident that we will cross this guided range and guided number in the current fiscal year. We are also launching new SKU in both b athware and faucet as per the requirement of the market and this SKU we are expecting good response and good market in the coming months as we have done a market survey, shown these new products to the targeted consumers and there is a very, very positive response on this new range. Slowly , our bathware products are getting recognized in a very prestigious project in India and we are expecting good numbers, good growth and very good establishment of these product lines in coming years in this Indian market.

Adhesives, our India operation is continuously delivering a good growth. In Q3, it has delivered a very healthy growth of 14.5 % with a very healthy EBITDA of 16.4%. Our Dahej plant is gearing up very fast, which is a state of art and totally automized pl ant. And shortly we are planning to organize a factory visit of the investor , so you can all see the plant. Mr. Hiranand Bhai will coordinate with you on the same. We are also working for a few new products in the shared verticals and we are going to launch these products in the coming time.

During the quarter, our overseas operation, adhesives , was passing through a slowdown, b ut because of slower economic activities. We have taken some corrective measures, and we will bring back the growth, as well as the EBITDA from Q1, as we had already communicated. But in this quarter, the company has only de -grown by 5%, but it is with a p ositive EBITDA of 0.7 % to 1%. So we are not incurring any minus losses there. You have taken multiple steps in UK and US businesses. And all these reflection of these steps in the value terms will be seen from Q1 and Q2 onwards there will be a very, very p ositive level of growth, positive level of improvement of EBITDA, and lot of new products are getting launched in US market which is getting good response. Already a few products have launched, have been launched in this quarter, which has got good respons e from the US market. Some corrections are being made in the US business on manpower level, which will reduce our overhead costs. In UK also, we are now going backward in one of the technologies which we have b rought over from Europe, so that is going to a dd margin . As well as we are going to rationalize the purchases in India and UK on a mass level which will also help the UK as well as India plant and we have made a few corrections in the manpower cost there in UK which will be also reflected in coming 1 or 2 quarter s.

Now coming to Paint business, paint is slowly entering in new cities in Astral brand. In Gujarat, we have done key big cities where astral brand is started moving to the dealers. But we have recently made

open the state of Rajasthan and we h ave made a official launch in Jaipur. The first few months in Jaipur was very positive for Astral paint . Astral paint has started going in the Jaipur market and various cities of Rajasthan, we are going to open one -by-one in the coming months. So we will b e focusing on two states as present for next three months, that is Gujarat and Rajasthan. And then we will move to two more states, Maharashtra and MP in next 5 to 6 months. Established see Astral Paints reaches all these markets and we get a good growth.
At the same time in the southern market, we are now more focusing where we are strong in Gem paint brand to focus and get a good growth from the Gem brand. And that's why in this Q3, we have registered a growth of 7.5% in top line and we have maintained EBITDA of 4%. overall, The GP is only almost maintained, only 1 % or 2% change. The major thing is that we are launching Astral brand in various markets. So we are just keeping in mind that we are not getting into any negative EBITDA or negative margins. But the manpower cost and certain launching costs are getting added up to the bottom cost which has reduced EBITDA which again, we are forcing to get into a double -digit number shortly in 1 or 2 quarters in the paint business.
We are expecting the post -weathe r sentiment of industry should improve and we are expecting good allocation of money in infrastructure from the government and this is going to boost up the growth of economy and building material segment in a big way. I will now hand over to Mr. Hiranand bhai, our CFO & Executive Director for financial numbers. And in the question -answer session, I will be always there to answer all your queries and questions. Thank you very much, everyone.
Hiranand Savlani: Good afternoon, everyone. Thank you for joining this Q3 earning. I think Sandeep has already explained that the Q3 was a challenging quarter for the industry. But in spite of that, we were in a better position that we will maintain our margin, whatever we have guided . For the pipe vertical

16% to 18 % EBITDA and adhesive work India operation between 14 % to 16 %. So we are very well on the track and overall on a consolidated basis also we have delivered a 9.3 % growth into the EBITDA while the industry was struggling for the margin .
This quarter even paint has done a reasonably good growth of 7.5% in spite of slowdown. And adhesive India operation has also delivered a growth of 14.5%.
Now I am giving you the individual vertical wise number for sales and EBITDA. The pipe this quarter was 990 , Paint, it was 50 crore , Adhesive, 280 crore , UK 77 crore. So total 1397. And bathware, which is included in the pipe, was close to about 27.9 crore. So close to about Rs. 28 crore . And EBITDA level pipe, 18.47%. Paint, 4%. Adhesive India operation was 16.36%. Adhesi ve, UK 0.65% and over consolidated basis 16.5%.
If you see in our pr ess release , our GP is the highest on the 9 -month basis in the history. However, it is because of lower polymer price, we are unable to take the advantage in top line and consequently it i s affecting to the EBITDA also. But despite of that our EBITDA margins are comparatively very, very healthy and within the guided zone. But now due to base effect of lower polymer price, we are seeing a good improvement in topline in the coming quarter bec ause now base is low. So now we are seeing that l ittle bit increase in the polymer price is going to help us into the top line growth in the coming quarter.
As you know, Astral is always believing in the profitable growth and our focus will always be on a quality product company. Our customers know very well that brand Astral is a quality company and therefore they are happy to pay us the premium for that. In recent quarter, many companies have deteriorated the quality standard just to push the e

xtra volume and take the
short -term advantage. But Astral believe in the long term story and we have never compromised in the quality of the product. We can proudly say that today very few companies are in market which give the quality product as per the standard. An d Astral stand by on the top in the market on these parameters.
Our focus will always be on the value -added product which you can see in our numbers where industry players are struggling for the margin , we are able to maintain on the highest margin percent age in the industry. This is possible only because of the quality product and increased share of the value -added product.
Bathware business has also delivered a good number during the quarter in Q3. It has delivered a top line growth of 27.9 crore versus 1 8.9 crore last year Q3, which resulted in a growth of 48% and on the nine month basis also, if you see, we have delivered 64.5% in the bathware verticals. So whatever we have guided that we are going to deliver 100 crore to 120 crore in the beginning of the year , we are confident that we are going to gross our guided turnover of 100 crores to 120 crores.

Fire sprinkler, Sandeep has already explained that now we have got the U L Certification, which is going to help us in a big way in the coming time in the project business, as well as in the

international market. So we are now going to open up in the Gulf region also and the European side also this product. PTMT has already launch ed and people are appreciating our quality and we are high confident that this product is also going to give us a reasonably very high number in the coming time.

Recently, the company has opened up a marketing office in Dubai and we are now targeting to the export market for UAE , Gulf and Africa. And we are expecting that this office is going to help us in a big way to enter into the export market for all our value -added products as well as the adhesive products. During the current year, we have increased t he capacity by 36,000 metric tons from 334k to 370 k metric tons .

Now with this, I am opening up the floor for Q&A. Thank you very much.

Moderator: Thank you sir. We will now begin with the question -and-answer session. Anyone who wishes to ask a question may press "*" and "1" on their touchtone telephone. If you wish to remove yourself from the question queue, you may press "*" and "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a mom ent while the question queue assembles. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Hiranand Savlani : Can we move to the next question because he is not replying?

Moderator: Yes sir, just give me one moment here sir. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Hi sir, can you hear me now?

Hiranand Savlani Yes, we can hear you.

Shravan Shah: Yes. Sir, couple of things first on the plumbing volum e. So for nine months, we have done just a 4.3% and we were looking at 10 % to 15% for this year. So now what's the revised guidance for this year and if possible for next year how much growth one can look at?

Hiranand Savlani: I think it is difficult to view the volume guidance exactly under the current situation because we are too much dependent on how this budget, government spending and all is happening because lot of crisis are there into the liquidity side in the system. Se condly, much awaited anti -dumping duty, we don't know when it is going to be announced by the government. So if that is going to come, then the definitely volumes will be very high in the Q4. But if that is not going to come, then volume will be slow. So i t depends to subject to that, we will be able to tell. So we are waiting for that. And then we will be able to tell exactly w

hat is going to happen. If both things will happen, then definitely we can deliver a double digit number in the Q4 also. But if it' s not going to happen, then it may be a single digit also.

Shravan Shah: Okay, got it. And second, sir, in terms of the margin in plumbing is for nine months is very good, 18.3%. Though our range was 16 % to 18%. So how one can look at , is there a possibili ty this margin range 16 %-18% can be now on the higher side one starts building in?

Hiranand Savlani: No, I think my range will remain same , only now our focus will going to be more of the volume than the margin only. I think margin we are based in the indu stry. So now our more focus will be on the volume rather than on the margin.

Shravan Shah: Okay, got it. And in terms of the adhesives , because though we are saying a 14 % to 16% margin, combine everything, but till now it is just 11.4%. So obviously you ha ve mentioned that UK will start now throwing the positive EBITDA. Just trying to see how one can look at in F Y26 itself, one can start looking at 14 % to 16% adhesive margin ?

Hiranand Savlani: Yes, 14 to 16 we have given the Indian operation. UK has never g iven that kind of margin. So our Indian operation will continue to give us that range only. Even if you see that this year number also, the adhesive division has delivered a margin of I think 16.36 % in this quarter and on a nine month basis it has delivere d 15.97 % so close to 1 6%. So India operation is going to deliver the similar zone of 14 % to 16 %, but UK has definitely one more quarter we needed for the improvement because we have done the correction. So as Sandeep bhai said, we are expecting t he improvement in the Q1 onwards.

Shravan Shah: So for full year next year, how one can look at a UK margin, sir?

Sandeep Engineer: UK margin will bring back to that 5% to 10%, which has been a historical margin. And that the steps we have tak en would reach there. The market growth and all depends on how these local markets function. But we are sure that we will not be de -growing anywhere. But we are confident to get the margin level up because if US merges with UK as a number and we have also taken many steps in the US but for certain markets, even if you reduce your cost in the manpower or any other cost, there is a cycle where the election can be seen. You cannot tomorrow go and say that now today I have 50 people and tomorrow I need 40 but t here's a cycle where phase -wise these costs reduces. So these steps which we have taken to reduce all these overhead costs and certain costs, still maintaining the business will be actually reflected in 1 or 2 quarters from now. And we are categorically sa ying this, that all steps taken, whether there or whether in other businesses, will be reflected. And we have always guided the market in the right direction from day one from years together. But there are rules of the country, there are regulations of the country which come into source and that cost reduction of certain levels take 3 months to 6 months and which will be reflected.

Shravan Shah: Lastly sir, is it possible to share the India adhesive absolute revenue for third quarter and for nine months?

Hiranand Savlani: Third quarter Rs. 280 crore.

Shravan Shah: And for nine months sir?

Hiranand Savlani: 9 months adhesive revenue. One second, I have to check.

Sandeep Engineer : We can within with our questions , we'll answer it , otherwise we can move ahead with the other questions.

Hiranand Savlani: 697.

Moderator: Thank you. The next question is from the line of Sneha Talreja from Nuvama . Please go ahead.

Sneha Talreja: . Thank s a lot for the opportunity and congratulations on strong margins. Just a follow up to what you just said that now the focus will be on volumes and margins

you are already doing the highest. Firstly, I would like to understand how did you manage to do this margin on a quarter - on-quarter basis, higher, given your volumes were flat. And from here, would you be following the strategy of discounting on pricing as done by many other players to gain volumes? And if that's the case, what is the outlook we should expect in terms of volumes?

Hiranand Savlani: So I think volume depends on the industry, how it is going to perform. So our normal range will be between 10 % to 15 % in the volume. That is what we normally work. And next year also we are expecting that we should be d efinitely going to deliver between 10 % to 15 % minimum. Because now the base will also be low. Because if the current year single digit growth will be there, then next year base will be low. So because of that, we can easily grow 10 %-15% in volume. But if t he market conditions are good, like whatever was there in the last year, we can deliver even 15% plus also. So it depends how the economic scenario is going to develop, how the infrastructure spending is going to be there in the system and how the real est ate demand will be there. Based on that, it will be decided. But we are definitely growing between 10% to 15% should not be the challenge looking to the lower base of the current year.

Sneha Talreja: But this would come along with discounting?

Hiranand Savlani: Yes, carry on.

Sneha Talreja: Sir, I was just asking the same thing, but would this come at the cost of discounting in terms of pricing which everyone is doing now or would you follow the same strategy of being premium?

Hiranand Savlani: We are not discounting anyway. Even you see in the past quarters also, we have not sold any of our products at a discounted rate. So, there is no question of discounting the thing.

Sandeep Engineer: See ma'am, let me be very categorially very clear about things, that if a market is having a size where even by discounting, you have seen results, people are not grown . So I think it's always better to keep your healthy margins because discounting in this consum er industry is like once you discount your product and bring that margins of the discounts down to distributors, dealers , and in the past also we have seen and which everyone will see is to bring back the price level or reduce those discount level is a big process, which if I do it today, and even I don't build a volume , to bring my discounts back to normal will take me 6 months to 1 year. So the market

keeps on expecting whether it's a dealer, a distributor, a consumer. So looking to the scenario of the ma rket and looking to the basic thing which is not there is if you see the consume of the spending of the private sector is there, we are all selling. We have been doing business, we are growing , but the government segment is a buyer. The people who are supp lying to government segments are also coming in the same market. So practically, as the spending comes back, as the economics starts turning, which we'll see after the budget, we don't see any issues of volume growth, value growth, and things growing up, a nd we will stick to spending in a healthy EBITDA that will be always there and we are selling value added products, we are selling costly products and we are selling products which carry more value and margins which is reflected again and

again in our resu lts.
Sneha Talreja: Thanks sir, that was helpful. My second question is on the exports front. You mentioned a couple of geographies, Middle East, you have opened up an office at Dubai and you are planning to do exports to European countries. Currently , what portion of your revenues is coming from exports?
Sandeep Engineer : We won't be able to differentiate and give these numbers please, but we are expecting a positive and we are getting positive orders for our certain value -added pr

oducts, but we won't be able to give you numbers on exports.
Sneha Talreja: Understood. Just a cl arity here, this is only fittings, right? Not pipes.
Hiranand Savlani: No, both. Pipe and fitting, both.
Sneha Talreja: Understood. Quite helpful. I'll come back in the queue. So thank you and all the best.
Hiranand Savlani: Thank you , ma'am.
Moderator: Thank you . The next question is from the line of Abhishek from DSP. Please go ahead.
Abhishek: Hi sir, thanks for the opportunity. So just couple of questions in terms of , you have grown, you have basically been flat but you have maintained your margins well . Is it fair to assume you would have still maintained your market share just to understand the industry growth? How should one look at that perspective?
Hiranand Savlani: Definitely, if you see the industry, industry had not grown in this 9 -month basis, h ardly 3% -4% growth is there. So we have maintained our, whatever the market share is there. So will not maintain the margin at the cost of market share. We are not going to lose the market share and maintain the margin. That will never be the mindset of th e management.
Abhishek: Correct. So sir, in this light, how should one look at it? Because is it because of channel de - stocking? Because otherwise, if you look at the pipe industry, usually grows at 7% to 8% broadly. So this should also come back over a period of time as Sandeep Bhai was kind of hinting at. As channel inventory normalizes, is it the way one should look at it over all growth from next 12 months to 15 months?

Sandeep Engineer: No, it should happen in a short time I feel because channel de -stocking is one thing but t he uncertainty of polymer, whether it will go up, will come down, whether it's , what is the open market, what is the price of the biggest manufacturer of India, all these ambiguities and the ambiguity around what will be the effect of the anti -dumping, whe ther it will go up. All these ambiguities which prevail within the market, plus spending from the infrastructure, spending from wood, will be settled down in the next 2 to 3 months. There is nothing that remains ambiguities always. And then the market will start accepting. Market will start putting material back in the channel, and market will start growing at its normal pace which we have always guided , 10% to 15 % around in volume terms.
Abhishek: Okay. But you are saying sir, today there is an issue with primary sales and secondary is still fine. Would that be a fair estimate to make sir?
Sandeep Engineer: Both are going parallel I can say. Secondary is also doing excellently well. I don't say there is , these are type of things which are over panicked rath er than these are the phases which always come in the business cycles of business.
Abhishek: Correct.
Sandeep Engineer: There is no over -panicked situation which you can say is a big concern on anything. A flat tish one speedometer guide is there, slowly we will get good road, clean road and it will bump up to a higher speed.
Abhishek: Got that. Very, very helpful . Sir, j ust one other thing, as Astral, when you aspire to grow at 15 % to 20%, in that , one is obviously market growth rate has to suppor t, but you think there are still gaps as far as distribution and regional presence are concerned, and over the next 2-3 years you can work around it to accelerate as far as market share gains and growth aspects, how should one look at that, sir?
Sandeep Engineer: Basically, we are there at every nook and corner of India . But t his is a thing which for years and years will continue. And we are adding good distribution network where we feel that we need to strengthen this up or we are getting a good distributor by keeping and safeguarding the existing distributor as well as we are also keeping our focus in the rural markets. So overall network

growth and distribution addition is always continuing and will continue with that in Astral .
Abhishek: Thank you so much, Sandeep bhai. Thank you so much for answering my question. I wish you all the best.
Sandeep Engineer: Thank you.
Moderator: Thank you. The next question is from the line of Rahul Agarwal from IKIGAI Asset Management. Please go ahead.

Rahul Agarwal: Yes, hi. Good evening. Rahul from IKIG AI. Sir, three questions. Firstly, to start with, January 2025, how's been the start? A littl e bit qualitative comment on plumping infra demand. I know Astral is smaller in agri, but just your sense please ?
Hiranand Savlani: I think demand is good. We don't see any problem in the month of January and we are growing.
Rahul Agarwal: Okay, so it's li ke should be a normal kind of double digit kind of growth for the industry , I think?
Hiranand Savlani: I think let we finish January, then we will be able to know exactly what is going to be there.
Sandeep Engineer: Let's not get into these things because any scenario which we predict today is not too early to predict. Let's not go month -by-month. Let's see the quarter -by-quarter. And as Hiranand bhai said, things are positive and they are positive in the value and volume terms of the month.
Rahul Agarwal: Got it, sir. Hiranand bhai, for 9 months what is the operating cash flow in CAPEX which the company has done?
Hiranand Savlani: I don't have a handy numbe r. You can call me maybe post this con call.
Rahul Agarwal: Okay, no problem. And the CAPEX budget for the full year, roughly if you have fiscal 25 and 26?
Hiranand Savlani: I think we should be closing around Rs. 450 crore or so for the full year.
Rahul A garwal: And for the next year?
Hiranand Savlani: Next year should be somewhere around 250 or so.
Sandeep Engineer: We have done most of our plan ts now. We are not going to add up any new facilities because we are now, Kanpur is almost completed. So I think next year the CAPEX cycle will come down drastically on the addition of capacity here as well as in adhesive. Paint, as we have already said that we have not done any CAPEX after this acquisition except a few here and there corrections. And we will contin ue with that because we have a good capacity there. Faucets also we have not done, we just did Rs. 23 crores asset buying and that plant has slowly doing most of our products and we have expanded thereby spending few crores and so we have a very good state of art facility to help us. So next year as Hiranand bhai guided the CAPEX cycle will be trimmed down because we don't need so much addition in new land or in new building except a few machinery additions will keep on happening.
Rahul Agarwal: Got it, Sandeepji. One last question was on adhesives . Qualitatively it could help us understand how is the India business behaving? Obviously the numbers are good, we have grown 14.5% for the quarter but just in terms of pricing and volumes and Dahej ramp up, could you just qualitatively comment on how does the market look like next 12 months?

Sandeep Engineer: if you see, we have steadily built our brand bondtite in the market. All our products are doing excellently well, whether it's now 0.5 milligram , the ampoule is selling well. Our epoxies are selling excellently well. Our white glue is picking up. As well as our product lines of cyanoacrylate, the silicone, the hybrids and all the construction chemical is slowly also ramping up. So overall, I guess i f the saddle is very slowly and steadily going up, solvent cements will be almost the biggest in India. And the Dahej plant for white glue is fully operational. We took all our key dealers and distributors there 1.5 months back, and they were excited to see the fully automized plant. Epox ies, the whole range is made ther

e. We have advantage of raw material, which we now buy in bulk at Dahej plant, which is helping us. And everything is being automized, is saving us the cost on the spillages or things. But e specially, the formulations have become so standard that our yield also has improved. So Dahej plant has added a great value to the adhesive business. We learned a lot from that and we'll continue to learn.
Hiranand Savlani: And I think in adhesive business, the way the growth is, the way the margins are and the way the established things are happening, we see a great future of these business for years to come. And I think I can add this that I given the nine month s' number f or adhesive that was probably like taken the different columns . So the real number is 782 for India operation for nine months, and UK is 258 for nine months. So total is 1040 for the nine months. And this quarter, India operation is 280, and UK is 77, so 3 57 for this quarter.
Rahul Agarwal: Perfect sir, that was just a clarification also, I was needed. Thank you so much sir, all the best.
Hiranand Savlani : Thank you .
Moderator: Thank you. The next question is from the line of Keshav Lahoti from HDFC Securities . Please go ahead.
Keshav Lahoti: Thank you for the opportunity. Sir, what is the sense on the ADD which we're talking on pipe side?
Hiranand Savlani: I think we are expecting that this one should come, post budget should come.
Keshav Lahoti: Okay, that is great to hear. And the sense on channel inventory, is it normalized inventory or you would say it is still subpar?

Hiranand Savlani: No, it is subpar. Because so much of volatility there, nobody has a confiden ce. So because of that, nobody will be happy to have the inventory.
Keshav Lahoti: Sir, I'm asking you this question because what we have seen, r esin prices has not been volatile in the last three months and there are talks of ADD . So the chances of prices increasing is more. So why is the channel not getting back to normal inventory?
Hiranand Savlani: But still market is talking about downward trade. So very difficult to understand that somebody is telling that first some price is going to drop. Somebody is telling me that this basic du ty in this

budget is going to go up from 7.5 % to 10%. Somebody is telling me that in the post budget, immediately the anti -dumping duty will come. So a lot of things are moving in the market. So very difficult to know what is exactly happening. So same thi ng is going to happen with the dealer and distributor. So everyone is talking the different language.
Sandeep Engineer: And channels, every company has a stock. So even if something comes up, it will take some time for anything to be implemented and see th e results.
Keshav Lahoti: Last question from my side, what sort of pipe capacity you will be adding in this year plant wise and next year also?
Hiranand Savlani: This year we have already added 47,000 metric tons in 9 month basis . I think little bit more c an be added in the Q4. Next year Kanpur once will be operational and then sizable capacity addition will be there. Another 30,000 or so will be there minimum. And then some c orrection in the individual plan level. So maybe another total 40, 000-45,000 can b e added next year.
Keshav Lahoti: Got it. So, Kanpur total size is 60,000 or total is 30,000 because Kanpur was in two phases.
Hiranand Savlani: Total will be 60, so it will be in two phases. First will be 30 and then the second will be another 30.
Keshav Lahoti: So, first 30 would be coming this year right and another 30 next year.
Hiranand Savlani: Yes.
Keshav Lahoti: Okay.
Hiranand Savlani: 30 will be coming to FY26 and 30 will be coming to FY27. If the demand scenario will be good and we get the good response we can prepone also because there only we have to aid the machine.
Sandeep Engine

er: Building is already in place.
Keshav Lahoti: Understood. And Hyderabad was 70,000 . Out of that, how much is done this year and how much will be coming up?
Hiranand Savlani: We already completed I think 25,000 metric tonne. Once that 60 %-70% utilization will be there, we may add to next year to that also.
Keshav Lahoti: Understood. Got it. That is helpful. T hank you so much , sir.
Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec Capital. Please go ahead.

Ritesh Shah: Thank you, sir. Sir, can you provide some color on tanks, walls, and rain flow separately, given this were the growth drivers that we had identified a couple of years back, so what the progress has been? If you can provide some numbers.
Kairav Engineer: So these products are going as per the plan and whatever we have guided as them being the growth driver, they are curren tly doing very well and they are selling as per our budgets. And individual category numbers we don't want to share, but all three categories have picked up and they are doing very good. And we are ramping up the capacity for walls also. We are introducing some new ranges going ahead. And even with tanks, we are slowly and gradually adding tank machine at every manufacturing location. So latest was added in Hyderabad, and now with Kanpur, it will be also added in Kanpur. So we have a very good response for all these products, and they're doing very good.
Ritesh Shah: If I had to put the question the other way around, we have been reporting pretty solid profitability on the standalone business, which also includes a contribution from tanks and walls. If we ha d to strip out tanks, walls and DrainPro, what would be the profitability like? I'm just trying to understand the competitive pressure and how are we managing it? Is it more because of value added products?
Kairav Engineer : It's very hard to give the indiv idual that segment -wise number, how can we give? Product category wise number how can I give you for profitability separately ?
Ritesh Shah: Okay. Let me put it the other way, I think couple of years back we had given a 3-year target for the growth engines that we had indicated , I think the number was given Rs. 1500 crores something. How far are we on that?

Hiranand Savlani: We are very well on track . I can say it that way. Without that, Ritesh, how can we maintain our profitability in this competitive market?
Ritesh Shah: Right. So what I was trying to understand is our focus is always be on quality and brand, correct? But we also have this increment al contribution from the new growth engine, which is also helping us on the profitability. So we're just trying to understand if one had to dissect this , just to gauge on a pure piping business, how are we faring versus the peers? If you could provide some color, it would be great help, that's it.
Hiranand Savlani: We already communicated that we are doing it for the plan. What else I can communicate, tell me.
Ritesh Shah: Sir, I'll take it offline, no worries. Sir, Sandeep Bhai, one question. Sandeep Bhai, you did indicate for UK, we have done some additional backward integration and we bought some technology from Europe and it is likely to aid margins. Can you detail this, please?
Hiranand Savlani: I think we have just signed the agreement. So in the Q1, that will be available to us. So once it will be ready, we will definitely going to communicate exactly what that technology is there. So

right now we have signed the agreement and things are moving on. So in Q1, that will be available to us. A nd then we will definitely announce everything.
Ritesh Shah: Sure. Thank you so much, I will join back the queue . Thank you.
Hiranand Savlani: That's going to help the India operation also.

Moderator: Thank you. The next question is from the line of Pravee n Sahay from PL Capital. Please go ahead.
Praveen Sahay: Yes, thank you for taking my question. Sir, if you can give the how much of the losses in the bathware segment for this quarter and nine months?
Hiranand Savlani: I think hardly any losses are there. We don't now separately workout because it is already m erged the pipe and secondly, many of the pipe related brass fittings are manufactured in the same plant. So very difficult to segregate the EBITDA of the bathware . But I think hardly any losses will be there. What we guided that by this year, we are going to be breakeven, so yes, definitely. So next year, some contribution will come from that vertical also , positive EBITDA.
Praveen Sahay: Okay. Secondly, on the paint segment, from the last two quarters, the second quarter and third quarter, we had seen a lower margin of a single digit and definitely I understand because of a lot of marketing activity you had d one. So when you are expecting these numbers, margin front to improve in this segment ?
Hiranand Savlani: So like last quarter also we communicated that this is the launch date going on. So we are continuously adding the team also, adding the dealer distrib ution also, and spending a lot of money on the branding also. So because of that, lower EBITDA will be there. Because our base is very low. If you work out in an absolute term, it will not be hardly anything. But in percentage terms, it looks very high bec ause of the lower base. So once that part will be over, then definitely you will see the improvement into the margin. So next year, I think from second half onwards, you will see there will be a good improvement into the margin.
Praveen Sahay: Okay, a nd re lated to the adhesive business, you had done very well in the last nine months, even the quarter. If you can give some more color, obviously you had given some. Is there some color on the geographical expansion as well? Because in your competition commenta ry, they had highlighted that Gujarat or Kerala market is little on the slower side. So is that the geographical expansion is benefiting you or also if you can give the Dahej plant utilization as well?
Hiranand Savlani: I think we can't share you the indiv idual geography wise number, we are still a small company. So I think doesn't make much difference to us. So, but Yes, definitely the Dahej plant is helping us in a big way. It's a state of art plant, backward integration is also there. So really good plan t is there. That is definitely going to help us to improve our margin. And that was the objective of putting that plant. And I think we, Sandeep has already invited everyone to visit the plant. So we are fixing up the date in the month of February. And I t hink Ritesh is coordinating for that.

So anybody can come and join that meeting and you can see live how the world -class plant we have put up completely 100% automized. So definitely it is going to help us in the coming time.
Praveen Sahay: Sure sir, we wi ll definitely visit. Last question is related to the pipe business, sir. I understand there is some demand and the ADD everything has impacted, but how is the CPVC business as a segment for you and as a foreign industry is behaving , because ..?
Kairav Engineer : CPVC segment is doing good for us and overall also. Otherwise, this margin profile in the piping business will not be possible also to give.
Praveen Sahay: Right, because one of the competition is talking about very high growth in this segment. So that's

why I'm just wondering, how is that being a market leader , how is it behaving for you as well?
Sandeep Engineer: We have been doing good, we'll continue to do good and it always reflects in our working. And we don't want to break up and share because these are our confidential numbers. But y

es,
obviously we have been doing excellently well in this segment.
Hiranand Savlani: Sir, CPVC is our bread and butter. If that segment is not going to help us, how can we maintain 17%-18%, 18% kind of mar gin? But definitely it is doing well. This particular part of CP VC was a challenge, and that is across the industry. It is not only for us, across the industry this challe nge was that . And we are of the view that that will also be improved in the coming time. Because India is going to grow at 6% -7% GDP, then definitely pipe market has to grow at 8% to 10%. If that is the case, we can easily grow more than double, 10% to 15% easily we can grow. It's a temporary phenomenon and a lot of liquidity challenges are there in the market. So definitely that is going to be addressed by the government in the coming time.
Praveen Sahay: Thank you, sir, and all the best.
Hiranand Savlani: Thank you , Praveen .
Moderator: Thank you. The next question is from the line of Akash from UTI Mutual Funds. Please go ahead.
Akash: Yes. H i, sir. Am I audible?
Hiranand Savlani: Yes.
Akash: Thank you. Just wanted to ask, sir, for nine months FY25, what is the gross margin in India's adhesives business?
Hiranand Savlani: Gross profit margin on a nine -month basis , it was 39% , sorry 39% is the pi pe and adhesive it is again 39.6 %.
Akash: Sir and s ame number for nine months FY25.

Hiranand Savlani: No, nine months it is 44.9% in India.
Akash: Right, and same number for nine months FY24?
Hiranand Savlani: 24, it was 42.74 %. So, 2% improvement.
Akash: Okay, sure sir. Thank you. And sir also just wanted to hear your thoughts on how the new Bharat Initiative is doing for adhesive business ?
Sandeep Engineer: It's doing good and as quarters evolve, we will, but it's doing good.
Akash: Yes, sure sir. And sir, if you can share how much is now rural con tributi ng to adhesive business?
Sandeep Engineer : These numbers for our interest .
Akash: Okay, sure sir. Thank you.
Moderator: Thank you. The next question is from the line of De vang Shah from Asit C Mehta Investment Intermediates. Please go ahead.
Devang Shah: Hi, good evening , sir. Congratulations for a good set of numbers in challenging environment. I have a couple of questions. My first question is , we are seeing some kind of muted revenue growth so far as far as in general, by considering the fact of your overall piece of revenue, historical piece is concerned. So I just want to see how we can expect a topline to unfold as you have already mentioned budget and that will be a key decision. But as far as numbers is concerned, last year in FY24 we have grown top line somewhere close to 9% while your historical average was somewhere close to 15% kind of band. So moving forward what kind of growth as a pe rcentile we expect in the coming years?
Hiranand Savlani: If you see the last two years, current year and the last year, our top line growth was low compared to what historical levels were there mainly because of the d rop in the polymer price and the chemic al prices. So both our business affected in the topline because of drop, heavy drop I can say, into the polymer price and the chemical price. So now we are seeing almost bottom is there. From here on we are not seeing a much drop into the polymer price or maybe a chemical price. So it's a question of only time when it is going to go up. But if you see the last year, our volume numbers were fantastic. But that is mainly because of the value was not there, it looks like a 9% kind of growth. But this year we a re of the view that volume should be lower than the value. So value will be growing faster than the volume. So hypothetically, my volume growth will be 10 % to 12%, then the value growth will be 15%. So this year, because of the base effect , we are of the v iew that the value should be bett

er in FY26. That is how and w e will be back to our normal growth of 15% kind of zone . And if the market conditions are improving in a better way, we can grow even better also. But you can consider that level of 15% kind of growth.

Devang Shah: Okay. Second, sir, we have seen some kind of , in your quarterly numbers, there is a raw material cost that has been inched up. And there is also one exchange rate fluctuation kind of cost that has been there, mentioned over there. Can you throw some more light on that, especially exchange fluctuation cost somewhere and also about the raw material, why it is inch ed up in this particular quarter?
Hiranand Savlani: So like exchange fluctuation in mainly because we are importing a large raw material from overseas. So because of that, the dollar fluctuation, whenever it is there, like if you see, leave it the last quarter, prior to that, rupee was stable. So exchange f luctuation amount will be very low because there was no volatility into the currency. But whenever there is a volatility into the currency, this fluctuation comes. But compared to the earlier years, now the volatility is comparatively low. If you see the y early wages number, it is not going to be very high, what used to be 3-4 years before. And secondly, our dependency on imported material day -by--day is getting reduced. So that is also helping us to mitigate that risk of exchange fluctuatio n. As far as this raw material plus in that , that is mainly because of the inventory plus minus. If the inventory goes up, then it will be plus. If the inventory goes down, it will be minus.
Devang Shah: Okay, so sir, then in this particular quarter, we have seen a sig nificant depreciation on a rupee. Will it going to affect in your Q4 FY25 as far as exchange fluctuation is concerned, this particular way?
Hiranand Savlani: Exchange fluctuation, whatever happened till December that is already reflected in the number. January, I don't see there was a much depreciation.
Devang Shah: So far volatility you see . Okay.
Hiranand Savlani: Yes, and if the volatility will be there we over a period of time we readjust into the growth profit margin because ultimately we have to pass through that to the market. It's not we but the entire industry ultimately has to count the cost accordingly only. So ultimately this will pass on to the market. But in books of accounts i t will show like that the loss of profit. But ultimately it is passi ng onto the market only.
Devang Shah: And sir, your aspiration to be maintaining such kind of EBITDA margin of 15.5 % to 16% that would be the, basically your aspiration, right? That you are going to continue in the coming years.
Hiranand Savlani: Correct .
Devang Shah: And sir, last question that as you mentioned, budget will be a somewhere key decision as far as infrastructure spending and domestic growth is concerned. Sir, do you have the tariff war that is something now from the US, somewhere we are voice s now making loud and loud again and again. So will it impact us as far as our performance? Because domestic boost will be as per the dependency on a budget. But what's your outlook as far as if there is any kind of tariff war as far as overall business is concerned?

Hiranand Savlani: As far as Ast ral is concerned, we are not exporting anything to the US market. So I don't think we are going to , neither we are importing from us So I don't think it is going to affect our company if India doesn't grow then we may be affected But otherwise, I don't think this tariff is going to affect anyway to our company .
Devang Shah: Okay. Thank you so much , sir.
Moderator: Thank you. The next question is from the line of Amit Purohit from Elara. Please go ahead
Amit Purohit: Yes, sir. T hank you for the opportunity. Just on the ind

ustry growth, you indicated nine months, the industry grew by 3%. What would be the plumbing and infra, if you could give some sense on that? And second is there are a couple of new product l aunches that we would have done. Is it possible to share? What is the share of those? Like it could be a BPR or a Low-Noise kind of product portfolio from this Plumbing segment?
Hiranand Savlani: The industry number which I have given that I have given a t entative based on my internal assessment . It is not a published number so far. The real number will be known only by the year end. Okay, so I can just clarify to you that thing. As far as the individual is concerned, I think very difficult to work out how the industry has performed in individual vertical, maybe agriculture or maybe plumbing or maybe other vertical. So it is very difficult to work out that number into that. As far as our growth is concerned, I think Low-Noise, DrainPro, all these products we re already launched few years before. It is not that this year it is being launched. And initial year was the naturally struggling year, but now these products are picking up. So we are definitely going to deliver good number in the coming time.
Amit Puroh it: Sir, I am just looking if it is possible to share some salience in terms of whether it is mid single digit or low single digit ?
Hiranand Savlani: Individual, we cannot share.
Amit Purohit: And sir, lastly , you highlighted that antidumping duty probably will help but if even if this happens in Q4 , there will be a jump up in Q4 because of the stocking up by the dealers and all

post that it will again back to the demand growth right ?
Sandeep Engineer : Well, depends on when the government implements it,
Kairav Engineer depends on multiple factors , depends on when they implement depends on how much provisional duty comes, what will be the rupee impact. Okay, so it depends on a lot of factors and also depends on whether the demand goes up because restocking can only happen up to a certain level. After that if the demand does not pick up then people will not stock just because the price of the polymer is going to go up.
Hiranand Savlani, I think that will be the sentimental wise it will be really positive for the market and then the market will very clear that from here on the prices will not go down. That is the main thing to

understand from the market point of view. Because then the dealer distributor will get t he confidence that is what needed at this point of time.
Amit Purohit: Thank you, sir. That is it from my side.
Moderator: Thank you. The next question is from the line of Rishab Bot hra from Anand Rat hi Share and Stock brokers. Please go ahead
Rishab Bothra: Yes, sir. Two, three questions. Firstly, on the paint side, there's a lot of heightened competition in the market. So how are we progressing in terms of penetrating the market in new geographies?
Sandeep Engineer: Let us be very frank that when we bought the paint market, compared to the size of others, we have never acquired this business to go and create a huge, huge market. When we acquired Adhesive Business, the giant was in multi -folds and folds , and we acquired Rs. 150 crores worth of business where we had similar questions, and we said that we will continuously grow, deliver at 15 %-20% pace. We kept on doing our best maintained margin and over almost 9 to 10 years a category properly is created with the proper margin and slowly and ste adily it is growing reaching the nooks and corners of India. Now here also we are acquired a business with the size of around 200 crores -250 crores. It's not that we want to reach the India overnight or create any magic with a wand stick, we are very clear that this is going to help us in our construction chemicals division in a big way. The painter segment an

d our dealer network also will be extended and which is our motto to grow at a normal pace or it should not be below double digit which is obviously t here but not at a n exorbitant pace by fighting in the market , creating negativ e EBITDA or overspending anywhere in the cash burning to do marketing. So I don't understand the panic of pain t business which is only not even 5% of our business and we are very , very categorically clear that our eyes, ears and our vision is on that. But again, no magic wands. We have opened, we clearly said in my opening remark, Gujarat, we are slowly penetrating. Rajasthan, we opened recently in last month, two months and we wi ll penetrate. Then we will go to another two states. I want to open the pan India. It would be disaster for Astral , which we will never do by employing so many employees or over -stretching in capital expenditures or doing anything for heavy marketing budge t. But give us time. We give us time of a few years, and you will see a continuous growth with a positive EBITDA. No cash burn. And a vertical which we created at A range , we will call it paint and construction chemicals division. We want to get constructi on chemicals moving to paint, because that's the right segment and the right audience to grow construction chemicals with the paint business together. So please understand and please don't have any panic that we are doing anything wrong here. Whatever busi ness is , faucet was the same thing. You see after two years, just two years, we have reached three digit plus. And we are there with the capacity to grow, range, understand the business and continuously deliver the growth numbers. And similarly here, we ar e very, very conscious and we are driving it in the best way possible. Hiccups do come in new business, learning curves come, pluses minuses come, the same came in adhesives. We have always told the market about pluses, minuses, hiccups, up and down curves , and the market was always being posted in the right direction, which is the philosophy of Astral Family. And please be rest assured that this

business for Astral is also equally a prime business, but with no magic wand around, but you will see this resul t in coming few years from now.
Rishab Bothra: Got it.
Sandeep Engineer: Nothing will be negative on margin fund, which will be always there in our thing, and nothing will be overspent here. And no cap ex is required here for at least few years from now.
Rishab Bothra: Right. So for understanding sake , in adhesive, I believe there were a lot of players who came in the market and then moved out. What is the uniqueness with the leader is having such a large market share and what is our market share in the domestic market ?
Sandeep Engineer: I would not going in to what market share but if you see 40, 45, 50 years history and if you see

just 8-9 years history for us taking over a company, creating a complete ran ge and making a mark in the industry, it's obviously a great achievement. No one at the number 2 was being able to stay continuously. Various reasons, I don't want to get into that. We are also challenge d multiple times but we have taken over the challenge and delivered and we have now, adhesive business in our blood, pipe in our blood, faucet is in our blood and paint we are taking it into our blood also.

Rishab Bothra: Correct.

Rishab Bothra: But can you split the revenue of adhesive into overseas and dom estic market?

Hiranand Savlani: So this quarter UK was Rs. 77 crore and India was Rs. 280 crore.

Rishab Bothra: And l ast question sir, what would be the revenue share from UP state and is Kumbh giving a positive wipe in terms of volumes or it is slightly restricting growth?

Sandeep Engineer : We don't have that number there and we don't want to get into those breakups and numbers because lot of distribution is done through

our dealer and network. So we don't get the correct how much businesses are going over.

Rishab Bothra: Got it. Thank you , sir. Wishing you all the best.

Moderator: Thank you. The next question is from the line of Pinaki Banerjee from AUM Capital Private Limited. Please go ahead.

Pinaki Banerjee: Good evening sir and thanks for the opportunity. In the previous quarter with regard to your UK subsidiary you had stated that you are bringing one of a kind of a product in the Indian market with respect to the adhesives . And that will be the first time in India. So can you give us an upda te on that?

Sandeep Engineer : Give us two quarters at least after this fiscal ending , we will let you know.

Pinaki Banerjee: Okay sir. And the last question is, you have got a cash of around Rs. 290 crores. So considering the fact that there is actually a bit of a flattish trend in the industry, how do you plan to utilize it?

Sandeep Engineer: At present, we will be not doing any big things. But if there is something which is positive, okay . But o therwise, we will be looking at keeping some cash on hand and adding to it. And next year, and all the effects , as we have been our cycles, we have already been from our cash approvals which will be seen and depends on the market.

Hiranand Savlani: I think by year end we will be able to know what is our next year budget. Based on that we will work out our cash utilization plan and if we don't have any such kind of utilization plan then we will give it to our shareholders.

Pinaki Banerjee: Okay , fine sir. Th at's all from me. Thanks and all the best for the future.

Moderator: Thank you. The next question is from the line of Ma nan Madlani from Kamayakya Wealth Management. Please go ahead.

Manan Madlani: Hi sir, thanks for the opportunity and congratulations on the margin front . Sir, my question was from PVC side, so previously if I am not wrong you mentioned we are targeting 78 ,000 metric ton capacity. So are you still planning on that? And on the pricing front , since lot of players are starting manufacturing OPVC, do you see any supply side pressure or still the demand is pretty much high?

Hiranand Savlani: I think India doesn't have any capacity of OPVC. So I don't think any too much capacity is going to be there. And secondly, this machinery delivery time is also very, very high. So at least in the coming couple of years, we are not seeing any over capacity into the OPVC. Maybe after 2-3 years, it can be, but at this stage doesn't look like that.

Manan Madlani: So for instance, if we are running at a 60 %-70%-80% utilization rate, and if we are planning to increase our capacity, how much time it takes for us?

Sandeep Engineer: We have planned our machines in a series of sequences and its technology is homegrown . We have kept our CAPEX also for the technology in mind and we'll be the first one even to make the fittings in house. Just give us at least 1 or 2 quarters whe re things unfold and progress with the product line , will give you a correct and clear picture.

Manan Madlani: Okay. My second question is on PTMT ta ps. So how are we pricing them? Is it a premium product compared to regular PTMT ta ps?

Kairav Engineer: No, PTMT ta ps is not a premium product and our price range will be close to the market leader in PTMT, which is Water tec right now. Water tec is the market leader in PTMT across India. So our pricing range and quality will be at par with Water tec.

Manan Madlani: So we are getting a good volume from that service basically.

Kairav Engineer: It is not a voluminous product, but yes, it is a good margin product. So obviously we cannot expect thousands of tons sales in that because it's a tap fixture . But yes, it is a very good product for the bottomline.

Sandeep Engineer: And also , the response is positive. Very positive, I can tell you not to get into more deep in that.
Manan Madlani: And on the bath ware side, are we like, I remember earlier you mentioned, you have a different institutional team to take away institutional side of t he business. So how that segment particularly is doing?
Sandeep Engineer: We have started getting institutional business from good projects, builders, as well as big contractors. At the same time, our retail presence also is growing and continuing. So we a re balanced business is happening in a right way.
Manan Madlani: Could you quantify?
Sandeep Engineer: No, sorry. Thank you.
Manan Madlani: Okay. And last question, I mean we get that the infra side of the business is not getting much traction. But from the real estate side too is do we still seeing any contraction or we are seeing any improvement from that side?
Sandeep Engineer: We are having good presence pan India. So maybe a few markets go plus minus, but overall there is a good acceptance and d emand coming along.
Manan Madlani: Okay. That's it from my side. Thank you very much.
Sandeep Engineer: Thank you.
Hiranand Savlani: Take the last Question
Moderator: Thank you. Ladies and gentlemen , that brings us to the end of the questio n-and-answer session. I would now like to hand the conference over to Mr. Ritesh Shah for the closing comments.
Ritesh Shah: Thank you. Hiran and bhai, any final closing comments and Sandeep bhai, please. Thank you so much.
Sandeep Engineer: No, thank you everyone. And as we have answered all the questions related to all the queries and we are sure that we will meet in person after the fiscal year ending of 2024 and we are looking forward to that. And as Astral has always come out and given its right pi ctures and all and we also eagerly look forward to meeting you , we will strive to do our best. Thank you everyone for the support and the call. Thank you.

Hiranand Savlani: Thank you everyone for participating. If anything is left out in the question -and-answer session, you can directly reach on my mobile. Thank you so much.
Sandeep Engineer: Thank you Ritesh ji for organizing this call. Thank you everyone.
Hiranand Savlani: Thank you, all.
Moderator: Thank you. Ladies and gentlemen, on behalf of Investec Capital Services India Limited that concludes this conference. You may now disconnect your lines.

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Call: May 2025

Astral Analyst Meet,2025
23rd May,2025

Mr. Sandeep Engineer Speaks
So, we welcome you all to this fiscal year -end results discussion, and we'll also talk about the
future and scenarios. We'll answer all your questions in person. So, welcome all of you.
Actually, the range is so vast and significant that we opted for a bigger hall so that everybody
can see the complete range of product lines. We are also having a dealer meet thereafter from
8 PM in the same hall for Mumbai.
This year has been a very challenging year. The questions I've been answering since morning, especia lly about the polymer industry, indicate that everyone faced a big, challenging year
and PVC was the most challenging polymer, where price challenges were prominent, followed
by growth challenges. But in this scenario, as you can see, across all four quart ers, we have
delivered very good results. The growth has been modest, but the margins have been well -
maintained and improved.
From this, you can see many questions were asked about our CPVC growth. We don't want to
quantify it people have quantified their numbers in percentages, above a certain percentage
but we don't want to quantify the numbers. If you look at the numbers and the margins,
obviously, the market share and the growth of value -added products have gone up. CPVC is
one of the value -added products, as are the new products. If people have quantified the
numbers with huge growth, we don't see any value in quantified numbers that reflect in value addition. In short, I'm saying we have achieved growth in our core product lines and new product lines, and we've done this with healthy margins.
As usual, I don't want to go into a presentation or discuss capex cycles because this will be covered in value terms. Mr. Savlani will take you through these numbers. But every plant has a balance of expansion going on, including new plants. The Hyderabad plant is fully
operational, and this year, we will have the full range of pipe products manufactured from the
Hyderabad plant. The Kanpur plant is on the verge of completion in the construction segment, and machin es will start arriving from the next quarter. So, in the third quarter, the Kanpur
plant will be operational, and by year -end, it will be fully operational.
We have started fitting operations in the South and also in Rajasthan. We will shortly start fitting operations in the East, in Orissa. There are also expansion plants in progress, so we can
easily cater to those markets for pipes as well as fittings. Our new range of valves, especially
ball valves, is complete. We are adding butterfly valves and other types of valves used in the
plumbing segment. This range of specialized valve products will be completed by this fiscal year.
We are also adding machines for our silent pipe production. We have almost doubled the capacity, even more than doubled. Our Drain Pro, which is doing well excellently, has also
increased capacity. We are the first company in India to receive complete approval for HPVC
pipes and fittings for fire applications, which is a big achievement for us.
We're also getting our PEX aluminum machine around Diwali, and we will be the first company to start an advanced range of PEX aluminum pipes from India. This is a state -of-the-art, very
fast machine that will deliver the best quality composite pipes.

Coming to the growth of value -added products and channel drains, surface drains, which are
doing excellently well for Astral, we have continued to sell our value -added products and
range to many prestigious projects in India.
In the bathware segment, we achieved a growth of 15% this year, reachi ng close to 1 30 crores.
We're not yet at break -even, but the growth is encouraging. The market is giving a good
response to our products, and most of our distributors have started selling bathware and
ceramic ware products, which adds another range of sale s from Astral.
Coming to adhesives, adhe

sives have done excellently well in India, both in terms of growth
and margins. More discussion on adhesives, especially the growth and margins, will happen
as we answer questions. The plant we established in Dahaj is fully operational for two
chemistries: epoxy and white glue. We are adding two more plants in Dahaj this fiscal year
and the next to complete many of our chemistries, which will be manufactured at the Dahaj
plant.
For solvent cement, the plant work has been commissioned. We are launching a fully
automatic solvent cement plant —that's the pipe -joining chemical plant at Dahaj. We will also
add capacities for other chemistries in the coming year at Dahaj. So, Dahaj will be fully
operational and almost packed with these additional capacities.
We have also added machines to manufacture certain products at Kanpur. We are making our own tapes electric tape and Teflon tape at Kanpur . W e've received a good response for the
export of T eflon tape to the US because it 's approved by many buyers in US . We will s hortly
starti ng exporting Teflon tape from our plant and also sell it in the Indian market.

There has been a challenging time in adhesives in the UK, and I know there will be many questions about that. Many questions were asked today about what we would do with the UK and whether we're thinking of exiting the UK. That business has been with us for 10 years. This is the 11th or 12th year since we bought it at a level of 60 to 70 crore turnover, which has now reached almost 380 crores.

In one year, nothing wrong has happened. Let me be very frank there are base corrections that need to take place, from operations to many other corrections. Alterations will come in the next two to three quarters, especially from one quarter onwards. You will see the results, corrections, and positive outcomes in terms of growth, value, and bottom- line improvement.

So, there's nothing to worry about in any of these segments.

There are cycles. In the past, when we bought the adhesive business, we had a cycle for two years where things dipped and then went up again. It's very much under our radar, and we've taken multiple measures in the US and UK, which will be reflected in the next two quarters in terms of results. I don't want to take up time and detail the measures we've taken, but as we see the corrections, we will always discuss them with you.

Secondly the biggest benefit we get from the UK and US plants is that a lot of chemistries have come from there. Our chemistry for silicones and our chemistry for certain adhesives, including hybrids, have come from there. In the UK, we've gone four steps backward in hybrids, which will improve margins in both the UK and India.

We're coming up with a high- tech machine with the help of US and UK technologists and R&D people. It will be the first to produce 100 colours of different cartridges coloured silicone for the first time in India. There will be 100 different colours of silicones offered in the market by us. So, there are a lot of positive things. There's nothing great about negativity, but there's great potential in the growth and margins, which we will address very diligently this year.

Coming to the paint segment, because paint is another area with a lot of worries, I understand. But if you look at it another way, we are very small -scale in paint. Again, I want to tell everyone that paint was specifically acquired to increase the adhesive business, to be in the paint business, and also in the industrial paint and construction chemical business. We haven't put any capex behind the paint business. When we acquired it last year, we said the capacity is sufficient, and we won't be adding any capex, which remains the case.

Last year, the concern was about burning money. Paint has a positive EBITDA, though it's low, and there's nothing negative. The growth is low. The reason is that after last March, when we took over, when we took over 80% and we took over Control of the paint business. Until then, two quarters went into multiple corrections, and the same continued in the last quarter. We achieved good growth in paint, and we continue to see good growth in paint. As the volumes increase, obviously, the margins will improve. We launched paint in the first and second quarters in Gujarat, in many cities. Now Astral Paint has started selling, moving well, growing, and similarly, we have now launched paint in Rajasthan. We've also started doing well in Rajasthan, and phase -wise, we will be opening one state at a time for Astral Paints. The South will continue to sell Gem Paints. If you have any questions, we will surely answer them.

Regarding OPVC, many questions came up about OPVC what is your technology? Nobody questions us about it when we went from our own silent pipe to our technology. It is proven.

We have so many products where Astral has made the best products with proven technology. We brought this technology from India, working closely with a machine manufacturer in India. It is a proven technology, and we have made our product, which ISI has approved. The basic thing is approval by ISI. There are companies from Spain and abroad advocating that there are technology issues, but there are no issues with technology, no issues with machines, and everything is ISI -approved. We have actually received a first order of 18 crore for OPVC, which we have started supplying, and we are getting approvals state by state for this product.

We just acquired Al Aziz. The rationale behind acquiring Al Aziz was, first, it was at the right value. Second, PEPP , which was not in our product line, and we needed to enter this product line. They had a complete range of fittings. If we were to set up our own plant to make these fittings, it would take us five to six years to manufacture and get approvals. They also have gas fittings approved by German authorities for gas application lines. They also have fittings that can be used for water lines, Jal Sena projects, various projects, and industrial piping systems.

Now we are getting four machines —three are coming, and one more will come later— for making PE and PP pipes in our plants. The reason behind Al Aziz was to enter this product line with a complete range of products, including pipes and fittings.

PTMT has also started getting a good response, and you can see the range here. So, I think we are covering all the products, all the ranges, and we would be happier to answer a lot of queries you have in mind.

Because of this challenging year that passed, the businesses we have extended —especially the paint, bathware business, and the new polymer businesses we have entered into thank you, everyone, for coming here. Thank you for attending one more this analyst meets after the fiscal year. If you have more questions, we will be available. Kairav is here, my elder son; Hiranand Bhai, our Director and CFO; and Saumya is here, the younger

son. Thank you very much to all of you, and our team is here to answer your questions. Thank you, everyone.
Mr. Hiranand Savlani Speaks
Good afternoon, everyone. Welcome to Astral’s analyst meet. The results are in front of you, so I won’t discuss individual numbers much. We have a few slides to present, and then we will give maximum time to the question -and-answer session. This is the consolidated full -year performance. You can see the last ■ve -year revenue growth CAGR is 1 6.5%, and similarly, EBITDA growth is 10.48 %. PBT is 7.15 %.
PBT is mainly low because we have taken a lot of hits on the amortization of the new businesses which we acquired. To take the tax advantage, we amortized a lot of things, so because of that, the PBT numbers are low. Otherwise, cash pro■t, you will see, is more or less similar to the EBITDA level.
This is the working capit

al cycle. In the month of March, the rupee appreciated, so we paid o■ a lot of credi tors early to take advantage of the currency. Because of that, the creditor levels have gone down.
Otherwise, you can see that the debtor days and inventory days are more or less in the similar line, with two to three days here and there. But that has come down in the month of April.
This is the cash position. Right now , we are sitting on a net cash of ■ 464 crore. This is the revenue breakup of our pipe plumbing— it’s still the pipe business contributing 7 2%, and paint and adhesive contributing 2 8% . I n t h e c o m i n g t i m e , y o u w i l l s e e t h i s r a ti o will be a little toward the paint and adhesive side because the base is very low.
This is the capacity chart. You can see that the capacity has been continuously growing. Though We might not require that much capacity, but we are still continuously pumping money into capex. The reason is simple that we want to decentralize our units, and we want to be a pan- India operation, considering our vision for the next 10 to 15 years. Because if we don’t decentralize our units, with p o l y m e r p r i c e s c o m i n g d o w n d a y b y d a y , t h e e l e m e n t o f f r e i g h t c o s t i s i n c r e a s i n g i n t e r m s o f percentage. In that case, the more and more decentralized you are, the more you will get the advantage of logistics costs. Considering that, we are c ontinuously adding capacity. You might see our average utilization in the 55 to 65 range, but once our decentralization is over, you will see a sizable improvement. In the last two years alone, we have pumped in close to ■ 1000 crore into this expansion activity, particularly capex. But that bene■t you will get in the next ■ve years. So, capacity building is taking place at a 10.3% CAGR, while sales are happening at a 13.5% CAGR. Capacity utilization is continuously improving, but it’s still not up to the mark because we are decentralizing that thing.

This is the plumbing business working capital cycle. A similar graph, mainly because the creditor payo■ taken place in the plumbing business only. Because of that, you’re seeing an increase in net working capital days. But that has come down again in the month of May. Nothing to worry about on that sid e it was about taking advantage of the currency.
This is the graph to understand the PVC price trend. You can see that PVC is continuously falling in a one-way journey. Except last year in April- May, there was a spike in PVC, and that’s why you see in the last year’s ■rst quarter, the volume growth across industries was very good. We were also close to 1 6% volume growth, and then it started a southward journey. This is a continuous falling graph, and last year alone, the polymer price was down by 1 8%. Despite a 1 8% f a l l , y o u c a n s e e t h a t i n t h i s environment, Astral is the only company in the country that has improved its gross pro■t margin. We have improved the GP by 1%, and we have maintained our EBITDA.
So this is the power of the brand. I can say that we have established ourselves in the market, where people respect the brand, and people are ready to pay us for the quality. Many players have tried a lot of thi ngs by undercutting the value and throwing the material in the market with material, but even after that, they were not able to grow their volumes. So, customers understand that quality players will always command a premium, and that’s what we are always c ommunicating that we believe in consistency. We don’t want zigzag growth. We want to maintain consistency in terms of growth and margins as well. And that’s what we are doing right now. There were a lot of pressures on us too, with competitors selling at lower prices, and now they are all su■ering. Many of their projects are getting blacklisted as well. We don’t want to name anyone, but everyone has start

ed facing this problem in the market.
This is a graph of paint and adhesive. You can see the last ■ve years' growth; you can see 21.23% but that’s not the correct graph because paint was added at a later stage. So, it may not be the right graph. The EBITDA growth is 8.55% , and the pro■t before tax (PBT) is low because we have tak en a lot of amortizations that’s why it is showing very low Over the last three years, if you see, we have made a lot of corrections. New additions are taking place for dealers, and because of that, EBITDA is under pressure, particularly in the paint business. But now, I think, onc e our volumes start picking up from this year itself, you will see a lot of improvement in this as well.
As far as the adhesive business is concerned, I think we are consistently growing at a 17 t0 18 % for the last 11 years from where we have started our journey in 2014 and when we started that time our EBITDA percentage was just 6% now from 6% journey to this year full year number we are close to 17% I am not talking about the last quarter where we had a closed to about 19% EBITDA but that was was the p eak quarter so because of that it was high but otherwise on a full year there wages also we

were close to about 17%. So adhesive business of India is continuously doing well. Even UK was also doing great for us because we are having access to the new te chnology from the UK and we are getting lot of inputs from our UK unit. It is unfortunate that the last year was the abnormal year for the UK company. Otherwise last 10 year we have seen a good number . We started journey from almost ■70 - 80 crore top line in UK. And from 80 crore top line to this year we close with 346 so almost you can say 3X more than 3X in the span of just an year . So UK has also deliver a good number . This was the only exceptional year and we are con■dent that we will be delivering t he good number from the UK also from the current year itself.

So, this is a very small letter . So we are going to share this presentation to you. So you can go through that also. So what is the industry outlook? What we are saying? So we we are of the view that the pricing is going to remain volatile. Ah just now we were coming to here in between we got the message that the supreme court has given the verdict. That whatever the high court has given the verdict in favor of epigral to stop the few grades in PVC against the anti dumping duty that also they have scraped and they have said that you can put the anti dumping duty on the entire PVC basket. So sooner or later see we are very di■cult to predict that date. But I think judiciary is seriously loo king into that because lot of injury has taken place to our local manufacturer PVC they are bleeding right now . So soon or later anti dumping duty will be there. How much will be there? Everything is already there in the system. So you can see all this n umber. And we are of the view that once that will take place and there are high probability that whatever the destocking has taken place in the system. That will be again the normalized thing. And if the price rise will be steep, then in that case dealer and distributor will be overbought. I can give you an example that normally distributor is sitting between three to four week inventory. And similarly dealer is also somewhere between three to four week inventory. Now in this scenario current situa tion many of thems are even less than one week inventory. That kind of the scenario in the ground. Now if the price rise take place steep 15% 10% something like that heavily price rise will be there. Then they will not be coming to the normal inventory of three four week. They may extra mode and they will be on six seven week inventory also. Because ultimately is nothing but its a arbitrage. Because they know that we are going to spend 9% per annum interest and here we are getting 10% or 8% kind of p

rice rise. So there will be going to be a big gain. So because of that they normally keep the higher inventory. So one one spike can come by way of you can say the pent up -up demand kind of things because of the restocking in the newer future. Secondly , ah serious stock is going on in the country for the BIS implementation also. We all know that BIS is good for the industry because with that lot of s t an d ar d iz ed n orm s will b e th er e. T od a y wh a t w e a r e f acin g th e biggest problem is the anti dumping duty on PVC on the ah sorry dumping of the PVC in our country and mainly because of the carbide based PVC. Which is not a good polymer . But because it is the cheap most of the manufacturers are moving that direction because of the competition and particul arly agri kind of pipe and all this thing. Quality doesn’t play that that important a role. Quality has importance in the plumbing side of the category. In plumbing, you genuinely need good quality; you can’t use carbide -based PVC there. So, many manufact urers are moving in that direction, and that’s creating a problem. Once BIS is implemented, all this carbide -based PVC will go away from the system, and then polymer prices will go up as well. A lot of unorganized players using this cheaper PVC will also s top. So, that is going to shift the business from the unorganized to the organized side. Time is the only answer to all these things, but there is a high probability that this will happen once BIS standards are implemented. It will take some time; it’s not necessary that it will happen in the near term. But sooner or later, it will happen because talks are going on very seriously at the government level. We all know that post -election, government spending came down substantially. That has also created a lot of problems in the industry. That’s the reason you see that a lot of infrastructure- related demand came down substantially and created liquidity issues as well. Many contractors had dues with the government, maybe state or central government. Because of that, a lot of liquidity -related challenges came into the building material industry, and the industry is still passing through that phase. Sooner or later, we are expecting that payments have already started. Hopefully, in the near term, that will be sorte d out, and then the due demand will come from the government side, which will drive growth in the infrastructure side also as well. We already discussed anti -dumping; it has been announced on CPVC, and it has been extended up to FY29. So, until FY29, the a nti-dumping duty will be there on CPVC. We already discussed restocking Okay, I think we covered all these points. So, what will be the revenue driver for Astral from here? We discussed the industry outlook. The biggest growth driver we are seeing is that recently we have opened three new plants: one in Guwahati, the second in Bhubaneswar, and the third in Hyderabad. All these three plants are operational now. They are going to give us sizable revenue in the coming time. We are of the view that in the initi al stage, there will always be low -capacity utilization. We have to create a dealer and distributor network. Now that is happening. Once that is in place, these plants’ utilization will improve substantially, and that is going to drive the business to the next level because there are a lot of savings in logistics costs. That is going to help us in a big way in the coming time.

Secondly, our focus is continuously on increasing value -added products. Value -added products mean products that have higher -than -normal EBITDA margins. Our focus is continuously to add these kinds of products. I think a few of the products have already been discussed by Sandeep Bhai, so I don’t want to discuss much on that side. But our focus is continuously going in that direction be cause we know some products may not give high volume, but they wi

ll give high value addition, which will help maintain margins in these di■cult times. When the polymer price was down by a 18%, we were still able to maintain our EBITDA margin, mainly because of this value addition.
O n t h e v a l u e a d d i ti o n s i d e , w e a r e l o o k i n g a t ■ r e -pro pipes because recently we got the ■tting approval. We already had the pipe approval from UL, and now we got the ■ttings, so that will open up the door for the export marke t as well as the local market. We were too dependent on the import of ■ttings and other things, so that will stop, and now we will indigenously start manufacturing everything. That is going to help us with margins as well as growth. Similarly, OPVC is ano ther product that also has high margins. We are expecting that volume to improve as well.
Thirdly, we have recently opened our ■rst overseas o■ce in Dubai. We are targeting that all these value -added products' contribution should increase from those geo graphies as well may be the Middle East, Saudi Arabia, or select African markets. We are exporting some products to Europe as well. We are expecting that in the coming time, our focus team will be focusing on these value -added products.
Even Dubai alone ha s very high -tech projects coming up. They may also like Astral products because they are world -class products. They are not only approved in India because we all know ISI approval is not that stringent compared to UL approval. UL approval involves keeping a single pipe at a certain temperature for 18 months. If nothing happens to the pipe for up to 18 months, only then do they give approv al. So , it' s a very s tringen t approv al. That' s wh y y ou see n one of the Indian companies ever trying to go for UL approval . Our products are world -class. W e have high expectations that now we have just entered the export market, which is also going to drive the next level of growth.
The shift from unorganized to organized, we already discussed, and BIS is going to help us. An other recent addition is Al Aziz products, as Sandeep Bhai already discussed it's an electrofusion ■tting. That was a range that was not in our basket. We have already placed the order for the machine for pipes, and now they will support us in ■ttings. S o, we will be able to complete the range. That is also going to help us grow that product in the Indian territory, and there is a lot of scope for the export market for these electrofusion ■ttings as well. There is high demand in the international market too. We are just exploring. We are shortly going to meet a few export clients, and we will get a sense of their expectations. They were trying to export, but due to liquidity concerns, they were not able to complete those orders. Now we are going to sit wi th them, and we will see how best we can quickly revive that relationship and target the export market for these Al Aziz products also.
Another new thing is that we are continuously spending money on the R&D side. That will help us develop a lot of new thi ngs in the coming time. You can see that from the day Astral started its journey until today, almost every year we are bringing something new to the table, and that continues today.
We are targeting that in the coming time, we will bring a few new products , and you will see that Astral is the company that is bringing many products to the country for the ■rst time. So far, we have brought seven to eight products that we introduced for the ■rst time in the country.

So, that's what the journey is, and it co ntinues. We are expecting that once a few products are ■nalized and developed, we are working on the adhesive side as well for the development of new products. A lot of this, I think, Saumya will answer in the question -and-answer session. We are working o n that side as well, developing some new chemistries. Regarding silicones, Sandeep Bhai already discussed that we will be the ■r

st company to bring that kind of silicone with 100 colour options. No company in India has tried to do that. These developments are happening in consultation with the UK company as well as our R&D department in Ahmedabad. This will keep continuing in the coming time, and it will continuously drive our growth. The rest of the things are in the presentation, which we are going to share with you anyway, so I'm not going to discuss much because we've already taken a lot of time.
Similarly, in adhesives, you will see that the India operations are continuously growing. I already told you that our growth rate is close to about 16 to 17% C AGR for last year because we acquired in 2014, and now we are in 2025. That will continue to drive that segment. Our focus is now also going into rural areas. That's why we have entered into this New Bharat concept, where we are going to target smaller vill a g e s a s w e l l . W e w i l l s e l l t h e m a b a s k e t o f p r o d u c t s . I n m e t r o s , s e l e c t e d p r o d u c t s a n d distributors will be there, but in rural India, they need everything in one place. In any small village, there are only one or two shops, so they need the basket of pro ducts. This new concept is moving very fast, and we are expecting that it will drive our business to the rural market.
Last year UK was having the challenge which we already discuss but this year we are expecting that few new things we have develop. So tha t is going to drive our margins also. At the same time we have introduce few products in you US market. So that is also going to drive our top line. So this year we are not expecting any kind of negative numbers from the UK. So when the progress will happen, will keep sharing you every quarterly. But de■nitely we are having ah lot of hope this year that revival will be there. So you you can see that lot of consolidations are happening in the market. Small players day by days are facing problem. So that is going to help us in the adhesive business. Also you will be surprised to know Astral is the second largest company today into the a dhesive industry and market. And we

are the ■rst company who have cross the 1000 crore mark in India. So these are the achievement of last 10 years. So when we were entering that time everyone was laughing that how you are going to do when the so big joints are there in the country what are going to you do but today we are the second largest company in the country. So product innovation is continuously going on and we will keep introducing the new products. Export again same Dubai o■ce is going to not only push the pipe business but we have appointed the few people for the adhesive business also and we already started exporting our products into the gulf. We have already appointed our distributor in Dubai. They are already selling our products. So that business is also started selling reasonably good number I can say. Don't don go to share the exact number . But I can say the the lot of potential is there for adhesive business also into the gulf market. So A dhesives also more or less the drivers wil l be same because we are continuously going to expand our geographical reach. We are going to expand our new product categories also. So Dahej is going to be the another growth driver. We are still utilize Dahej capacity hardly 25 to 30%. So lot of scope is there for Dahej to bring the new products into that plant. And its not only ah new product but the cost e■cient product. Which I think we have discuss in last two years that with this the head lot of backward integration related things are going to he lp us to improve our costing. And that is what you can see into the numbers also that our adhesive numbers are margin wise it is improving. UK and all we discuss similarly in India also adhesive side we are still not presence across the pan India few pockets are there we are presence but at the

same time our reach is not that strong. So this year and in the coming time we are going to target that also. Particularly southern market and there our reach is still low . So we are going to focus in to that side also so that we can grow that market also. So e■orts are going on into that direction and you will see in the coming time lot of revenues are going to come from the new geographies Also. So what is the option value in the coming time for Astral. The one thing is that AL - Aziz which we discuss because this is the completely we are starting from zero in Astral I can say. So we are expecting a sizeable business into that gas is going to be a big opportunity in the coming time. Today may not be that high. But in the coming time gas is the future for India. So gas business is going to contribute because we are preparing our self. It may happen three year down the land, four year down the line but ultimately it is going to be a very big opportu nity. Because still India is connected very -very thinly with the gas application. So, that is going to be the driver for the growth in the coming time. Secondly bathware our base is very low. Sandeep bhai rightly said that last year we have grown 51% . So that clearly show that that side of the business is getting attraction because any product journey it take time to understood by the market. Because people want to test that pipe is very simple because you are putting behind the wall. You are not seeing the product also. But bathware is the aesthetic look product. So everyone want to see live that product and everyone want to use that product faucet everyday. So the trust building always take time and that is the reason we are not giving you unnecessary high expectation from the bathware. Because everyone is asking why not you quickly go to the 500 crore bath. That is never going to happen. Secondly I think many time I have explain everyone that in a project when you are taking the entry its a three year journey. First project guy will take you conceal product only then the ■nishing portion plaster and everything will be taking place then the outer portion will be used and when the ■nal painting and color and everything will be completed then you need the front portion so this entire journey of any project going to take three years time so now I cant force any developer that you buy everything one go it is never going to happen because he will buy our product at the stage le vel only he is not going to put money money into that. So because of that this journey is always taking time and it is going to tak e time. So but yes we are de■nitely growing. Peoples are appreciating our product. So we are very happy with that. Du bai o■ce we already discuss that we are exporting export to contribute reasonably good in the coming time. Plus valve we have already introduce and few more valve we are recently we have completed. So that is also going to be a very very high value a d d e d p r o d u c t f o r A s t r a l . C h a n n e l t r a i n i s p i c k i n g u p v e r y w e l l . W e a r e t h e ■ r s t company to introduce in house develop Indian manufacture make in India product in the country. So f a r e v e r y b o d y w a s i m p o r t i n g b u t n o w t h i s i s v e r y w e l l y o u c a n s a y p u t in comparison with the imported product and much cheaper then the imported product. So thats why it is getting good attraction in the market. Then the silence drain pro and all this products are continuously contributing and now the new products will also start contributing in a big way like OPVC we discuss ■re we discuss PTMT we discuss packs we are targeting to launch somewhere in November December so that is also going to help in the high end plumbing particularly villas bungalows hotels and may be the high end apartments also so I can o

nly say that last two three year we have spend a lot money into the capex side but the bene■t of that capex has still not come to the company. So thats why you may feel that the we have spend lot of money but always capex take place ■rst and the bene■t always come to three year down the line only . So you will see in the coming time lot of new things will come and growth will come in the coming time and all this spending which we have done in last two year is going to give the lot of fruits in the coming time. Thank you so much. And now we can run a very small clip for this our CSR. Thank you. Thank you everyone.

Mr. Hiranand Savlani Speaks

So we we supported this project through our Astral foundation and we have got this result and jay this ■lm was like by how

many million how many million people watch this 10 million 10 million 10
million
So we can go for the Q & A Session
Attendee :
Sandeep bhai thanks for that compliment you you at the start mentioned about the anti -dumping duty event that that is now likely to unfold soon then later. Whatever are your projection have you factor that in and that could be a pleasant surprise completel y?
Mr. Sandeep Engineer Speaks :
Basically the projections after the anti -dumping beauty have not been factor but we are seeing in this year because PVC has bottom down and the complete channel is try and slowly the PVC will go up a little bit anti- dumping will be addition to that it has not been still implemented by government. the p o s i ti v e t h i n g i s t h e o r d e r h a s b e e n s t a t e b y t h e s u p r e m e c o u r t . S o w i t h a l l t h e p r i o r i ti e s g l o b a l
priorities government has we cannot say when this anti -dumping duty will be in place. But overall if you see the PVC and the polymer will have a positive impact of growth in this fiscal.
Attendee :
Thanks for that. Second and final question. When we started our adhesive business, I remember you had said that we have entered to out of eight or two out of nine segments if I remember correctly five six seven years ago. What is your view now? Are we ready to enter something more of the remaining areas in the paint in the adhesive industry and what?
Mr. Sandeep Engineer Speaks :
I think let Saumya answer and he takes care of adhesive and paints. So let him answer.
Mr. Saumya Engineer Speaks :
I think for the retail space in terms of adhesives and the chemistries we have finished the complete range weather it is wood working adhesives our maintenance and repair adhesives and sealants and sealants and tapes. I think we have completed range but of course we are looking at newer applications and category expansion wherever we feel is required we look into it.
Attendee :
if we talk of the entire adhesive market, would it be fair to say that we are present in every spare or we still have some untapped spares?
Mr. Saumya Engineer Speaks :
I think in construction chemical space we would still be untap in terms of completing the product range but we would be able to do it in next year max I would say but apart from those adhesives and sealant as of now the range we hold can compete with ah the top players in the Indian market no doubt.
Attendee :
and last question ah its always nice to hear from you what next anything you would like to say to that ?

Mr. Sandeep Engineer Speaks:
I think we have lot in our hands to do a perform and give more growth results expectations to build and to fulfil so at present nothing there in future your own predicts.
Attendee :
Thank you sir
Attendee :
Hi I have five question. Ya so first would you like to give any guidance on volume and value for next fiscal? Thats the first question sub part to it is if we just roll back FY22 we had given a number of 1500 crore for new growth inj. Ah so, we have some idea on bathware and paints. Ah but if we had to put this number 1500 crore whos sigh

ted for FY27, ah where are we ah on that road mark?
Mr. Hiranand Savlani Speaks:
So, we are not giving the individual number earlier we used to give but because of the competitiveness in the market and lot of players are p laying strong practises. So because of that we have stop giving the number . But I can say what we have predicted 1500 we almost we are closer crore today. So we have completed I think three years when we given the guidance three and another two year w e are going to target the 1500 what we have said. So it cover its not only restricted to this product which you discuss but it cover silency also drain pro also fire also, Valve also and then another couple of products are there I think I have given the list three years before so all put together I think we are more or less moving into that direction only.
Mr. Kairav Engineer Speaks:
So with regards to I think volume you ask volume guidance see volume guidance largely depends on two things ah when th e ATD comes and how much the ATD comes and when the BIS norms are finalized because that will play a very vital role in the channel restocking. Right now the channel is working on very slim inventory levels. So if this both announcements if they come in th e end of first quarter or beginning of second quarter then the subsequent quarters the numbers might be in the high double digit also mid double digit also. Ok? But then we are optimally aiming for a lower double digit type of a volume this year if we get aided by this market buncy and market sentiment we can over deliver on what our projections are but again largely depends on PVC price movement because it will enable

the channel to restock and once the channel restocking starts at the dealer and distributor level automatically the volume numbers will move in a much faster manner.

Mr. Hiranand Savlani Speaks:

Secondly I can head what Kairav said that if you see the number of Q2, Q3 and Q4 last year it was more or less ■at may be two three kind of growth was there. So base is also getting very low. So on a lower base growing higher percentage very high probability. But again these two decisions are very critical. If these two decisions are coming in Favour of industry then de■nitely doubl e digit is not a problem.

Attendee :

Sure just a related question I appreciate we dont disclose each of the growth lever separately but when we look at valve stanks draino drain pro is it wear to conclude all this three segments will be uppers of 150 crore ?

Mr. Kairav Engineer Speaks:

so drain pro drain pro is a very fast growing product category for us both done pro and silencio there are many inherent bene■ts of the PP piping system in drainage and it is fast getting acceptance from the dealer and from the project side also because it has a higher impact strength it is has a technology attach to it very few players are in it and PP is a product which is very contractors and developers really like this product not only because of the physical attributes of the product. But also because that they are able to get one year annual rate contract or even a long rate contract for the duration of the project that they have taken. So that side they are secure because PVC being so Lot of people are opting for PP products not only because of performance but also because of stability. So, drain pro is a fast growing product for us. Valves is also a fast -growing category for us. We are continuing to add the range. This year we will be adding butter■y valves also. So every year we are adding SKUs in the valve side and with the starting of operations in the middle east without Dubai o■ce we are also looking to increase our valves export to the GCC countries and to the African nations also.

Mr. Hiranand Savlani Speaks:

So ritesh all this three put together we will be close to 500 crore. 450 to 500 crore.

Attendee :

second questi

on I want Sandeep ji to speci■cally answe r this sir if you just look at the annual report ah the attrition what it says its 25% ah it says turnover rate I dont understand how to infer it but I would assume its 25% is attrition for permanent employees ah and we keep on tracking Linkdin on who is going who is coming. Ah de■nitely trend is on ah ups. What is that we are doing to retain the employees and if you can re■ect on the Esop policy I think we had one long back so as we grow bigger whats a thought process on retaining employees.

Mr. Sandeep Engineer Speaks:

so basically the accretion people have nothing to do with this these are on the lower land and there are so many seniors that we will be revising our policies on seniors so basically we have now nine of vice president presiden ts and many of the have join and also we have four divisions to address we dont have one division to eight so there is no question and discussion on that side but the lower end people we did to accretions we there was a hue and cry we said chicken and egg we need people you need sell we increase the value of the man power everyone shouted your man power cost went high now you say man power has been lower the accretion has gone high so what we have to do I dont understand what your questions come up to run my business but we did do some corrections on the man power at the lower end but certain businesses I am telling you again understand if somebody wants to launch a selfone we are sing the same has I launched a network when you launch something you need man power so we needed add more man power in our faucet ceramic ware business we needed more man power for our paint business. I cannot open Gujarat without a man power. I cannot open Rajasthan without in man power. So the cost for initial stages of scaling of the business will take a hit on the man power . So thats the cost which were gone up we get some corrections. They re■ect in the actuation. But especially the lower end. Lower end if you go the there is a big pull -on actuations in various se gments. And this is happening for most of the building industry company at present because people are coming in the all the segments of business but if you see the senior management which we have in the people are constant and people are with us so the main accretion is on the lower hand.

Attendee :

I will just take two more question. Third one is also for you Sandeep bhai. If we compare us verses say the larger peers ah and the peers at I think there one comparable peer. Ah if you look at employed cost and other expenses as percentage of sales, ah we are like a way o■ the charts. So when we decide probably kairav can also answer this on ANP spends and when we are deploying giving money to on the employee side and distribution what are the levers that we have to ensure that we are getting more e■cient every year and if you can give speci■c numbers for FY26 something light ANP or other expenses that will reduce by a percent or 150 webs I think that would be great.

Mr. Kairav Engineer Speaks:
So two things ■rst of all ANP spends ANP spends we have not increased ok other expenses include lot of line items its not only ANP since last two years the ANP spends have been what they have been you know they have been stagnant even this year the ANP spend budgeting is not increased. Problem is that your polymer prices have collapsed 18% in a ■nancial year. Last two years the polymer prices have been weak. So it has eroded the top line. If the top line erodes then your other expenses is and employee cost as a percentage is going to ballon. Now if you are comparing to a larger peer what peer you want to compare to because I operate in four segments. Ok you you can not compare only a piping peers employee cost verses my employee cost because I am working in adhesive also. Adhesive requires more pain man power . You ca

n look at Pidilites man power cost. Y ou you have to look at segment wear we operating if you talking about adhesive I think 12% 13% how much man power cost they have
Mr. Saumya Engineer Speaks:
Pidilite Q4 was 14.5% see
Mr. Kairav Engineer Speaks:
Pipes and adhesive require a certain type of a man power cost pipe requires a certain type of man power cost you can not you know compare apple to banana it is you have to compare apple to apple if you are looking at the piping side of the business. I dont think my employee cos t is more then 5% higher then the other player in the market. Ok? If you want that Hiranand bhai can give that to you for the piping side. So you can get an idea that I am not I am not hiring anyone in the piping side right now. I am very happy with the type of man power I have. But any new plant that you open, any new o■ce that you open, any new depo you open, you have to add the man power . How can I function without man power? So there are multiple attributes to your question. I think I woul d want Hiranand bhai to add to it.
Mr. Sandeep Engineer Speaks:
I will simple thing hier. You see how a company is and how is building. There are company you are comparing the owner seats in a room and 50 gaadi. Ok uthao. 100 gaadi uthao yeh discoun t we are not running this company as discount and this way our pipe business we have today active 6 thousandplus dealers who work with us on monthly basis we have 2 lakh plus plumber associated in our program which company has 2 lakh plumbers who are ready data how much they purchase so we are building a company a solid foundation which will last for years to come now I went into faucet ceramic ware some of the tile companies went I will overtake them in no time have you ever seen why I am doing i t because I have strong footge with the plumbers buy connect with the plumber today is growing at a tremendous space and this is where we are getting and building our now to do all this programs the Alp program the dealer program going to that I dont tell my distributor to buy one truck more then he needs. I never phone my distributor ki mujhe sell chahiye. Aap maal bhar do. March end bhi aaya ya December end bhi aaya. Because that will bounce back at some time. The real sell is real sell. The rea l business is real business and reaching to the customer and selling the product in t h e h a n d s o f t h e c u s t o m e r i s w h a t w e h a v e b e l i e v e d i n a l l o u r s e g m e n t s . A n d t h a t i s h o w o u r functional work works and what you see is a real real number of the tershary sell no company in pipe monitors tershary sell we have data of tershary sell how much is the sell going to the customer so the depth of the data and the work which we have done in last ■ve six years in the piping segment none of the piping segments have done this work which now is a work which is parellel parellel to the big paint company of India and parellel to the big adhesive company of India thats what we have done in pipe business and thats how we are working in this geographical of faucet ce ramic ware vi plumbers the construction chemicals involving even plumbers and other segments carpenters painters all the data are helping us to grow .
Mr. Hiranand Savlani Speaks:
I think kairav bhai and sandeep bhai say I can just add ■rst we have to decide weather want to work like a brand and we want to work like a commodity. That is the ■rst question to be answer. If you want to sell a Oppo phone I dont think you need a beautiful girl and beautiful boy to stand on the showroom like what Apple is doing because Apple is charging the premium. Then he has to explain the features of the phone. He has to tell about the products quality and everything. Cost wise if you consider OPPO and Apple will not be a big di■ erence. The kind of di■erence betwe

en the selling price between two phone. The margins of two company can not be same. So hier we have to decide that if we want to sell our product as a brand then we have to have appoint a quality people with us and we have to pay for that. No quality is going to work for the organization without a right salary. So we have to spend. Now look at other way after spending so much of salary still we are having the highest margin in the industry so we have to see that point of view also its not only cost aspect so we have to work both side we have to see but spending so much of amount still we are having the highest margin because customers are ready to pay us the premium which other brands are not getting th e premium somebody can say pipe is pipe pani to nikal raha hai aur kya ho raha hai pipe mein se par ■r wahi pipe ko koi aapko 100 mein bech raha hai wahi pipe koi company aapko 110 mein de rahi hai to what is the di■erence that is where this things are needed that is where branding is needed that is where elpi is needed that is where the good quality employee is needed otherwise sandeep bhai ne bola ki ghar mein

baithe -baithe sabko nikal bhi sakte hain sales wale ko baithe -baithe phone pe
bole nge bhaiya 10 gaadi likhao 2% discount 25 gaadi likhao 3% discount ho gaya kaam ■r usmein
kabhi brand nahi banegi usmein kabhi premium nahi milega so we have to decide ki weather humko ek promoter driven company chalani hai ki ek professional way se chalani hai. Aaj H iranand bhai ke
Sandeep bhai teen mahina chale jayenge na o■ce chhod ke to bhi Astnal ka sell band nahi hone wala hai. Because that team is there. So we have to also look at that way also that how you are bringing the company how you are portraying your products in the market

Mr. Sandeep Engineer Speaks:
Lets take questions from others. You have got enough questions. No no you can ask me individually
Attendee :
Hi good evening. This is Rahul from Ikigai. Sir one most of the question got answered in the presentation. So thanks for that. Ah one question was on CPVC industry. Ah you know we hear that PVC industry now is almost like 4 and half ah million tons of ■scal 25. Just wanted to get some views on CPVC industry size. In terms of volume value whatever you can share because I think we have some dated numbers hier.
Mr. Sandeep Engineer Speaks:
It is around 2.5 million lakh it is ya
Mr. Kairav Engineer Speaks:
It is about 2 and half lakh tons now.
Attendee :
Its about 5% of PVC industry is a small.
Mr. Kairav Engineer Speaks:
See it is a very nish product now if you look at CPC, it is it the application of CPVC currently is for the hot and cold water internal plumbing and the external some loop lines and some plumbing if you want to do. CPVC real value unlocking will happen when the ■re products pick up. Fire has shown a steady pickup over the last couple of years. So every year we are doing slightly more slightly more then the previous year and the type of approvals that we have especially UL approval and the local body approvals across India ah I think if the ■re pipes market expands you know the overall CPVC market may expand much faster because ■re application the number of pipes that are used in a building are more then the plumbing pipes.
Attendee :
So getting that ■re order thats going to be more project business going to be more retail
Mr. Sandeep Engineer Speaks:
there are certain changes which are needed in the standards which are taking time till then
Mr. Kairav Engineer Speaks:
■re or ■re is more project business ■re will not ■re will be done through the ■re contractors ■re contractors do the ■re sprinkler works in the buildings.
Attendee :
Got it a and secondly in just to remind me of the project and retail billing for the company overall on the plumbing side you know how is our sales mix essentially like .

Mr. Sandeep Engineer

Speaks :
Generally, it is 50 -50
Attendee :
so we are billing 50 % directly to developers
Mr. Kairav Engineer Speaks:
no we don’t bill directly anything to developers
Mr. Sandeep Engineer Speaks :
now we feel we do everything to distributor 100% through distributor 100% government se leke koi bhi dhandha distributor ke bina nahi karte
Attendee :
ok and and consumption wise how much would that split be for projects and retail separately like
Mr. Sandeep Engineer Speaks :
50-50 bola na ok perfect and
Attendee :
two question for Hiranand ji if you could help me with valve sales for India and international s eparately absolute numbers for sales and EBITA and the capex budget for ■scal 26 thats all from myself thank you
Mr. Kairav Engineer Speaks:
I think we can give it to you after the after the event.
Mr. Hiranand Savlani Speaks:
I will give it to you.
Attendee :
Good evening sir. Can I just go in with my question?

Mr. Sandeep Engineer & Mr. Kairav Engineer Speaks:
Yah, yes, please.
Attendee :
Sir, just wanted to understand like you said that you know, 2.5 lakh ton is the CPVC industry size. You would have seen you years of journey you have been the pioneer. What has been the historical growth rate and whats the forecasted growth rate in CPVC industr y?

Mr. Sandeep Engineer Speaks:
10 to 15% value pe badhta rahega. Ye ekdam 30 40 50% except ■re ka pura systems aa gaye to ekdam jump dikhega. Iska agar ■re mein agar aaya bhi if it is being approved bay ■re with of this hurdles we are we are getting through with things. People ask UL and UL is again a big process. So it will take its time to still keep on evolving.
Attendee :
And same way what would be the growth in the PVC pipe industry sector? Leaving apart the restocking and the stocking and you know how actually you know
Mr. Sandeep Engineer Speaks:
10 to 15% CBC?
Mr. Hiranand Savlani Speaks:
No no PVC cant do at that. Even you less growing 6 to 7% max
Attendee :
secondly on the P CPVC rej in front we are going to see huge supply additions coming up in India now which has not been the case so far with that kind of a supply coming in how do you See the prices of CPVC panning out
Mr. Sandeep Engineer Speaks:
Jisno ne bola h chaar chaar sala lgega
Mr. Kairav Engineer Speaks:
So I can I can add to this you know CPVC has an active anti -dumping duty in place till 2029 so most of of this players who will incur the capexi. CPV putting up a CPVC plant is a very expensive process. CPVC ka jo process hota hai the chlorination process it require a special type of reactors and because chlorine is a corrosive material these reactors are worn out very quickly. So they have to incur frequent capex to install new th is reactors every time every few years. So CPVC is a business where they will all the players whoever comes in CPVC it will not be like a PVC market they will need some margin to sustain the business. So it will it will it will sell at whatever this current CPVC pricing is there prevalent in the market it will be around that level only because anti -dumping is also there. So they will they will ensure that they are making inuf margin. It will not become that overnight the prices are going to fall.
Mr. Sandeep Engineer Speaks:
But capacity aane mein bahut time lagega. Announce hui hai aur aa rahi hai. Usmein ka■ time hai. It is not so easy to and not going to come so fast.
Mr. Hiranand Savlani Speaks:
India ka largest player char paanch saal se baat kar rahe hain. Abhi tak zero capacity la sakti hai. To itna easy nahi hai. Bolna bahut easy hai. But capacity genuinely CPVC mein time lagega. Dubrizol kitne time se baat kar raha hai? Sabko pata hai abhi tak nahi aa payi hai capacity. Time bahut lagega iske andar.
Attendee :
Understood sir? Sir lastly just last one question on the other you know grow drivers like you said yo

u
know you have mentioned about drain pro pipes silencio ■re pro pipes you of course mentioned on your numbers being 450 to 500 auto crores. What is the industry number hier and whats the growth rate in these kind of categories like? Also in case you can give the number for OPVC?
Mr. Kairav Engineer Speaks:
In the drain pro silens hier.
Attendee :
Yes
Mr. Kairav Engineer Speaks:
There is no other player in the industry for these pipes at the moment.
Attendee :
Understood
Mr. Kairav Engineer Speaks:
we are we are currently the only local player manufacturing and selling there are few players who are importing and selling but that volumes are very ministcule so its not comparable I think if the market mature in going ahead and if there are more entrances in the particular segment the n we can see how the markets is shaping up
Attendee :
understood and anything on the OPVC side any number hier whats the
Mr. Sandeep Engineer Speaks:

PVC to abhi itna you people jo understand OPVC wait time lagega. Iska government usage hai . Bahut sare aa gaye hain. Chinese machine aa gaye hain. Bahut sara over capacity hua hai. OPVC pe please kisi ko mat bandhiye because OPVC is a segment of the product hai. Usse koi magical wand nahi hai.
OPVC jisko logon ne ek magical want bana diya. Wo ek normal product hai. Normal machine hai. Main bhi banaunga. Log bhi banayenge.
Mr. Kairav Engineer Speaks:
So, if you, if you say, if you say OPVC if you are thinking that OPVC can become the new CPVC, that is not the case.
Mr. Sandeep Engineer Speaks:
Aur uska limited application hai water distribution replacing ductile ion. It is the usage is by government only. Isko koi builder ke koi water distribution mein nahi chalega. Na wah drainage mein chalta hai na koi yeh uska use hai

Attendee :
sir thank you
Mr. Sandeep Engineer Speaks:
thank you
Mr. Hiranand Savlani Speaks:
ok right down the number this adhesive sales number you wanted you wanted adhesive sales number this India operation full year number is 1098 last year was 9960 so net growth of 14.5% this quarter adhesive number is 350 last year it was 262 so growth of 20% this quarter anything else you want
capex projection for the company so I I think will be somewhere around 250 to 300 crore max because K anpur is still yet t o be c ompleted b ecause machine ar e yet t o b e ins talled so thats wh y y ou can consider 300 crore max .
Attendee :
Hello hi good evening this is Keshav from HDFC securities sir we are anticipating 10 to 15% volume growth for next year at the same time we feel UK operation will improve paint operation margin can improve but while we have seen Hiranand bhai i nterview he have mentioned the margin will remain stable in FY26 why are we not expecting some kind of improvement.
Mr. Hiranand Savlani Speaks:
I have never ever said margin is going to stable. I said the margin of India operation is going to remain stable. This world whatever the new businesses are there that will be top up to that. So paint we have said that it will be small improvement will be there this year also. UK has not given a single penny this year zero EBITA. So how can be same next year? Historically you see they were delivering 8 to 9% minimum EBITA. So margin on consol basis it is going to improve and secondly never ever see the last quarter number only we have to consider the full year number and we have to account the inventory losses also n ow next year suppose now more or less PVC is getting bottom out ok that is what our view we may be wrong also so dont dont go with my view only but we are of the view that the PVC is slowly and visually going to bottom out upward journey may take some time also or make take quickly also. It depend on this two outcome of anti dumping NBI. In that case next year you may see inventory gain also. We have deliver in 2

4 EBITA also in particular quarter. So very very di■cult to say thats why we are giving you a long term range that we will be working between 16 to 18% in the pipe category and adhesive s 14 to 16 we have communicated. And last 3 year number forget about current last 3 year number if you see adhesive India business have given close to about 15.5% E BITA margin so we can give you only range which may not be holding good depend on the Circumstances and now volatility is very high which was not the case earlier earlier the PVC price range was between 5 or 7 plus minus now it is 20 or 27 % plus minus also so any company de cant give the exact guidance also very di■cult to predict the number
Attendee :
understood got it one last question what is the inventory loss for this quarter and for the full year I think we dont have a exit numb er but de■nitely it should be a good number this year because continuously from 92 to osglo is 68 at are and something so should be a sizeable number but any any ball all park percentage of sales and some broader range
Mr. Hiranand Savlani Speaks:
may be it should be close to about minimum 60 to 70 crore minimum should be there
Attendee :
ok got it that is helpful thank you
Attendee :
this is Het Chauxi from Deven Chausi thank you for the presentation and best wishes for the coming year just two questions the ■rst question is on the adhesive business we have seen lot of regional companys like MYK Laticut from Hyderabad and Sera Camp from Tamilnadu having signi■cantly large presence in your core markets which is Gujarat ah they the product pro■le is also very unique in the grouting business as far as the color applications are concerned what is your sense on this this regional competition because as you rightly s a i d t h a t i n s i l e n s y o u m a y h a v e m a y b e 1 0 0 d i ■ e r e n t c o l o r applications may be something in the grouting also might be something you might want to look at

and how do want to tackle it because we have seen that may be pipes are pipes is so strong in all your core markets. That adhesives will probably take time and lot of your come like distributors. A lot of your the plumbing community still very very focused on the piping business from Astral. And very - very keen to have MYK and something like that in the crowding space. I would just want to get a feel on these this kind of regional companys which are so dominant and strong in terms of brands.
Mr. Saumya Engineer Speaks:
Ya I understood the question. MYK ■rstly is not a regional company. Its a big company and very good products. One thing I will say is we have not even entered MYKs domain and this year is when we enter the MYK domain with the construction chemical range. So for us it will be expansion in portfolio and expansion in product range. So they are all doing their business and I think we will we will
de■nitely go into the grouting space as I was tell talking to Mitten bhai also we are planning for grouting space this year so de■nitely we are working on that product range and we are it ready ah with the colors and everything and we are going into the cementetious range this year we were kind of in two minds weather to go or not to go because supply chain is is something will we needed to understand that you kno w its little bit di■erent then how you would sell the AMAT range and white clue so you have to understand the but we understood and its not an issue we always have that in mind when we are benchmarking products and understanding competition. So we go into each range and each product category and then understand who all are operating with in that category and kind of make our strategies accordingly so ya I hope that clears your question.
Attendee :
Ya. I will probably come and just have ar with you later. But the second question is on in the last ana

lyst
meet actually you mentioned something on the Mumbai like center having a like you were plying to set up a new marketing and digital team in Mumbai. Can you from some line that initiative and how you plan to scale that up if at all if thats in the work?

Mr. Sandeep Engineer Speaks:
We already have a full ■ej o■ce in Mumbai. Our all seniors for adhesives business now in paint business work out of Mumbai and that o■ce and the setup is well in place growing and we are going to have a another big setup shifting this setup to a new setup with an more seniors coming and working out of Mumbai
Attendee :
so one question on this front something what Asian paint in the paints that they can they can actually exactly predict what a what a dealer wants at that particular time at that particular hour that particular p a i n t d o y o u h a v e a s y s t e m o f i n t h a t p l ace as far as a digital is concerned as far as how your distributors will probably have that particular product and SKU of that particular line of activity in future.
Mr. Saumya Engineer Speaks:
I think what you are referring to is automatic re■l r e■lment of the distribution channel wear it kind of ■os out and then there is an automatic supply chain which triggers the order and supply the material to the dealer?
Attendee :
So does your distribution channel have that capability to predict that kind of what the dealer
Mr. Saumya Engineer Speaks:
so prediction is basically forecasting. So understanding what will happen so right. So not to the maturity o f Asian Asian de■nitely is master in that and it will take us time to actually get to that level and understand how the supply chain works in terms of the paint business but we de■nitely have ah g o o d s y s t e m s i n p l a c e w h e n i t c o m e s t o s u p p l y c h a i n w e h a v e a g o o d wear house management software with we are working on auto re■lling of our distributors and dealers wear auto order orders will be generated. So less manforce will be required in terms of taking primary orders. So lot of things we are working on i n terms of our digital initiatives and it will de■nitely improve our e■ciencies and how we operate.
Attendee :
Thank you. All the best.
Mr. Sandeep Engineer Speaks:
So I think we can take any other questions. And thank you everyone. For joining us for this end of this ■scal understanding from us. And discussing how the future is going to shape up for the years to for this next ■scal. And everything is great Bright. And we are keeping on the hard work. And looking forward again to meet you at the end of the next ■scal. Thank you very much everyone. Thank you.
Thank you .
……… ………… .

……… …… .

Call: Aug 2025

"Astral Limited Q1 FY '26 Earnings Conference Call"

August 12, 2025

MANAGEMENT : MR. KAIRAV ENGINEER – EXECUTIVE DIRECTOR
(ASTRAL LIMITED)
MR. HIRANAND SAVLANI – EXECUTIVE DIRECTOR &
CFO (ASTRAL LIMITED)
M
ODERATOR : MS. SNEHA TALREJA - NUVAMA WEALTH
MANAGEMENT LIMITED

Moderator : Ladies and gentlemen , good day and welcome to Astral Q1 FY '26 Conference Call hosted by Nuvama Wealth Management Limited.

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is now being recorded .

I now hand the conference over to Ms. Sneha Talreja from Nuvama Wealth Management . Thank you, and over to you , ma'am.

Sneha Talreja: Thank you, Huda . Hello everyone , and good evening. Thank you all for joining the conference call.

Today we have with us Mr. Kairav Engineer – Executive Director and Mr. Hiranand Savlani – Executive Director and CFO.

I will hand over the call to Mr. Kairav for his initial opening remarks which we can open t he floor for Q&A. Over to you, sir. Thanks a lot for the opportunity.

Kairav Engineer: Thank you, Sneha , for hosting the call. Good afternoon, everyone , and welcome to the Q1 FY '26 Earnings Call .

I will go over all the different business verticals one by one.

We will start with the pipe business :

Volume was flat in Q1 due to low demand, early monsoon and low government spends. Now it looks like the volume has started picking up July onwards and we are confident of a double -digit growth thi s year as per our initial guidance.

PVC anti -dumping duty can be announced in this quarter and it will aid in volume growth and value growth as well once it is announced. We expect some uptick in PVC prices. So, one can say safely that the PVC has more or less bottomed out.

The Kanpur plant will be ready for commercial production in Q3. It will commence in phase manner starting with our tank and PVC products first and it will assist in the growth of our North markets especially markets of UP, Bihar and certain pockets of the Eastern NCR.

OPVC orders have started coming in now, the products have settled, all regulatory approvals are in place and we expect that once the government spending starts again in a proper manner, we expect good orders in the

OPVC lines as well.

In the new product pipeline, we are working on multiple new products at the moment, multiple several high -tech systems, several systems that will be the first ones to come to India and we will gradually announce the same as we get ready to l aunch them one by one.
Our Hyderabad plant has now settled and is gearing up and in coming quarters, one can see good volume benefit from our Hyderabad plant.
As far as Bathware goes, the response is very positive for Astral Bathware products. Our projec t order book is healthy and our order book is growing quarter -on-quarter . We achieved 27% growth in Bathware in Quarter 1 and will try to maintain a similar growth momentum in the coming quarters as well. We are launching some very good and high-quality pr oducts in our Bathware business. They will not only aid in growth but also in terms of brand premiumization.
As far as the adhesive business goes, the India business is performing good for us. We grew by 9% in the first quarter and with our July numbers, in the first four -month basis, we are close to our guidance of 15% to 16%.
Margins are within our guided limits of 14% to 16% in the adhesive business. UK business has stabilized and is picking up with 7% growth in Quarter 1 and a 5.5% EBITDA. We have appointed a new person to lead the UK business and comes with a very rich industry experience. You will see a good turnaround in the UK business in the coming quarters.
As far as the paint business goes, the growth journey has started. For the first time after acquisition, we have delivered a 20% growth in the paint business, and this

is mainly due to the
Astral brand paint launches in certain territories across India. We will aim for a similar growth trajectory even in the paint business in the coming quarters.
Now, c oming to the acquisition of Nexelon and the question of the CPVC plant, we had been doing R&D for 3 years and I am very happy to announce that we have developed our in-house technology to manufacture CPVC resin along with technical assistance from our technical partner in the project. We are going to put up a 40,000 metric ton capacity that has a total investment of Rs. 150 crores where Astral share in the investment will be Rs. 120 crores for 80% equity.
Our first step in the backward journey, as you all are aware, was the compounding of CPVC which we started doing a few years ago. This is now the second step in our backward journey.
By doing this, we will be able to grow our volumes and increase our margins at the same time. This plant will be commissioned by Q2 FY '27.
Q1 was slow for all building material industry , but Q2 is showing good promise , and we are confident of achieving our guided numbers of double -digit growth in this financial year.
Now, I will hand over to Mr. Hiranand Savlani who will go over some financials.

Hiranand Savlani: Welcome to all for this earning call of Q1 FY '26. Result and pr ess release are in front of you.
So, I want to just highlight the key sales number and the margin n umbers .
The Plumbing division last year was Rs. 1 ,013 crores , which this year is Rs. 953 crores , registering a de -growth of 5.85%.
Adhesive India Business , last year it was Rs. 239 crores . This year it is Rs. 261 crores , so registering a growth of 9.15%.
Adhesive Business UK last year it was Rs. 89 crores. This year it is Rs. 96 crores , so close to about 7% growth.
Paint Business , last year it was Rs. 41.5 crores . This year it is Rs. 50 crores , so registering a growth of Rs. 20.72 crores.
Bathware Business, last year it was Rs. 26 crores . This year it is Rs. 33 crores , so close to about 27% kind of growth.
As far as EBITDA is concerned, plumbing division, last year it was Rs. 181 crores, again that this year it is Rs. 156 crores , so last year 17.93% , now this year is 16.41%.
Adhesive Business India , last year it was Rs. 38 crores . This year it is Rs. 36.6 crores , so percentage term last year it was 16% , now this year it is a 14%.
Adhesive Business UK, last year it was Rs. 2.46 crores and this year it is Rs. 20.21% , but if I remove the Forex effect , the EBITDA comes to 5.4%.
Paint Business , last year it was Rs. 4 crores . This year it is Rs. 70 lakhs. Last year percentage was 9.64% . This year it is 1.4%.
So, overal l EBITDA on a consolidated it was 16.36% last year , again this year it is 14.25%. So, close to about 2% growth in the EBITDA level.
The biggest re ason for drop was that is the inventory loss which all the industry players are

suffering because of the drop in the polymer price which was in the tune of Rs. 25 crores kind of way. If we remove that effect , I think EBITDA is more or less in the similar line what was last year .

And as you know that in our industry, particularly for Astral , the Q1 is always loaded with more PVC volume than the CPVC volume because in the Q1 , the agriculture demand will always be there and this year monsoon was early . So, because of that , the construction activity slowed down the CPVC volume and the value -added product w as low . So, because of that , you can see there is a drop into the EBITDA . But if I remove that effect of inventory losses , still it is much , much better than the industry.

As Kairav communicated , we are very happy that now UK is coming to the growth path again back after almost last 3 -4 quarter we were suffering the challenges , but now it has delivered a growth of 7% and the EBITDA margin of 5.4%.

Similarly our new businesses are also contributing now in a good way. Bathware has contributed 27% revenue and similarly paint , first time after acquisition , has delivered a 20% kind of top-line growth, and we are confident that in the coming time we are expecting the paint to deliver good number , at least 20% kind of top -line growt h for the full year.

Now coming to our acquisition of CPVC resin plant. This is the game-changer announcement which Astral had done yesterday for entering into CPVC resin manufacturing business . But before that I want to take you to the year 2016 when Astr al went into the backward integration for making its own compound and we stopped purchasing CPVC compound from Lubrizol.

You must be aware that with this decision , Astral has not only improved the volume , but Astral has improved the EBITDA margin of betwe en 3% to 4%. And all these numbers are there in the history , and I can give you some number which you can verify from our earlier balance sheet and from the press release.

In October 2016 , when we came out from the Lubrizol and started our own backward integration of compound, that time in FY '16, our EBITDA was 12.38%. In FY '16, EBITDA was 12.38% , which went up to 14.6% in FY '17, so almost 2% , more than 2% jump in one year. In FY '18, it further jumped to 15.39%. In FY '19, it further jumped to 16.46%, and now we are stabilizing between 16 % to 18%. So, you can understand the jump of 3 % to 4% in EBITDA because of just backward integration in the compounding technology.

Now, as Kairav communicated we are moving to the second round of backward integration , which we were thinking for long, but we were working for last 3 years and which we have completed now.

What was the rationale of going into the CPVC manufacturing plant? The first rationale was , as you, know Astral is a quality product , and I am sure you must be knowing that in recent times , lot of deterioration is happening into the CPVC piping industry. Many players are supplying the quality which is below the mark in the market , and that is why lot of failures are coming .

And Astral always believe in the quality. So, to maintain the consistency of the quality these steps were needed that why not we develop our own manufacturing of CPVC regime so that we can have a consistency of the quality.

Today Indian manufacturers are also manufacturing CPVC regime , but we all know that the quality standards are not as per the international level. So, because of that lot of people are facing challenges , though there is a little lower price regime, but still the ir quality is not up to the mark. So, considering that in mind and considering our long-term security of the quality , we thought that why not we should think on that side. So, we were working for last 3 years on R&D. We

have done lot of R&D on that and we have done lot of trial batches in our pilot plant. After successful of that we have decided to come into this business .

Secondly, when there is a narrow gap between CPVC and the PVC , at that time normally the CPVC volume pick up because now today if you see the CPVC and PVC price gap is narrowed down. So, there are high probability that there will be conversion of many c onsumers from PVC to CPVC.

That is going to increase the volume for the industry in a big way in the coming time. Because the way polymer price has dropped, there are high probability that many customers will move from PVC to CPVC in the coming time.

The reason is that when Ast ral launched CPVC in the beginning of the journey, Astral adopted CTS standard. That is the copper tube size standard and in PVC , the standard is ASTM. So, the gap between ASTM and the CTA standard is almost 20% to 30 % kind of weight difference. So, the pipe will be lighter weight in CPVC versus heavy weig

ht in the PVC pipe.
So, because of that , end use level pipe , I think the value coming down for the CPVC. So, that is going to help in a big way in the coming time if this gap is going to become narrow that will increase the volume substantially. In that case, if Ast ral has their own manufacturing plant Ast ral can take the highest advantage of that not only in terms of volume , we are definitely going to gain good market share , but also to improve our margin.
Because today , if you see the CPVC market , the other players are there , you can see their margins also. Their EBITDA margins are in the range of 25 % to 30 %, which is a huge margin. So, even if we conservatively pick up that mar gin, we can even down grade that margin also . Then also it is going to be a big saving to Ast ral to manufacture its own.
And the another biggest advantage to Ast ral is that if you compare the investment what Lubrizol has done the announcement of CPVC plant , you see the Japanese players ' investment , even the current local player which they have done the investment into the CPVC plant, compared to that , the technology which Ast ral has developed , our investments are very , very low. We are going to invest Rs. 150 crores and going to put up the 40,000 metric ton capacity. So, that is going to be a very big benefit to Ast ral in terms of return.
Now, if you consider 20 %, 25% even conservative EBITDA margin also , you can work out your payback period. Payback period will be much , much faster. Now, not only payback period, but Astral's investment in CPVC plan t, for us it is a zero investment.
The reason is that today Ast ral is holding close to about three months ' raw material inventory because we are dependent on imported CPVC. So, because of that , we have to hold the higher raw material. So, on an average our inventory will be 90 days inventory. So, on an average roughly about , you can say , 12,000 metric ton raw material is going to be the re in the system.

So, if I convert into the current price , then the raw material itself is contributing Rs. 120 crores to Rs. 130 crores of investment in working capital. Now, if I start my own manufacturing plant , then the inventory is not required because it will be near to my plant. So, there is no need to hold that much of inventory. So, my inventory level is going to come drastically drop which will make my plan t free.
So, it is a big , big advantage for the long term . That is why I used in the beginning, it is a game changer for Ast ral. So, this is the biggest advantage why Astral took a decision and not overnight we have taken this d ecision. After working three year , matching the quality , what we originally did in 2016 , did lot of hundreds of trial we took and then we took the compound decision.
Similarly, here also last two year , we have taken lot of trials in our pilot project , and then after successful trial , we have taken to this decision. So, today we can proudly say Ast ral's investment will be lowest in the industry . Not only investment low , but our costing will also be lowest in the industry .
Because the way we have done the hard work in the backward side for last 2.5 year to 3 year, that has given us lot of opportunity to reduce the cost , but that today I am only just saying, but after one year when this plant will be commissioned, that time you will see that will be converted into the actual number.
So, now this rational , we have taken this call . If you have any question, I will be happy to answer everyone and rest I think as Kairav has covered about all the other businesses , so now we are opening up the floor for the Q&A. Thank you so much.
Moderator: Thank you very much. We will now begin with the question-and -answer session. The first question is from the line of Shravan Shah from D olat Capital. Please go ahead.
Shravan Shah

: Sir, just continuing on the CP VC resin manufacturing. So, two things to understand. First, let's say, from third quarter of FY '27, once the plant will be operational on a full -year basis , as you have mentioned the margin to improve. So, for us as a Plumbing division , how one can look at margin improvement ? So, currently whatever 16 .5% is there in the first quarter , can we see the margin moving to a 20 % plus once it will be on a yearly basis ? That is first. And secon d is, why 40,000 will this suffice the entire requirement by FY '27 or FY '28 or can we also have a plan to increase the capacity to 100 % of our requirement ?
Hiranand Savlani: So, coming to your first question , this margin expansion will definitely be there. Exactly how much will be there the market situation will decide because we have to take a call at that point of time that how much we want to pass on to the market to gain the volume very fast , and
secondly , how much we want to retain to improve our margin. So, we are going to split the profit into volume growth as well as into margin growth.

So, that will be decided once the actual production will be ready with us and actual working will

be th ere at that point of time , but definitely margins will be much , much better than what you are seeing to this time.
Now, r egarding your second question 40,000 plant will not be definitely sufficient for us because the way we are expecting the growth in the coming time, we may be requiring more capacity in the future , but right now I think to start with 40,000 is more than enough and balance we can source from our Japanese partner with whom we have tie up and at the time when if it is required , at that time we will think for the further expansion.
But let us first establish 40,000 and whatever the number which we have done homework and when the actual number will come , we want to see that how the realistic number are there. Based on that , we will take that decision , but definitely I can say that the margin will definitely expand.
Shravan Shah: Second , sir, on the volume front , so obviously the quarter was muted. There also if you can explain for us CPVC in terms of the growth and then the industry growth and now July 30 % growth that we are se eing, so double digit when we are saying the guidance for FY ’26, the austerity is 13 %, but does that mean once the ADD will come, this double digit could be a even 15%, 20% kind of a number is also possible ?
Kairav Engineer: So, there are two things . One is that double digit can be anything . It could be 10 also , 12 also , 15 also , 20 also. There are many different parameters at play . ADD is not the only parameter . Once the ADD comes , price will settle at a certain level . After that, we need BIS for the price to even move further up, and also we need the government spending to increase in the system and we also need the building material segment as a whole, especially on the construction front , at the developer level , the demand should also go up.
So, it is a combination of multiple factors , but looking at what we are seeing the trend as per the second quarter , we are confident that double -digit growth as per our initial guidance during our analysis , whatever we have guided , that much we can achieve at the end of this financial year.
Hiranand Savlani: And I can add to that . If all will be in favor like suppose anti-dumping come , BIS come, then you are right , we can go up to 15 %. It will not be a big challenge.
Shravan Shah: Lastly, sir, our CAPEX for Q1 and for full year and maybe next year if you can help because now the additional CAPEX of Rs. 120 crores is there .
Hiranand Savlani: So, like this year we have guided around Rs. 300 crores kind of CAPEX because Kanpur plan t building is ready . Now machinery delivery will start . The Q1 we will spend only Rs. 50

crores
on the CAPEX. Next year, I think normal CAPEX will be there because we are not going to expand any capacity for next two, three years in the pipe category , so wi ll be hardly any CAPEX.
This Rs. 120 crores , yes, definitely it will be there , but that will be over a period of 12 months .

So, some CAPEX will come this year and some will come next year because first building level stage investment will be there , then the machinery level will be there. So, over a period of 12 months , we are going to park this Rs. 120 crores .
Shravan Shah: And lastly if you can allow me. UK Adhesive, now the post of Forex 5.2% margin , can we now see this will be the kind of a minimum and we can see a improvement in the margin ?
Kairav Engineer: Historically , UK has been 8 % to 10 % EBITDA company historically . So, margins will eventually settle in that 8% to 10% EBITDA range for the UK company because along with margin , there als o we are going to focus on the top line growth as well .
Shravan Shah: Got it Sir , Thank Yo u.
Kairav Engineer: Thank You
Moderator: The next question is from the line of Sujit Jain from Bajaj Life . Please go ahead .
Sujit Jain: Hi, Kairav and Savlaniji. Encouraging commentary . A few points you can note them down and give me one liners . If I look at data for last 14 consecutive quarters , our volume growth versus Supreme which is 3x our size , we have lagged consistently .
Overseas adhesives business as we have seen at least for many years , 10 consecutive quarters , it has been weak , 7% growth, but there could be some currency depreciation for this quarter .
Paints when I look at , it is encouraging commentary , but when we acquired the company, it was close to Rs. 200 crores, and last year al so it closed at Rs. 197 crores when we acquired it was Rs. 215 crores . So, even if you do 20% growth, it will be Rs. 220 crores or slightly higher than that this year .
Finally , our ROE has been consistently coming down. So, if you can address all of this ?
Hiranand Savlani: So, let me address one by one. Your first comment on the volume comparison with our competitor , look at the competitors ’ number . If you see , the major chunk of volume came from the Jal Jeevan Mission, okay. In Jal Jeevan , Astral was not there because we are not manufacturing HDPE pipe.
So, two year s, there was a huge spending by Government of India , particularly pre -election sizable spending because government wanted to showcase the water that we have done so much of work. So, sizable growth has come from that segment . So, because of that , if you are

comparing , then definitely yes , volumes were very high , but our presence was not there into that segment .
Now regarding your second question on paint side, yes, we have communicated in the past also , that we were working on the strategy because we wanted to la unch the Astral brand and we were

doing a lot of homework at the back office level . So, I think now we are trying to settle down because we have worked out certain s trategy and now that is going to play in the market .
That is why we are confidently saying that we will be able to deliver 20 % kind of growth because now the senior person has also joined, having rich experience from the similar industry.
So, that is going to help us in the coming time because the moment you launch the new brand, a lot of spending will be there and on a Rs. 200 crores top line , if you are spending even Rs. 10 crores for any marketing expense or anything, it worked out to be 5%. So, because of that , margins were also under pressure.
Secondly, you also know that the industry is also passing through the challenge of one of the competitor who has created a lot of issues in the market which I don't want to discuss in

everything, but that has also created the pressure on the margin for the entire industry . So, that has also affected and that also given us more time to take that kind of strategical decision .
So, now I think we are ready . We have a team which is also ready . That is why we can confidently say that this year we will be able to grow minimum 20 %. So, we will be near to Rs. 240 crores kind of run rate this year and going forward, we will give again the guidance for the next year . But I think now things are settling down and we will definitely going to grow . And once the volume will pick up, definitely the margin will also improve a lot in the coming time .
What was your third question ? I missed that part .
Sujit Jain: This was regarding overseas adhesives. This 7% growth if I look at at least 10 quarters data, that is weak , but even for this quarter 7% growth in sales could be on the back of currency depreciation in that geography . So, this business has continuously been in the WIP mode . So, when do we finally get o ur act together here?
Hiranand Savlani: So, I told you that this year we are confident that will be back to the normal . I am very happy to share you that because top line growth was missing for last four , five quarters , so because of that, overheads were very high . So, there was a tremendous pressure on the EBITDA margin .
But in the last quarter , our, you can say , the gross profit margin was highest in the last four years .
So, there is an improvement , but it is not converted fully into the EBITDA . EBITDA has come to 5.4% only, but in the coming quarter , we are confident that is going to definitely help us into the improvement into EBITDA also and at the same time top line growth al so.
We have appointed a very senior person having very rich experience of more than 25 years of the industry to take charge of our UK business , and he has just taken a charge, and that is the reason that today Mr. Sandeep Engineer is not on the call because he is with him in UK to make him understand the entire company and how we have grown up this company and what is going to be a strategy for the growth . So, all these things are going to be discussed over there , and we are confident that you will see in the coming quarter , things will improve .

Question was con tinued pressure on ROE , yes, definitely you are absolutely right . We are also very worried about that thing also . The reason is that in last three years , if you see , we have spent close to about Rs. 1,500 crores of CAPEX. This Rs. 1,500 crores of CAPEX, unfortunately when we have spent at that time, the market scenario is not in our favor, because polymer is going down, because of that continuous pressure is coming on the realization side and the building material is passing through a challenging time. So, actual utilization of this Rs. 1,500 crores has not been there in the system.
Now in next coming two to three years time, you will see CAPEX will be on hold and the utilization will improve so that definitely it is going to help to improve our ROI and ROC more.
We are quite confident the moment we will stop that CAPEX cycle, it is definitely going to help us to improve our markets. And all this .
Sujit Jain : Yes. When I look at data, you start the year with CAPEX guidance, and you end up doing at least 2x or higher CAPEX by the end of the year. So, I think capital efficiency is something you should really focus on.
Hiranand Savlani : No, I fully agree with you, because lot of decentralization exercise was going on, and when you enter into the market at that time you realize that certain things are needed. So, because of that you have to change your CAPEX plans also.
But I can assure y ou that particularly in the pipe division this year will be the last year for the

CAPEX. After that two, three year, will be only mainten

ance related CAPEX. And then you
will see lot of improvement. Because ultimately company has already spent money. So, t hen
benefit always for the CAPEX comes at a later stage and it is unfortunate that the market
condition was not in our favor.
Now if the polymer not have dropped by 25% kind of level in last two years, then this situation could not have arrived. Your over head keeps growing every year. But if your top line does not
grow, then it always give you the pressure on the margin, and because of that the return ratios
are getting disturbed.
If polymer could not have fallen so high, then this situation might not ha ve arrived. But your
point is valid and we respect that part and we will give you confidence that in the coming quarter, you will see continuous improvement into that side.
Sujit Jain : Thank you, and I will come back in the queue.
Hiranand Savlani : Thank y ou.
Moderator: Thank you. The next question is from the line of Sneha Talreja from Nuvama Wealth. Please go
ahead.
Sneha Talreja: Good evening, sir. Just two questions from my end. Firstly in your opening remarks you
mentioned about improving demand scenar ios, wanted some update on that, is it on the retail

level, project level, building material side, where is the improvement, which is actually seen, is
it on a pan -India level, certain geography? Some flavors here will be helpful.
Secondly on your CPVC resin plant, just wanted to understand your procurement strategy
because you will be, of course, procuring PVC and chlorine both from outside, given there will
be sometime QC implementation on PVC, how are you seeing, procurement strategy for both PVC as well as where are you looking at procuring chlorine from? I think these are the two from
my end. Thanks.
Kairav Engineer: So, I will tell you on the demand side , basically, see demand side pan India demand definitely
has not opened up. It is certain pockets and geographies are doing better, and certain pockets
and geographies are still in the improvement space.
Looking into this festive period especially Raksha Bandhan, Janmashtami and the long weekend
of 15th August, we are hopeful th at once all these festive times pass, September is looking to be
very promising in terms of demand as of today's trend.
I may be wrong, things may change, but as of today's trend, we feel that from September the
market has to open because this year Diwal i is in the middle of the October month.
So, most of the home improvement activity usually starts two months prior to the Diwali period,
2 months, or 1.5 months prior. So, we feel that after this festive period, from the third week of
August, things shoul d improve pan India basis in terms of demand.
Second question, you are talking about the procurement of PVC for our CPVC plant. I am very
pleased to tell you that in the three years of the R&D that we have done, we have worked with
very different types of PVC grades, and we have done the chlorination of different types of PVC
grades, domestic as well as international.
So, we are confident of using different type of PVC grade as per our wish and desire and as per
the market pricing to make our CPVC. So, we are not limited to a single PVC supplier for our
CPVC plant.
We have done R&D for very different type of grade, for different PVC that is coming from
China, coming from Korea, coming from U.S., coming from the local manufacturers, lot of R&D
has been done. So, on the PVC procurement front, we are not afraid or scared of the anti -dumping
scenario at all.
Now, as far as the chlorine procurement goes, chlorine is right now in the negative and surplus
is available. We have to procure the liquid chlorine. So, we will procure the liquid chlorine.
There are many chlorine people in the state of Gujarat who are ready to give the liquid chlorine
to us. So, even the chlorine procure

ment, there is no problem at all.
Hiranand Savlani : Sneha, I can add what Kairav said, that the demand scenario, we h ave given the July numbers.
So, we are not communicating to investors that 30% volume has come, so that will be the

benchmark in the going forward. This is what the July number, even if I give the wage effect
also, then also it looks better.
Even if I co nsider the last year little negative effect of Q2 volume, then also it is looking better.

But we have to wait for some more time because we cannot just jump in on the one month wages and say that no, no, no, now going forward everything is looking rosy.
So, I request every investor that give us some time. We will be the most vocal company. We will be communicating to you regularly on every concall and we are meeting every investor in the conferences also. So, we will communicate what is the ground reality.
But July was looking promising and August so far is going good. But yes, rightly Kairav said that festive seasons have started. So, we have to wait and watch whether it is going to give the effect in the coming time or not. That will be only assessed at the end of September.
If, for the entire quarter, the numbers are looking good, then we will communicate in our next con-call. But we cannot say on the basis of one month that these are the number which is going to be for the rest of the year. Let us wai t for some time.
Secondly, PVC side, absolutely we do not see any problem. You all are aware that India is going to increase the capacity of PVC local manufacturing in a substantial manner. Both our big giant companies of India are increasing the capacity in a big way, whether it is Reliance or it is Adani.

So, absolutely nothing to worry on the PVC procurement side. Chlorine is also amply available in the Gujarat state. So, we have done all this homework, because last three years we were working on that. This is not the decision which Astral has taken overnight.
So, we are quite confident that these kind of things is not good. Even if there is a challenge at the local level, we are prepared for the intern ational PVC also, we have done all this trial in our Pilot plant.
Next question.
Sneha Talreja: Understood, sir. Thanks a lot, sir.
Moderator: Thank you. The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.
Praveen Saha y: Yes. Thank you for the opportunity. Sir, two questions from my side. One is related to the employee expenses for the quarter, which I can see that has increased. So, what is the reason for that? Are we continue to be at this level?

Hiranand Savlani : So, Praveen, we have communicated earlier also that because of continuous falling polymer, the top line is getting eroded. So, because of that the percentage terms, it is going up. Absolute level, it is going very negligible .
But percentage level it is show ing very high, because we have entered into the multiple new businesses. So, because of that, we have to appoint the new people, not only on the ground level, but at the senior level also. But now base effect is going to play its role in from the coming quarter onward.
And there you will see there will be a drop in the employee cost. So, it is a only a problem of temporary, because new businesses contribution the moment will start growing up like Bathware, we communicated that we have grown 27%; paint, we have grown 20%.
So, if these kind of contribution will keep coming in the coming quarter, this employee cost will definitely going to come down in the coming quarters.
Praveen Sahay: Okay. And next question, sir, by year end, how is our capacity going to be? Right now is which is a 3,87,000 metric tons , where you are saying at end of year?
Hiranand Savlani : So, I think another 25,000 metric tons kind of will be added

in the Kanpur in the first phase, and when if needed we will add more also. But buildings will be ready for all the plants, like Hyderabad also we have completed the building, only as and when needed, we will add the machineries. So, that CAPEX will be very low.
Praveen Sahay: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Pujan Shah from Molecule Ventures. Please go ahead.
Pujan Shah: Sir, my first question pertains to the current CPVC procurement. So, as of now, as we do not have any backward integration for the CPVC resin, s o from where do we procure the CPVC right now? And a fter the backward integration, what percentage of our total consumption will be used as a captive consumption then?
Kairav Engineer: So, right now, we are procuring our CPVC from Sekisui Japan, okay, and some from DCW in the local level. So, we are procuring from multiple sources. We are procuring good quality CPVC resin.
And after this plant completion, it will be basis on the demand scenario, at that point in time, we will be able to answer that how much of our internal demand does this 40,000 tons resin suffice because 40,000 ton is just the resin.
On top of that, I have to do the compounding. So, when you do the compounding, another weight is added so that 40,000 tons when converted to compound becomes almost 46,000 tons or 47,000

tons.

So, once this plant is complete and 40,000 tons is on a 100% utilization basis, the number is there. So, we have to see that when the plant commences and how much yield we are getting and how the plant stabilizes because CPVC plant to stabilize also takes some time. It does not happen directly because the process is a very volatile process.
So, basis on that, we will be able to give you an answer that how much of our internal consumption this plant is going to provide.
Pujan Shah: Got it, sir. Sir, my second question is, so we are investing Rs. 120 crores out of Rs. 150 crores of the total CAPEX. So, 20% share will be, I think, invested by a Japanese company. So, what are the things they have been bringing onto the table to just we are sharing that 20% share to them? So, why we are --
Kairav Engineer: 20% is not by any Japanese company , 20% is our technical partner , okay. He is an Indian nationalist also, and he has worked on this particular technology along with our team, and he is bringing for the balance 20%, he is bringing his own capital into the business.
Puja n Shah: Okay. Got it. My last question would be in the OPVC side
Moderator: Sorry to interrupt, Mr. Shah, but I request you to rejoin the queue for the follow -up question.
Pujan Shah: Yes, sure.
Moderator: Thank you. The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti: Thank you for the opportunity. Sir, as you have highlighted your adhesives four months growth, possibly can you do the same for the pipe division also? And secondly, in June, the growth has came, it is not in the cost of margin, like nothing have changed from the strategy front, nothing cost cut, price cut, any such strategies has been adopted by Astral?
Kairav Engineer: No, no. Margin is always of a priority to us. So, for this type of growth, we are not going to cut our margins and do the business. So, whatever margin for the piping business, we have guided 16% to 18%. We have always guided the investor community that we will try for the 16% to 18% EBITDA in the piping business. I think we will stick to our guidance of 16% to 18% for the annual basis.
Keshav Lahoti: Okay. If you can comment on the plumbing growth?
Hiranand Savlani : No, no. For the sake of growth, even if margins are 1% or 2% lesser, we do not mind it. As far as the demand is there in the market and we feel that we are able to get good growth by dropping 1% or 2% margin, I think we will

be happy to do that thing.

It is not as a thumb rule that we want to work on this and we do not want to sacrifice the order below that margin. But if we see that there is a demand in the market, then we are ready to sacrifice our margins also and will be giving the first priority to the volume, not to the margin.
But unnecessary cutting the price and disturbing the market, that is not the mindset of the Astral.
But if we surely see that there is a growth by reducing 1% or 2% margin, if we are getting the extra growth, yes, definitely we will try first do that thing.
Keshav Lahoti: Got it. Sir, in the first four months plumbing volume growth, what I am trying to understand, how is June basic? Is it more to do with base impact, how much is the 30% growth number?
Hiranand Savlani : For, this 30% we have considered Y -o-Y basis. So, last July we are comparing the 30%.
Keshav Lahoti: Right. So, what I am trying to understand is, is it the base was very weak, so the number is looking 30% growth or possibly as you highlighted, adhesive gr owth for the first four months.
Can you do the same for the plumbing volume growth for the first four months? What is the year-on-year growth --
Hiranand Savlani : So, I do not have a particular month number handy with me, but post concall definitely you ca ll me, I will share that number to you.
Keshav Lahoti: Sure. Thank you, sir. That is it.
Moderator: Thank you. The next question is from the line of Praneet, who is an individual investor. Please go ahead. Praneet, are you there?
Praneet: Yes, sorry for th e delay. So, I was wondering in terms of CPVC manufacturing, so, what is the timeline of becoming operational? I joined the call a little late, so do not mind my question later. And I understand that the yield is going to be higher.
At the present rate, what is the yield you have been expecting during R&D phase? And how are you expecting it to change over time? Like I understand 40,000 metric ton capacity is not going to happen instantaneously. So, how is that going to happen?
And in terms of PVC, becaus e there is a domestic supply chain inherently like with DCW or

Chemplast. So, would it not be with them? Or is that competitive prices internationally that we are expecting you to capitalize on? Could you give some perspective on PVC procurement and things like that?

Kairav Engineer: So, CPVC, we will commence in the second quarter of FY '27 is what our initial plans and commentary is. As far as the yield goes, we are not sharing the yield data because it is proprietary to our R&D technology. So, exact yie ld data we will not share.

As far as the PVC sourcing for this manufacturing of CPVC goes, we are, like I said, we have worked with several different PVC manufacturers from across the world. So, we are comfortable

in sourcing whichever grade is available at the competitive price to ensure that our end product remains competitive and the benefits get passed on to the parent company.

Hiranand Savlani : And secondly, I can add here that we have a very healthy relation with all the names you have heard , whether it is a DCW, whether it is a Reliance, whether it is a Chemplast, they all are our trusted supplier. And we have a very healthy relationship of years. It is not one year or two year , last 10 year, we are working with them.

So, I do not see any challenge into that side. They all are our trusted suppliers . And at the same time, a lot of international suppliers are there with whom also we are working for so many years. So, we do not see any problem into that side.

Praneet: So, the price is going to be the primary factor that will depend on sourcing, because R&D is done with all the --

Kairav Engineer: So, it is not just price, but we will ensure that we manufacture this product at a competitive p

rice

and at the desired quality to ensure that at the end of the day, the parent company gains the market share and volume without sacrificing on margin.

Hiranand Savlani: Secondly, you see today also, if you see the price now for PVC, whether you pick up any company in India, all are having the same price. They follow the same price across the board. You source from any company, all the three companies, PVC price is common.

Now if you compare with the international price also, the price gap will not be more than Re. 1 or Rs. 2, because PVC is not that product, it is a commo dity. So, your gap will be Re. 1 or Rs. 2, whether I buy imported material, whether I buy local material, the gap is not going to be more than Rs. 2.

And that is how the local players are adjusting their price. They are always giving the price on import parity base. So, it is not going to be a big gap. And CPVC margin, it is already in public domain of the other companies.

You can check, all are working on 25% plus EBITDA margin, 25% - 30%, some are working on more than that also. So, Re. 1 or Rs. 2 price is not going to affect the CPVC margins or maybe CPVC costing.

Praneet: Understood. And in terms of inventory management, you mentioned that it is going to be not a high impact on terms of cash, because of the reduction in inventory days.

Hiranand Savlani : Perfect.

Praneet: So, to what extent do you think you will get down to 90 days from which it could be 30 days or how would it be once the manufacturing process comes in, because at the end of day, it will be blended processing, right?

Hiranand Savlani : Yes. So, right now, I am talking about CPVC. PVC inventory, we are not ke eping for 90 days, because it is a local supplier. So, we do not need one week or two week inventory is more than enough.

Whatever the higher inventory which we have to keep, that is for the CPVC, because that is more inventory dependent on the import. S o, because of that, we have to keep the high inventory.

Now suppose 90 days inventories are there in the system today and if my local plant is there and it is our own plant will be there, I think we can easily manage a one week inventory or max to max two week inventory.

There is no need to keep higher inventory because the supply is ensured. So, if I reduce my inventory by two and a half months, even if I am considering higher than 15 days .

Kairav Engineer: There are many benefit as to Hiranand bhai said, I want to add that there are many benefits that we will still explore once we make our own resin. We can also do the compounding and pelletizing on site, which aids in better efficiency.

So, we can get rid of the compounding processes across o ur plant to further enhance the secrecy of our recipes and raw materials. And we can ship directly the finished compound to our factory.

So, a lot of synergies can be unfolded, which we will work on once this plant is stabilized.

Praneet: Understood. Thank you for your answers.

Kairav Engineer: Thank you.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Hi, sir. Sir, just one thing. So, this quarter, obviously, the prices were low, r ealization on the plumbing side. Just to understand, so if I just do a math, obviously, though PVC share was higher, and that is why the prices was lower. But still, from FY ' 25, the current realization is close to 8% lower.

So, even let us assume the AD D does not come right now, just for the assumption. So, current prices versus the Q1 average, how it is? And how one can look at, unless the CPVC share goes up, obviously, it will help us to improve the realization. But still, on a full year basis, if we remove the ADD, we will still see a kind of a 5% on a Y -o-Y basis decline on the realization front. So, your comment will helpful.

Hiranand Savlani : I think it is very difficult to predict the balance nine months, because first quarter is over now. And balance nine months, when ADD is going to come, when BIS is going to come, when the polymer prices are going to go up, I think this is very difficult to predict this thing, because the market is volatile.

And what is going to be the CPVC price in the coming t ime? So, it is very, very difficult to say that what is going to be there by the year end. So, every quarterly, we will keep updating you. Now, if you see the Q1, Q1, the polymer price dropped. And then the later state PVC price has gone up and now it is s table.

So, maybe Q2 will be better in terms of realization versus Q1. So, very, very difficult to say when prices are going up and when prices are going down. It is volatile. So, I think once the things will settle down, yes, definitely we will be in a p osition to predict this. But at this stage, giving the year end realization number will be really challenging for us.

Shravan Shah: True, true. What I wanted to understand is currently the PVC prices versus for us in Q1, how much is higher?

Hiranand Savlani : 14% down is there compared to the last Q1.

Shravan Shah: Q1 FY '26 versus currently is 14% down?

Hiranand Savlani : Yes, Q1 FY '25 versus Q1 FY '26 is 14% down.

Kairav Engineer: But versus Q1 to this quarter, there is no change.

Shravan Shah: Okay. That is what I want. So, so from --

Kairav Engineer: Yes, this quarter we do not foresee any inventory losses.

Shravan Shah: Okay. Got it, got it. And then for industry in Q1, CPVC volume growth would be how much and for us would be how much?

Hirana nd Savlani: To be very frank, nobody is giving the CPVC data in the market. So, very, very difficult for anyone to predict how much is the volume, how much is what. Everyone is talking percentage and all this thing, but there nobody is giving the exact num ber.

So, very, very difficult if you compare with what we are comparing and what the players are giving the data there is mismatch.

Kairav Engineer: So, if you look at the import data, we have checked the import data. If you look at the import data, then I think the type of the CPVC data that we are getting from the market, from the commentaries, I do not think such data, without any proof, we have to think that they are absolutely correct.

Shravan Shah: Got it. But for us, the combined plumbing volume is kind of a flat 0.5% growth. So, in that, CPVC volume .

Kairav Engineer: Yes, it is flattish in Q1 because of overall demand sluggishness was there, but we will cover up in the subsequent quarter. So, nothing to worry about. And CPVC side, we have not degrown or

lost any market share, so nothing to worry about that. Majorly the PVC destocking effort because of the falling PVC prices. Nothing, no problem on the CPVC side.

Shravan Shah: Got it, sir. Thank you, and all the best.

Kairav Engineer: Yes. Thank yo u.

Moderator: Thank you. The next question is from the line of Utkarsh Nopany from BOB Capital. Please go ahead.

Utkarsh Nopany: Yes. Hi. Good evening, sir. Sir, my first question is regarding your pipe realization. So, if we see it was down at a much higher pace on a Q -on-Q basis compared to our peers, despite we have a low exposure to the agri -pipe segment, and we have a high expo sure to the CPVC pipe portfolio.

So, wanted to know whether this is because of steep decline in the CPVC resin prices in the June quarter. And if you could also quantify what has been the sequential change in CPVC resin prices in the June quarter period?

Hiranand Savlani: So, I think CPVC prices are definitely down. There is no doubt about that thing. But I think what is the actual price has dropped from where to when? Nobody is having the authenticated data because everyone is b

uying from a different, di fferent store. And every player 's pricings are different.
Even local players are not selling at the same price. So, they are selling at a different price. Japanese are selling at a different price. Lubrizol is selling at a different price. So, very, very difficult for anyone to compare that, that from where to where it has gone down.
Utkarsh Nopany: So, for you only, what has been the change in the CPVC procurement as per the June quarter on a quarter -on-quarter basis?
Hiranand Savlani: So, we do not shar e all this internal information that this much is down or this much is up. Because we do not share all these individual numbers. But yes, definitely I can see that trend goes down. And that is the reason you are seeing that the realization drop was there.
Utkarsh Nopany: Okay. Sir, my second question is on your CAPEX side. So, how much CAPEX we have incurred in the June quarter and what is our guidance for FY ' 26? And why we are acquiring 80% stake in the proposed CPVC resin plant, why we are not acquiring 100% stake?
Hiranand Savlani: So, I think this answer Kairav has already given, I think you have not listened that thing, that this 20% is with the technical partner. I cannot leave technical partner alone. Because he has given us the technology and he has helped us in our R&D functions and all this thing. And he was working with us for last two years , three years. And he wanted to invest in that plant. So, he has taken 20%.

Kairav Engineer: See, CPVC, like I said, is a volatile polymer and we have to ensur e the chlorination process has to happen under certain parameters. And it is a process that needs a lot of care that has to be taken to ensure the quality of the final product. And we will require this partner to run the factory on a day-to -day basis and t o be with us for further expansion and for further support. We require his services at the moment , so he is with us.
Utkarsh Nopany: Okay. And sir, on the CAPEX side, what is the guidance for FY '26 and how much we have spent in the June quarter?
Hiranand Savlani: In Q1, we have spent Rs. 50 crores . So, we have given the guidance of Rs. 300 crores to Rs. 350 crores and we are stick to that.
Utkarsh Nopany: Okay. Thanks so much , sir.
Moderator: Thank you. The next question is from the line of Saniya Kothari from AUM Capital. Please go ahead.
Saniya Kothari: Good evening, sir. Congratulations on successfully navigating a challenging polymer market this quarter. I just have a couple of questions. W ith the acquisition of Al-Aziz Plastics, how will this product mix complement Astral 's existing portfolio? And what synergies are you expecting in next 12 months to 18 months?
Kairav Engineer: So, Al -Aziz makes multiple products. It makes electrofusion fitting for water supply, for gas. It makes PPR fittings. It makes some PPH products. It makes very different variety of products. Like I said in my opening remarks that we are working on several new systems to be launched in the Indian market.
Some of these systems will utilize the fittings that are manufactured by Al -Aziz. So, we have good long term plans with the fittings of Al-Aziz. On top of that, a lot of Al -Aziz fittings are used in the industrial application and a lot of them are used in water supply application as well. So, once the government demand starts, again the demand for Al -Aziz products will start. So, we can utilize the Al -Aziz product for clean water supply, for gas supply, f or wastewater supply, a lot of different product categories and product lines, we can manufacture using this fitting. And we are under the process of manufacturing a lot of new innovative product lines, which we will announce as we are closer to the launch date for each one of them.
Saniya Kothari : Okay, sir. W hat percentage of revenue will you target from

this acquisition, say in FY -26 and 27?
Kairav Engineer: See, it is very hard to quantify right now madam, because they are only making fittings. And in that also a lot of range expansion is going to happen. And on top of that, I have to develop some of the piping product to go with the fitting. So, it's very har d, because it will all sell as a system.
So, very hard to quantify right now that what percentage of top line will this happen. But like with our double wall corrugated systems that we acquire, the Rex company, like it has become

a substantial revenue driver for Astral . We foresee that even the Alaziz product will become a

substantial revenue driver for Astral in the coming quarters.
Saniya Kothari : Okay, sir . Sir the backward integrations and acquisitions I can see that you are diversifying beyond plumbing. So, what percentage of the revenue do your target for non -plumbing segments, say for next two years sir?
Hiranand Savlani : So, backward integration is not diversion. It is the same plumbing product only we are doing the backward integration. So, it is not the altogether different product we are doing. It is a part of the plumbing only.
Saniya Kothari ok sir any guidance for the revenue grow th
Moderator Sorry to interrupt I request to come back to follo w up question
Saniya Kothari ok Tha nk You
Moderator : Thank you. The next question is from the line of Sunil Shah from SRE PMS . Please go ahead.
Sunil Shah: Hiranand Bhai , I just wanted to understand about the plumbing and the adhesives , that has been our core business for many, many years now, and the new one is on the paints and Bathware. Just wanted to understand the penetration of this two lines, the Bathware and the paints in our distribution reach. The que stion is, plumbing we are throughout the country, all across the country, similarly maybe even adhesives. But , what about paints and Bathware just by --
Kairav Engineer: Sorry to interrupt you. I will just finish on the Bathware side first because there ar e two different segments. So, Bathware also, 70% of our channel is selling Bathware we had done an internal survey, and in Bathware also we are present across multiple 1000 outlets in India. And our distribution reach is going up. We are present in three geographies majorly now in the Bathware side, North, West, and South. East we have to still ramp up , East we will ramp up in the coming year or so. Because to ramp up East we have to onboard a lot of manpower, so that we have decided that once the W est, North and S outh stabilize, we will gradually enter the East geography as well. So, Bathware also our aim, and if we are not entering the different geography , then committ ing a 25 % to 27% growth for the year is also not possible. So, Bathware also our focus is but see Bathware again, we have to look at the Indian market, because in Indian market, there are hardly handful of companies that have more than Rs. 500 crore top line in the Bathware business. Bathware business, it takes the time and lot of end user conviction to reach that scale of a 500, 600 top line player. So, our first goal is to cross the Rs. 500 crore top line in the Bathware business in the coming years, and to enter that club of being a manufacturer that does Rs.500 to Rs.600 crore of annual Bathware sale. Post that we will look to ramp up in a more aggressive manner.
Sunil Shah: Sure. J ust if you can talk about Bathware right now since we are discussing that so 70% of our distribution each is selling our Bathware products.

Kairav Engineer: Not our Bathware product. I said that they deal with the Bathware product. It could be of any brand.
Sunil Shah: Okay . So, I am saying that this 70% we have seen one full year of that pe

netration already happening.
Kairav Engineer: Not everyone is going to stop selling whatever they are selling and pick up my product overnight. That is why I am saying it takes years of conviction and convincing and customer preference building to succeed in the Bathware space. You look at all the other players, and you see , you make a list of all the companies in the Bathware space in India, you will only figur e out that handful of companies have crossed the Rs.500 to Rs.600 crore top line level . Because in this space, it's a slow burn , it takes some time to convince the customer , it takes some time to convince the retailer , it is a finished product , it is in fr ont of the wall product , it is not a behind the wall product, or it is not a commodity product where tomorrow if I say I will give you 5% extra discount you stock two trucks of material, someone will go ahead and stock two trucks of Bathware. It does not w ork like that. So, this industry, you have to work with the influencer , you have to work with the homeowners , you have to work with the architects , you have to work with the plumbers, it takes some time to develop the preference and to penetrate. But looking at what we have accomplished in our three years of journey, I am very hopeful that we will cross this Rs.500 , Rs.600 crore threshold, and we will become one of the Indian player who has crossed that mark .
Sunil Shah: Sure, sir.
Hiranand Savlani : Sunil, I can add little here. See every distributor normally when he joined he watch the other distributor. Okay, so one distributor will take a lead in Ahmedabad hypothetically, then he will do some sale, then the other distributors are watching him. The mom ent certain level of volume he will reach, the other will be tempted to join with A stral, and then the third person will join. So, this journey like that, because nobody want to take a risk to hold the inventories and do the business for the new business. So, whatever the most trusted distributors are there whom we are convincing that so many years you have worked with A stral, you give us a chance, and you see

that whether product is working or not . So, slowly and gradually, distributors are putting trust i n Astral, and they are growing. And the initial journey a s Kairav say, will always be slow, because I can give an example. If I go to any good contractor or maybe the good developer, like Godrej . He will select me Astral Bathware fitting for one of his pro ject, and he will give me two or three tower that okay, I want to test your product, how it is functioning, how is the esthetic look wise . This tower will take three years to complete and till that time he is not going to give me the other order, because h e will watch my product. He will see the functioning of my product. So, after that, he may be in his second branch, he may be giving me 100 towers or maybe 50 towers, or something like that. But in the beginning of the journey, he will give me few towers. So, the waiting period will be long for the same builder for the next order. So, that is the reason we always communicate every investor that the initial journey will be slow, then the second level of growth will be very fast, because he is convinced with my product. And if he is repeatedly coming to me, then he may be giving me 50 tower, maybe 100 tower, maybe 500 towers also.

So, initial journey will be slow in this business, and that is why we are repeatedly communicating investor that this will take tim e. The best part is that , that plumbers connect with A stral is very high. So, because of that, plumbers are pushing this product into the retail level, and that is picking up very fast. And that is why we are seeing that, you tell me which company has give n in a two, three years time triple digit number , hardly any company will be there. So, that is the strength of brand Astra

l. So, maybe another one year or so , we have to work slow, and then all of sudden you will see there will be a fast growth, because I explained to you that the next level repeat order , because three year anyway, I have to wait for that builder before this tower will not be completed, he will not be giving me the repeat order .

Hiranand Savlani : Now, coming to your second question of paint . Paint when we took over, lot of systemic changes where there, lot of lacunas were there, we implemented SAPs and all, so that we can have a right way of reporting structure and MI S structure in the organization. And then we started appointing the dealer s for the pain t for Astral brand, because now GEM is restricted to the South market only, the other market where we are entering, we are entering with the Astral paint. Now, the moment I am entering into any smallest of the smallest market, one or two dealer with I do, it is costing me too much because my top line is not there. So, because of that, I have to add more team , that's why my employee costs are going very ballooning. Secondly, I am spending a lot money on dealers meet , distributor meet, gifting them and doing lot of little bit of branding activity. So, because of that my EBITDA is getting eroded. But now we have already entered into Gujarat, Rajasthan, some parts of Maharashtra, this MP also . So, hopefully now certain l evel of dealers we have already appointed in brand A stral. And that is why you are seeing there is a growth in this quarter. And from here on, the same people are going to give me the growth in the coming quarter. And at the second stage, we will appoint m ore dealers in more state. Because if I am going to open up the entire pan India, then I have to bleed like anything, because I have to need more and more people to because it's a retail business , it is not a distributor led business. It is a direct to dealer model , so that will kill my employee cost. So, because of that, in a gradual manner we are working, and we have a clear mindset that we don't want to make a losses. We may be a little positive EBITDA and keep growing one by one geography, and that is t he reason we are not going big way into the pan India . Otherwise, it is going to be a cash burn for us, which is not the mindset of the management. That's why it is going slow , but yes now certain state we have already open t hat's why you are seeing the number. And we are confident that in the coming quarter also by year end, we are targeting minimum 20% kind of growth minimum I am telling you it can be high a lso.

Sunil Shah: Fine. Thanks, sir all the best. And we look forward to the old growth rate and old ratios.

Kairav Engineer: We are also ready , everyone .

Kairav Engineer: See at the end of the day we are also working for growth only. It is not that , no one likes to not grow. So, we are also working and the CPVC plant a lso, whatever we have decided . We have thought about it for years, and we have deliberated and talked about it and all these, whatever insane initiatives that we have taken are to further drive the growth of the company o nly.

Sunil Shah: Sure Sir, absolutely Thank you so much sir

Kairav Engineer: Thank you

Moderator : Thank you. The next question is from the line of Rahul Agarwal from IKIGAI Asset . Please go ahead.

Rahul Agarwal: Sir, just extending the discussion further on these categories . Lot of product categories need investment on branding as well apart from manpower, more and more we are adding B 2C products, apart from paints , Bathware the core categories of adhesive also has that stuff like tanks will also need some kind of branding, because lot of retail demand is out there, just from a sales and promotion perspective. Typically, the business is spending about 3%, 3.5% of top line into branding. Sh

ould we expect more spending into this line item a nd get further brand strength to further ramp up these sales . That's the first question.
Hiranand Savlani : Rahul ji, you see how the A stral workout the branding strategy. Because when we entered into the adhesive business, multiple brands were there. So, because of that we have to spend a lot money on the branding side. So, what we did, we consolidated that business into one brand, bondtite . Earlier, if you see there were a multiple brand for individual category wise of chemical you can say, and that we consolidated and make it a one brand bondtite . And now today you see, whatever the branding we are doing that is in the name of bondtite , so that our branding costs come down substantially. Secondly, in our new business es like Bathware or paint , what we have done, we have given the brand A stral to them, which is already establi shed brand. No need to explain anyone what is Astra l. So, today, all our Bathware products are carrying A stral brand. Similarly, paint is also carrying A stral paint. So, they are getting the big advantage of the parent brand. We have not kept a separate br and so that we have to do the separate branding for that. And that is why, in the coming time, once the volume will start picking up, our branding cost are not going to go up it is going to come down. So, that is why we have worked so much of time on that and work out the strategy in such a way considering next 20 years in mind , so that in future we should not do the branding for individual category. So, we don't see branding goes to go up in the coming time, it is going to be within control, and once this volume will start picking up, then it will come down. Last two year, the polymers were on the down cycle otherwise you could have seen now also the branding cost have come down.
Kairav Engineer: Yes, in absolute term we are spending less and less on branding than what we are spending two years ago. So, on absolute terms, we are not in the rupee amount i t's not that the budgets have going up. So, don't worry o n that side, we have kept all this paramet er under check.
Rahul Agarwal: Perfect , got that . And just one clarification on the large discussion on CPVC resin , I am assuming that 100% of this resin will be used captively, and there will be no sales outside, is that .
Kairav Engineer: Yes, 100% captive use and we might actually have to buy some resin from the other supplier outside also, because in the initial phase this might not suffice our demand. So, whatever we are making, this 40 KT will be 100% captive use.

Rahul Agarwal: Got it. And, a sub ques tion to Hiranand ji, just from an accounting perspective sir, these resins will be a segment three kind accounting, or it will be included in plastic product ?
Hiranand Savlani : That we will decide , we have not given the thought on that side, because we have just done the announcement of the plan. So, at a later stage, we will communicate to you.
Rahul Agarwal: So, just technically speaking if it's 100% captive, do we need to really report .
Moderator: Sir, Requested to Come back for the Follow up Question
Rahul Agarwal: It was Just a F ollow up any way
Hiranand Savlani : Technically , technically we have to show separately.
Rahul Agarwal: ach a ok got it Sir and best of luck for the res t of the Year Thank you
Hiranand Savlani : Thank you, Thank you Rahul
Moderato r: Thank you. The next question is from the line of Rishab Bothra from Anand Rathi Share and Stock brokers. Please go ahead .
Rishab Bothra: Just wanted to understand, are there more surprise elements in coming quarters , as last few quarters we have seen paints, Bathware and all this Alaziz and currently the backward integration. So, is there something else also going t

here?
Hiranand Savlani : I don't think so right now anything on the card. But if any opportunity will come, definitely we will look into that , because if want to grow then definitely we have to be like that, because the kind of growth company is foreseeing, then lot of cash flow will be generated. So, naturally we have to invest somewhere. And you see the history of Astral, we are continuously generating good cash flow from the new businesses. Right now it looks like that because it's the beginning of the journey , you see the adhesive what cash flow we have generated from that . Now Bathware also will start generating the cash flow and paint r ight now it is looking weak, but once the volume will start picking up, the paint will also generate the cash flow. So, we don't see any problem what we have done so far. But any new business, or any new acquisition, initial journey will be like that only. I remember in 2014 when we acquired Resinova adhesive business, the similar kind of things were there. Everyone was worried about what is going to be there . At that time Resinova 's margin was 6% EBITDA, it is not that today I am telling you. You ca n go back in 2014 number and you check we already reported at that time also the margins and everything.

The margin was 6% , 7% today, we are happily delivering 14% , 15%, 16% so that business had not only given the growth, but it had double the margin percentage also. So, initial journey for any new business will always be a challenging, once it will settle down at a certain level of volume, economy of scale w ill be there, then definitely it is going to generate cash for us. But then for any new business, we have to keep patient, and we have to give some time, because we are not here for 1 Quarter or 2 Quarter, we are looking for any new business for the next 10 to.

Moderator : Mr. Rishab, does that answer your question. As there is no response we w ill move to the next participant . The next question comes from the line of Sudeep Jain from Bajaj L ife Insurance. Please go ahead.

Hiranand Savlani : Sorry, we were not able to hear you earlier c onversion. Can you repeat the question?

Sudeep Jain: This three year R &D that you have done in the company on CPVC, how much is the total R &D spend that you have done for the CPVC project ?

Kairav Engineer: We have not done much spend, it is negligible maybe Rs.4 , Rs.5 crore at maximum we have spent in the R &D side. We had set up a small pilot plant, which was manufacturing 50 to 1 00 kgs of batch every day. So, very small amount of spend that we have done in this R &D side.

Sudeep Jain: And the other thing is , this company which is going to invest 20% this was incorporated in jus t December 31 st, 2023 .

Kairav Engineer: Correct.

Sudeep Jain: So, if they have done something, this is a curious thing basically, that we have communicated that we did something on our part for three years but that amount is not big. So, see, Kairav from here on c an we also see, let's say your UK business had, let's say this partner in some of your calls, this company has become big. Can we also get to hear your other heads and your other partners so that we also kind of come to know what capabilities they bring from there.

Kairav Engineer: Which partner , UK side we are going to take the 100% control of the UK business. So, there is no partner .

Sudeep Jain: I am not saying that . At least once in a year, if you put the UK head, your paints head, in front of us .

Kairav Engineer: UK head, we have just recruited, and the paint side also the new team is there. Next year in the analyst meet we will try to bring as many senior as possible so everyone can meet them in the one platform .

Sudeep Jain: So, that they face th e questions, rather than you for their audience.

Kairav Engineer: Definitely you are valid , you have a valid point. So, next year, we will promise to bring our senior people to our analyst meet that we have , annual analyst meet that we have in Bombay, we will bring our senior from the different division where people can interact with them, and where people can ask them direct question.

Hiranand Savlani: And in the past we have already invited our UK partner also in one of the analyst meet, and people have interacted with him also. And similarly, even when the Resinova was acquired, the Resinova promoter was also there in the analy st meet .

Sudeep Jain: And Kairav , can you stick to a format l et's say an acquisition when it becomes not one year , two year, but let's say three years old after that, a clear guidance for each acquisition in terms of sales growth, margin, cash conversion and ROC and progress on that quarter -after -quarter . Can we stick to this format ?

Kairav Engineer: Yes, we can defin itely work on that. That is not a problem well accepted .

Sudeep Jain: Because this will , you yourself will come to know your history of acquisition, where you are honest. Otherwise, there will be no check in terms of where things are headed in terms of ROC s of each individual component.

Kairav Engineer: No, I agree, we agree to it. But as you said sir that in India, whenever you do an acquisition, or whenever you do any acquisition, once you do the acquisition see, someone is selling the company because they are not being able to manage it, then only they will sell the company. So, when you are buying a company, there is a lot of things, you have a legacy manpower , you have the different attitude of people working in the company that you have to change , lot of change management is there, you have to bring in your softwa re's, you have to bring in, we run on SAP. So, we have to introduce SAP. We have to introduce best practices for HR, we have to introduce best practices o f plant. See, lot of things go into play, so it is not that today we buy a business and tomorrow they start working as per our whims and fancies. So, in India people management and change management is a really tricky thing that one has to take on when you do any acquisition. So, some staff, and some companies you acquire, people are more receptive to chan ge. Some companies, people are less receptive to change. For example, UK company they were very receptive to change because UK traditionally has that mindset that people, there is no emotion attached to the business. But when you acquire Indian company, lot of people are attached with the old promoter , still old promoter is existing in business. He still comes to the office, so a lot of people are still going to him with the problem and grievances. So, all these things, we have to manage in a very delicate manner, but your points are well accepted , we will create a standardized format.

Sudeep Jain: It will help you in terms of tracking your own data , that's the point.

Kairav Engineer: You are correct.

Moderator: Thank you. The next question is from the line of Aditya Das, an I ndividual Investor. Please go ahead.

Aditya Das: So, my question is regarding, despite our market share in the piping business is still relatively in the higher single digit, and the other ne w businesses that we have say paints and adhesives have comparatively even lower market share. And so the opportunity to grow in terms , the longer term business opportunity is huge. So, I understand that quarter -to-quarter we might have some disappointment s because of the polymer prices, not meeting our expectations and going down. So, we are technically reporting inventory losses , but that is something which is of short term nature. What I want to understand from you is, where do you see this business say, five years

from now, se

ven years from now, and what is the volume growth or probably top line growth that we can sustainably expect from this business, considering that we have a lot of new businesses that's my first question.

Hiranand Savlani : So, see, volume growth w e are expecting minimum double digit in next five years t hat is what internally we are working. Now, with this recent announcement of this backward integration, there are high probability that our volume may go toward this higher direction. So, one this plant will be ready, and all these numbers will be in our hand, and we will work out our strategy, and based on that we will communicate to all of you that what will be the new strategy for Astral. But the way we have understood, the way we ha ve worked out the number, it is very, very promising , but it is too early for us to give you that number. Let us first be ready with the plan, ones the commercial production start , one or two months w e work on that, and we work out our exit saving. And bas ed on that, we will revise our number. But right now, without that also we were working for a minimum double digit kind of growth margin. But with this announcement, we are expecting that the number will be much, much higher. So, give us some time to work out our strategy, and based on that we will communicate to you. Now, coming to the new businesses, you are right, the new businesses base is very low, so there is high probability that on this new businesses we can grow much faster, like Bathware last two, three years number , this is the third year now, you have seen that how the numbers are moving. So , we are confident that new businesses will be giving us much higher than the other businesses, which are the established businesses. Pipe we are struggling f or last couple of year because of this , you rightly said the polymer issues are going on. But that is also all said and done , it is going to get over by this year and post that we don't see, there will be further erosion from here on. We don't know , 100% w e are not 100% right predictor also, neither we are expert into that side also. But looking to over so many years of experience i t looks that this is year where we see the bottom will be there, and then PVC price we are seeing that now it is trying to settle down, and if something goes positive in our favor, like we said the anti dumping duty or BIF, t hen in that case it will be another bonanza to us, and then in that case it is going to help us in a much better way, in a much positive way. So, all said and done, we are of the view that growing double digit will not be a challenge to Astral and now base effect will also start playing so it will be on a higher side also. And with this next year, second half will be one, this plant will be ready. Then it is goi ng to give us a much better positioning, and it is going to give us most booster dose to push the volume in a big way in the market. So, keep finger cross , we know last couple of years we are passing through this challenge, but we will not be disappointing any of our investor once we will be ready with this plan.

Aditya Das: No, I totally appreciate the fact that, even when compared to peers we are holding our EBITDA margins relatively quite well. And also it is clear that through our margins that some of our peers might be pushing some of the products into the market and we are not so that, strategy is quite clear .

Kairav Engineer: I will only say one thing, sir that quality has been in our DNA since day one, and we are the ones who will always advocate fo r the good quality product for our Indian consumer at the fair prices. Giving a subpar quality is never in our ethics or DNA and at A stral, we will never engage in such practices. So, for us, not only margin but the good quality product, well certified product, and a product that is clean and beneficial for the hum

an health consumption is a priority and a social responsibility as a corporate .

Hiranand Savlani : Secondly, I can add what Kairav said that, that we are in a category like pipe, where the failure doesn't come immediately. Today, I am installing the pipe i t is not going to blast tomorrow , it is not going to leakage tomorrow. It is going to give the effect over a period of time, maybe once the building will be ready , building normally take two to thr ee years to complete, and then the people will start using that pipe. So, normally, failure comes at a later stage. So, many of the competitors, whosoe ver is doing the shortcut route, playing with the quality, they will suffer at a later stage. May not be on an immediate basis, but A stral philosophy is very clear w e don't want to do any shortcut route . Sometime it may happen , sometime we also get frustration that what is happening at the ground, why somebody is selling at a 7%, 10% cheaper. But we have to understand that these kind of quality is going to give pain over a longer period of time. May not be one year or two year down the line, but maybe four -year, three -year , five years down the line. Lot of failure you will see, and which we are communicating since long that these kind of practices particularly in the plumbing and pressure pipe will not work because all these pipes are behind the wall. And it has already started , many competitor s have started failing right now. Many of their projects are getting failure, but it will exaggerate it over a period of time. It is not going to happen tomorrow , so keep patience , trust, ultimately the good quality product is going to survive for a longer per iod of time, and the brand which is giving the quality product at the right price, it is going to survive for the long -term period. This shortcut route can give benefit for a shorter period of time, but long term it is going to be a real pain for anyone .

Kairav Engineer: See today I am looking at long term and my family is looking at long term business . I am 36 years old , I will work till at least 70 , 75 if health permit. So , I am going to be in this market for another 35 , 40 years. So , whatever I will do, and whatever I will guide to the fellow investor and the different community members present here, will always be 100% true and genuine, because we are here for the long term. We are not thinking of any short term gain, we are not looking to exit any busi ness, we are always here for long term and always trust the regulatory body of India, like BIS who is certifying these products. You are very well aware of such regulatory body , they will always certify the good quality products. So, we are here as a quali ty player for the long term basis.

Aditya Das: Absolutely, well noted a nd fully appreciate your views on this. My last question would be, so recently, a lot of building materials company are also complaining of overall demand slowdown in the construction s ector as such. So, apart from the polymer and PVC price decrease that you are already seeing for one or two years now , is this also something that you are witnessing in the piping sector as well?

Kairav Engineer: So, some demand slowdown is there, definitely demand slowdown is there t hat is why the Quarter 1 was flattish, because the real estate side some slowdown is there, demand issue is there and government side also the spending is on the lower end. So, with this festival period once it's over we are hopeful that some demand revival will come from government as well as private

sector and since Diwali is there in the month of October, lot of home improvement work should happen from the third week of August till Diwali. So , we are hopeful that some sort of a demand revival scenario should happen in the coming two to three months.

Adit ya das: Thank You so mu

ch that’s all

Kairav Engineer: Thank You

Moderator : Thank you. The next question is from the line of Varun Jul asaiya from 360 Capital. Please go ahead.

Varun Julasaiya: I just wanted to check like on this Bathware side, what is the kind of penetration in the display showrooms that we have currently?

Kairav Engineer: I don't have this number on hand, but after the call you can get in touch with Hiranandji , Hiranandji will provi de you with the latest numbers.

Hiranand Savlani : Till 1000 number we were giving to the market , but now every day new counters are getting in the system, so we don't track on a daily basis. But till 1000 mark was reached, till that time we were giving the investor the number. But now every day new counters are getting added, so I have also not checked recently what is the real number, but definitely I will collect from the team and pass on it to you.

Varun Julasaiya : Sure, sir. So, these are all full display showrooms, or just the counters ?

Hiranand Savlani : No, it will be a dealer's point where they give us one section for the display, one wall t hey are giving it to us to do the display activity. That is how they work, but exclusive showrooms also there, so that is our distributor t hey do the exclusive showroom. There a ll the Bathware products will be displayed, and that will be exclusively for A stral product. So, these kind of also many stores are being already there in the system. Otherwise, on the dealer point, they give us a one wall, and there they do the display.
Varun Julasaiya : Okay, sir then I will connect with you. And what was the losses that we incurred in the Bathware in the 1st Quarter?
Hiranand Savlani : So, see now to be very honest, because earlier it was a separate plan, so we were able to know exact number. But now the same plant is manufacturing lot of plumbing related product also, so it is very difficult for us to work out the bathware related profit or loss, be cause it is a clubbed with the plumbing product, because there we are manufacturing lot of brass ring. I can say 1000s of everyday rings are getting produced over there, which are being used in the plumbing product.
So, all this our brass , elbow , t, coupli ng, all this brass item for PVC and CPVC, all are manufactured at the same plant, so very difficult to know exact number of profit or loss for the Bathware, it is clubbed with the plumbing product.

Varun Julasaiya : ok Thank you I will Con nect to th e offline for the Show room Numbers
Hiranand Savlani : Th ank you
Moderator : Thank you.
Hiranand Savlani : You can take the la st question.
Moderator : Sir there are no questions.
Kairav Engineer: Okay . So, thank you everyone for joining us on this call, and we are committed to working hard and delivering growth. I know the last couple of quarters have been very challenging, but they have been challenging for everyone in the industry, the entire building material industry is going through a tough phase. But, good things are looking in the near future . We hope that good things are there in store for the industry, and we will continue to deliver best on our promises as possible. Thank you everyone, and have a good day.
Hiranand Savlani : Thank you everyone, and thank you Sneha for hosting this call. And if any question is not answered we request that you can directly call on my mobile number. Thank you so much.
Moderator : Thank you . On behalf of Nuvama W ealth Management Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

“Astral Limited Q2 FY'26 Results Conference Call ”

November 06, 2025

M
ANAGEMENT : MR. SANDEEP ENGINEER - CHAIRMAN AND MANAGING DIRECTOR , ASTRAL LIMITED
MR. KAIRAV ENGINEER - EXECUTIVE DIRECTOR , ASTRAL LIMITED
MR. HIRANAND SAVLANI - EXECUTIVE DIRECTOR AND CFO, ASTRAL LIMITED
M
ODERATORS : MR. PRANAV MEHTA - EQUIRUS SECURITIES PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to the Astral Limited Q2 FY '26 Results Conference Call H osted by Equirus Securities Private Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘* ’ then ‘0’ on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Pranav Mehta from Equirus Securitie s. Thank you and over to you, sir.

Pranav Mehta: Thank you, Sarthak . Good evening, everyone. On behalf of Equirus Securities, I welcome you to the 2Q & 1st Half FY'26 Post Results Con -Call with the Management of Astral Limited.

From the Management side we have Mr. Sandeep Engineer – Chairman and Managing Director; Mr. Kairav Engi neer – Executive Director and Mr. Hiranand Savlani – Executive Director and CFO.

I will now hand over the call to Mr. Sandeep sir for his opening remarks. Over to you, sir.

Sandeep Engineer: Thank you for the Earning Call of Q2 FY '26.

As you are all aware, the polymer industry is passing through a volatile time. Prices are highly volatile and fluctuating in a high range, but in spite of that, as usual, Astral is a company which always focuses on growth and at the same time on profitabil ity and which is once again reflected and demonstrated in our quarter results with a 20% volume growth and 15% value growth and 20% growth in our EBITDA margin .

Now, let me take you through the different aspects in the pipe business :

First, demand was over all weak in the industry, but because of decentralization of plants, the demand was very good and growing for us and at the same time, we have opened plants in different geographies, which has helped us to gain market share and also increase our share in the market for the value-added product and even in CPVC. As you are aware, Astral has spent Rs. 1,400 crores in CAPEX in the last four years in all verticals and now it is the time to utilize the same and generate cash flows and growth in all the businesses across the sectors we are in.

As communicated in past, we have increased our product basket in last 3 -4 years and since its base is still very low, it has given good performance like water tank, our valve project, fire

sprinkler pipes, OPVC, PTMT and our low noise pipe products. These have also given us healthy margins with the growth.
Our Hyderabad plant has started and picking up in volumes and will further pick up in the coming months. Similarly, our Kanpur plant is also gearing up. Actually, we have st arted the Kanpur plant and it is gearing up and we are expecting it will give good volumes and will be in

full scale giving good results for our Q4 of this fiscal year. As in Q3, all inventory levels will also be built up for the Q4. Our CPVC plant designi ng work is going on and it is almost to the completion and we will be starting the construction and other activities of ordering the machinery in next month and we will be finishing the installation of machinery and construction of the CPVC plant by next year, by September 2026 and we will keep everyone updated on the progress of our CPVC plant in the coming months.
Adhesive business as usual, the business is steadily growing at 15% run rate and we are confident that it will keep growing at the same run rate in coming fiscals. I am sure that you must have seen that in this vertical we are continuously growing market share by entering new geographies, new product introduction and focus on rural markets.
You have also seen that EBITDA margin is also very stabl e and moving in the range of 15% to 16% continuously. We are confident that this run rate will continue i

n coming fiscals. The UK business, the UK adhesive business which had lot of concerns in the past few quarters, this business was passing through a tough time in last year. But we took a quick and bold decision to replace the CEO of our UK business and we completed buying of the 5% stake of the company and make it 100% subsidiary. We have put in a new CEO from India who has taken charge of the company an d having very good experience of 25 years plus in this segment and we are positive that in coming time we will be back to our normal growth of double digit in revenue EBITDA.
In Q2 also you will find a substantial improvement from what was there in the pas t few fiscals. We have grown 5% in topline and with 7.33% in EBITDA. 7.33 from a (-2). So, actually the EBITDA has improved substantially and it is continuously improving both in the margins are improving and the growth is improving and we are confident and this quarter we will be growing at the UK business as a substantial growth percentage and the margin percentage.
In the Bathware business, the business is also growing at a slow pace. In the first half we have grown at 20%. However, our acceptance in new projects is increasing fast and our order book is also improving which clearly indicates that in coming time the business will scale up and will reach at a good level. We are positive about the growth of the Bathware business in coming quarter s as base is very low and post monsoon the construction activities are pi cking up and growing very fast.
In our paint business, first time after acquisition of Gem paint we are seeing a 19% growth in H1 and it is continuously growing at a good pace in many of the markets. We have recently opened 9 depots in Gujarat, Rajasthan, and Maharashtra due to which some cost like employee cost and other cost have gone high and we are under the pressure on margins but we are confident that by end of this fiscal and in next year we will see a substantial improvement in the growth topline and the margins. This year we have given a guidance of 20% growth for the full year and we are going to achieve it as per the guidance given by us.

With this I am closing my initial remarks and let Hiranand bhai give you fiscal performance of Q2 and outlook of the rest of the year. Thank you very much.
Hiranand Savlani: Thank you, Pranav for hosting this con call and welcome to all participants for this Q2 earning.
As you all kn ow, we are always believing in consistency in number and the profitable growth for the organization. I am very happy to share that in this quarter also we have delivered a very healthy 20% volume growth and 15% value growth and above the guided margin range of 15% to 16% EBITDA on a consolidated basis. Though we all know this quarter was challenging in many fronts, very high monsoon, and extended monsoon also, low government spending, slow construction activity, and volatile polymer prices. In spite of that we have delivered our number as per the guidance of the double digit growth in volume terms in H1. If you have seen H1 basis we have already reached the double digit number and historically also if you see the H2 is much better than the H1. So we are also expecting this year also that the H2 should be better than the H1. We are also slowly and gradually coming back in UK also which was the biggest worry for the investor community and now not only growth has started picking up but the margin has also improved and what Sandeep bhai said we are confident that we will come back to our original double digit kind of EBITDA margin in the next year. So by year end we will cover up whatever

the problems are there we will come up and the new CEO will also take charge fully. So next year onward we will be back to the normalcy. Paint has already Sandeep bhai said that first time in the history for Astral we are growing at a close

to 20% whatever we have guided. The biggest thing what we are seeing that the amount of CAP EX which we have spent in last 3 -3.5 years close to about Rs. 1,400 crore. Now you will see in the coming quarter this will give us the result because last couple of year the polymer prices were low because of that top line was not coming a bit. Now the base effect is there in the system . In 1 or 2 quarter I think volume and value will be more or less same and then onward you will see that it will be a continuously growth and if the ADD which is the most talk of the town today is coming by 12 th November w hatever the last date government has prescribed then in that case the polymer price will start picking up and in that case the value growth will be even more than the volume growth and that will help us to grow our mar gins also further from here on.

Also I am sure you must have gone through the working capital side number also , we have improved the net working capital cycle also in this difficult time also and we will keep controlling this working capital cycle in the coming time also. An d press release is with you, so I don't want to discuss much on the number side but again I am repeating the vertical wise number. T he plumbing has grown up by 15.75%, adhes ive India has grown up by 15.83% an d adhesive UK has grown by 5.22% and paint has delivered a growth of 17.08% and bathwar e has delivered growth of 13.84%.

So with this I want to open up the floor for the Q&A session. Over to you , moderator.

Moderator: Thank you very much we will now begin the question -and-answer session . Our first question is from the line of Shravan Shah from D olat Capital. P lease go ahead.

Shravan Shah: Hi, thank you , sir, and congratulations on good set of number s. Sir couple of questions , though you have highlighted in your opening remarks but just trying to understand better in ter ms of the numbers so as you mentioned, so first on the plumbing business. T he second half is always better but just is it possible to get a some sense that can we can we see even if let's say ADD does not come, it comes obviously is better but if it doesn' t come then also can we see a kind of a 17% kind of a growth in the second half? A nd then normally last time we have said that for next five years also we are looking at double digit growth so that things remains intact?

Hiranand Savlani: I think we have a lready given a guidance of double digit we have never said that we are going to deliver 17%. S o we stand by with the 17%. A nd if ADD will come that is the bonus to us then that will be even a much higher number . Historically if you see normally the first h alf is 40 % to 45% of the volume and the second half is between 55 % to 60% kind of volume . So similarly we are also expecting that the second half should be better , but at this stage we don't want to communi cate that we will be growing 20%, 17%, whatever th e double digit guidance we have given we standby with that and we are confident that we will be deli vering the double digit growth.

Sandeep Engineer: Even if the ADD is not in place the same pace of gr owth will be continuing for us.

Shravan Shah: Okay and so far sir October have you seen the same momentum what we have seen in the 2Q the same momentum is there on the growth front?

Hiranand Savlani: October was also very good.

Shravan Shah: Okay that's great and just on the realization front. S o if you ca n help us so this quarter we have seen QOQ plumbing realization kin d of 8% excluding bathware growth. So is it kind of a more of a product mix change particularly on the CPVC front maybe on the higher side if you can specify the out of overall growth was t he CPVC growth, was on the higher side?

Hiranand Savlani: See product mix has improved and that is the region you see there is a substantial improvement in the ma

rgin compared to Q1. So definitely the all value -added product contribution has gone up. Otherwise the margin could have been under pressure . So product mix definitely helped us. I think w e already communicated that whatever this Rs. 1,400 crore which we have spent in last 3 year for this all new products and all , slowly and gradually it has to per form because you have spent sizable money and now the time has come to generate the cash flow out of that . So definitely the value -added ratio in the coming time has to improve otherwise we have already spent this much of money. It is unfortunate that the polymer price was down for last two years that has given the pressure on us and that time also if you see our margins were still better in this difficult time also , though we were incurring the losses on the inventory side but still our margins were better . So clearly value-added product is supporting us.

Shravan Shah: Got it. And on the adhesive front so both India , so obviousl y sir has mentioned that the 15% kind of a growth that we even previously guided will continue but on the margin front , so in 1H

we have already done 15.6%, so is there a possibility that in the second half and maybe going forward we can even 17% kind of a margin is also possible in India as they say?
Hiranand Savlani: If the growth will be better that economy of scale advantage will be available to us . So definitely it is going to help us in the margin improvement also, but as of today we have given the guidance of 15 %-16%. W e standby with that and if the growth will be higher definitely margin can improve . Last year also you see the margins were much better.
Sandeep Engineer: Secondly, we have always communicated in the last few calls that we have opened the rural market in a big way and we had to employ more people and create all these new markets new geography . Once these geographies are stable we will also work and bring down the requirement of people which are there to create this market slowly and steadily . So obviously that will give us an additional jump on our improvement in the margin.
Shravan Shah: Got it and lastly on the UK , this is sir you said that by end of this financial year we will be having a double digit margin and that will continue going forward.
Hiranand Savlani: Yes, we said for the next year we are predicting that the double digit margin will be there . But by this end of this fiscal by March we will be substantially improving both on the growth in the overall sales in value terms and even in the EBITDA margin.
Shravan Shah: Got it. Thank you, sir and all the best.
Hiranand Savlani: Thank you very much.
Moderator: Thank you . Our next question is from the line of Sneha Talreja from Nuvama Wealth. P lease go ahead.
Sneha Talreja: Hi, good evening team and congratulations on great set of numbers . Just wanted to understand what has actually changed between Q1 and Q2, while I understand the volatility in polymer prices continued , demand as you said that on ground was still subdued, there was no government spending and everything, what's really changed that moved our volume growth from 0% to ab out 21%? That's one and you know next I'll go for margins.
Kairav Engineer: So basically we have changed as Iran and I said that some of the product mixes definitely changed . So certain products that we manufacture good demand was there in Q2 . Also we hav e become a bit more aggressive in terms of our selling in the market and taking the competition head -on. So we will continue taking the competition head- on and trying to figure out wherever our weaknesses are we have added some network , we have added more dealers , we have increased our distribution count . So on all fronts we have put in our best efforts to gi ve this number.
Hiranand Savlani: Secondly Sneha , I already communicated in my

initial remark that whatever this last four new plant has been come up w hether it is a Guwahati, whether it is a Cuttack , whether it is a Hyderabad or now in Kanpur . So all this plan t definitely is going to help us to grow market share

in that respective geography where our presence was low compared to the other geography. So now that geographies are also definitely going to give us a good volume . So that has also helped us to improve our volume.
Sneha Talreja: Sir is it correct to say that geographical diversification also aggression on pricing in certain markets must have increased which must have led to better pricing in those markets and you know better market share from there?
Hiranand Savlani: So definitely it's a combination of all . So aggression in the pricing is also there in respective geographies and cer tain market value-added contributions are improving, certain market new product contributions are improving. So it is not a one element which I can say that because of this improvement is there . It is a combination of all which is contributing to us .
Sandeep Engineer: And we from last 1.5 years these were the questions and we are always confidently replying that let all these geographies , these plants come up and when these plants were coming up there were a lot of concerns about spending investing but what we did at one go d id have a challenge for us for the market but at the same time the fruits that we get from these new plants and the growth the costing rejection because of transport and all these factors together is now going to give us a continuous level of growth reach and market creation so we had been openly discussing on all these fronts also in our past calls.
Sneha Talreja: Understood. So lastly I just wanted to understand about the cost saving measures that you all have opted for and what would have been ad spend last year same quarter versus this year same quarter ?
Kairav Engineer: Ad spend as such is not a big part of the total whatever other expenditures are there . Ad spend is a very miniscule part of it . So I think the main thought process is wrong that i f the ad spend

stop then the other expense will go down because ad spend contributes to maybe less than 5- 10 percent of the total other expense . So it's not it's not that only ad spend side we have saved we have saved on a lot of different things and it's better that we can discuss this in person because we do not want to discuss publicly what all cost saving measure we have undertaken.

Sneha Talreja: Sure, Kairav. T hanks to our team.

Sandeep Engineer: Let me reinforce one thing that some of these challenges and red flags were raised 2 -3 quarters back by all of you and we had taken certain serious measures and we are continuing , okay , wherever we need that man power is required , we want but where not , we are correcting whether certain expenses all these thin gs, we are doing one by one . And at that time also I communicated certain things will take time of few quarters to reflect and it will still take some more quarters to reflect in the better way reducing this cost and Hiranand bhai in past also communicated once the value and the volume comes up , certain expenses in the percentage term and in the cost terms will also show a substantial improvement.

Sneha Talreja: That is really helpful. Thanks team and all the very best.

Sandeep Engineer: Thank you, Sneha.

Moderator: Thank you. Our next question comes from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Hi, thank you for the opportunity. So firstly congratulations for a healthy set of numbers. So my first question is as you highlighted your know mix has improved. If we see your EBITDA per kg so which is still flat year on year in spite there was a

Rs. 2-Rs. 3 per kg loss in September ' 24 quarter. So that way margin has reduced if we see in EBITDA per kg terms. Is it due to pr ice aggression? How should we read it? And secondly first time you know sort of normally Astral don't get in price aggression. So looks like Astral is recouping its market share with the help of price aggression. Is it over or should we expect more price a ggression and possibly a better volume growth? How should we read it going forward?

Hiranand Savlani : So see price aggression doesn't mean that we are selling at any price. Price aggression is geography- to-geography wherever we feel that it is the correcti on and secondly what happened earlier the centralized dispatch system was there but now with this new plans and there because of lot of saving is there into that. So considering that saving in mind we are passing on to the market that is why you see that o ur per kg EBITDA or with a percentage term EBITDA is the highest in the industry. So in spite of so much of challenges and polymer drop was there in this quarter in terms of PVC . In CPVC also pri ce drop was there in this quarter. In spite of that also we are able to maintain that thing whether it is a per kg or whether it is a percentage term EBITDA and in spite of getting aggression also. So we are balancing out , it is not that we are going to sell at any price that is not the mindset of the management. We want to maintain our profitability at the same time wherever we are getting the cost advantages we are passing on to the market and that is the reason you are seeing this number otherwise this number could not have been there if you are throwing the product into the market. So we are balancing and wherever the benefits are there we want to pass on to the market and at the same time we want to grow in the volumes also. So we are going with a balanced approach and that approach will continue in the coming ti me also because Kanpur and other plants are going to pick up the volume fast in the coming time also. So whatever that benefit will be there we are going to pass on to the market . But that doesn't mean that at any price we want to bring the volume , that is not the mindset of the management.

Keshav Lahoti: Understood. Very well explained. So my question is my understanding is this quarter won't have an inventory loss if we compare EBITDA per kg that is flat year -on-year agreed , but surely the base q uarter had a Rs. 2 to Rs. 3 EBITDA per kg inventory loss . So in a way EBITDA per kg have reduced in spite better product mix and in spite better 20% volume growth but surely better than competitors.

Hiranand Savlani: My humble request to every analyst is t hat that we are always communicating that per EBITDA is not the right way of looking at our Company because every quarter the product mix is changed. Now hypothetically if my certain plant where the demand for PVC is more so in that geography I have to sel l more PVC and PVC is not going to give me the same per kg EBITDA what my

other products are going to give. So per kg EBITDA will keep fluctuating in the past also and in the future also. The right way is to see the percentage EBITDA . Per kg EBITDA will be definitely going to fluctuate. If you see the historically also Q4 is always giving the highest per kg EBITDA because the PVC ratio is highest in Q4.

Kairav Engineer: Also want to add that we are not only manufacturing PVC and CPVC we are manufacturing many different type of polymer . So we have always time and again said that per kg EBITDA is not the right metric to evaluate.
Keshav Lahoti: Earlier I remember company used to guide EBITDA per kg also Rs. 35 to Rs. 40 on annualized basis , so that holds true or it's more we should see this operating--
Hiranand Savlani : We are always saying in the past also that is not the right metric because it i s going to fluctuate

on quarter -on-quarter basis because every quarter is a different selling pattern like if you go in Q1 the agri demand will be high in that quarter per kg EBITDA will be low only and if you go into the Q4 the highest plumbing sale will be there and within plumbing also CPVC will be highest , so per kg EBITDA will be much higher in Q4. So it is never going to remain stagnant or in the range so it is always better to look at the percentage of EBITDA.
Keshav Lahoti: Okay got it . I'll come back in queue . Thank you.
Moderator: Thank you. Our next question comes from the line of Praveen Sahay from PL C apital. Please go ahead.
Praveen Sahay: Thank you for opportunity. My first question is , is it possible to share some channel inventory level at the sector level like because of fluctuation in the PVC prices which has come down. How is the situation right now?
Kairav Engineer: Channel inventory levels are still subdued and channel is still not having the confidence of stocking much inventory. So I think after the A DD announcement some positive channel inventory built up might be there but a s of right now channel inventory is very low.
Praveen Sahay: Okay . Or in the same like you or some other players are geographically expanding as well their capacities. So is it like channel itself is because of a geographical expansion of large players they had reduced their inventory days?
Kairav Engineer: No, that is not there because we are following the distribution led model. So distributors will always keep certain level of inventory with them and also the fact that distributor have lot of schemes and trade discount tied up with the brand. So to achieve their turnover discounts and their other schemes they will always keep the significant level of stocks with them. So even if we are giving the , getting into a multi- plan multi- geography reach it does not mean that our distributor will not keep this level of invent ory.

Praveen Sahay: Thank you for that. Our next question is related to the capacity as in the press release you had mentioned 3,89,000 order capacity you have and also the Kanpur is also going to come. So is this 15,000 included in 3,89,000 or this is over and above?
Hiranand Savlani: No, it is not included because Kanpur started in October and this capacity is of 30th September. So you have to add 15,400 something is there that you have to add in that.
Praveen Sahay: And any further capacity expansions are l ined up in the next few months?
Hiranand Savlani: Yes, in the coming time some machine can be added in Hyderabad also because that is also not fully installed and at the same time Kanpur also w e are going to add the machine.
Sandeep Enginee r: And a few OPVC machines are also coming so they will also be added up at different locations. Some corrugated pipe for the certain product line also we are getting some machine. Our OPR our aluminum PEX machine will be coming by next quarter so that als o will be added up with a new product line entirely together. So balancing out act is done continuously in adding some new products and balancing out at different locations. The existing product line where we need more machines but not to the tune of a req uirement like a new plant also.
Praveen Sahay: Got it. Thank you sir and all the best.
Hiranand Savlani: Thank you, Praveen.
Moderator: Thank you. Our next question comes from the line of Shaleen Kumar from UBS. Please go ahead.
Shaleen Kumar: Thank you for the opportunity and congratulations for a very good set of numbers. Most of my questions are answered. I just want to say that I want to ask you that the way I see that our margin should expand from here because when I look at we are talking about new plants Hyderabad and Kanpur. So is it fair to assume right now those plants may be at the break even or even at the loss level because Kanpur we

are just starting , so there is an upfront cost coming in and even in Hyderabad it is fair to assume that utiliz ation level should be fairly low . So that once they scale up I should start seeing the benefit of operating leverage kicking in. And second because of these two plants my logistic cost should also come down which you even said right. So and we are looking at a strong growth momentum , so there is a decent scope of margin improvemen t. Is this hypothesis correct?
Hiranand Savlani: So Shaleen your understanding is absolutely correct , because right now we are incurring losses on new plant because utilization is hardly anything. So as and when the utilization will improve

you see last 2 -3 quarters every investor was asking the same question . Why your employee cost is going up? Why your other cost is going up? You are not controlling your cost. So the basic reason was that that once you put up the plant you have to appoint the teams and all this thing. And then you get all this government approval power and all this but the teams are appointed prior to that your all other cost started incurring before you start the plant and once you start the plant you come to the right level of commercial thing you have to give the teething period for

the plant also to do the trials and all this but duri ng that period your cost will always be high and that is what we were continuously communicating to everyone that give us time . Let the plant get operational then you will see the benefit out of that. So now that time has come and still you are right that still it is not at the optimum level of utilization hardly any level of utilization. My Hyderabad plant might be working at a 15 %-20% utilization . So give us some more time. Secondly, right now because the market conditions are not that great , you all know the reason we already explained to everyone that because of that to fetch the volumes we have to sacrifice certain margin . Otherwise margin can definitely improve but right now because condition of the market is not that great , so we can't hold on our mar gin at a higher level . So we are passing on margin and benefits to the market whether it is a logistic cost or whether anything other benefit and that is the reason margins are not going to improve in the near term. Once the market will pick up industry le vel and our plant utilization will improve maybe 40 %-50% level then definitely this benefit will be available . But for that we have to wait for few quarters.

Shaleen Kumar: Basically we are saying that margin improvement will happen but we will p ass it on to gain market share.

Sandeep Engineer : At present we are passing on , so we will maintain our margin level what we have been maintaining but at some point once the utilization goes up and when it has a substantial utilization we will be even seeing more upward trend in margins volumes and reduction on certain cost structures which have been a great concern from last 3 -4 quarters.

Hira nand Savlani : So definitely for a gain of market share we are happy to pass on to the market , we are not juicy about the margin which I have repeatedly said this Company is not only looking for the margin but at the same time continuously we want to grow our market share which we have demonstrated in last 20 years. Every year we are gaining market share and that run rate we want to maintain th at thing and wait for some more time. Let us our CPVC plant to come. When that CPVC plant will come that time also some different dynamics will be there but I don't want to discuss at this stage that plant related issues. Let us first the plant get operati onalized and then you will see many benefits wi ll be available to the company.

Shaleen Kumar: ADD, there should be a reason able possibility for it to come, right? Why will it not come? Let us put it this w

ay and obviously something will happen but the probability was very high that it should come in next two week?

Hiranand Savlani: Keep finger crossed because we are not the authority to comment on that but historically we have seen that normally whatever the last date is that prior to that the government no rmally signed the circular. So hopefully this time also will be same but end of the day it is the government we have no right to comment on the government action. So hopefully there are high probabilities that it should come.

Shaleen Kumar: Again just hypothetically if it comes then what kind of size increase we can expect from the current level, again a hypothetical?

Kairav Engineer: PVC side I think maybe Rs. 5-Rs. 6 may go up but again it's all hypothetical because even if the ADD comes but the demand l evel does not improve or a global weakness is still there then PVC prices can still remain under pressure. So we cannot say that know that Rs. 6-Rs. 7 rise will be there or Rs. 5 rise will be there. It could be there.

Shaleen Kumar: Hypothetica lly, sir.

Kairav Engineer: Yes, short term rise can come but long term it all depen ds on how the demand plays out.

Shaleen Kumar: In a short term because of this A DD, price as well as demand will come because previously channel inventory--

Kairav Engineer: Channel stocking will happen if there is a substantial price rise, c hannel stocking will happen.

Hiranand Savlani : It is generally dry right now , Shaleen . If the Rs. 5-Rs. 6 price rise will happen and my personal understanding is that and whatever I am talki ng to the supplier everyone is saying that this much price rise will be immediate wages. It will not take much time. Within 30 days 5-6 rupees price can come up and, in that case, definitely the channel filling will be very fast.

Sandee p Engineer: But one thing let me be very frank that there has been a rise and drop in PVC in the unpredictable manner. So channel stocking will happen but we have to work hard in selling geographies,

creating markets , rather than sitting on these things which we know are not certain and unpredictable. So our focus is not on running on this pricing changing or things but we are focusing on growing our market share in the big way.
Hiranand Savlani ; So we basically not are seen on the ADD side only what Sandeep bhai said, but we have to focus much deeper to see that how fast we can grow our market.
Shaleen Kumar: Thank you. Congrats again. Best of luck.
Hiranand Savlani: Thank you.
Moderator: Thank you. Our next question comes from Manan Madlani from MJK Investment. Please go ahead.
Manan Madlani: Thank you so much and congratulations team for the good set of number s. Sir my first question is regarding OPVC. So is it fair to assume, like next quarter OPVC will contribute to our reven ues?
Sandeep Engineer : See OPVC is a new product for us. We have started getting orders but contributing in the scale which you think is going to take time. There are lesser projects coming out because OPVC is all used by the government projects and government projects are coming but not at the pace which everyone expects. So we will get OPVC market growth value and volume but it is not a significant thing which everyone thinks but it is obviously going to add to our value and volume and we need to be in this product in a big way which we are doing.

Shaleen Kumar: Correct and in your opening remarks you mentioned regarding bathware segments growth rate. I understand we have a n order book in pipeline , so what sort of run rate you are expecting for next year in this segment?
Kairav Engineer: Bathware we will aim to grow at about 20 %-25% for the next 5 years.
Shaleen Kumar: Okay and is it at the PAT level profitable yet or?
Hiran

and Savlani: Yes, definitely. We are not interested in any business which continuously giving us the losses. At a certain scale of volume it has to give the profit otherwise no point to unnecessary give the management bandwidth and the working capital and all this.
Sandeep Engineer: But I would tell you that quarter -on-quarter it is slow ly and steadily the GP is improving .
Shaleen Kumar: Fair enough and sir few quarters ago you mentioned regarding an export order for the fire sprinkler. So just wanted an update what's the demand scenario out there?
Sandeep Engineer: I think no , fire sprinkler we have never told. We have export orders of silent pipes and some other pipes and that is continuing and we are focusing on it.
Shaleen Kumar: Okay and last question on the paint side for FY '27 basis what sort of margin should we expect like, is there any gradual improvement in the margins as well as of now?
Hiranand Savlani: It should be single digit margin in FY '27.
Shaleen Kumar: Okay , fair enough, sir. T hat's it from my side. Thank you so much and I wish you all the best.
Hiranand Savlani : Than k you very much.
Sandeep Engine er: Thank you very much.
Moderator: Thank you. Our next question comes from the line of Shravan Shah from D olat Capital. Please go ahead.
Shravan Shah: Thank you. Sir first on the CAPEX in 1H . We have roughly done Rs. 282 crore. So for full layer Rs. 300 crores -Rs. 350 crore s that previously we guided that remains the same?
Hiranand Savlani: So whatever we have given the guidance it is going to remain same. We are not going to incur more.
Shravan Shah: Okay and secondly in terms of the so if we add the Kanpur capacity also , so in the second half apart from that how much more capacity one can look at by end of FY '26?
Hiranand Savlani: I think let first we utilize this capacity and yes and when the demand will be there bas ed on that we'll keep adding the machine because now the building is ready we have to just add the

machine. So whenever demand will start picking up we will keep adding the machine. Right now first we have to utilize this and once this and once 70 % 80% utilization level will reach we'll add the machine or unless we can add the machine for the new product s.
Shravan Shah: Okay , got it . And sir this quarter particularly , so obviously the enti re plumbing volume growth is 20% plus but relatively if I have to look at CPVC growth would be a better than the overall growth?
Hiranand Savlani: We normally don't disclose product level growth but we can only say that the value added product growth will be high that then only this kind of margin is possibl e otherwise i t is not possible.
Shravan Shah: Got it and the broader overall sector level thought that we are having that double digit growth for next maybe a five years , so that stand remains the same.

Hiranand Savlani: Yes, it remains the same.
Shravan Shah: Okay. Got it, sir. T hank you and all the best.
Moderator: Thank you . Our next question comes from the line of Udit Gaji wala from Yes Securities. Please go ahead.
Udit Gajiwala: Hi sir. Congratulations on a great set of numbers. So just one clarification , so in a case where there is no decision from finance ministry, it will be considered as null and void, right ? So there is no extension that comes up in these matters , is that right?
Hiranand Savlani : So it depends on the government how gover nment is going to take. Normally in the past this kind of thing rarely happened like that. Government is always supportive to the local domestic industry and globe is also doing the same thing every country now is protecting their local manufacturers. So I don't think that government will take that kind of action but end of the day again I am repeating that we are not the authority . So let us wait for one week only , it's not far

away well since the last day today we are talking on the 6th and weekend is als o there so hardly 3-4 working days are there within that we will come to know . So we should not be so much hurry to think negative side.
Udit Gajiwala: Understood, sir. And one, if you can throw some light like even despite irrespective of the duty coming in or not you are confident of a double digit growth. One we understand that you are going aggressive and pricing for your market share , so what user industry or which specific regions are you seeing this kind of growth that you can you know deliver ?
Hiranand Savlani: I think we can't share all this individual geography wi se number or city wide number these all are highly confidential thing and we keep understanding the e ach and every market and market - to-market we will take that decision and again I am telling you we are not going to be what you understand the aggressive we are very ver y cautious and whatever is needed or wherever the saving is there we will pass on and get aggressive.

Kairav Engineer: Actually we are always believing in a fair mix , getting the volume growth as well as maintaining the margin. W e will not only chase margin or we will not only chase volume , we will do a fair mix of maintaining the volume as well as the margin.
Udit Gajiwala: Fairly understood sir. Thank you sir and all the best.
Hiranand Sav lani: Thank you, Udit.
Moderator: Thank you. Our next question comes from the line of P ujan Shah from Molecule Ventures. Please go ahead.
Pujan Shah: My first question would be on the CP VC side. So just wanted to understand on a brief aspect that how much price eros ion have been seen on a quarter -on-quarter basis and YOY basis?
Hiranand Savlani: That is very difficult to derive , because every companies pricing are different , Japanese prices are different , Europe prices are different. Local domestic pla yer pricings are different. So very difficult to say that this much price erosion has taken place.
Sande ep Engineer: I think it is very confidential on our part.
Pujan Shah: And so just wanted to understand on the C PVC aspect. So on a longer term, so even the global companies like Lubri zol has been setting up a plant in India and they are also coming with a huge capacity. So why don't we choose an option to opt for the whole capacity being able to cater by Lubri zol or one of the capacities should be catered by Lubri zol and other than going for their own manufacturing of CPVC. Just wanted to understand your aspect on that part.
Sandeep Engineer: Very clear , no company will sell the multinationals to us even if we buy t he whole capacity 100% to one company. Secondly Lubri zol will sell at their own margins and things. They won't sell like we do a job and we are confident about two things. One is continued supply. Second is the improvement in the raw material cost and it w ill help us go backward and maintain our margin. Third is the self -dependency even if we buy and keep buying from the foreign buyers, Lubri zol, and things. We will have to buy some material from abroad because the Indian requirement even after Lubri zol set ting up the plant to make money here , GCW here will only be around 20 % to 30% of the Indian requirement and
Kairav Engineer: Honestly a lot of people don't understand that with our own plant coming, our inventory levels will go down. So that will free up a huge chunk of the cash of the Company. Typically we maintain a significant level of inventory since of CPVC since it's imported. So once we have our own domestic production our inventory levels raw material inventory levels will reduce significantly. So that will also free up a lot more cash. I think Hiranand bhai can add to that point.
Hiranand Savlani: So I think I have explained to you that practi

cally Astral is not putting any single money into this plant. Whatever we are saving working capital that much we are parking into this new plant and look at the numbers of EBITDA whatever the existing local domestic manufacturer are there.

It is in public domain because both the manufacturers are a listed entity. You look at their number and look at their margin. So now if that kind of saving will be there to us without investing additional cash flow from the company, I think that is going to be a game changer for Astral and that is what we communicated t he rationale of this plant in the last call. You go through our last transcript , you will come to know that what were the reasons why we came into this. So I don't want to again repeat each and every rationale in this con call but you can definitely go thro ugh our previous transcript. It is going to be a really big help to our organization and the best part is the quality. I have explained this thing in the last call also that quality of CPVC is very very important. Today you see many companies are facing failure. We should not give name of any company , but today you see the quality is the biggest problem going on in the market. Very few companies are there in the market who are giving the right quality product because this pipe is going to be used in the pre ssure application and in a pressure application you have to give the right quality as per the standard. If you deviate anything below the standard then it is going to be a failure. So we have to see this very seriously. So what Sandeep bhai says that after adding the Lubrizol capacity also India need more material and we want to be a self -sufficient , that's why we have gone into the backward. And the best part is that we have not invested any money. I am not giving you about the figure of what going to be a big benefit from the government of Gujarat that subsidies and all figure if I add this plant investment will be negative. So, we have done a lot of calculation. We have done a lot of R&D for last 3 years and then only we have taken this decision. It is no t that in a quick manner we have just for a sake of entering we are entering. We have spent a lot of time on that. We have done a lot of calculation both in terms of technical side as well as in the financial side and then we have taken this decision. But again I don't want to give so much of hope for that at this stage. Let us our plant commission by September and then I think we will discuss about the number and benefits and all these things. So still we have to wait for four quarters and then we will com e up and we are the most vocal company. So we will communicate everything to you once this plant will be operational.
Sandeep Engineer: At that time even we will explain you the quantity, rationality behind the quantity.
Pujan Shah: Okay sir. That's a very detailed explanation. So just wanted to understand with the 40,000 MTPA capacity, s o what could be the captive consumption of the production what we take right now?
Sandee p Engineer : It would be mostly 100% captive consumption by Astral but how much m ore we need and all we cannot disclose at this moment , in next year.
Pujan Shah: No, so I am talking in the sense of the total right now demand for the CPVC for Astral.
Kairav Engineer: The plant is 100% going to be consumed by us when it commissions.
Hiranand Savlani: I understood your question. Let me reply to you. Today our consumption is high then what is the plant capacity? That is why we are saying that we are going to consume 100% plant capacity and in future if we feel that whatever calculation we have done, whatever the saving we have worked out, if it is going to be as per what we have planned then we have a space available so we can double the capacity. So we can go up to 80,000 metric tons also. We have a space, we

have a land available. So we h ave to just replicate that facility with a lower CAPEX and that time we can be taking care of 100% utilization of Astral. Today our utilization is more than what is the plant capacity. So we have to buy some resins from the outside also.
Pujan Shah: Okay, got it. Than you so much, sir.
Moderator: Thank you. The next question comes from th e line of Nitin Jain from FairV alue Capitals. Please go ahead.
Nitin Jain: Thank you for the opportunity and congratulations on a good quarter. So my only question is that the management earlier guided that the volume value gap should reduce going forward in the second half of the year. So how do we plan on achieving that? Do we pla n to increase the contribution?
Kairav Engineer: The gap reduction is largely dependent on the ADD coming. So once the ADD comes and the polymer prices go up then automatically this volume and value gap will reduce. But if you see last quarter, the volume and value gap has reduced quite significantly com pared to the previous quarters.
Nitin J ain: So the only point I was going to mention is will the contribution of value -added products going up also going to help here?
Hiranand Savlani: Yes, definitely. And you see, we have given in our press release also that the polymer price was down by 10% while value and volume growth for Astral is just 5%. Because our volume is 20 and value is 15. So gap is getting narrow and if the polymer price wi ll getting stable and the base effect will be there, then there are high probability that our value will be higher than the volume.

Nitin Jain: Righ t. That's helpful. Thank you so much .
Moderator: Thank you. Our next question come s from the line of Tanya Kothary from AUM Capital Market Private Limited . Please go ahead.
Tanya Kothary: Good evening, respected team. Congratulations on an excellent quarter. My question is, I have just a couple of questions. So adhesive and paints now form the larger part of Astral Business Mix. Could you share the current revenue split between this adhesive and paint for H1 and Q2 as well?
Hiranand Savlani: I have already shared but I am again repeating that thing. H1 revenue for adhesive was 566 crore, India operation. UK, 192. And Paint 107. For H1.
Tanya Kothary: Okay, sir. This is f or H1 ?
Hiranand Savlani: Yes. If you want Q1, Q2, Adhesive India was 305. Adhesive UK 97. And Paint 57.
Tanya Kothary: Okay, sir. Have you shared the margin s also sir, similarly?

Hiranand Savlani: I think margin, you call me separately, I will give you the individual margin. I think press release it is there. But again, you can call me separately.
Tanya Kothary: Okay, sir. Sir, regarding the bathware, because you were on 40% YOY this quarter and 20% H1, could you share how this vertical is shaping up strategically? Is it being positioned as margin lucrative business or more as a cross -selling complement , sir?
Hiranand Savlani: See, initially, any business may not be a margin lucrative. It is going to be there only after a certain scale. Right now, it is not that scale where you can say that it's a margin lucrative. It will take few years, then only it will be like that. But one thing is good that you can see that in a span of 2.5 years , we have reached at this scale. So, that is I think the beauty of this business, that very few companies have reached at that level in 2.5 year in the bathware business. Other players have also entered into this busin ess. You can compare with that also. So, that is the base thing. Secondly, from the plant building point of view, it is really one of the best products I can say. So far, Astral was known for the, you can say, behind the wall. But now, with this bathware, we are coming to the front. So, that is also helping us in a big way. So, we ha

ve to consider the
holistic thing and take the decision of the business. But one thing is sure that this business is also going to be a profitable business for Ast ral. And anoth er thing is that we have not spent too much of money on the CAPEX. We have hardly spent Rs. 25.5 crore additional, we have spent Rs. 30 crore kind of money we have spent on the CAPEX side, which is not that high. Rest, whatever we have invested, that is only working capital because sanitary is anyway outsourcing model. So, I don't think we have spent too much of money on this business.
Kairav En gineer And we are treating this vertical as seriously only. It is not just like a cross -sell vertical for us. So, we have good growth plans for this business also. But unfortunately, the second quarter was heavily impacted by monsoon. So, the demand was sluggish and the construction activity was slow. But from this quarter onwards, we are again foreseeing that we will give a healthy growth number for the bathware segment in Q3 and Q4.
Tanya Kothary: Okay, sir. So, this last one. At a consolidated level, plumbing contributes around 70% and paint and adhesives around 30%. So, how do you see this mix evolving over the medium term? Are you targeting 60- 40 balance or still prioritizing plumbing and expansion, sir?
Hiranand Savlani: No. It is not like that. Both vertical will keep growing. But definitely, paint and adhesive vertical has a low base. So, in terms of percentage, little higher will be there compared to the plumbing. But even in this quarter also, you see, both the businesses have grown close to about 15%. So, I don't see any big change will be there. But definitely, base effect will always be there. So, because of that, in percentage terms, slight mix will change, but not going to change substantia l,
because in polymer business also, we are going to grow fast because we have already committed sizable CAPEX in last three years. So, now the truth will be there in the coming time, maybe coming 1-2-3 years' time. So, that business vertical is also going to grow at a fast scale.
Tanya Kothary: Thank you so much, sir. That's all from my side. Wishing the team continued success ahead. Thank you.

Hiranand Savlani: Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sandeep for his closing remarks.
Sandeep Engineer: Thank you everyone for joining the call. And as we assure you, we keep working towards the betterment of the goals and various aspects to grow Astral. And the same quarter -on-quarter, we communicate and keep meeting often. Thank you very much for joining this conference call.
Thank you.

Hiranand Savlani: Thank you all the participants for participating and thank you Pranav for hosting this call.
Sandeep Engineer: Thank you, Pranav .
Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Feb 2026

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th February , 202 6
Dear Sir/Madam,
Please find below web- link of Audio Recordings of “Earnings Call” held on 05
th
February , 202 6.
Audio Recording
Kindly take the same on your record.
Thanking you,
Yours faithfully,
For Astral Limited

Chintankumar Patel
Company Secretary
Membership No.: A29326

Call: May 2026

Astral Analyst Meet,2026
20th May,2026

Mr. Sandeep Engineer Speaks
I exactly remember this is my 20th analyst meet. So, 20 years have passed since we have been coming and meeting you and one person is not present who was present for 19 of my analysts meet Mr. Kejriwal Sahab . He always used to sit in the first row and ask the first question. So, I am missing his presence in this meeting. So exactly those 20 years when we got first listed and when we see this journey I will be talking a little bit on now I have little political speech like speeches. So I'll be speaking about more our vision, our journey, where we changed our roots, why we acquired certain companies and what are our future thought process of these acquisitions numbers sahab will talk business on pipe and faucets Kairav will talk so first when we were just
a 50 crores company and when we first got listed and when we were in the first of the analyst meet and then the journey of Astral started with a new story in the plumbing in history. first to bring CPVC, first to bring PVC lead free and first to do many many things and still first to do many things in the coming years and exactly at the that level Kairav has just entered the college and my younger son Saumya was in the 10th and
today they both are in business. He's more than 13 to14 years. He's more 10 years in the business and taking care of things assisting me and H iranand has been even more than them in this business in my whole journey together. One thing I would like to tell you is S aumya is was going to present and remain present give a presentation on
adhesive and pain ts and remain present but he has a viral fever from last two days.
So he had to drop out at the last moment. But if some of you want to meet him after first quarter, we would be happy to come to Mumbai and have one to one meeting with
you in his presence on the plans he has for adhesive and Paints and how he runs that business.
So, when we came in CPVC in our journey with at that time of Godrej and then Lubrizol there were a moment when the whole market also supported me and took my first key decision was to leave Lubrizol and start our own CPVC pro product line. It was a great decision when I think today and go backward. But at the same time at that moment the market had questions that how could you leave a global giant in CPC and go and start your own product and when at that time that product was 70 to 80% revenue giver of est imate took that bold decision we succeeded and today we are the first piping company in CPVC globally to go backward and make our own CPVC. Now today also there are questions in the market. We answered a few in our meetings that are you sure of your technology because there are a lot of things we have in my 25 years of Astral more than 25 and especially the 20 years with the market the highest
headwinds have come to us and when we are doing something different we have more headwinds because our competitor or our other manufacturer comes and briefs that Astral will not have the technology, will not make the product stable, will not be able to
deliver, will not be able to make CPVC. But let me clarify that CPVC R&D started four years back exactly 3 years back. We have tried all the regimes of the world to make
CPVC. We succeeded, we failed, we succeeded, we failed. We are not magicians but we kept on doing our R & D at a pilot plant. At undisclosed location we put up this plant. Very few people had the access to this plant and the whole project went on and we stabilized the product of CPVC. We used it in tons and we have marketed the same product to the market using our own CPVC from the pilot plant. Today if you see the
facilities to test CPVC or a polymer Astral as a state- of-the-art QC at its Sant ej plant which is equal to any big polymer manufacturers of the globe because when you make a resin or a polymer the key factor of a polymer is its stabilit

y on the long- term pressure
test and these are the machines which give you all these reports and results. So, when we even made our own compound using the Japanese CPVC, we made we assure that we give the best of the best pipe equal to the global giants cup compound. So, we
could make the plumbing products equal or better than that. We make the industrial CPVC equal or better than that. And we were the first one in India and a few in global
level who made their own compound of fire protection and and got all the international approvals for that compound which then we converted into pipes. The pipes got all the international approvals and then we made the fittings. fittings got all the international
approvals and today Astral as every product used in fire application internationally UL certified our brass fittings took almost 10 years to be certified by the UL for the use of fire sprinkler. So in this journey we had lot of these ups and downs in our polymer business. When it comes to new products and the the vision which we have now for 2050, I would not go into all these new products which have been developed in last two to three years and now which are with the market because K airav is going to speak
on it in depth. But one thing I would like to proudly say is we have brought a revolution in many of these products which are

used in water. water why I'm saying water is t hat
it's the building industry which has water is the sewage industry which has water is the recharge of wells which has water treatment of waste is also water and we are now also coming in products where you have subsurface drainages we'll be the biggest in
that and we have water recharge products also coming in a short time so when it
comes to the subject water we have gone most much deeper in it. And if you see there were people who were before us 20 years 25 years none of them had revolutionized the plumbing industry with the modern products and with the latest products and had kept on developing the products at new level which suits India which suits Indian market which suits in the pricing level where India needs it and which suits how the engine plumb er or applicator can use it. So all these products are under development
are developed or are under the production level. We have a very state- of-the-art
product just introduced and which is actually developed jointly by us with the vision at Al- Aziz. There are PPP products taking over high- rise buildings today in India.
Companies from Europe are coming selling this product and even giving the advice of laying the products. We have never copied that product. We have first time in the globe developed t his product which suits how Indian plumber can use it very easily. And by
just giving him a proper training, we don't have to go next time and supervise the site. But consultant and plumber both can easily subscribe and use. So this is a state- of-
the-art product just launched in the market and it is a global patent which now Astral
holds. In this journey when we are continuously developing plants, putting capacities, putting new products, we also ventured into acquiring adhesive company 13 years
back. And this 13 years back the same question came to us. Why you are today is the
same question. Why paint? Why paint? Why paint? Why paint? Why adhesive ? Why
adhesive? Why adhesive ? Multiple questions were asked but at that time I respect a
few foreign investors who were with us. A Mitenbhai I cannot forget he's there from the
very first meet with us. Sorry Mit en Bhai. So, a few foreign investors came and gave
us the strength that this is the right thing. You go ahead, we are with you because you
must have some diversification and it's a good call which you have taken because
there's no body there at level two in this business and you have the chance of keep
growing in this business. So, adhesive joined us we kept on working on it, kept on
developing it and Hiranand bha

i will share the slides that Saumya has prepared. What
is our vision there? But I'll give you two vision statements there. We have always been
growing in adhesive. We have lot of headwinds there also. But we are working like our
pipe polymer business to go backward in this business and lot of work has been done at the right moment. In this year we'll be sharing all these things as they materialize and going backwar d two step steps three steps four steps level we will be also adding
the margins and we will be self -sufficient and not dependent on the imports or not
dependent on buying from somebody and this all homework is going on at a very high
level at our R&D centers. So wherever we are in the business we are deeply involved
and working on it. Now when you go in the adhesive business when we bought it was
a six seven Percent EBITDA business and in multiple or two or three years we had
kept on promising that we'll get into double digit and we delivered that. In between we
had some tough times also. We made certain mistakes in our networking, in our selling patterns, in doing a Varun Dhawan pre we were very early for that but one campaign
and in those same years we had a deep also here in the margins and I remember at that time also we were very transparent and conveyed every investor, every market, every analyst that these are the things and you give us three quarters, four quarters,
five quarters and things would be back to normal. So, my idea before this is that we
have always been very very transparent in our way of working, communicating and
not over delivering or not overcommitting also. And today adhesive is growing at a
good pace. The vision is to touch 200 0 as fast as we can and we are sure that in next
3 to four years we'll be touching 2000 plus in Indian revenue not UK will be separate.
Secondly UK had its own issues. We had been communicating our promoter who was with us cashed out most of it and then there was a bit of mismanagement done but as
we committed in last two calls UK is back on track. It is in positive EBITDA from last
two quar ters. This quarter it is excellently doing well. The US is also last four months
giving a very good result on sale and bottom line. So, this year UK business will be
growing giving 8 to 10% plus EBITDA and at the same time adding more products and
technology to the portfolio. Faucets I think Kairav will discuss much detail but one thing
I would say that faucet is growing at 25 to 30%. Faucet we are establishing ourselves.
All ourselves are going to actually projects. We have a huge order book of projects and we are much on track in delivering growth in this segment and it is giving a good brand extension to Astral . Paints had two rationals. One rational was Paints goes with
construction chemicals and thi s is the first year after our acquisition of Resinova we
have crossed 100 crores in construction chemicals and around 40 crores plus has come from the paint segment distributors dealers and painters but that rational is working. Our focus this year in paint is delivering a top line which has happened. We

had a few corrections because our promoter who was with us was there with us in last fiscal up till the middle of the fiscal. A lot of decisions on the south were in his he and his team were taking. So that also we have taken over. We have added new pockets Gujarat , Rajasthan part of Maharashtra and slowly opening part of MP. So there also we had depots, stocks and many of these costs were added which now we know we are in control. We will be in control and we will be actually delivering a growth number and we are targeting to reach 1,000 crores in next 3 to four years and even cross that.
So that's our focus area of paint s to deliver a growth as fast as we can and that is happening actually and to be EBITDA positive and paint is something is similar which gives us pains. It gives us pains in discussion it gives us paints

equally in seeing how to grow it. The similar pains we took in past when we changed the CPVC from a reputed compound supplier to our own. We had taken enough paints . We had taken paints in launching and delivering in our ad hesive business and we committed and we grew and we have taken enough paints and going more deeper in faucets and we are here also very consciously understanding and moving forward. So my submission is that as a promoter you may not be wrong in your angles of seeing numbers bottom line growth non- growth everything because Kai rav goes in deep and explains me okay
you have to see this you have to see this and I say I see as a promoter I see the future after five years and I see the future after 10 years. So as a promoter we are understanding to keep Astral a float and keep all the Astral businesses at float and we
are having a vision in five years where Astral should reach in every business in its all its commitment and keep the growth process on and at the same time we also are not looking at any other segments now than whatever the four segments we are in. And then lastly the water tank also is giving good business growing at a very fast pace and I think Kair av will talk on that also. So thank you everyone to be with us. I think the screen is quite big and looks like a big function but I assure you that the journey of Astral will continue at the same pace with same confidence and the same future perspectives as it has happened over the 20 years of Astral's journey with this market and almost 27 years since it inception. So thank you very much all of you. Thank you
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Mr. Kairav Engineer Speaks
Good afternoon, everyone. So basically I'm going to talk about something that we have developed internally that is known as vision 2050. Now what is vision 2050 is basically we are going to talk about you know products that are first in India relatively low competition predominantly imported and sold in India and products that have a good future considering how the Indian construction industry is evolving especially in the metros and the tier one cities. So, these are some of the products I'm going to cover. So in in the water business in piping and bathware basically in piping side we've launched eight products largely eight products are in active R&D. we are focusing on PP drainage systems, advanced plumbing which is the PEX aluminium PEX composite pipes infrastructure products like HDP along with our Al- Aziz fittings EF drain which is electrofusion drainage system HDP drainage system we are also going to focus on CPC backward integration this year um export momentum because we've launched these products export momentum has been really good for us. we've doubled our export volumes Y oY and we now export to 40 odd countries. we have the highest quality certifications amongst any piping player in the country. We have more than 70 QC certifications and we have the largest product portfolio as of today in the piping side with more than 56 products. On the bathware side, we are growing at 25 30% sort of CAGAR . quality has been proven. We've had no major complaints, no material return from the market. repeat demand is there. Brand acceptance is growing. We'll focus more on brand activities for this product once we reach a certain scale. We have more than 100 exclusive stores nationwide now that focus on selling our bathware product . project pipeline is more than 100 crores as of today and we have three new premium items that we launched this year that I'm going to cover. So when I talk about vision 2050 what I want to largely talk about is the shift of polymer from vinyl chlorides to polyolifins. It does not mean that vinyl chlorides are going to go away. Vinyl chlorides form a massive chunk of the market and are more affordable and will continue to remain. But considering the fact that you know plumbing requirements are changing especially in high rises new s

ystems are coming up. So from your standard SWR pipes the shift is happening to the PP drainage pipes. for that we have three drainage systems. Now we have silencio drain pro and SWR pro. Then for your conventional infrastructure systems especially in water supply uh it's moving from metal to HDP and OPVC systems and your concealed plumbing. CPVC is not going anywhere but there's a lot of consultants who are recommending the use of PEX composite pipes in the concealed plumbing side. So why we feel that you know PP drainage will be the next game changer for Astral? First of all, all PP products have a certain acoustic performance as compared to PVC. They have active noise dampening

properties. Then PP can handle hot water up to 90° whereas PVC can only handle up to 60°. PP products have a larger life structural longevity as compared to PVC almost double and impact strength of a polyropylene drainage pipe is four times that of PVC pipe. So the breakage at sites or the breakage in transport is a lot less and this war is
a one- off scenario but overall PP remains stable when it comes to pricing as compared
to PVC. So it's at the project level it is very widely accepted because the price changes
are infrequent and we can give a price support to a project for you know 12 month
validity or 15 month validity also and the dealers distributors are also liking to stock
this product because they know that the volatilit y is not there. So even if they're
keeping 10 lakhs 15 lakhs 20 lakhs of extra material they're not going to face any losses. So these are the three products that we have for our PP drainage. Silencio is our oldest product uh which is 1.9 density product. it is largely it is a high- spec product.
It is mainly used for cast iron pipe replacement in buildings. Then we have drain pro which is our mid -tier product 1.4 density. it is also a three- layer PP pipe. slightly more
affordable than uh Silencio also wi dely used in projects and the lowspec product which
is SWR Pro is 1.1 density PV piping system and it has been designed keeping in mind that we want to make this a retail product so we are thinking of replacing you know the
traditional PVC SWR pipes that are being sold in the retail market with our SWR Pro
pipes which are the PPSWR pipes. So that product has been designed specifically keeping the retail trade in mind. So when we talk about innovations, we've got in PP drainage, we got three products. in the plumbing, we've got the PEX aluminum PEX product. our PEX line is one of the most advanced lines in India. we just got the machines in last week and uh by September we should be up and running. The line should be in production. It's a fully automated li ne, very high speeded line and a single
line can take care of about 350 to 400 odd crores of top line. On the infrastructure side, we've got OPVC, we've got HDP along with our Al- Aziz presto fittings. We've got
channel drains under the brand name of channel pro. And then we've got power drain
which is our subsurface drainage system. We are one of the largest subsurface drainage system providers in India. And this particular system has been installed in a lot of landmark stadiums as well like Dharamshala stadium has it for ground drainage.
The Narendra Modi stadium in Ahmedabad has it for ground drainage. It's also used in projects where you know you have a very high water table. So it's also used there
in case of any leaks or any water or moisture coming into the basement side. And
lastly on the fire side we've got Fire Pro which is again our old product but it's getting massive traction now. Last year we've doubled our sale in fire pipes and we are looking to double that sale this year as well. So acceptance has come in all the certifications
are in place and fire pipes are also now picking up traction. These are these are the two products that we are very bullish on. One is the EF drain product which is the electrofusion d

rainage system which competes directly with the gabit system that is
being sold in uh metros right now and we've had we've had some innovations done on the fitting side. We've got patents applied for it. we are India's first and globe's firs t for
this particular system the way we've designed it especially on the fitting side and PEX
again not many local players have PEX except for a couple of them no one makes
PEX aluminum PEX in India so we've got an early mover advantage with our PEX
piping system as well these are the latest site photos of our CPVC And structures
are coming up, machineries have been ordered, machineries have also started arriving in. I think Hiranand Bhai and by I think we should be installed. Everything should be
installed around September. By December. Yeah. So by December trials will start. So like I said 70 plus quality certifications 56 products eight products in R&D. So we've got we've got a lot of t hings in the pipeline lot of innovations coming up and that is the
reason why we've expanded our distribution last year and the year before that. Last year itself we've added 20% more channel partners which has been the largest increase. We've been taking channel partners from all of our competitors only on the
fact tha t you know we are innovating at a pace which our competitors aren't and the
distributors are well aware that if they want to sustain in this changing environment
especially with these new technologies coming in they have to align with brands that are ready to provide this to them. So we've added 300 new distributors last year, 7,000
retailers, 100 plus geographies we covered which were not under the coverage of our network. So 20% channel partner growth like I said export volumes have been doubled by YOY export now exporting to more than 40 plus countries. We've got a local office
also in the UAE now and we've been actively participating in a lot of prestigious international shows. We we're doing last year we did ISSH Frankfurt, big five Dubai, Big Five Saudi, Big Five South Africa. This year we did if in Munich a couple of weeks back and we'll be doing a lot more of these exhibitions this year as well. One more innovation that we did last year we had a we did our R&D and then we've set up a system and a n app where we're printing two unique codes on every pipe on every CPC pipe that can be verified at the market level by a layman to ensure whether this is a real product or a counterfeit product. And not only does it show whether it's a real product or a c ounterfeit product, but it also shows the batch number, which plant it was
manufactured and from which distributor the materials came. So it makes us very it makes it very easy for us to track you

know any sort of product complaints also any sort of market infringement between our distributors, any sort of territorial infringement
very easy for us to track. So this is something which none of our competitors have. it
took us about two two and a half years to develop this but it's been running successfully. Now like I said on the bathware side we've got 25% uh channel partner
growth. 80 new distributors have been added about two and a half thousand new
retailers. We've expanded into 375 geographies that we are not present in. we've added three new premium products that are on display. and we've got about 100
crores of orders in the project pipeline. We just recently in April upgraded to SAP HANA
and because of that these are some of the innovations that we're bringing in for our
channel partners as well. we bringing in a net price transparency. we bringing in a portal sync from 4 hours to 15 minutes. So suppose a distributor earlier used to transf er
the money the payment used to take some time to be reflected and then once it got reflected into the system you know he would be able to place the order accordingly. So now we are reducing that lead time. We're also giving we are going to

be the first company in our segment to give a realtime stock detail to our distributors. So a distributor can now see whether my factory has one lakh elbows or two lakh complings before he takes a big project order. If he has some urgent requirement, he can check
at his end and tell the project people that you know he would be able to supply or it
would take some time for him to supply. We are also doing live order tracking. and we
are also doing we are also increasing the time to process credit notes to our distributor s. So, the faster we process credit notes, the better it is for our channel
partners. And within our loyalty program app, we are adding uh QR code style redemption instead of a manual entry. We are improving the redemption time. we are giving a realtime DMS visibility to our partners and we're also upgrading our ALP portal and the app. So we're trying to make it more user friendly. Trying to add some more localized schemes something we can tweak at a local level. If you want to give some bonus during say Durga Puja in West Bengal or during Ganesh in Bombay you know
we can tweak schemes and promotions accordingly. So largel this is what we are
focusing on innovation backward integration expansion for the export geographies distribution depth and we're focusing on continuing the momentum that we've built up on the bathware site I think that that covers my presentation.
Mr. Hiranand Savlani Speaks
Hey, good afternoon everyone. So this presentation actually belongs to S aumya but
unfortunately Saumya is suffering from the viral infection. So he communicated today
morning that you have to do this presentation. So I might be missing something which his vision was there for the chemical division of Astral on this adhesive and the paint business. So, so far we have seen that we started our journey with the plumbing. So,
our first focus was to the plumbing side of the business and then we started the second
inning that is the our building the chemical division. We started with adhesive and the
sealant s and then we enter into the paint s business. So last decade you are seeing
the consistently we are delivering the double- digit growth in the adhesive and the
sealant business including UK and the India both put together in fact India CAGAR will
be more than 15%. That is because of UK our we have written a double digit otherwise the India operation is doing much much better than what it delivered all put together. We have introduced multiple categories into that. We started with the silicons epoxy and then building chemical this true build products and then multiple new products we
introduced into this adhesive category. Today we are working close to about nine
different different chemistry. Then we started with this M&A activity also we acquire
this Seal IT and the Gem paint s. So make it a complete portfolio of our adhesive and
sealant s and the paint will all put together. So now our focus is to expand the more
geographies. So now we have entered into the Middle East market and you'll be surprised to know that today in the Middle East market also our products are selling
on online portal also as well offline also. So we operated lot of distributors over there
in Dubai and the neighboring UAE cities and they are selling our adessive products and not only that but we have started focusing on the R&D side also and now to the backward i ntegrations also. Shortly we are going to enter into the lot of products which
are backward integration. Particularly in UK we have acquired one technology from Switzerland and there we are focusing onto the hybrid sealant and all and that raw material in to the backward integration which are going to help us to the new technology
as well as better products what is available in the market at least in Indian market very few products are available. So that is going to be unlocked shortly in India. So far we have not introduced these product

s into the Indian market but we are going to shortly
open up into that also. So our focus will be on R&D manufacturing and the distribution
side. All put together we are targeting into that division. So you all know that India is
continuously growing into this segment and this segment is the flagship segment and
very few credential players are there which are into B2C kind of businesses and in which our businesses are there. So we have a high high expectation into that. So w e
have a different different vertical like we are into the construction cycle also we are into high performance material side also we are into repair and renovations also and similarly into adhesive and the sealant segment. So these are the four different

different vertical in which are that that is covering most of the geographies in which our focus is there how we are driving to growth into this categories. So first is the brand equity. We all know that the Astral brand is very well -known brand in the co untry.

I need not to say but we have got multiple awards for the best quality brand, best brand of the India, best fast growing brand of the India, multiple awards, national branding. So that loyalty is going to help to grow this chemical business also. So that is what we
are banging on and we are trying to see that how best way we can engage the brand equity of Ast ral to this business vertical and grow this business vertical. So we are
adding up the specialized divisions into that multiple divisions we are targeting into this and which will come into the later slides. So I'm not discussing now and then the backward int egration which I said that now we are giving more and more focus into
the backward integration because we also know that in future also any c hallenges will
come if you are into the backward side of the business your margins will be protected
and your growth will be assured and that is what we are targeting into the CPVC also
that is what Sandeep bhai discussed in detail so I'm not going to discuss much and
same philosophy we are working into the chemical divisions also and we are focusing into the backward integration digital that is the future of India. Everyone is talking about AI and all. So we hav e already started working on that. We have spend a sizable
money into the digitalization for all our vertical. It is not restricted to chemical but what Kariav discussed into the piping vertical also. So we are spending lot of money into
the digitalization. So more and more transparency will be there. You will be surprised to know Astral is the first company I can say the fastest company in the country which
is giving and processing the credit note for the distributor. If you ask any pipe company
that normal timeline of credit note will be 3 month, four month, 5 months many time for different different schemes quarterly scheme monthly scheme maybe a specific event schemes also. But we are the company which is giving the fastest credit note to our distributor because we understand that for any distributor the working capital is the key. If they are not getting the right working capital they can't grow. So we alw ays take
care of our partner and we are trying to see that whatever best we can help them out so that they can should not face any problem into the
working capital and that is why
this technology play very very important role. So backward integration this digital side
we have just recently completed the implementation of HANA. So there we have spend
a lot money and which is the highest version of SAP that we have recently
implemented. of course any any new software challenging time will be there for the
beginning of the period. So we are also having lot of think problem at the beginning of the journey but we are confident by June everything will be set and all distributor will be up and live and they can take the advantage of this digitalization. Plus M&A s ide
activity will continue and in

the coming time also we, will be doing that kind of activity.
If we get a good opportunity or right opportunity at a right valuation we are always
ready to take and grab that opportunity. These are the scale from where we started
our journey in 2014 and today you can see the scale what we have achieved in this
chemical division. So we have a more than 3,000 distributor. When we acquired Resinova, we were hardly 200 distributor. So today we are having the corpus of 3,000
distributor working across the country. More than two lakh retailer which is a huge
number which is a huge number in a span of 10 years or 12 year more than 70,000
active professi onals are associated with our ecosystem and we are having 34
warehouses and con tinuously which we discussed we are growing at a double digit
mark and we are having the highest certification of our plan which is the giving the
confidence of the customer or maybe you can say the dealer distributor that we are
having the highest certifi cation of our product or plant. So, ISO 9,0001 14,0001
45,0001 all this certification we are having for our all the chemical products. So, 1996
to 2014 was the plumbing era where the focus was on the plumbing side of the
business. 2014 to 2024 was the diversification into the chemical division. It may be a sealant, adhesive and the you can say paint and now we can proudly say that our platform is ready. Now we are going to take a big leap from here on and you will see in the coming next 3 to 5 year our this chemical division is going to give you a one of
the fantastic growth which we have originally planned but you know any any new
acquisition or any new vertical take its own time to set the platform but now we can
say that we are ready to take a next level of leap and which you will be seeing in the
coming times in the coming quarter or coming years the numbers will be reflected into that all these presentations are available on our website. So do you need not to worry
you need not to take photographs all ar e available on our website as well as stock
exchange website. So we are going to shortly put up that might be my team have
already uploaded on the website. So these are the main focus area into you can say adhesive and the sealant side. The first is the bonding and the gap filling. Secondly is the waterproofing. Waterproofing is the area which is growing very fast in our country and that is where our focus has increased and you can see the product here live also. And then tiling and flooring that

is also the fast growing product in the country which
is moving very very fast at a very very rapid speed. It is growing coating and finisher
and then the plumbing and drainage because we are selling lot of solvent into our chemical division also. Beside what we are selling into the piping division also because pipe division is also selling the solvent for joining the pipes. Here we are selling the solvent and epoxy for the joining purpose and repair and DIY. So these are the broader category in which we are right now there this is the snapshot where you can see clearly
that these are the 15 place in your home every home I can say or every building
whether it is a hotel whether it is a hospital whether it is a home whether is a you can say villa or flat everywhere these kind of products are required. So these are the 15 categories of product where it is going to be used. We have put up in 3D picture whereby you can see that where these products are going to be applied.
Mr. Kairav Engineer Speaks
I'll just a lot a lot of you are taking pictures and writing stuff down but don't worry we'll
upload this.
Mr. Hiranand Savlani Speaks
Yeah that is what I said that we already upload. So don't worry for because picture
may not be coming right also but you can download from our website. So now we have taken a further one step ahead because end of the day you know initial journey will be a different level of journey and

once you reach at a certain scale the brand play its
role and that is where the role of the brand ambassador comes. So we are happy to say that we recently appointed Mr. Ranbir Kapoor is our brand ambassador for our
bond tide brand and I'm sure you must have seen the film of uh which we have recently released with for white glue. So and that is how we are targeting to reach to the now end user. So far major chunk contributor were the intermediary maybe distributor maybe dealer or maybe influencer. Now our target is to reach to the direct consumer. That is why we have signed Mr. Ranbir Kapoor for our branding activity and that is
what one of the expenditure which we spent 16 crores Rupees in last quarter. That is
why you might be many people were worried about what happened to the margins of
adhesive. Actually nothing has happened that is of one of the special event we did that is why we spend 16 crores Rupees. Secondly, we are seeing the big bang expansion is going to come into our this waterproofing side that that is the fast growing that the true build. We have relaunch with a completely revised new packaging and all this
thing and we have given a very aesthetic look also to this kind of packaging and all and that is how we are going to relaunch this product into the market which our expectation of graph from this CC product construction chemical is very very high and which is going to deliver in the coming time. So paint I think now we are set. couple of year challenging time were there because you have to clean up the books of
account of the previous company you have to set your system you have to implement the SAPs all the things whatever needed we have completed now and not only that we have now opened up the five new states also where we spend a lot money into the you can say the branding activity particularly calling the dealers to the five- star hotels
and doing the lot of presentation of the paint product how how we are differentiating ourself in the paint. So it is very difficult for a new brand to convince the legacy brands. Challenging the legacy brand is always a big big challenge but we are lucky that we
are now getting into the right direction and that is why you can see first time after
acquisition we have delivered 23% growth into the paint industry for the full year and the last quarter it was 31%. And next year we are expecting more than 25% growth into the paint because now all set because we have appointed dealers, we appointed
our team, we have open up our distributor dealers. So now every everything platform is ready. Now we have to see that how fast we can grow because market opportunity
is very b ig and our expectation graph is also very high and that is why we have entered
into the paint business. But the coming time will prove that how how success we are
there. So we are confident that we are going to deliver one of the best number in the coming time into this category also. Secondly, now we we all know that the modern
trade is the needed in this environment because without that you can't grow because online e- commerce businesses and all are growing very fast. So we have first time
taken the entry we appointed a separate division we have appointed the people over
there to focus into the online sale and that is why you can see now in many many plot platform you will see the adhesive products are available online also and we are
getting a very very good response into that UK s andeep bhai already discussed again
I am repeating that lot of challenges were there for last one one and a half year
particularly with the exit of our old partner we he was with us for more in 10 year and
now I think new CEO has taken charge from the old partner and things have started moving into the right direction and which I think we communicated in the previous call Q3 call also to all of you that now we we are almost set so from here on you will see some improvement and which I can very

proudly say that last quarter we have delivered 22.9% growth in bond product in UK and not only that but we were into the negative Zone of EBITA we have converted into 6.5% positive EBITA so that side also
I think things are moving into the right direction and we are confident that now in the coming year F Y27 we will be growing at least minimum double digit kind of growth in
a economy like UK growing double digit is a big number but we are confident that now
we will be able to do that also so these are the five pillar on which we are working. So

it's not that thing to discuss much into this size. So this I think I have covered up. Yeah.
So next five year what is what we are thinking? We are thinking that the foundation is already built. Now no need to do anything extra which whatever we wanted to do into the adhesive or maybe sealant business or maybe paint business whatever needed to be done we have done everything. So now I can say the foundation is ready platform is ready now the time has come to scale. So that is where our foc us will be there in
the next 5 year. Now we will be scaling very fast from here on into this vertical and which you will be seeing in the coming time. Thank you so much.
So basically, in the piping vertical what we are seeing the industry outlook for the next
year. So we are expecting that the industry should be growing somewhere around 8% kind of volume in F Y27 unless something abnormal happen in the country or maybe
at the global level or maybe on the war front it's a difficult thing to predict but otherwise,
we are expecting because last year was weak and so that's why we are expecting that
this year should be better year and at least we are expecting that industry shoul d grow
8% kind of volume. If industry is going to grow 8% then I think in value terms minimum
10% kind of gap will be there. So 18% 10% plus I am telling you the reason is that the polymer did the bottom in the last year and from there to today the gap is between 12
to 13% kind of level but I'm not considering 10 to 13% for the full year but at least
whatever our limited understanding is that at least for the this full year 10% kind of gap
will be there. So value and volume gap will be 10%. So if the volume growth will be 8%, then the value will be 18%. So that kind of gap is going to be there in the c oming
year that is in FY27 which is a very very big number and I'm sure you all know that what kind of problem piping industry was facing for last 3 year. The biggest challenge piping industry was facing that they were missing the top line. Volume growth w as
there in our press release also we have delivered that last six year our volume growth was 14% CAGAR but the missing part was the topline growth because polymer was
continuously last three year coming down down down and last year was the bottom so because of that all our overhead rates were going up because you can't control the overhead beyond the point because in our country inflation is there it is unfortunate
that in the polymer there was a deflation otherwise all other costs were on the inflationary trade So because of that always there was a challenge that your overhead
rates are going up. Many time analysts were complaining many times people were complaining that your topline growth is not coming but your overhead rates are going fast. The reason w as deflation into the polymer cycle but now this is the first time after
3 year we are seeing that now there is a regular inflationary trend will start and this
year we are expecting at least 10% kind of inflation will be there. So that is going to
give us a big advantage into because our top line will be high and the overhead will be
increasing at a limited level but the top line will be growing faster level. So that is going to contribute a big in the FY27. So polymer cycle is still we are not expecting t o be a
stable kind of cycle. Still volatality is going to be there. Till the war ki

nd of situation is not going to be completely settled down. We are of the view that polymer is going to be remain on a volatile side and more on the upward side than the dow nward side.
Whatever today the price is there we are expecting even yesterday's my interview also on the NDTV I communicated that we are expecting the polymer price to go up and luckily yesterday evening only Reliance announced to rupee price rise so it was a
coincident but we are expecting from here on also polymer price has to go up only and
particularly post this 30th June on 1st of July that duty effect will go away from the system so that 7 and 1/2 8% kind of duty is there which is going to come back again on the polymer which temporary government has withdrawn for 3 month so that will also increase the polymer price so because of that polymer is going to be more costly and today also I'm sure all public domain companies are there whether Reliance is there whether DCW there or Kemplast is there you talk to them all are the listed player
all are bleeding no one is making money in this environment at 80 82 rupees 83 rupees price what they are selling Everyone is making losses. So this losses kind of scenar io
cannot sustain for a longer period. Temporary that is fine but long- term it is not going
to be viable for any any industry. So definitely they have no choice but to increase the price and that is what exactly happening on the ground. So prices have star ted
increasing but this vitality will be still there but ultimately on the upward side. So that is good for the industry. Government spending of course right now lot of announcement is that lot of infrastructure spending announcement government has done bu t it is all
are subject to very difficult time for the government also in this kind of environment how much they are able to spend money into all this kind of infrastructure project or maybe Jal Jeevan mission or maybe pradhan mantri awas scheme multiple pro construction related announcement government has done but that is subject to how
much they are going to spend Budgetary allocation is very very high but actual
spending we have to see how they are going to spend based on that it will be decided. The big thing which we are seeing on the ground that bigger players are going to get more and more bigger and that you can clearly see in this number of the last year that
the smaller companies are getting butchered in this environment because if the polymer prices are going to go up from here

on then there is going to be a big challenge
of wor king capital to the smaller company and that is going to be a pain for the smaller company to fight against the bigger player and particularly when there is a two- way volatile up and down up and
down in that kind of environment it is going to be a more challenging for a smaller company to survive. So we are clearly seeing there is a shift taking place and that is why you see the bigger players are growing very fast. Last quarter you can see Reliance had declared in their presentation that polymer PVC were down by minus 10%. Again that you see the numbers of all the organized good companies everybody has given a fantastic number. So smaller players are losing the share and bigger players are getting the advantage out of that. So what will be the
revenue driver for next five year for Astral? Number one biggest thing on our list is the backward integration of CPVC which is going to be a game changer for Astral and I'm repeating this word game changer for last almost 6 month that this is going to change the parameter of Astral if you remember go back to 2014 -15 at that time we came out from the Lubrizol from the compounding and we went one step backward and we did our own compounding at that time Our margins were 12% EBITA. We increased from 12% today to 16 to 18%. So almost four 5% improvement in the margin we did because of that backward integration. Now we are going further bac

kward integration which is more better backward integration because regine manufacturer all you see all the listed player again whether it is epigral whether it is a DCW you look at that number they all are working between 20 to 30% kind of EBITA margin. Now if that kind of
margin will be there definitely it is going to help Astral in a big way and the best part of for Astral is that we are not committing too much money into the capex because our technology cost perhaps the cheapest in the country I'm using the word cheapest if you see th e kind of capex commitment which the big players are doing including
Lubrizol which is almost five time what we are spending so our cost is going to be always lowest Not only capex will be lowest but our cost of manufacturing will also be going to be lowest. So that is going to us a big advantage in the coming time. Of course another two three quarter we have to wait because our plant will be ready by December. Kairav bhai has already shown you that our couple of shades are getting
ready but the plant is very big. So it will take some time. So hopefully by October machines installation will be there. So November, December we are expecting trial
should start and Q4 we should be ready for the commercial production but end of the day it is a chemical plant. So maybe one or two month can be here and there. So safely you can project in your number for the next year full year and I have given you the trajectory of the other player from that you can do the backward calculation what kind of profitability it is goi ng to generate for us. Second thing is that new product
launch. Astral is the company where our tagline is where innovation flows. So we keep continuously investing into the R&D and try to see that how best way we can bring new products on to the table. People will follow Astral. People will do copy for Astral
but copy doesn't have a brain. So most of the players have done lot of copy of Astral but there they have miserably failed also and there many project they have got blacklisted also. I need not to mention the name of any company but this is what happening on the ground. So we always spend a lot money into the innovation and that is where our winning strategy that that is where you will be always having question mark why astral margins are high. So we we spend lot money into innovation and try to bring new products onto the table so that we can take the first war advantage and
get the better
margin compared to what the other players are there because we we
don't want to sell the product. We want to give the solution to the builder or maybe to the contractor. When we go approach to the builder or we approach to the contractor, we sit with them and ask them what is your problem? We are here to solve your problem. PVC and CPVC everybody can sell but every product is not like that. So if you are going to give the solution to your customer definitely customer will not be minding giving you 2 3% or 5% extra premium because he also want the solution out of the problem. So astral team is working on that side. Third thing is the value added
product because we continuously try to add in our basket the value added product. It can be a valve . It can be a you can say train pro. It can be a silencer. It can be multipro. It can be packs. Multiple products we are going to launch. I've already launched few of them or now SWR Pro also all products are going to generate the better margin than what is our current margins are that. So these all- value -added product contribution is continuously going to help us to sustain our margin. Fourth is the decentralization. I'm sure you all are aware that last year we commissioned the Kanpur plant and the Hyderabad also. So with that we have taken the big bang entry into that geographies and today we can say that we are getting a good market share into that geographies which was missing earlier and particularly in a product

like PVC if you are far away from the market logistic is not going to help you to gain the market share but now because we are into the market we are into the you can say near to our distributor or n ear to the project so that is helping us to gain the market share. brand
Astral is very strong across the India pan India but you know in a certain categories of product you can get a premium up to certain level beyond the point it is going to be a

pain so there if you are near to the market logistic cost help you in a big way and that is what exactly helping us out and that is why you can see the utilization of plant in the last quarter Q4 our capacity is 4 lak h something and we have sold 84000 Matrix almost more than 80% utilization. So that is what the benefit we are getting and that is what we were continuously telling in every our communication that Astral is continuousl y spending money on capex but the real fruit will come at a later stage when the utilization will start and now utilization has already started. So you can see the number of Q4 how how fast profitability is going to give us the benefit of what we
have spent in last 3 years. Then SKU depth I think we have published in the press
release also that we have increased the SKU in a big way because we also know that we want to be a complete solution company. So we have to continuously aid the SKU. So we have added almost close to about 1,800 or something sorry 2,200 kind of SKUs
in the last year. So 6,900 something SKUs were there. Now we are at 8103. So we have added a sizable SKU. That benefit also you will see in the coming time because now recently we have added last year. So this benefit will be available in the coming time. Bathwa re continuously growing at a fantastic run rate. We I have repeatedly said
that bathware is a category which is not going to give you a big bang growth
immediately because it's the aesthetic look product that consumer has to take the
decision. So changing the mindset of the consumer always take time. But we are very happy to say that consistently this this was the last third year we completed and we have reached close to one crore sale or more than 150 crore which perhaps the very
few brand have achieved in the 3 years journey. So we are growing very fast in this year also we are expecting we'll continuously going to grow at this run rate 25% plus
kind of run rate and we are going to grow very fast in the coming time into that category
also so F Y27 we are expecting that the volume should be in the range of 10 to 15%
and the value I'm sure will be depend on the polymer but what I communicated earlier the gap is very wide today volume and value wise 10% kind of G ap today is more than
10% but we are expecting 10% kind of run rate will be there for the full year. So if that
is going to be there what we are right now seeing then it can be even 25% also if 15% volume growth comes if 10% bottom even if come then also value growth will be 20%.
So next year value growth is going to be very high which is going to help us t o improve
our margins also. Now coming to the adhesive side I think majority we have discussed
so I will quickly uh go through into that we are expecting the industry to grow 8 to 10%
kind of run rate and we in India we are targeting to grow minimum 15 to 20% kind of
run rate UK we are going to grow at a double digit and paint we are expecting to grow
minimum 25 to 30% kind of run rate for the FY27 both industrial and decorative paint industrial growth is slow but our growth is going to be very high. The r eason is very
simple. Our base is very tiny, very small. So on that growing 20 by 30% is not going to be challenged. Not only growth but we are going to be a positive EBITA company next
year. So whatever the spend we wanted to do we have completed. So next year will
be a positive EBITA with a 25 to 30% kind of growth. Construction chemical demand
is picking up very fast. So tha

t is going to contribute big way into our growth. Same thing UK we already discussed that now change has taken place. So we are expecting that UK is also going to give us the double digit growth and same thing with the export
market. It can be a Middle East, Africa and Europe. All the three geography we are going to export our product and the best part is that we are working with the our own
company Bondit UK company and they are also working for adhesive divisions few
product to market into the UK. So we have almost we are getting ready. So hopefully in a quarter or so we are going to start exporting few of the flagship product of Astral adhesive Division to the UK market and that is going to help us in a big way and we
we know that that market is are very very mature market. So we can get a very good growth from that geographies also. So what will be the revenue driver for this our adhesive and the paint business? So brand investment we already discussed we have
signed the brand ambassador continuously going on. We are very happy to say that
we already reach at the 13,000 town which is not a small number 13,000 town we already reach and our vision is to cover 20,000 town. So another 7,000 we are going to shortly try to cover as fast as possi ble. So distribution wise we will be present across
the geography pan India bases. Rural penetration we are increasing very fast under our new flagship launch of new Bharat initiative. That new barat initiative is giving us
a very very encouraging number in the beginning of the journey and we are expecting that is going to help us in a big way in the coming time. True build is the fastest growing right now product because this all waterproofing and all are moving very fast. So that is going to help us in a big way for the growth journey. UK US we already discussed
FY27 we are targeting at least 15 to 20% kind of growth into this category as a whole.
So UK, US, India adhesive paints all put together we are targeting minimum 15 to 20%
kind of minimum growth. I'm telling you it can be high also. So what will be the next year's option value? One is the piping business. The biggest thing is the decentralization and the backward integrati on. This is what we are targeting adhesive also the pain of margin of UK is going to be go away. So that is going to help us in this
year. This full year we are expecting 8 to 10% kind of margin. So that is going to help
us in improvement into the margin. The biggest of the biggest is the CPVC region. If

our plant is going to settle down by December, it is going to completely change the dynamics of Astral. So the growth parameter will be completely changed when this plant will be ready. So we are expecting by December you can consider safest by
January, February, March commercial production should be ready. But next full year you are going to get the big advantage that is going to be 40,000 metric tan. If
everything goes right and the result what we are exp ecting we are going to increase
from 40 to one lakh in the next phase and that next phase will not take much time also
the reason is that we are having everything ready with us utilities we have put up as
per the one lakh metric ton similarly government approval is one lakh plus so that is
not going to be a problem all infrastructure whatever is needed for one lakh we develop
everything with this 40,000 so only shade is going to be there. So it is not going to take much time. So maximum in a span of 9 months we can do that part also. But that will be the second phase bathware where we already discussed and the last is that the
expansion into the Middle East geography where we already put up our office in Dubai and we are targeting to grow into the online platform also e- commerce and online. So
all put together we are very ver y bullish on the next year number and we are confident
that next year we are going to deliver one of the best number which we are known for that l

ast year number also if you can check number we have delivered what we have guided across the board I think whatever we have given the guidance we have
achieved that guidance even piping also as well as the adessives also so these are
the few financial number I'm not going to take much time because all this numbers are in front of you. So no need to much discuss about this thing. Balance sheet side you can see the consistency is there. Working capital cycle is more or less stable. We are not changing anything on the quantity. We are trying to improve that side also. So you can see receivable days also improved. Working capital cycle days from 37 to 24 days. So substantial improvement into the working capital cycle also. So this is the cash position. You can see a hefty cash position is there on th e balance sheet is 790 crore
are there. This is the basically piping is contributing 72% and paint and adhesive is
contributing 28%. These are the plumbing number. Similarly plumbing side also you
can see the working capital cycle is very well under the control. All these numbers will
be available with you. So I am not discussing much similarly paint and adhesive with
that. Thank you so much.
Now we are opening the floor for Q&A. any questions? Yeah
.

Attendee:
Hi sir Pravin from PL Capital. so first question is related to the CPVC backward
integration. so how much is the CPVC current contribution with this backward
integration? Do you believe this contribution to increase in the piping segment .
Mr. Sandeep Eng ineer Speaks
So, the voice was not clear but what I think you are telling us that how much
percentage of CPC will be in house.
Attendee:
Yeah.
So question is how much is the current CPVC contribution?
Mr. Sandeep Eng ineer Speaks
Total total number we are not giving because we have lot of competitors eyeing on our
total number of quantity CPVC we use but this plant is around 40,000 to 45,000 KT
plant and we'll be replacing almost 50 to 60% around that usage of CPVC in next
fiscal >> so this plant can be upgraded to another 45,000 KT with just adding a few balance equipments. Some of the equipments which we have bought are going to take care of the next expansion. So next expansion we need not to change everything. We just have to add a few equipments to ramp up the capacity to double level.
Attendee:
And with these
Mr. Hiranand Savlani Speaks
with first phase first phase we have to still be dependent on outside because first
phase is not going to take care of our 100% requirement because CPVC is 40,000 15% to 17% compounding addition will be there. So, compound will be maybe 55 or
sorry 15% more. So almost you can say 46,000 to 47,000 metric ton will be there and
we have to also see how much utilization is taking place because end of the day it is a new plan for us. So first uh phase we have to be dependent on outsider also will not be taking care of our full requirement but one the second phase will be then we will be self-sufficient.
So with these backward integration do you believe this CPVC contribution in the piping
segment to increase?
Mr. Hiranand Savlani Speaks

It is going to increase substantially.

Mr. Sandeep Eng ineer Speaks
No CPVC is growing. So in the piping segment the contribution and our market share will increase substantially but at the same time the pricing advantage also will be there for us to grow and increase the market share .
Attendee:
Right second question is related to the export. so definitely not a near -term the in the future how much is the export contribution you are looking at in the next uh 3 to 4 years
Mr. Sandeep Eng ineer Speaks
sport won't be so so huge the way we are growing and the way the export is growing but the contribution number level will be much lower than all other businesses .
Attendee:
and also, if you can give a capex number for a future F Y27.
Mr. Hira

nand Savlani Speaks
so this year we are targeting somewhere around 300 cr. Last year we spent I think 360 crores or something.
Thank you sir.
Attendee:
Hello. Hi. Sorry. Can I go ahead? Hi. This is Rahul Agarwal from Eeki. Sir, just one question. We we talked about growth next 3 to 5 years but in terms of capacity increase both for adhesive and PVC and CPVC. I think given where we are right now next year, we should be utilizing 70% of our plastic plumbing capacity. it also means that there are two things here. One is your EBITA last year fiscal 26 was about 1,000 crores that turns into your net profit in 3 years is how I see it. There's lot more of free cash flow generation which is happening almost 600 to 700 crores a year you already sitting on 800 crores of cash March 26. So just in terms of thought process of can we accelerate growth here for both adessives and plumbing businesses and how do we support it with capacity expansions those were you know just the one question on capacity .
Mr. Hiranand Savlani Speaks
So see capacity is already we are having. So capacity is not the constraint today but we have to see how the growth is coming because one by one step we can go. We can first time in the history you have seen that Astral has put up so many plan in a shorter period otherwise you see every year we were putting one plant but first time it has happened that the three four plant has come in last two two and a half year time.
So we are aggressively putting the capacity but we don't want to unnecessarily spend too much because we are having cash with us. So we are waiting for even acquisition opportunities also that if any good opp ortunities available we can park our cash over there also at adhesive also we have enough capacity pipe also we have enough capacity and the best part is that we have completed the construction of all the new plant but the machine installation has not taken place fully. So we have still room to increase the capacity sizably. So at least I can say one lakh metric turn we can increase by just adding the machine. So capacity never going to be a constraint to us in the at least near term 2 to 3 years. Then of course we have to aid looking to the growth projections which we are putting up or maybe backward integration once we'll be ready then we are going to be more aggressive into the CPVC side but in spite of that also today also we don't see any problem and machine installation will not take much time maximum 3 month you can get the machine delivery.
Attendee:
So how do you think about capital allocation in terms of you know this cash in the balance sheet
Mr. Sandeep Eng ineer Speaks
at present for this fiscal there are also surprises coming globally it's better to keep some cash if certain opportunities come if polymer is on a higher cycle and we can get at a cheaper cycle or there is another as he said there are investment opportunit ies
coming by the way of M&A or certain things where it makes sense for these four portfolios within these four we are not going to surprise you with something different there is something which can make give value and add value to the top and bottom line these all can be explored so at present this year whatever the addition things are there we'll be keeping the cash there on the books
Attendee:
all right thank you so Much
Hello. Yeah, my name is Manish Sostal from Nirmang Securities. My question on the distribution and the marketing efforts of our new businesses. So first is what is the our distribution depth right now and 3 to 5 years where the distribution can increase so that we can utilize our capacity appropriately and the overall ad spends in the business .
Mr. Sandeep Eng ineer Speaks

pipe for the new businesses .
Attendee:
New businesses
Mr. Sandeep Eng ineer Speaks
So new business is especially the first is faucet. Faucet is covered by new distributors
or new channel part

ners as well as our existing channel partners of plumbing. So at present we cover most parts of India. Adessive also we cover most parts of India and addition of distributor and dealer is a continuous process which will go on for any company lifelong and it's continuing. For paints we are focused on three major states
in south Karnataka, Tamil and Kerala and Kerala and in the west we have opened
Gujarat completely Rajasthan completely and now part of Maharashtra we have
opened and part of MP we'll be opening at after two fiscals. So at present we'll be
focusing for at least one and one and a half years on these regions consolidate them and then open the other regions
.
Attendee:
and on a yearly basis how much money we are spending on marketing for the developing these businesses .
Mr. Sandeep Eng ineer Speaks
every business has different spendings because
Mr. Kairav Engineer Speaks
roughly around average 1 and a half 2% maximum .
Attendee:
I'm talking about new businesses
Mr. Kairav Engineer Speaks
new business yeah new business also we are not spending overspending on marketing
Mr. Sandeep Eng ineer Speaks
But there are the marketing of every business is done with a different channel. You
don't follow the same channel which the pipe follows, the faucet follows, the adhesive
follows and the paint follows. So the expenses which are there coming on each channel is always a different ball game.
Attendee:
Thank you sir.
Attendee:
Hello. Hi sir, this is Kesha v from HDFC Securities. As I understand the channel
inventory might be elevated at March end. So surely the sales would have been impacted in Q1. Can you give us some sense on channel inventory now and how has been the plumbing volume sales in Q1?
Mr. Kairav Engineer Speaks
Channel inventory right now is all- time low. People who bought it in March, bought
material in March have liquid, largely liquidated in April and in the first 15 days of May. And now as you see there have been two price rises in PVC and further PVC imports are being seen at a 10 to 15 rupee gap also with the fact that you know duty is going
to come back from the 1st of July. So restocking has started and we are seeing a good
traction since the last 7 to 10 days. So hopefully this continues and you know we can
try to deliver a decent volume number even in Q1.
Attendee:
Got it. Some book pi ping question. How much was the inventory gain in Q4 and what
was the paint loss in Q4?
Mr. Kairav Engineer Speaks
I think inventory gain was not much .
Mr. Hiranand Savlani Speaks
Inventory gain was very negligible. The reason is that our company is more dependent
on CPVC and the CPVC price rise none of the play took place taken in the Q4
whatever Astral has taken place that was on the 22nd of March we have taken some
price rise so practically we were not getting any big benefit out of that PVC yes to some extent some gain was there but the amount will not be much maybe 8 to 10 cr
kind of level But not a big number sir.
Attendee:
Paint loss.
Mr. Hiranand Savlani Speaks
Paint loss I think this quarter you want.
Attendee:
Yeah, this quarter
Mr. Hiranand Savlani Speaks
6 cr.
Attendee :
Okay thank you. That's it .
Mr. Sandeep Eng ineer Speaks
But if you see I don't know how you analyzed it. It's your problem but it is a history quarter sale as well as done in the history

since inception. Tonnage wise if you see we have oversold the capacity which we have installed. Our tonnage sale of this quar ter
has oversold the in capacity installed. So you can imagine how much inventory also lying in the stocks also have been liquidated. So this is I don't know whether anyone
has made a note of this or tried to understand the whole way the things were present maybe understand it properly or hastily and we are the highest amount of growth giver on installed capacity in the whole of the segment and selling every product. W

e have
sold silenc io at a level which is way high. We have sold our fire at a level which is way
high and all the products have been justified in sales per se in the last quarter. So we
have overdone the installed capacity sale in this quarter and so for me it's a great
achievement but I don't know somehow it reflected in a wrong decision or wrong way something different but I think it's a great achievement for Astral as a company.

Attendee :
Sir R amesh Bhojwani from Mehta I have to compliment you on acquiring and taking
over gem paint s. I will go back little bit in time. Prior to coming to capital market, I was
into industrial chemical selling. I as a distributor I was catering to gem Paints
requirement of pentathlon. That time the gentleman scaled up consuming Penta from
1 ton to 4 tons. I think to today when we are standing the consumption may be 40 tons or even more. So that is the scale and size and the gentleman who was owning and running gem paints was the chief technical man from Asian p aints .
Mr. Sandeep Eng ineer Speaks
I know I know I thank you very much for this is the first guy at least appreciating my this investment.
Attendee :
Yes.
Mr. Sandeep Eng ineer Speaks
So I will be thank you and meeting you after that.
Attendee :
Definitely
Mr. Sandeep Engineer Speaks
Definitely and I think I have not called you also otherwise somebody will think that why
is praising but thank you very much I feel proud of you.
Attendee :
and Gem Paints
Mr. Sandeep Eng ineer Speaks
every business is a entrepreneur takes is a challenge
Attendee :
yes
Mr. Sandeep Eng ineer Speaks
and every business entrepreneurs takes is intuition and if he taken it in the right way you have to give the entrepreneur his time to see whether what level he reaches and this time should be at least four to five years and we are continuously whatever businesses are taken we are just focus focus focus and we are assuring you that every
business has the same focus we are lucky that the whole family is there and we are
all contributing in our right way to take these things at a next level so we are working on it thank you you we'll meet afterwards
Attendee :
definitely thank you.
Attendee :
Hi sir, this is V arun from 360 world. I have a question. so on the adessive side, what
is the kind of cost inflation you are seeing right now and is there possibility of any margin pressure on the adessive side?
Mr. Hiranand Savlani Speaks
So, I think that's not much pressure on that except white glue and there the web price
is abnormally high but otherwise it's not that high and whatever price rise we needed
to take place that we have taken the price rise and few price rises we are planning to take in Q1 also. So I don't think whatever the price inflation is that we are passing on to the market and that is the r eason you can see our margins are still stable our
margins are not deteriorated in in Adessive whatever you are seeing the margin drop
that is mainly because of the 16 cr rupees one of the event of brand ambassador
otherwise if you add up we are in the same Zone what we used to be there in last 3
year so we we normally working between 15 to 17% kind of June today we have
completed with 15.1% adhesive margin for the full year so we are in the very well
trajectory and whatever the price escalation had taken place we are passing on to the
market .
Attendee :
and sir given that we are looking at 20 to 25% revenue growth is it fair to assume that
margin expansion on pipe segment is quite possible next year
Mr. Kairav Engineer Speaks
yeah pipe pipe margins will will expand next here.
Attendee :

Okay. And sir, last question on the bathware side like we did so much of brand
campaign for the adessive. Is there any plan for the bathware as well? Like given that
it's more of a B2C kind of project?
Mr. Kairav Engineer Speaks
Yeah, we are we are planning but

see first we are focusing on reach. So first we are
ensuring that you know my exclusive dealers, my distributors, my showrooms everything has to be in place. My product launches have to be in place. I need to have my service where whatever geographies I'm opening I need to also have my service
in place because in this segment you know if you're doing advertisement without
penetrating the market then your money will be wasted. So we are just waiting for the
right time to start doing. We we already do some brand building activities. We have a
lot of product displays at we have tied up with PVR. So a lot of PVR cinemas have
our product displays. Then we are doing a lot of in the ads. We we are doing displays across certain airports in in India. So we are doing some sort of brand building activity and brand recognition ac tivity. And today for the first time we as we were sitting here
we just cracked a 4 crore order versus colar in Bangalore. I just got the message from
the team while we were sitting. So that shows that you know we are getting good
acceptance in the market as even against brands like Coler.
Attendee :
Okay that's it. Thank you, sir .
Attendee :
Hi sir Sharan here from Dat Capital. uh just to get a sense that now we are saying
that F Y 27 10 to 15% plumbing volume growth and obviously from the Q4 the CPVC
backward integration will kick in so is it fair to say from going forward F Y28 let's say
now we are talking five year and may be a 20 30 target so this growth rate will keep
on increasing because the backward integration so we have both the options volume
growth and the margin also.
Mr. Kairav Engineer Speaks
yes yes yes. So once the backward expansion kicks in, we will have a accelerated
market share gain as compared to our competitors and margin expansion can also
happen around 200 bips.
Attendee :
Okay. And sir we have said that for entire adhesive 15 to 20% kind of a volume uh
revenue growth for F27 specifically India adessive what kind of a number one can look at for this year .
Mr. Kairav Engineer Speaks
India adhesive I think it will grow between 15 to 20%. Value terms
Mr. Hiranand Savlani Speaks
so India you can consider 20%. UK will be 10%.
Attendee :
And in terms of the margin for plumbing would be close to a 20%.
Mr. Kairav Engineer Speaks
Plumbing plumbing margin will be between 16 to 18%. So that whatever margin
guidance we've been given we'll follow the same guidance for this year.

Attendee :
Okay.
Attendee :
Hi sir this is Han Choxy from Daven Choxy. first of all thank you for a wonderful
presentation on each of the individual businesses you have cowed out and uh
congratulations for a good year in tough challenging times. and best wishes for the
next 5 years. also great presentation on the 2050 vision which you have put across.
you know you know you have always been ahead of time as far as understanding the
polymer and the chemistry is concerned. You know shift from venile chlorides to polyolifins or standard PVC to polyropylene.
do you see this industry accelerating
faster than normal in the PVC and
Mr. Kairav Engineer Speaks
so I will tell you what has happened is PVC is not a bad polymer but the problem with
PVC is that the type of processors that we have in this country who are processing PVC the only downside to PVC is that you can add filler okay and considering the fact that you know you have 6,000 or 5000 6000 thousand people who manufacture pipes
in India from a single extruder to someone who has you know two 300 extruders and this entire industry is to be blamed for the quality problems that have arose in this particular product in PVC product and because of that our consultants and contractors
and developers are looking started looking for alternates to PVC and that is where the polyolifins came in. And the beauty of polyolifins is that you cannot mix something like a calcium carbonate

. You cannot do any any sort of you know mixing or any sort of
play with the polymer. So back of the mind when the contractor or the consultant buys
this product they know that they are buying quality. So this if people continue playing
with the quality of PVC then this acceleration can be faster also the move could be
accelerated to the PP side of the

Attendee :

so do you see increasing pricing coming because you mentioned clearly in the presentation that there is less price volatility in the polyropylene products.

Mr. Kairav Engineer Speaks

PP PP in general globally is is a stable polymer. So even if the demand goes up I
don't think there will be any sort of a volatility. So this war was a one- off event where
the PP prices shot up. But if you look at the past 5 to 6 years there is hardly you know
every 6 months maybe one small price rise here or there. So wherever we want to do commitment for the project supply, we can do easily 12 to 15 month sort of a price commitment with our contractors or builders

Attendee :

and if this if this is the case, do you see a further reduction in the working capital in the
because of the polyropylene as a product?

Mr. Kairav Engineer Speaks

No, because polyropylene also it's easily available locally and we are using the local
grades only. So there are lot of local players. So I think the payment terms and all don't
change much .

Attendee :

right. Thank you so much. All the best.

Mr. Kairav Engineer Speaks

Thank you.

Attendee :

Hi Nitin here. last two and a half years whatever capex we have done that has not
started fully reflecting. So can you share what's the asset turn or what's the turnover which has come from those 2 and a half year capex right now and what is the max potential out of that? That's the first question and second is to move from 40 to one. You said there is lesser investment required. Can you please quantify that and
thereafter what will be the asset turnover at a full maximum potential so or best of the margins if you can share those things? Thank you.

Mr. Hiranand Savlani Speaks

So there were two reason why the asset turn over was low in the last 3 year. Number
one that the polymer prices were continuously dropping. So because of that we were
producing but we were not converting into the value growth. So that was one of the reason that the asset turnover was low. Otherwise in our industry motor you can
consider 3 to 3.25 time asset term is easily doable . But we were almost in the range
of 2 2.1 2.2 kind of level because the polymer were low. Secondly we were
continuously not we were we are today also we are continuously on a expansion path.
So what happened that before you utilize your previous capacity you are adding the new capacity. So the graph which we are showing for the capacity utilization will continuously showing you that it's a 60% utilization. But if you see the previous year what was the capacity and the current year utilization we can go up to 80 also 85 also. Many of plants are working at even 90% utilization also. So the moment one point will come where the capex cycle will stop for couple of year then the real asset turn will be known to all of you. So but normal circumstances I can say three time will not be a big challenge and now because polymers are going up and which is going to be a trend in the coming time. So in that case I think three time asset turn will not be a difficult task to achieve and which you will see in the near future because this year alone I told
you that right now the grow gap between the previous year base and the current year
base is more than 10%. The PVC price of last year if you consider Q1 was somewhere
around 73 kind of level 73 74 kind of level and now this time it is in the range of cluster
reliance price was 87. So you can see what is the different so almost 15% kind of gap is there the base effect itself. So that will improve the asset tur

n also.

Mr. Sandeep Eng ineer Speaks

Let me also bring to notice everyone that what we were going building 4 years back a plant say in 50 crores. Today the same plant, same capacity with the new land price,
the new construction price, with the new machine price is almost coming to double or even more. So the capacity remains the same, the output remains the same and then your you have to get the justification of the capital. So I was with somebody I don't
know and I cannot make a statement but says that whole mathematics will change in four five years of the payback period the asset turn because the cost of asset to create the same capacity the costs have gone way higher. It's good also in some sense because the new competitor tomorrow pits in. He has to make huge investments to
get the same capacity levels.

Mr. Hiranand Savlani Speaks

So secondly our objective was not to increase the capacity but our objective was to

decentralize the thing because we wanted to gain the market share. So there it was
necessary to put up the plan in the new geography. Though we were having the capacity but in spite of that we spend money to go into that geography to take the
market share. We could have taken the market share from distant location also but in that case the viability was not there because the kind of logistic cost is there and now you see the way today also newspaper I was going through that we are expecting 17
rupees price right into the diesel. Now the logistic cost is going to be more costly. It is not going to be only on the my final pipe price but it is going to be effective to every my raw material also. So logistic cost is going to be very high only in the coming time. So in that case decentralization was need of our and that's why we spend lot money to complete the capex and we are today happy what s andeep bhai say that if I do
today capex my cost is much much higher than what I have completed 2 year or three
year before. So everything is inflationary whether land building cost all ancillary everything is getting more costly
.
Attendee :
Yeah. The second question was on CPVC 40,000 what is the total investment as on
debt and to move to one lakh what will be the total investment?
Mr. Hiranand Savlani Speaks
I'm not getting your question. Okay. Okay. So you are asking the second phase capex
for the C PVC. It will be much much lower than what we have because land is already
there. Utility is already there. Power connectivity is already there with us. All the approvals are ready with us. So all plans are approved. Everything is ready. I have to aid only the shade and the reactor only.

Mr. Kairav Engineer Speaks
so for for current 40,000 we have we've invested around 120 crores. Yeah. So the
next next 40 will be around around you can say 50 crores give or take.
Attendee :
Thank you. Yeah.
Attendee :
Hi sir. This said Utkash from Anand rathi. so sir like if we see in F Y26 our EBITA
margin for the pipe division was 19.6%. Okay. And we are saying that we are
expecting the revenue to grow at around 20 25%. And our overhead is not likely to
grow at that pace. So why we are giving such conservative guidance of 16 to18% for
FY27.
Mr. Hiranand Savlani Speaks
So this is the standard guidance which we are giving for since last four year that this
is will be the trajectory but continuously we are delivering more. So you can account in your projection I don't deny that part but we are going to be conservative. The reason is very simple that we are working on a highly volatile environment
.
Attendee :
Exactly.
Mr. Hiranand Savlani Speaks
You can see the polymer prices are increasing 40 to 40 rupees in a single month and
going down 40 to 40 rupees in a single month. In that volatile environment maintaining
that margin is always going to be a challenge. So that's why we don't want to unnecessary just for a sake of saying we say you that we can deliver 20.

We will try. We don't deny that we are not going to deliver. We will try and particularly post backward integration definitely it is going to be high but unnecessary we don't want to give you too much of guidance then next year when we comes you say that you told 20 and you have deliver 18 only also
Mr. Kairav Engineer Speaks
also our focus is going to be the volume growth also so we will try to give the industry leading volume growth this year also compared to the competition now sometimes you
know you if you are sitting in such a volatile environment and you want to give that
volume number and you want to increase your market share sometimes the EBITA
level somewhere you have to sacrifice some sort of a EBITA that is why we give such
a range you know from 16 to 18 doesn't mean that we will only work within that range
we'll try to deliver more

Attendee :
hello yeah hi this is Namit Aurora from Ingrowth Capital yeah oh sorry
Attendee :
sir I have another question another question is on the return ratio side so if you see
our product mix is quite superior compared to any other listed plastic pipe company.
we are also generating the highest EBITA margin but on the return ratios if we compare
with the industry leader uh it is consistently on a lower side. So can you please explain
the rational why our return ratio is consistently on a lower side compared to the industry leader

.
Mr. Hiranand Savlani Speaks
So two things one we did lot of capex in last four year okay we have spent more than 1500 cr into the capex side
Attendee :
but sir that is the case with the industry leader also their capex rate has gone up by
5x in the last 5 years
Mr. Hiranand Savlani Speaks
let me complete so we have spent a lot money into the capex side but our utilization is low because I told earlier also that our objective was to decentralize we could have hold that capex also because we were having the capacity but in spite of that also we spend money just to decentralize with the future vision that we want to grow the board market share that is why we spend money into the capex otherwise it was not needed so that was in a accounting say language I can say it was extra capex for also not
needed also
Mr. Kairav Engineer Speaks
also not all all the capex goes into increasing the production in the plant lot of money also goes in R&D and the type of innovations that we are delivering and the type of
products we are working on also takes away some money you know every year from
us. So we also have to focus that you know when we are saying that we are doing
capex doesn't mean that you know all the capex is going after the fastmoving product or the product that is selling in the bulk. Sometimes that capex could be in the form of a PEX aluminum PEX machine or a machine for my polypropylene drainage pipes.
These are all 25 30 40 cr 45 cr this these are high very expensive machines. But if you look at the tonnage that is being generated from these machines is much lower. If I put in 25 crores, I can put in 25 extruders of PVC then tonnage will look very good. But that is not our DNA. Okay.

Mr. Sandeep Eng ineer Speaks
So the the factors which are there prevailing have accelerated the amount of money
which we need to invest. Building we had to take that because we want to be in the
business. Now you come to corrugated pipes. The things which we do and we are a 20 years old baby. We are consciously deploying. This will give you excellent growth and result for sure.
Attendee :
Okay. Thanks a lot, sir.
Mr. Hiranand Savlani Speaks
I can give you an example that in Ahmedabad land Last year .
Mr. Sandeep Eng ineer Speaks
Last question. one to one we can always
Attendee :
Sure. thank you S andeep Bhai this is Namit Aurora from Ingrowth Capital. I have one
question for Kairav bhai . you shared about the win against Coler. Congratulations. So
walk us through your vision

for the bathware category. in terms of product positioning,
how are you competing and what are some of the reasons you are succeeding so well?
Mr. Kairav Engineer Speaks
So Bathware basically we have four categories. So Gloria and Premier these are our
two lower -end categories where we compete with the likes of Perware. Then we have
Imperia category where we compare compare and compete with the likes of say
Hinduare or Sarah or J aquar . Then we have the Celestia category where we compare
with the likes of Coler. So we have four distinct categories in which we have a number
of SKUs that are comparable to the brands we compete with. With regards to the vision for Bathware , we will continue to grow at a 25 to 30% CAGAR for the foreseeable
future because our base is low and after a certain point we will start doing some sort of marketing and some sort of brand push and we will create some sort of a consumer
demand for this product. So there are a lot of plans for this product line
.
Attendee :
thank you very much. My final question is on the paints category. when the new
entrance came there was a lot of aggression and maybe some degree of irrationality.
are you seeing things settling down in terms of competitor behavior in the paints
market?

Mr. Hiranand Savlani Speaks
Yeah, definitely last couple of years the industry was passing through a big tough
challenge but I think now to some extent it has improved and I think the big player

have also given us some indication that they are also going to withdraw certain extra discount which they offer to the market and that is going to make the industry more
healthy. So that is a very very positive things for the industry per se and particularly being a newcomer like astral which is a challenging brand for that category for them it
is going to be a really big bonja. So I think that is why we clearly say that the next year we are confident that we will be a positive EBITA company and on certain scale will
pick up it is going to generate a good return because end of the day historically you see last 20 year this industry has given one of the best return last three year you live it the challenges were there prior to three year if you see every industry player in this category has given the best return to the investor. So we are very positive on that side.

Attendee :

thanks a lot H iranand Bhai and all the best to the entire team

Mr. Hiranand Savlani Speaks

I think we can take a last question .

Okay. Okay.

Mr. Sandeep Eng ineer Speaks

So thank you everyone.

Mr. Kairav Engineer Speaks

Thank you everyone.